21 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Global equities were mixed, with solid earnings supporting US markets while ongoing concerns around the AI trade and elevated oil and borrowing costs weighed more heavily elsewhere.

The US Treasury yield curve flattened, with moves lower at the long end also observed across European bond markets.

The US dollar eased, with the AUD regaining its 70 handle and the sterling outperforming following a more resilient unemployment reading.

Oil prices fell on unconfirmed reports of renewed peace negotiations, before largely retracing the move after the reports were denied. Brent finished little changed overall, while WTI held onto more of its losses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7001	0.3%
AUD/JPY	110.81	0.1%
AUD/GBP	0.5233	-0.2%
AUD/NZD	1.2323	0.0%
AUD/EUR	0.6231	0.1%
AUD/CNH	4.6731	0.2%
AUD/SGD	0.8946	0.2%
AUD/HKD	5.4949	0.3%
AUD/CAD	0.9841	-0.1%
EUR/USD	1.1234	0.2%
USD/JPY	158.27	-0.1%
USD Index	101.72	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.64	0.01
90 day BBSY	4.84	0.02
180 day BBSY	5.22	0.03
1 year swap	4.88	-0.01
2 year swap	4.85	-0.02
3 year swap	4.85	-0.03
4 year swap	4.88	-0.03
5 year swap	4.91	-0.03
6 year swap	4.96	-0.04
7 year swap	5.02	-0.04
8 year swap	5.07	-0.04
9 year swap	5.11	-0.04
10 year swap	5.16	-0.04

Equities	Close	Change
S&P/ASX 200	8,817	-0.3%
S&P 500	7,711	0.3%
Japan Nikkei	64,075	-1.3%
Hang Seng	23,868	-1.3%
Euro Stoxx 50	6,122	-0.4%
UK FTSE100	10,733	-0.3%
VIX Index	17.5	-5.1%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.25	0.02
United States		
3-month T Bill	4.06	-0.03
2 year bond	4.78	0.01
10 year bond	5.11	-0.03
Other (10 year yields)		
Germany	3.40	-0.06
Japan	2.90	-0.01
UK	5.41	-0.02

Commodities	Current	Change
CRB Index	416.94	-0.4%
Gold	4120.28	-0.5%
Copper	14420	0.6%
Oil (WTI futures)	101.79	-1.8%
Coal (coking)	267.00	0.2%
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10 yr bond	5.26	-0.02
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- The US dollar eased, with the DXY down 0.3%. The AUD regained its 70 handle against the greenback, rising 0.3% to 0.7001. Other major currencies also gained against the USD, with the yen up 0.1% and the euro rising 0.2%, while sterling outperformed, gaining 0.6% following a more resilient unemployment reading.
- Brent was little changed overall as steep earlier losses on unconfirmed reports of renewed peace negotiations were largely unwound later in the session. Brent ended 0.4% lower at US$109/bbl, while WTI maintained more of its earlier decline, falling 1.8% to US$102/bbl. The premium for prompt barrels continued to ease from recent highs, with Dated Brent trading at US$118/bbl. Gold declined 0.5%, while copper gained 0.6%, aluminium fell 0.5% and iron ore declined 0.4%.

Today's key data and events

Time	Event	Exp	Prev
17:00	GB CPI Sep	0.3%	0.5%
17:00	GB Public Sector Borrowing Sep	£24b	£18.3b

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US housing starts declined 5.2% in September after a downwardly revised 5.9% fall in August (prev -2.6%), returning near its 5-year low. **Building permits** edged 0.2% lower in September after a 2.1% loss in August. In the established home market, **pending home sales** dropped 7.3% in September to be 12.6% lower over the year. Serviceability and cost-of-living continue to weigh heavily on the housing market.

The **Euro Area ZEW survey of expectations** fell from 25.8 to 18.5 in October under the weight of high oil prices and increased uncertainty over the near-term economic outlook. Still, the current level is above the average of the past 5 years, and only modestly below the full history average of 21.4.

The **UK ILO unemployment rate** edged down from 4.9% to 4.7% in the 3 months to August as employment growth strengthened from 66k to 102k on a 3 month average basis.

Local Data

We published our **October Commodities Update**, covering recent market developments and forecasts across the broader commodities complex (see here).

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Today's key data and events

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21 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Global equities were mixed, with solid earnings supporting US markets while ongoing concerns around the AI trade and elevated oil and borrowing costs weighed more heavily elsewhere.

The US Treasury yield curve flattened, with moves lower at the long end also observed across European bond markets.

The US dollar eased, with the AUD regaining its 70 handle and the sterling outperforming following a more resilient unemployment reading.

Oil prices fell on unconfirmed reports of renewed peace negotiations, before largely retracing the move after the reports were denied. Brent finished little changed overall, while WTI held onto more of its losses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7001	0.3%
AUD/JPY	110.81	0.1%
AUD/GBP	0.5233	-0.2%
AUD/NZD	1.2323	0.0%
AUD/EUR	0.6231	0.1%
AUD/CNH	4.6731	0.2%
AUD/SGD	0.8946	0.2%
AUD/HKD	5.4949	0.3%
AUD/CAD	0.9841	-0.1%
EUR/USD	1.1234	0.2%
USD/JPY	158.27	-0.1%
USD Index	101.72	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.64	0.01
90 day BBSY	4.84	0.02
180 day BBSY	5.22	0.03
1 year swap	4.88	-0.01
2 year swap	4.85	-0.02
3 year swap	4.85	-0.03
4 year swap	4.88	-0.03
5 year swap	4.91	-0.03
6 year swap	4.96	-0.04
7 year swap	5.02	-0.04
8 year swap	5.07	-0.04
9 year swap	5.11	-0.04
10 year swap	5.16	-0.04

Equities	Close	Change
S&P/ASX 200	8,817	-0.3%
S&P 500	7,711	0.3%
Japan Nikkei	64,075	-1.3%
Hang Seng	23,868	-1.3%
Euro Stoxx 50	6,122	-0.4%
UK FTSE100	10,733	-0.3%
VIX Index	17.5	-5.1%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.25	0.02
United States		
3-month T Bill	4.06	-0.03
2 year bond	4.78	0.01
10 year bond	5.11	-0.03
Other (10 year yields)		
Germany	3.40	-0.06
Japan	2.90	-0.01
UK	5.41	-0.02

Commodities	Current	Change
CRB Index	416.94	-0.4%
Gold	4120.28	-0.5%
Copper	14420	0.6%
Oil (WTI futures)	101.79	-1.8%
Coal (coking)	267.00	0.2%
Coal (thermal)	153.55	-1.6%
Iron Ore	91.40	-0.4%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.26	-0.02
3 yr bond	4.85	-0.01
3 mth bill rate	4.77	0.00
SPI 200	8,863	0.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were generally subdued on Tuesday. US equities bucked the broader sell-off, supported by solid earnings despite renewed concerns around the AI trade. Oil prices softened and long-dated Treasury yields edged lower following unconfirmed reports that Qatar and Pakistan had proposed a framework to revive negotiations, although the reports were later denied and much of the initial market reaction unwound.

- US equities proved resilient, with strong earnings and a modest decline in oil prices offsetting broader market weakness. The S&P 500 gained 0.3%, while the Dow Jones outperformed, rising 1.0%, and the NASDAQ was unchanged. Other regions fared less well, with the Euro Stoxx 50 down 0.4% and the FTSE 100 falling 0.3%.
- The previous day's tech-led rebound in the US failed to carry over to Asian markets, with the region experiencing a broad sell-off. Elevated oil prices and borrowing costs continued to weigh on sentiment, compounded by renewed AI concerns ahead of key earnings releases in the US. The KOSPI led declines, falling 3.7%, while the Nikkei 225 and Hang Seng both lost 1.3%. Locally, the ASX 200 followed the regional trend, declining 0.3% after paring deeper losses during afternoon trade.
- The US Treasury yield curve flattened, with the 2-year yield rising 1bp and the 10-year yield falling 3bps, with softer oil prices contributing to the move lower at the long end. Futures markets assign just a 17% probability to an October hike, while a December move remains fully priced, taking the implied year-end fed funds rate to 4.14%. Long-dated European bond yields also moved lower as oil prices eased, with the 10-year gilt yield down 2bps and the 10-year Bund yield falling 6bps.
- Australian government bond yields were little changed, with the 3-year yield rising 1bp and the 10-year yield gaining 2bps. Swap markets remain unconvinced of additional RBA tightening in 2026, with the probability of a November rate hike priced at around one in four, taking the implied year-end cash rate to 4.73%.
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19 October 2026

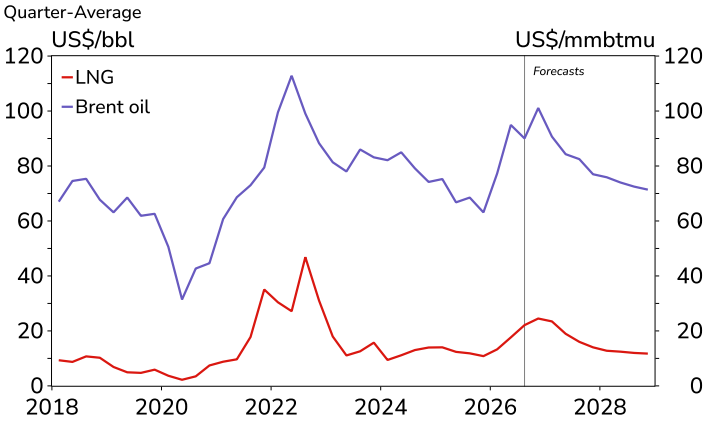
MIDDLE EAST BULLETIN

Persistent energy pressures have further to run

Key points

- Shipping disruptions, depleted inventories and elevated freight costs are keeping physical crude and fuel markets tight despite a reported recovery in Gulf exports.
- Brent is forecast to average US$101/bbl in Q4 before easing to US$77/bbl in Q4 2027.
- Refined product markets are expected to ease more slowly than crude, with elevated gasoil cracks, shipping and insurance costs slowing declines in petrol and diesel prices.
- Under an escalation scenario, renewed conflict and deeper supply disruptions could push Brent towards US$150/bbl in H1 2027, prolonging elevated fuel and LNG prices.
- Under an early resolution scenario, a durable US-Iran agreement accelerates supply recovery, taking Brent towards US$65/bbl by Q4 2027 and bringing fuel and LNG prices down faster.

Oil and LNG forecasts



Source: Bloomberg, Macrobond, Westpac Economics

Q4 2026 forecasts:

Brent crude US$101/bbl

Japanese LNG US$24.5/MMBtu

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Oil and fuel prices push higher ...

Sian Fenner, Head of Business & Industry Economics
Justin Smirk, Senior Economist
Luka Belobajdic, Economist

Low inventories and higher shipping costs will keep oil and fuel prices elevated, with Brent futures forecast to average US$101/bbl in Q4 before easing to US$77/bbl by Q4 2027 as supply recovers. Refined fuels and LNG prices should ease more slowly. Risks are two-sided: escalation could push Brent towards US$150/bbl, while an early US-Iran agreement could see a faster normalisation in supply with prices returning close to pre-conflict levels by end-2027.

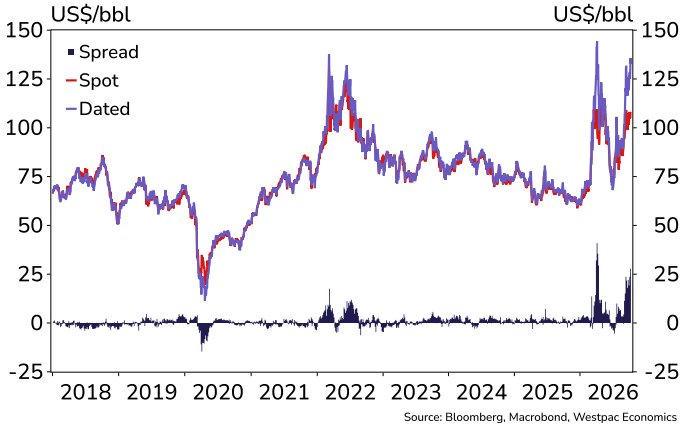
This article was first published in the October Market Outlook.

Brent crude is back above US$100/bbl on fading confidence in a lasting US-Iran agreement and intermittent attacks on shipping. Buffers remain depleted, with the IEA estimating global observed inventories were 507mb lower at the end of August than at the start of the conflict.

This comes despite reported crude exports through the Strait of Hormuz recovering to around 70% to 90% of pre-conflict levels in late September. Saudi and UAE exports through the Yanbu and Fujairah pipelines continue, with the East-West pipeline back to normal after the early September attacks. Tanker crossings have risen, although transponders remain switched off, leaving visible transit at 1% to 4% of pre-conflict levels, while cargo transfers in the Gulf of Oman have increased as an alternative route.

However, these workarounds are slower and more costly. Ship-to-ship transfers can take 5 to 10 days, US escorts through the Gulf via a route close to the Oman shoreline cause delays while some tankers are taking longer routes. Fewer ships are also available, with many redeployed to other markets. Higher insurance premiums are adding to costs, with Gulf-to-China tanker rates above US$0.9mn a day, around 15x higher than a year ago. With prompt barrels (available for physical delivery) scarce, the gap between physical and futures prices widened again, with Dated Brent around US$136/bbl in early October against US$101/bbl for front-month futures.

Spot and Dated Brent



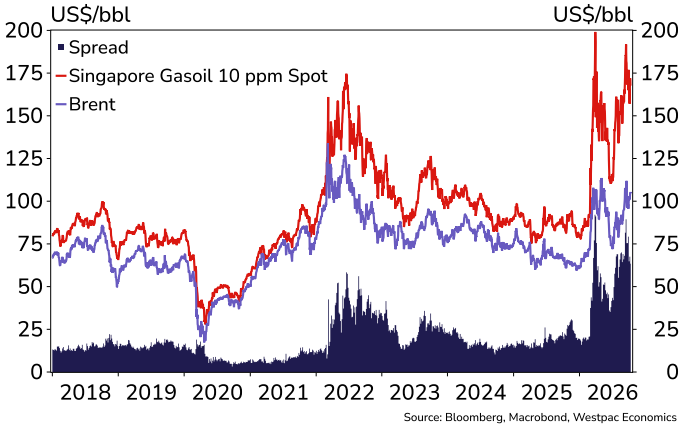
Source: Bloomberg, Macrobond, Westpac Economics

Refined prices have risen more than crude

Refined product markets were already tight going into the conflict. Reduced Gulf supply, exacerbated by Ukrainian strikes on Russian refineries, has added to that tightness. Together with higher shipping costs and rising Dated Brent prices, Singapore Gasoil 10ppm (diesel) has roughly doubled since the Strait closed, compared with around 40% for crude futures.

Consequently, Singapore gasoil crack spread widened to an average of around US$36.1/bbl in early October, from US$17.5/bbl across 2025. Alongside the Australian government's excise tax returning to normal, after it had been halved, this has lifted national diesel and petrol prices to around A$2.83/L and A$2.41/L.

Singapore gasoil crack remains elevated



Source: Bloomberg, Macrobond, Westpac Economics

Outlook

We do not see a lasting US-Iran agreement until at least mid-2027. In the meantime, we assume there will not be a return to full-scale military intervention. However, periodic Iranian attacks on ships and facilities are expected to continue, as will the US blockade of Iranian exports, keeping a supply risk premium in place. We look for Brent futures to average around US$101/bbl in Q4, then ease gradually as demand from refiners and governments to rebuild stocks partly offsets recovering supply. As the premium fades and the market moves into surplus in late 2027, we forecast Brent at around US$77/bbl in Q4 2027, easing towards US$70/bbl in 2028 as Middle East production fully recovers.

Oil balance to gradually improve over 2027

Global oil supply is expected to rise by 4.0mb/d (4.0%) to 103.7mb/d in 2027, following a 6.1% fall in 2026. Most of this reflects a gradual recovery in Gulf output, with Houthi

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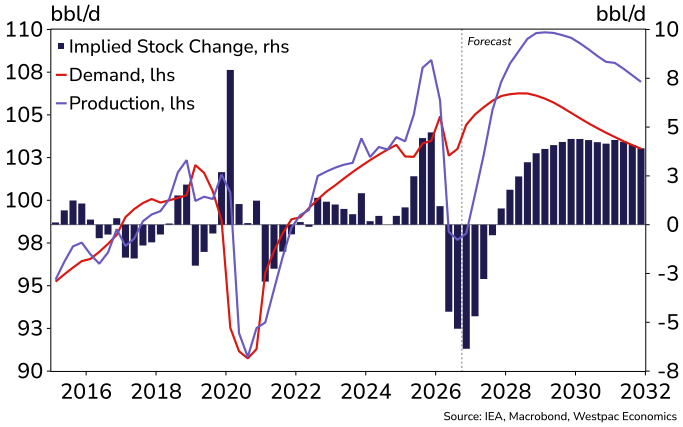
... and risks remain and while they are two sided ...

attacks on Red Sea shipping keeping Saudi production below its pre-conflict level until H2 2027. Meanwhile, we look for UAE production to continue to improve over 2027 and lift above pre-conflict levels from 2028, as it is no longer constrained by OPEC quotas. We do not expect a meaningful return of Iranian oil until an agreement is reached, and damage sustained during the conflict means production will take time to recover.

We expect global oil demand to be 103.7mb/d in 2026, 0.8mb/d (0.7%) higher than in 2025, and to rise a further 1.9mb/d (1.8%) to 105.6mb/d in 2027. Chinese crude imports will continue to recover over the coming months as refiners restock ahead of Lunar New Year, but we expect only a gradual return to pre-conflict levels, as the electrification of transport limits the recovery in Chinese demand. Globally, demand for diesel and jet fuel recovers as transport and aviation activity picks up, although some demand destruction and efficiency gains are expected to be permanent. The conflict has also highlighted strategic vulnerabilities, particularly across Asia, so we expect a push to rebuild reserves adding around 0.5% to demand over 2027.

Oil Production and Demand



Source: IEA, Macrobond, Westpac Economics

Fuel prices to ease more slowly than crude

Refined product supply is expected to recover more slowly than crude, with Gulf refinery runs not returning to pre-war levels until at least late 2027. Outside the Gulf, there has been some constructive news. The US has lifted sanctions on Russian diesel until April 2027, with Russia saying it will supply more than 4Mt over the coming months, while China has lifted its ban on refined product exports. However, we are cautious about how much this will add to the market in the short term. Much of the Russian supply is headed to the US and will depend on Russia's ability to restore refining and export capacity, while doubts remain over the Russia-Ukraine energy ceasefire announced by President Trump. China still manages exports through quotas, which are likely to increase only gradually as domestic stocks are rebuilt. Refinery runs should lift ahead of Lunar New Year, but any increase in exports will take time to reach regional markets.

With product supply recovering slowly and depleted inventories being rebuilt, Singapore gasoil crack is likely to stay above its long-run average even as Brent eases, narrowing from US$71/bbl in Q4 to US$27/bbl by Q4 2027. With Singapore Gas 10ppm prices, shipping and insurance costs to remain elevated and easing only gradually in 2027, we forecast Australian diesel to retail at an average of 274¢/L in Q4, easing to 200¢/L in Q4 2027, and petrol at 230¢/L and 187¢/L respectively.

LNG prices supported through 2027

Japanese LNG prices surged 15.2%mth in September, averaging US$25.4/MMBtu as supply disruptions in Qatar and its inability to divert exports around the Strait of Hormuz tightened markets and intensified competition between importers. While prices are now more than double pre-conflict levels, demand destruction across Asia is providing some offset to tight supply

Our Q4 forecast for Japanese LNG is now US$24.5/mmbtu and we expect the market to remain structurally tight, with supply recovery likely to be gradual and prices not returning to pre-conflict levels until around 2028. Still, Australia's domestic gas market should remain insulated, supported by the FY2027 Federal Budget's domestic gas reservation scheme, which requires exporters to supply the domestic market with the equivalent of up to 20% of gas exports. So far this year, despite the increase in LNG spot prices in Asia, Australian natural gas prices have remained under the $12 per GJ cap that has proposed by the Commonwealth government. We are expecting this to continue well into 2027.

Risks around our oil price outlook are two-sided

Talks are still ongoing in the background, with the US and Iran exchanging proposals to reopen the Strait, but the gap between them remains wide. The conflict has also expanded to the Red Sea and, with inventories sharply drawn down, there is a smaller buffer to absorb a further shock.

Using the Oxford Economics model, we assess an escalation scenario, where energy markets face a deeper and more persistent disruption as the conflict in the Middle East intensifies. In this case, Brent futures rise to around US$150/bbl in H1 2027, only dipping to below US$100/bbl in Q2 2028. We also consider an early resolution scenario, where shipping and Gulf supply normalise faster, returning Brent to near pre-conflict levels by end-2027.

Escalation scenario

In the escalation scenario we assume:

Talks stall and the conflict escalates: the gap between the US and Iran proves too wide and the US resumes strikes after the midterms. Iran responds with attacks on shipping and Gulf energy infrastructure, damaging export, storage and refining facilities. A lasting agreement is not reached until 2028.

Export routes are disrupted: more frequent attacks curtail dark crossings of the Strait and ship-to-ship transfers in the Gulf of Oman. Houthi attacks also cut off Saudi alternative routes, forcing Gulf producers to cut output and Middle East crude exports sharply lower. New routes and shipping arrangements eventually support a recovery in Gulf flows, but trade patterns take time to adjust.

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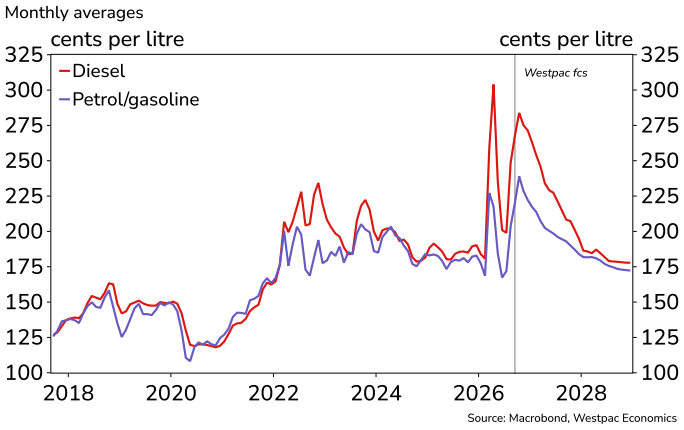
... the upside presents a more dramatic shift in prices

Product supply fails to recover: The Russia–Ukraine energy ceasefire does not hold and strikes on Russian refineries continue, limiting how much diesel Russia can export, even with the US sanctions waiver extended. China also reintroduces its export ban to protect domestic supply.

Oil prices lift to around US$150/bbl in H1 2027: With little buffer to absorb the supply loss, competition for physical delivery intensifies, with physical prices well above futures as prompt barrels remain scarce. Higher prices support supply growth outside OPEC and drive demand destruction, alongside further emergency stock releases, but a deeper and more prolonged global deficit remains. Brent stays above US$100/bbl until mid-2028 as governments rebuild reserves.

Australian pump prices for auto fuel



The Singapore gasoil crack widens and, with freight and insurance costs also higher, Australian diesel and petrol prices average around 247 cpl and 231 cpl at end 2027. Japanese LNG also remains elevated around US$23.2/MMBtu in Q4 2027, $9.1 above our baseline.

Early resolution scenario

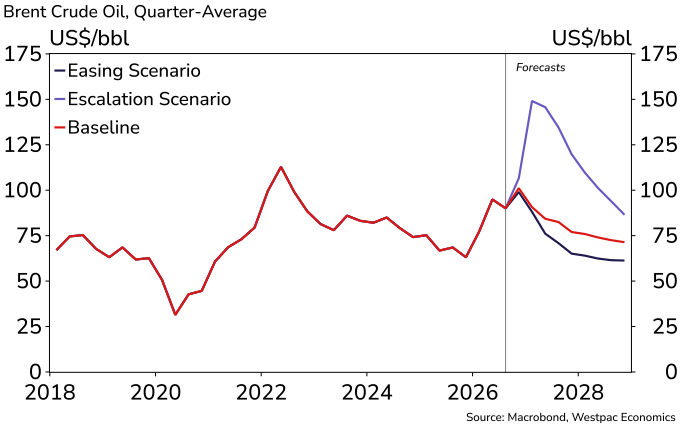
In the early resolution scenario we assume:

A durable agreement: The US and Iran agree terms to reopen the Strait by the end of year, and, unlike the June interim deal, the agreement holds, with progress towards a permanent settlement in early 2027. Attacks on shipping cease and the US blockade is lifted, allowing Iranian oil back into the market, initially from storage. Vessels are quickly repositioned to the Gulf, with freight and war-risk insurance easing from early 2027 rather than mid-year.

A faster recovery in supply: With export routes secure, Gulf production and damaged refinery and export capacity recover sooner than in the baseline. Outside the Gulf, the US extends its waiver on Russian diesel beyond April 2027 and China raises export quotas as domestic stocks are rebuilt.

Demand settles below pre-conflict trend: Some demand destruction and efficiency gains persist, particularly in China. With inventories rebuilding faster, government restocking is smaller and more gradual than in the baseline.

Oil Price Scenarios



Prices fall quickly, but restocking provides a floor: Brent Brent futures ease to around US$88/bbl in Q1 2027 as the premium for prompt physical barrels unwinds. As the market moves into balance, Brent eases to around US$65/bbl by Q4 2027, close to pre-conflict levels.

Refined product prices ease faster on lower freight costs with the Singapore gasoil crack narrowing. Australian diesel and petrol prices fall to around 182 cpl and 170 cpl by Q4 2027. Gas markets also ease, although damage to Qatar's gas facility means export capacity recovers gradually. Japanese LNG falls to around US$11.9/MMBtu by end-2027, $2.1 below our baseline.

Economic impact

In the escalation scenario, higher fuel costs flow through to transport, food and other energy-intensive goods such as plastics and fertilisers. Australian headline CPI remains above 4.5% for much of 2027, with underlying inflation remaining sticky at above 3% until late 2028. The RBA faces a difficult trade off between much higher inflation and a significant hit to activity, as households cut discretionary spending and businesses defer investment. Higher LNG export earnings provide only a moderate offset. In the early resolution scenario, headline inflation is around 0.1ppt below the baseline in 2027.

New Zealand is more exposed in both scenarios, with food and energy a larger share of its CPI and no offsetting energy exports. Headline inflation is around 1ppt higher in the escalation scenario in Q1 2027.

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‘Cost-Plus’ Costs

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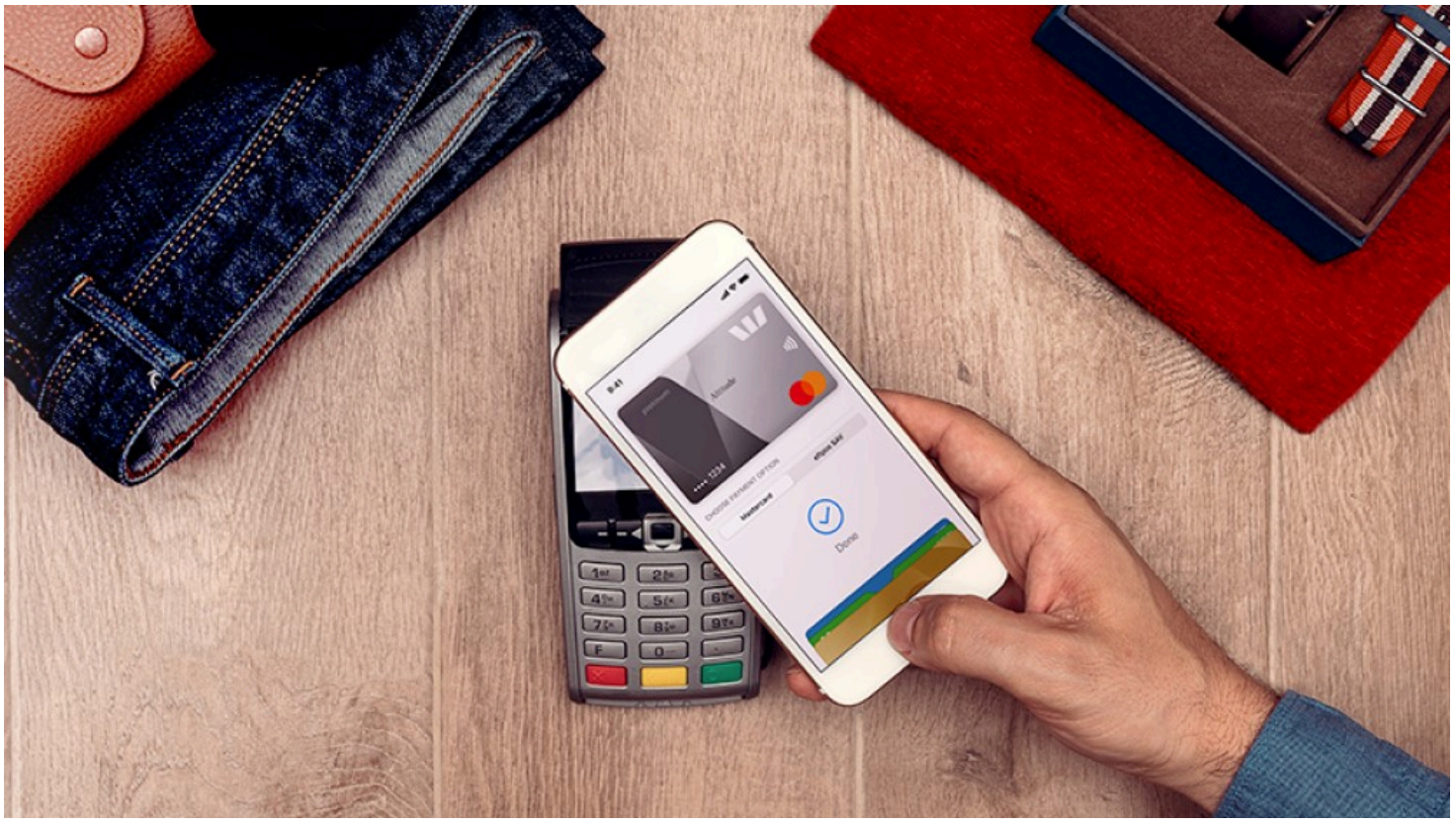
By Luci Ellis
Chief Economist Westpac Group, Westpac

10:40 October 16 2026

Share

Entrenched expectations that cost increases can and should be passed on are precisely what tight monetary policy is leaning against, but only indirectly.



- The recent tendency of some firms to bundle into prices card-acceptance costs that had previously been surcharged – and then some, in some cases – demonstrates a ‘cost-plus’ approach to pricing.

To the extent they can pass on these costs through to prices, it suggests that demand was strong enough to bear it. The RBA will take this as a signal that demand is still outstripping supply.

- This is mostly a story about non-labour costs. Base wages growth has been moderate for some years, though the above-average increase in award wages this year will add a little. Not all firms will seek to pass these cost increases on, but some will, including because they have limited scope to absorb the cost increase into margins.
- A cost-plus mentality has drawbacks, including that it limits the imagination away from finding alternative, efficiency-improving responses. It also accords with recent academic research suggesting that firms form expectations and set prices according to what is happening in their own industry and experience, while putting little weight on economy-wide inflation or central bank credibility. This is an unpleasant message for many consumers or anyone in an interest-sensitive sector when supply shocks abound.

The recent banning of card surcharges has caused considerable upset this month, even though it is a reversion to historical and international practice. The card schemes used to impose “no-surcharge” rules, until the RBA banned these in 2003, and many other countries still have them. The turnaround represents the RBA throwing in the towel on its longstanding effort to use price incentives to get people to choose low-cost payment methods. Surcharges no longer made sense in a largely cashless economy. In any case, least-cost routing puts the power to choose lower-cost methods in the hands of the merchants who actually bear the cost.

In most cases, firms will simply roll the surcharge into the sticker price, leaving the total cost to the consumer unchanged, just more transparent. We also understand that some large retailers have absorbed the cost – if they were surcharging in the first place, which many did not. (The RBA estimated that around 16% of businesses imposed surcharges.) Inevitably, though, some firms have lifted their prices by more than any reasonable estimate of the merchant service fee that the surcharge was meant to cover. And because this is Australia, of course takeaway coffee has been the centre of consumer discontent.

Higher prices for one’s caffeine fix was unlikely to be the main instigator of this month’s slump in consumer sentiment. Petrol prices are typically more salient for cost-of-living concerns, and the before-and-after picture on the RBA announcement that week shows that higher interest rates also contributed to the decline.

In some senses, though, the post-surcharge prices and the RBA’s decisions *are* linked: businesses passing on increased costs into their own prices – and expecting to be able to make that increase stick – is exactly the kind of inflationary environment the RBA is leaning against. Firms have been subjected to an array of non-labour cost escalations, from pandemic-era supply chain issues to electricity to fuel to water to building supplies. And IT equipment prices, which for decades were a reliable source of cost reductions, are nowadays flat to up. Passing these costs on, leaving margins intact, demonstrates that demand is not weak enough to prevent this, and signals that firms’ inflationary expectations might be higher than the RBA desires. The RBA will take this as a sign that demand is still outstripping supply.

This is mostly a story about non-labour costs. While the Fair Work Commission did hand down an above-average increase in award wages this year and this was probably passed through to prices in hospitality and other labour-intensive sectors, base wages growth has been moderate for some years. Business surveys point to non-labour cost escalation being the real issue lately. This is why we were puzzled by the passage in the RBA minutes this week suggesting that cost pressures reported in business surveys might imply that the unemployment rate consistent with inflation at target (the NAIRU) has risen. It is a convenient belief, though, if unemployment is starting to overshoot your forecasts, as the latest labour market data have done compared with the RBA's August forecasts.

Not all firms can pass on cost increases. Most small firms do not have the market power, though coffee may be an exception because convenience induces a kind of local market power. And as noted above, large firms with everyday-low-price strategies will instead try to find savings elsewhere in the supply chain.

Still, some firms will seek to pass these cost increases on. Some observers might see this as corporate greed, but another way to frame this strategy is simply as a 'cost-plus' mentality. It turns out that cost-plus pricing is especially common in areas where regulators determine the price – water and other utilities being examples where costs and prices have escalated a lot in recent years.

There are limits to firms' ability to absorb costs, too. The failures of so many building firms a few years ago, squeezed between post-pandemic cost escalation, delivery delays and fixed-price contracts, were a case in point. Normally, there is a contractual response, and it need not end in insolvency. The episode does illustrate, however, that it is unrealistic to expect firms never to pass cost increases through to prices.

The cost-plus mentality does have its drawbacks. It limits the imagination away from finding responses that might save costs elsewhere to absorb the cost hike, and in so doing, boost efficiency. It was equally limiting in times of soft demand: in the years before the pandemic, many firms professed a belief that, because they couldn't get price increases to stick, they could not possibly accept cost increases, including in wages. Thus, Australia ended up with wages growth too low to be consistent with inflation at target, and the peculiar spectacle of a central bank governor complaining that wages growth was too low. And if labour remains cheap, why invest to economise on it and thereby boost productivity?

A cost-plus mentality also amplifies the pass-through of supply shocks. This is not quite the same thing as the 'inflation expectations' seen in standard economic models of inflation, but it is related. The stronger the tendency towards cost-plus pricing, the worse the inflation response to a supply shock. This is also true when inflation expectations are high, but the distinction matters. The recent academic literature includes some fascinating empirical evidence from New Zealand that suggests that beliefs about current and future overall inflation have little bearing on many firms' pricing decisions. As related work using French data shows, firms' pricing choices are shaped less by economy-wide inflation developments than by what is happening to *their* costs and in their industry.

That adds up to economy-wide behaviour that looks a lot like firms (in aggregate) setting prices according to expected inflation (in aggregate), but under the hood something quite different is going on. If firms' beliefs about future economy-wide inflation do not matter much in their pricing decisions, then neither does the credibility of a central bank's commitment to return inflation to target. The mechanism to get inflation down then must be simply to weaken demand enough to convince firms that cost-plus will not fly in the market. This is an unpleasant message for many consumers or anyone in an interest-sensitive sector when supply shocks abound. It does, however, imply that if supply shocks fade or even self-correct, so will high inflation. If and when that happens, tight monetary policy can be unwound.

The deeper question is whether cost-plus price dynamics can be reduced. That is more likely to be a question for regulators than for central banks.

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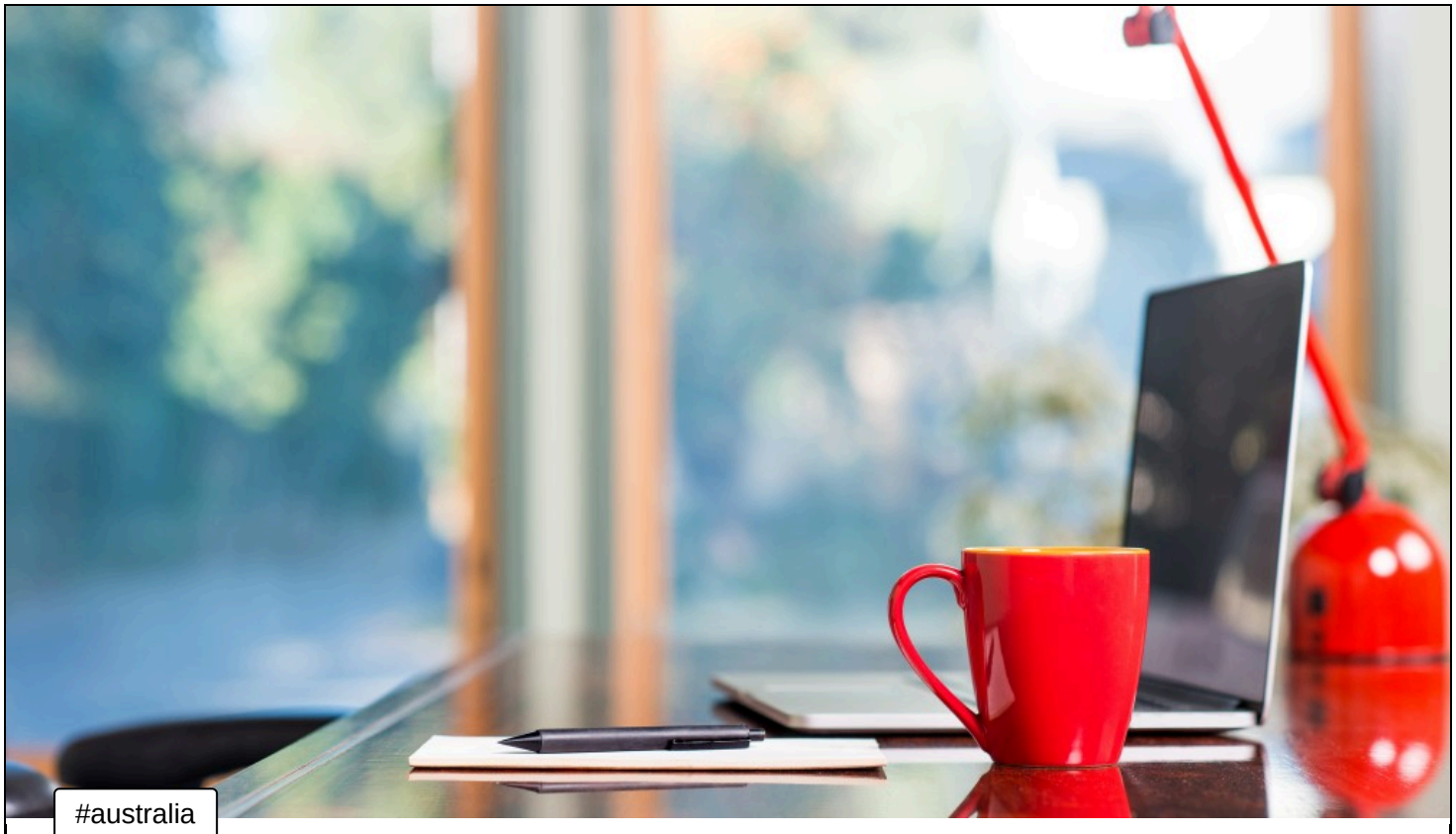

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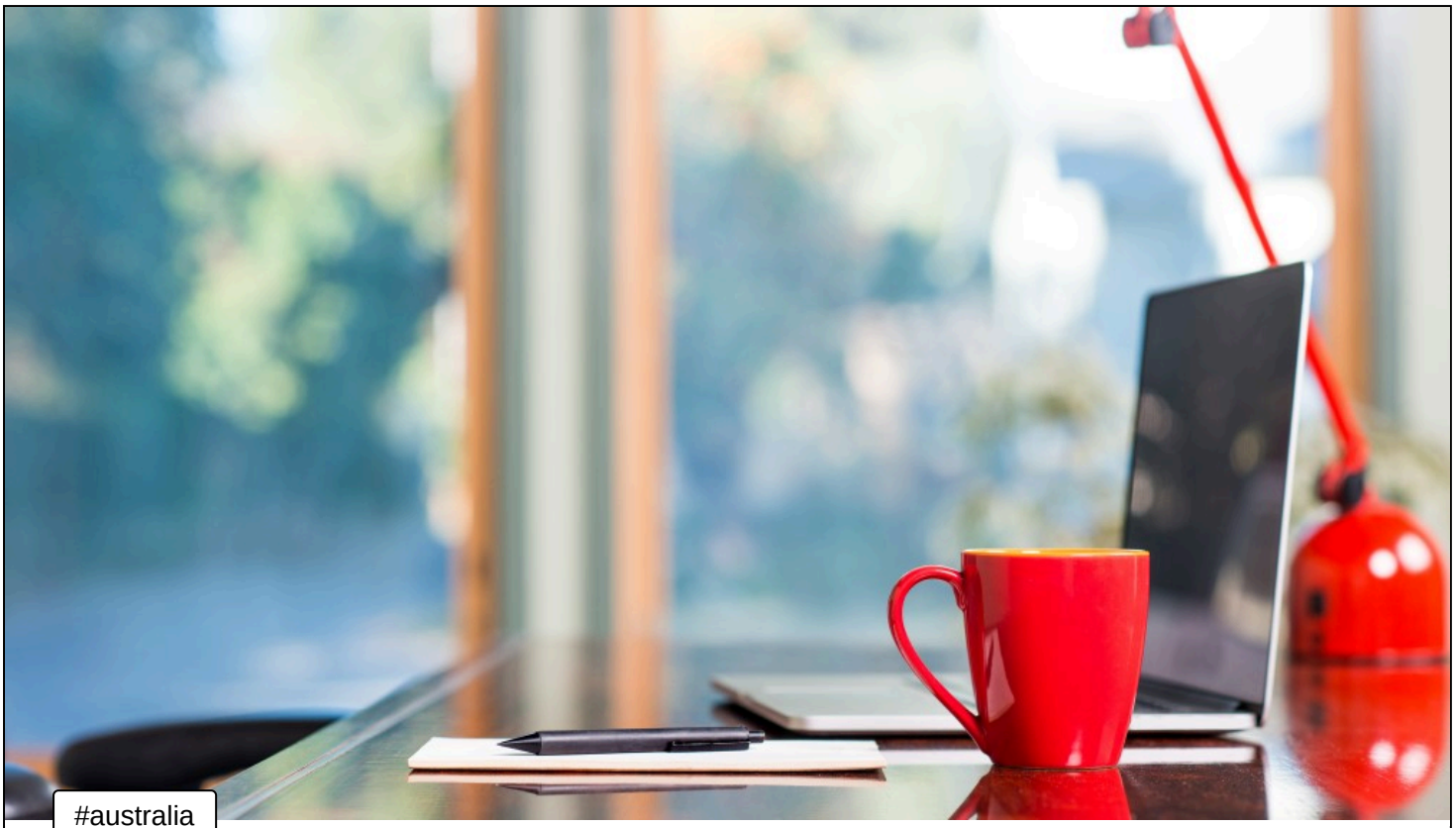

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14 October 2026

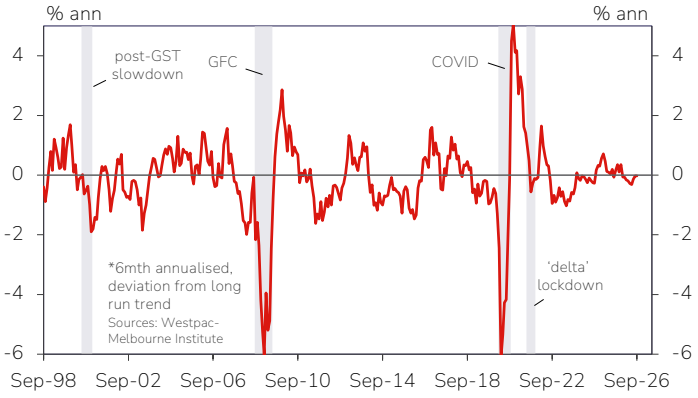
WESTPAC-MI LEADING INDEX BULLETIN

Latest insights into economic momentum

Key points

- Index growth rate holds at –0.03% in September, unchanged from August.
- Momentum is a touch below trend heading into late 2026/early 2027.
- Mixed detail suggests the economy lacking a clear direction.

Westpac-MI Leading Index



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Leading Index still tracking a touch below trend

Matthew Hassan
Head of Australian Macro-Forecasting

The six-month annualised growth rate in the Westpac–Melbourne Institute Leading Index, which indicates the likely pace of economic activity relative to trend three to nine months into the future, held at –0.03% in September, unchanged from August.

The Leading Index continues to show moderately improved momentum compared to the middle of the year, with the latest reads pointing to growth holding at or slightly below trend heading into late 2026/early 2027. Growth appears to be stabilising at a slow pace rather than stalling. That said, both the latest fuel prices and the RBA's September interest rate increase are still working their way through to the economy with impacts likely to take some of the gloss off growth near term. Overall, Westpac expects annual growth to come in at 1.5% for calendar 2026, a below-trend result.

The Leading Index growth rate has firmed slightly over the last six months, rising from –0.16% back in March to –0.03% in September. The component detail shows mixed moves over the period. Four components have contributed more positively with reduced drags from the Westpac-Melbourne Institute Unemployment Expectations Index (adding +0.23ppts to the Index growth rate); the Westpac-Melbourne Institute Consumer Expectations Index (adding another +0.15ppts); and the S&P/ASX200 (+0.15ppts) combining with a modest lift in growth in US industrial production (adding +0.12ppts). These positives have been partially offset by modest drags from four previously stable components: dwelling approvals (–0.34ppts); monthly hours worked (–0.08ppts); commodity prices, measured in AUD terms (–0.07ppts) and the yield spread (–0.05ppts).

Overall, the component mix speaks to a lack of direction. Indeed, despite some large shocks over the last year, the Leading Index growth rate has been relatively contained since early 2025, holding in a narrow –0.3% to +0.5% range. This compares to history which, outside of the COVID and GFC shocks, has seen growth rates move between a much wider –1.9% to +1.6% range. Of course, the apparent stability, which is evident across all components of the index, may not last but for now it suggests the economy has been stuck in a bit of a holding pattern over the last two years.

The Westpac-Melbourne Institute Leading Index of Economic Activity is designed to assist in identifying turning points in the economy. The index combines variables that reflect different aspects of the economy into a single index that generally produces a more reliable cyclical indicator than any single component taken individually. The Leading Index of Economic Activity provides advance information on the state of the economy and gives early warnings of cyclical turning points.

***Please note that this will be the last Westpac press release for the monthly Westpac-Melbourne Institute Leading Index. We will continue to publish regular bulletin updates through our westpaciq.com.au website.*

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Australian Business Conditions and Confidence, September

#businessconditions #confidence #aud #australia

By Luka Belobrajdic
Economist, Westpac

14:15 October 13 2026

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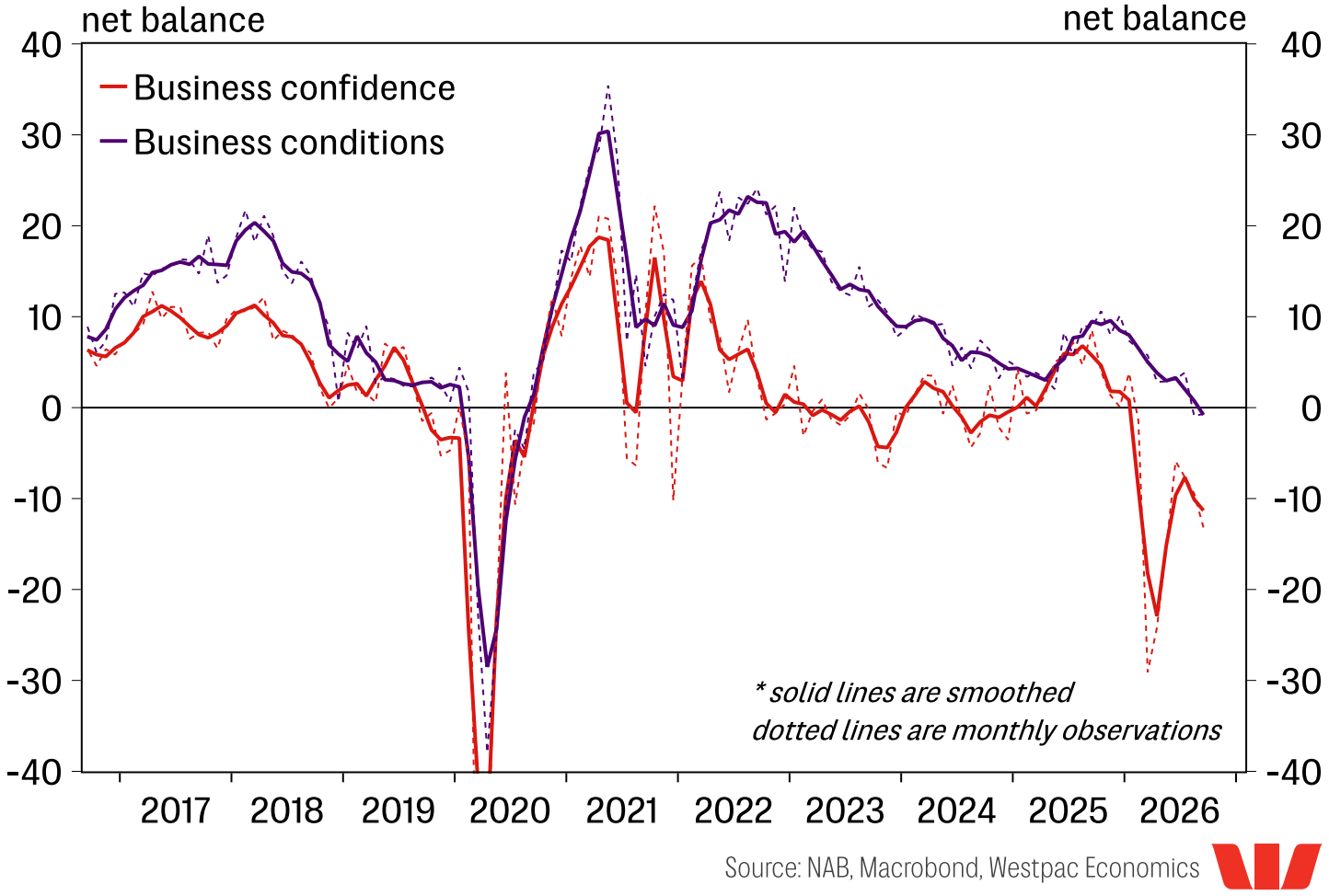
Confidence posts its sharpest fall since the start of the Middle East conflict as elevated fuel prices and higher interest rates weigh on business sentiment, while conditions hold steady at weak levels. Conditions unchanged at -1 / Confidence -4pts to -13.

The September NAB Business Survey was in the field from 23 to 30 September, capturing ongoing global uncertainty, still-rising fuel costs and, at least in part, the RBA's September rate hike. Business confidence continued to deteriorate, recording its sharpest fall since March and the onset of the Middle East conflict. The index declined 4pts to -13 and, while remaining above the lows recorded earlier this year, is now at its weakest level since May. At 18pts below its long-run average, the result underscores the deep pessimism that continues to weigh on businesses. This broadly mirrors the pessimism evident in the Westpac-Melbourne Institute Consumer Sentiment Index, where elevated fuel prices and higher interest rates have coalesced in a similarly weak assessment of the outlook.

The headline business conditions index held steady in negative territory at -1, albeit rising 0.25pts on an unrounded basis. While encouraging that conditions have not deteriorated further, the index has now remained at -1 (rounded) for two consecutive months, its weakest level since the height of the COVID-19 pandemic in 2020. At 7pts below its long-run average, the result points to continued pressure across the business sector.

Business conditions and confidence



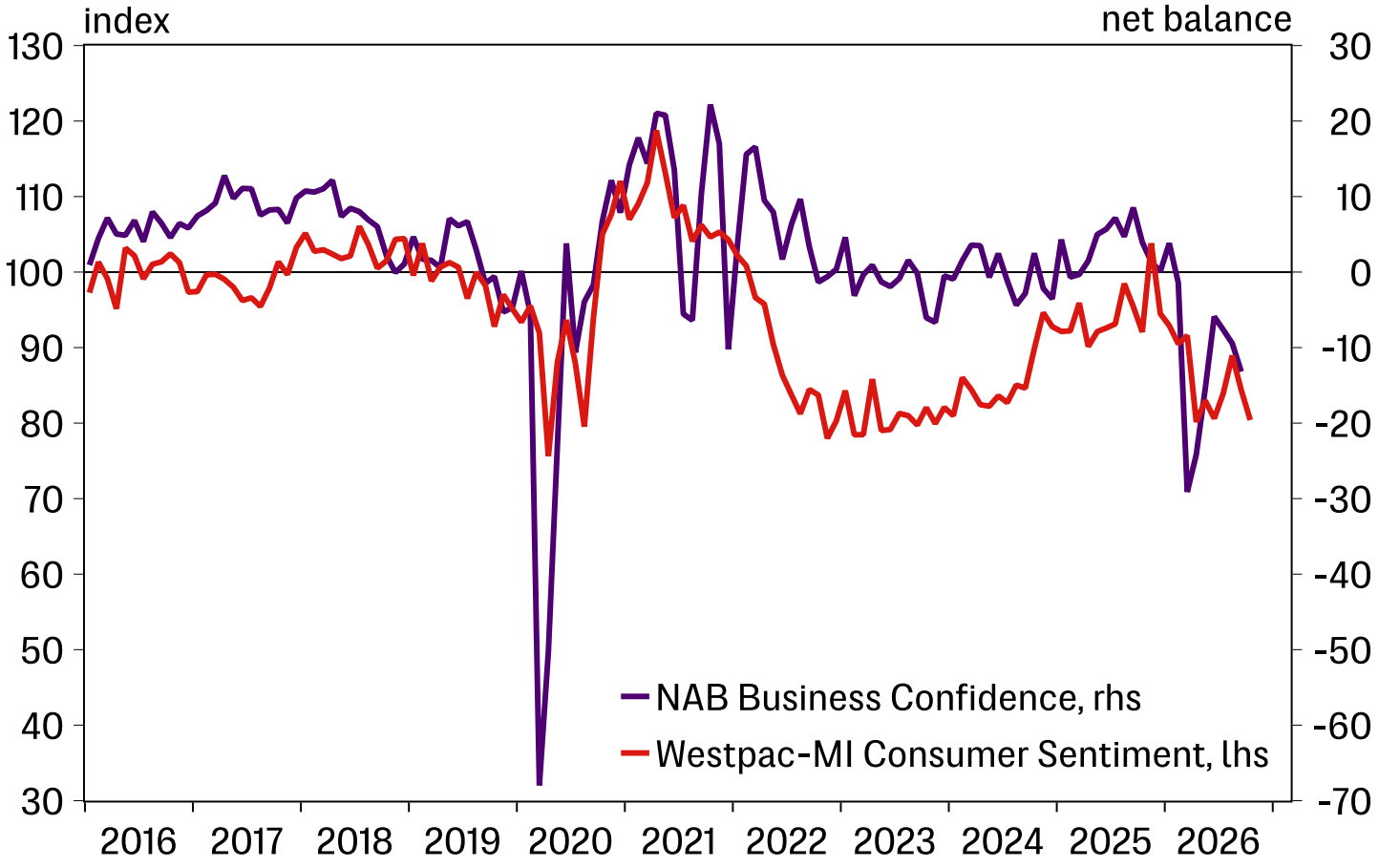
Source: NAB, Macrobond, Westpac Economics

Across the major sub-components, employment moved into negative territory, falling 3pts to -1 and sitting 4pts below its long-run average. This marks the first outright negative reading since November 2020 and provides further evidence of the gradual easing in labour market conditions. Against the backdrop of compressed margins, the result may also indicate firms are becoming increasingly cautious around hiring decisions. By contrast, trading conditions rose 1pt to 4, although they remain 8pts below their long-run average. The relative resilience in trading conditions is broadly consistent with

Westpac DataX Card-Tracker data, which suggests nominal spending remained resilient, albeit slowing, through the September quarter despite ongoing headwinds facing consumers. Profitability recorded the strongest improvement across the major components, rising 3pts to -5, although the sub-index remains deeply subdued at 10pts below its long-run average.

Capacity utilisation edged 0.2ppt lower to 82.3%. While the monthly decline provides a tentative signal of easing capacity pressures, utilisation remains 0.9ppt above its long-run average and continues to trend higher on a three-month average basis. Capital expenditure continued to recover from its mid-year weakness, rising 3pts to 7. While still below the highs recorded in the first quarter, the sub-index is now trending higher on a three-month average basis, pointing to some stabilisation in investment intentions.

Consumer vs Business Confidence

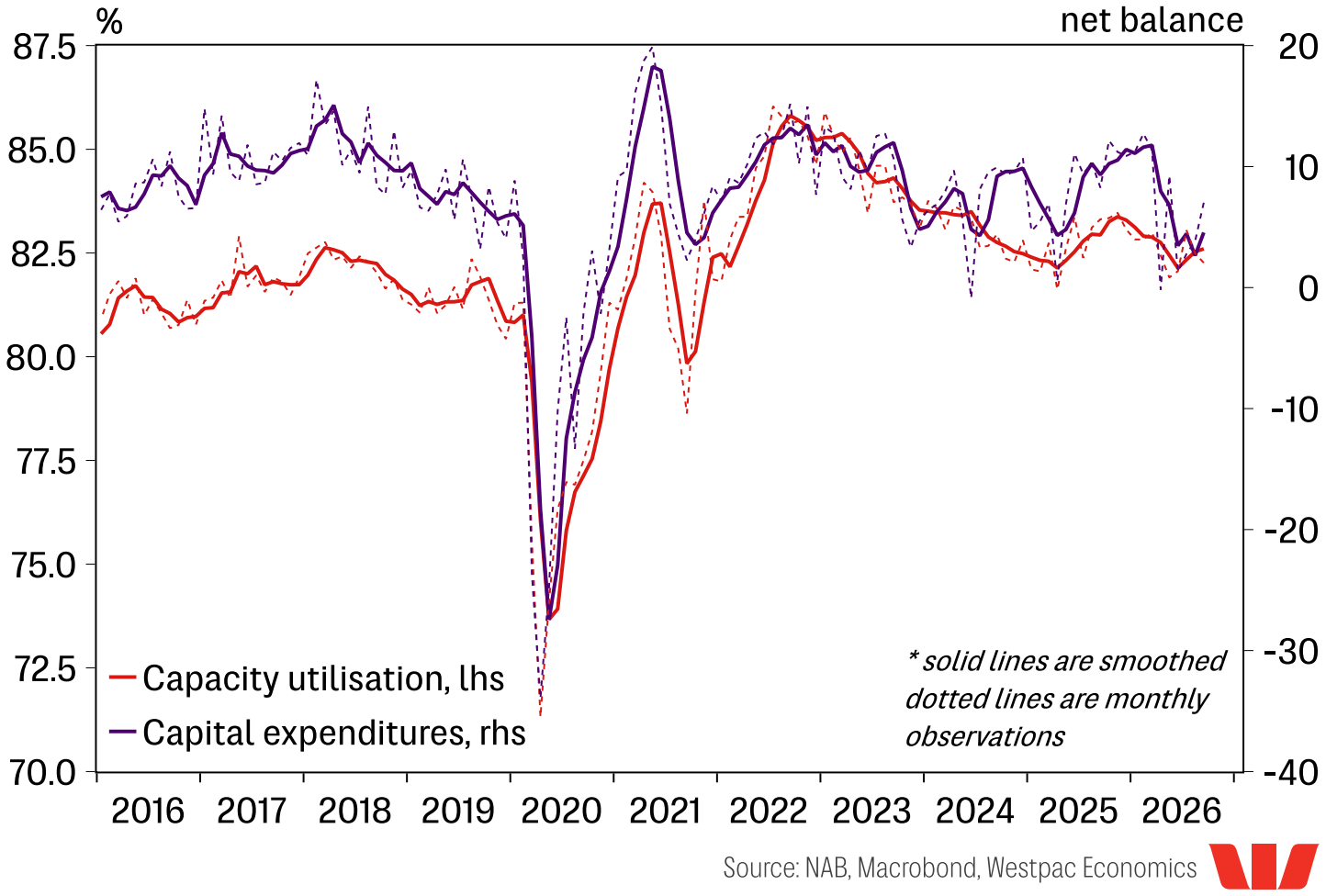


Source: NAB, Melbourne Institute of Applied Economic & Social Research, Macrobond, Westpac Economics

Cost growth was comparatively subdued in September, although purchase cost pressures remain elevated. Purchase cost growth edged 0.1ppt higher to 2.4%qtr, sitting 1.1ppt above its long-run average and continuing to weigh on margins. By contrast, labour cost growth eased 0.1ppt to 1.7%qtr, although it remains 0.5ppt above its long-run average. Final product price growth was unchanged at 0.8%qtr, 0.2ppt above its long-run average. The widening gap between purchase cost and final product price growth suggests firms continue to absorb a meaningful share of higher input costs, consistent with profitability remaining deeply below average. Looking ahead, the October survey will provide an early indication of how the card surcharging ban is affecting business costs and the extent to which these are passed through to final prices.

Among other indicators, forward orders declined 1pt to -1, pointing to continued caution around the demand outlook. Inventories, by contrast, rose 4pts (rounded) to 7, some 5pts above their long-run average. In combination with weak forward orders, the inventory build points to a degree of slack emerging across the business sector.

Capacity utilisation and capital expenditures



Source: NAB, Macrobond, Westpac Economics

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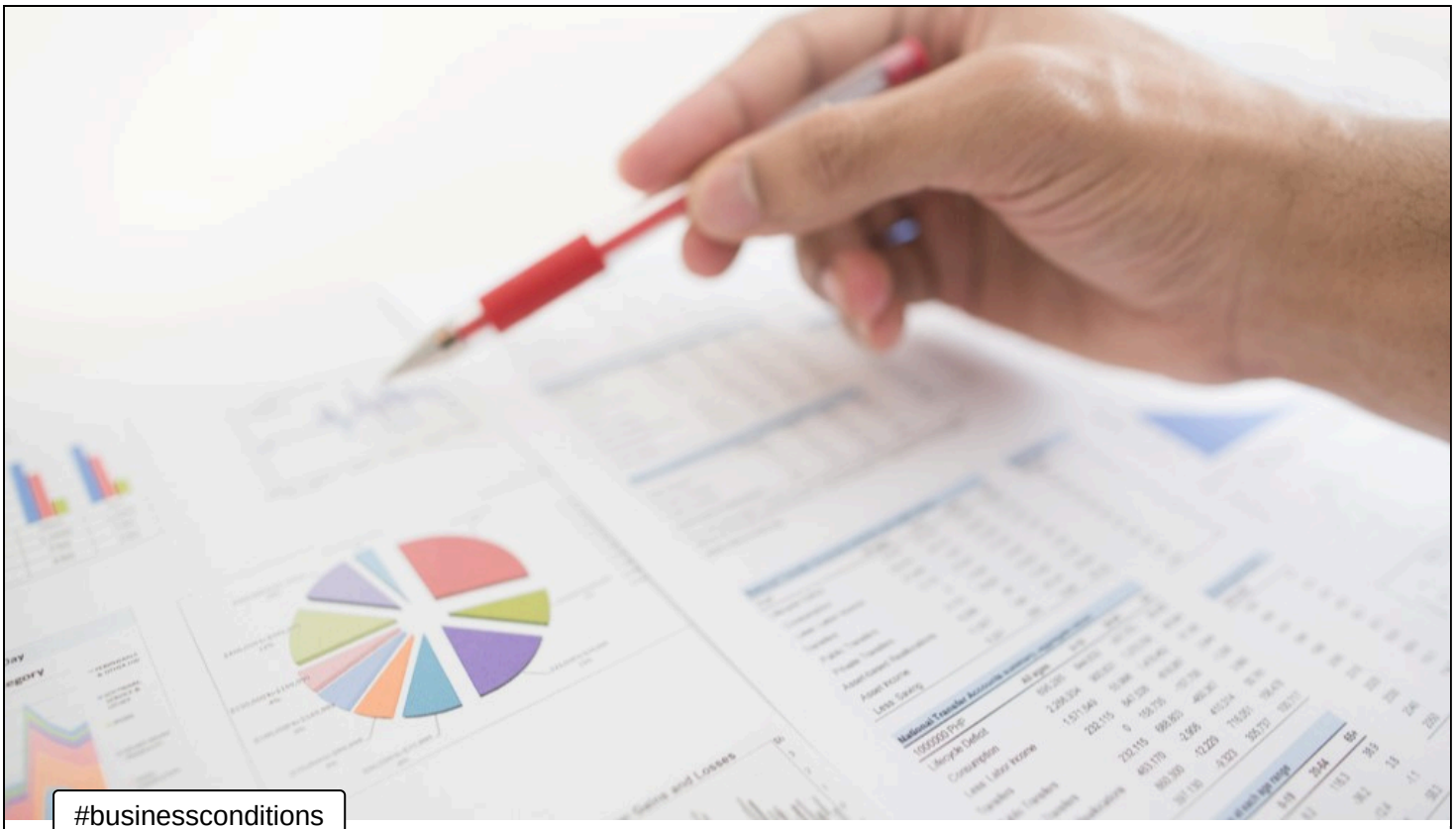

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21 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Global equities were mixed, with solid earnings supporting US markets while ongoing concerns around the AI trade and elevated oil and borrowing costs weighed more heavily elsewhere.

The US Treasury yield curve flattened, with moves lower at the long end also observed across European bond markets.

The US dollar eased, with the AUD regaining its 70 handle and the sterling outperforming following a more resilient unemployment reading.

Oil prices fell on unconfirmed reports of renewed peace negotiations, before largely retracing the move after the reports were denied. Brent finished little changed overall, while WTI held onto more of its losses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7001	0.3%
AUD/JPY	110.81	0.1%
AUD/GBP	0.5233	-0.2%
AUD/NZD	1.2323	0.0%
AUD/EUR	0.6231	0.1%
AUD/CNH	4.6731	0.2%
AUD/SGD	0.8946	0.2%
AUD/HKD	5.4949	0.3%
AUD/CAD	0.9841	-0.1%
EUR/USD	1.1234	0.2%
USD/JPY	158.27	-0.1%
USD Index	101.72	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.64	0.01
90 day BBSY	4.84	0.02
180 day BBSY	5.22	0.03
1 year swap	4.88	-0.01
2 year swap	4.85	-0.02
3 year swap	4.85	-0.03
4 year swap	4.88	-0.03
5 year swap	4.91	-0.03
6 year swap	4.96	-0.04
7 year swap	5.02	-0.04
8 year swap	5.07	-0.04
9 year swap	5.11	-0.04
10 year swap	5.16	-0.04

Equities	Close	Change
S&P/ASX 200	8,817	-0.3%
S&P 500	7,711	0.3%
Japan Nikkei	64,075	-1.3%
Hang Seng	23,868	-1.3%
Euro Stoxx 50	6,122	-0.4%
UK FTSE100	10,733	-0.3%
VIX Index	17.5	-5.1%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.25	0.02
United States		
3-month T Bill	4.06	-0.03
2 year bond	4.78	0.01
10 year bond	5.11	-0.03
Other (10 year yields)		
Germany	3.40	-0.06
Japan	2.90	-0.01
UK	5.41	-0.02

Commodities	Current	Change
CRB Index	416.94	-0.4%
Gold	4120.28	-0.5%
Copper	14420	0.6%
Oil (WTI futures)	101.79	-1.8%
Coal (coking)	267.00	0.2%
Coal (thermal)	153.55	-1.6%
Iron Ore	91.40	-0.4%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.26	-0.02
3 yr bond	4.85	-0.01
3 mth bill rate	4.77	0.00
SPI 200	8,863	0.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were generally subdued on Tuesday. US equities bucked the broader sell-off, supported by solid earnings despite renewed concerns around the AI trade. Oil prices softened and long-dated Treasury yields edged lower following unconfirmed reports that Qatar and Pakistan had proposed a framework to revive negotiations, although the reports were later denied and much of the initial market reaction unwound.

- US equities proved resilient, with strong earnings and a modest decline in oil prices offsetting broader market weakness. The S&P 500 gained 0.3%, while the Dow Jones outperformed, rising 1.0%, and the NASDAQ was unchanged. Other regions fared less well, with the Euro Stoxx 50 down 0.4% and the FTSE 100 falling 0.3%.
- The previous day's tech-led rebound in the US failed to carry over to Asian markets, with the region experiencing a broad sell-off. Elevated oil prices and borrowing costs continued to weigh on sentiment, compounded by renewed AI concerns ahead of key earnings releases in the US. The KOSPI led declines, falling 3.7%, while the Nikkei 225 and Hang Seng both lost 1.3%. Locally, the ASX 200 followed the regional trend, declining 0.3% after paring deeper losses during afternoon trade.
- The US Treasury yield curve flattened, with the 2-year yield rising 1bp and the 10-year yield falling 3bps, with softer oil prices contributing to the move lower at the long end. Futures markets assign just a 17% probability to an October hike, while a December move remains fully priced, taking the implied year-end fed funds rate to 4.14%. Long-dated European bond yields also moved lower as oil prices eased, with the 10-year gilt yield down 2bps and the 10-year Bund yield falling 6bps.
- Australian government bond yields were little changed, with the 3-year yield rising 1bp and the 10-year yield gaining 2bps. Swap markets remain unconvinced of additional RBA tightening in 2026, with the probability of a November rate hike priced at around one in four, taking the implied year-end cash rate to 4.73%.
- The US dollar eased, with the DXY down 0.3%. The AUD regained its 70 handle against the greenback, rising 0.3% to 0.7001. Other major currencies also gained against the USD, with the yen up 0.1% and the euro rising 0.2%, while sterling outperformed, gaining 0.6% following a more resilient unemployment reading.
- Brent was little changed overall as steep earlier losses on unconfirmed reports of renewed peace negotiations were largely unwound later in the session. Brent ended 0.4% lower at US$109/bbl, while WTI maintained more of its earlier decline, falling 1.8% to US$102/bbl. The premium for prompt barrels continued to ease from recent highs, with Dated Brent trading at US$118/bbl. Gold declined 0.5%, while copper gained 0.6%, aluminium fell 0.5% and iron ore declined 0.4%.

Today's key data and events

Time	Event	Exp	Prev
17:00	GB CPI Sep	0.3%	0.5%
17:00	GB Public Sector Borrowing Sep	£24b	£18.3b

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US housing starts declined 5.2% in September after a downwardly revised 5.9% fall in August (prev -2.6%), returning near its 5-year low. **Building permits** edged 0.2% lower in September after a 2.1% loss in August. In the established home market, **pending home sales** dropped 7.3% in September to be 12.6% lower over the year. Serviceability and cost-of-living continue to weigh heavily on the housing market.

The **Euro Area ZEW survey of expectations** fell from 25.8 to 18.5 in October under the weight of high oil prices and increased uncertainty over the near-term economic outlook. Still, the current level is above the average of the past 5 years, and only modestly below the full history average of 21.4.

The **UK ILO unemployment rate** edged down from 4.9% to 4.7% in the 3 months to August as employment growth strengthened from 66k to 102k on a 3 month average basis.

Local Data

We published our **October Commodities Update**, covering recent market developments and forecasts across the broader commodities complex (see here).

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19 December 2025

NOVEMBER CPI PREVIEW AND ANALYSIS

Complete Montly CPI will take some time to understand

Key points

- The October monthly CPI was flat in the month, broadly as we expected but stronger than market expectations. For more information see "Electrical noise is far from static".
- The impact on our inflation profile was marginal. The December quarter CPI remains 0.6%qtr/3.6%yr, while the Trimmed Mean edged up from 0.7%qtr/3.1%yr to 0.8%qtr/3.2%yr.
- Our November monthly CPI estimate is 0.4% for the month, leaving the annual pace unchanged at 3.8%yr.
- The introduction of the complete monthly CPI is a significant enhancement to our analysis of price formation in the Australian economy. However, with many series having only a short history, it will take time to fully understand some of the finer details.
- For now, we will continue to place greater emphasis on the quarterly measures of core inflation.

Breakdown: Dec Quarter CPI & Monthly CPI

	Dec	Sep	Oct	Nov
	Qtr fcs	Mth	Mth	Mth fcs
Item	% qtr	% mth	% mth	% mth
Food	**0.2**	**–0.3**	**0.2**	**0.2**
of which, bread & cereals	0.2	–0.3	0.1	0.2
of which, meat & seafood	2.2	0.4	1.0	0.6
of which, dairy & related prod.	1.1	0.7	–0.5	0.7
of which, fruit & vegetables	–3.8	–4.0	0.5	–0.2
of which, food products nec	0.7	0.6	–0.5	0.3
of which, non–alcohol bev.	–1.0	–0.8	–0.4	0.2
Alcohol & tobacco	**1.3**	**1.2**	**0.0**	**0.7**
of which, alcohol	–0.4	–0.4	–0.4	0.9
of which, tobacco	4.6	5.2	1.0	0.1
Clothing & footwear	**0.6**	**–0.6**	**2.2**	**–2.9**
of which, garments	0.1	–3.0	2.6	–1.6
Housing	**0.8**	**0.8**	**–0.8**	**2.2**
of which, rents	0.7	0.2	0.2	0.3
of which, house purchases	1.4	0.7	0.4	0.4
of which, electricity	–0.9	–0.4	–10.2	16.0
of which, gas & other fuels	–0.6	2.3	–3.7	3.2
H/hold contents & services	**0.2**	**2.1**	**2.0**	**–0.2**
Health	**–0.2**	**0.0**	**0.0**	**0.0**
Transportation	**1.0**	**0.1**	**0.3**	**0.6**
of which, auto fuel	1.7	0.5	–0.9	2.3
Communication	**–0.1**	**–0.2**	**–0.2**	**–0.1**
Recreation	**1.0**	**2.2**	**–0.2**	**–1.1**
of which, holiday travel	1.5	4.8	–1.0	–2.6
Education	**0.1**	**0.0**	**0.0**	**0.0**
Financial & insurance services	**0.3**	**0.3**	**0.2**	**0.0**
CPI: All groups	***0.6***	***0.5***	***0.0***	***0.4***

Sources: ABS, Westpac Banking Corporation

"... monthly volatility in some of the series is quite baffling ..."

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We will continue to focus on the quarterly prints

Justin Smirk
Senior Economist

No surprise in the October CPI

The new complete monthly CPI gained 3.8% in the year to October, coming in a touch softer than Westpac's estimate of 3.9%yr but a bit stronger than the market estimate of 3.6%yr. So while the market and other commentators may have been surprised by the result it was broadly within our expectations and as such has had just a marginal impact on our inflation profile.

The October CPI was flat in the month, a touch softer than Westpac's published near-cast of 0.1% on the back of a larger than expected decline in electricity (–10.2%) which was only partially offset by a smaller than expected decline in auto fuel (–0.9%) and an unexpected bump up in garments (+2.6%).

The Trimmed Mean (TM) lifted 0.3% in the month of October, the same monthly increase it has seen for the previous two months and down from the 0.5%mth increase in July but stronger than the 0.2%mth prints from March to June.

This saw the annual pace of the TM increase to 3.3% from 3.2% in September. This month the TM excluded the annual rise in electricity; alongside other large price rises and falls. Due to the short history of many series in the monthly CPI, the annual pace of monthly TM inflation can only be calculated back to April 2025. Before then the ABS notes that the annual pace is calculated from the quarterly CPI data.

For more information on the October monthly CPI see "Electrical noise is far from static".

Monthly CPI points to some momentum

Following the October CPI we have seen some minor revisions to the various components in our December quarter CPI estimate with the upward revisions, such as transport via auto fuel and motor vehicles, being offset by downward revisions to recreation, alcohol & tobacco and utilities in particular. This has left our December CPI estimate unchanged at 0.6%qtr.

As our Chief Economist, Luci Ellis, has noted that inflation did see a bump in the September quarter and again in the month of October. However, the main sources of the surprise have had little to do with domestic demand or labour market pressures. Rather, a sizeable part of the bump looks to have been from administered prices and noise. Since the release of the data, the RBA has recognised this issue but at the post RBA Board Decision Media Conference in December, the Governor communicated that the Bank is more worried about upside risks to inflation than first thought.

We agree that some of this momentum will continue into the December quarter as highlighted by our upward revision in our

Revision to the December quarter CPI estimate

	Nov 2, 2025		Dec 12, 2025	
Item	**% qtr**	**contrib**	**% qtr**	**contrib**
Food	**0.4**	**0.07**	**0.2**	**0.04**
of which, Fruit & vegetables	–2.8	–0.06	–3.8	–0.08
Alcohol & tobacco	**1.9**	**0.13**	**1.3**	**0.09**
of which, Tobacco	5.0	0.10	4.6	0.09
Clothing & footwear	**–0.3**	**–0.01**	**0.6**	**0.02**
Housing	**1.0**	**0.22**	**0.8**	**0.18**
of which, Rents	0.4	0.03	0.7	0.05
of which, House purchases	1.3	0.10	1.4	0.11
of which, Utilities	2.0	0.09	0.2	0.01
H/hold contents & services	**0.2**	**0.02**	**0.2**	**0.02**
Health	**–0.2**	**–0.01**	**–0.2**	**–0.02**
of which, Pharmaceuticals	–1.6	–0.02	–1.4	–0.01
Transportation	**–1.3**	**–0.15**	**1.0**	**0.11**
of which, Car prices	–0.2	–0.01	0.1	0.00
of which, Auto fuel	–4.0	–0.13	1.7	0.06
Communication	**0.3**	**0.01**	**–0.1**	**0.00**
Recreation	**1.8**	**0.22**	**1.0**	**0.12**
of which, Audio visual & comp.	–1.4	–0.03	–0.4	–0.01
of which, Holiday travel	4.6	0.28	1.5	0.10
Education	**0.0**	**0.00**	**0.1**	**0.00**
Financial & insurance services	**0.4**	**0.02**	**0.3**	**0.02**
CPI: All groups	**0.6**	**–**	**0.6**	**–**
CPI: All groups % year	**3.6**	**–**	**3.6**	**–**

Sources: ABS, Westpac Banking Corporation

Westpac inflation profile

		Dec–25	Mar–26	Jun–26	Sep–26
CPI	Index	144.4	145.5	146.5	147.5
	(%qtr)	0.6	0.8	0.7	0.7
	(%yr)	3.6	3.4	3.4	2.7
Trimmed mean	(%qtr)	0.8	0.6	0.6	0.6
	(%yr)	3.2	3.1	3.0	2.6
	(6mth ann'd)	3.7	2.7	2.4	2.4

Source: ABS, Westpac Economics.

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December quarter TM estimate to 0.8%qtr/3.2%yr from our earlier estimate of 0.7%qtr/3.1%yr.

For the December quarter, price changes that are included in the TM go from a low of –0.26% to a high of 1.66%. Readers will remember that the TM is calculated from seasonally adjusted price changes and not the original estimates so if unaffected by regular seasonal price shifts. We estimate that the most significant components to be trimmed off the top in the quarter are: electricity (2.7%); other services for motor vehicles (2.5%); tobacco (2.1%); and automotive fuel (1.7%). Trimmed off the bottom are: other non-durable household products (–0.39%); garments for women (–0.92%); international holiday travel (–0.97%); vegetables (–1.16%) and wine (–1.27%).

However, we do not expect this momentum to continue through 2026. As Luci noted in her article "RBA on hold in 2026, risks on both sides" we expect inflation to keep easing, due to the lagged impact of past restrictive policy and the unwind of earlier government support measures. We believe that many commentators have overlooked these lags. Monetary policy typically takes a year or more to fully affect jobs and prices, so current outcomes reflect the peak cash rate from a year ago and we expect to see further labour market softening. Strong hiring across the care economy has masked some of that restrictiveness, as has public infrastructure spending, but these supports are now fading along with last year's tax-cut boost. We believe that even with the 75bps in rate cuts this year, policy remains mildly restrictive, and given usual lags, this will keep showing in the data through 2026.

Taking a look at some of the recent larger moves in monthly prices can highlight many of the issues Luci raises. Taking the seasonally adjusted data, smoothing it with a three month average then calculating the change over three months (so we have three months on three months percentage change) we find at the top end of the list some price increases you would not expect to continue at the same pace.

For example at the top are: lamb & goat (8.1%, highly seasonal); accessories (8.1% with jewellery prices surging on the back of record high gold prices); audio visual & computing services (6.0% due to Netflix subscriptions); beef & veal (3.7%, highly seasonal); coffee & tea (3.6% noting global coffee prices have passed their peak and are already significantly lower); water & sewerage (2.3% IPART decision was for a 13.8% increase for Sydney Water in October); property rates & charges (2.3% administered prices); and electricity (1.2%, reflecting unwinding of cost of living rebates). Offsetting some of these increases was falling prices for: men's footwear (–2.0%); vegetables (–2.0% seasonal); eggs (–1.5%, reflecting the unwinding of the price spike associated with an outbreak of bird flu); and major household appliances (–1.2%).

Core inflation still to moderate through 2026

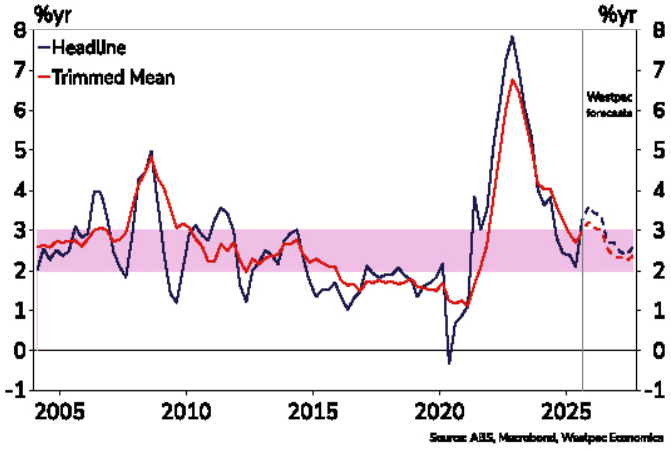
We are projecting headline inflation to get back to the RBA's target band, but not until later in 2026. We now see core inflation back below the midpoint of the 2–3% range at the end of the year. We had thought this might be achieved by the third quarter but now expect current momentum to continue

Breakdown: Monthly CPI Annual Pace

	Aug	Sep	Oct	Nov fcs
	Mth	Mth	Mth	Mth
Item	**% yr**	**% yr**	**% yr**	**% yr**
Food	**3.0**	**3.2**	**3.2**	**3.1**
of which, bread & cereals	2.1	1.9	0.7	0.6
of which, meat & seafood	2.9	3.4	3.8	4.2
of which, dairy & related prod.	1.3	2.6	3.0	2.8
of which, fruit & vegetables	1.2	0.7	1.8	0.0
of which, food products nec	4.1	4.3	3.8	0.0
of which, non–alcohol bev.	4.9	5.4	4.8	4.7
Alcohol & tobacco	**6.0**	**5.5**	**4.4**	**4.9**
of which, alcohol	3.1	2.2	1.6	2.1
of which, tobacco	12.6	13.5	11.6	11.6
Clothing & footwear	**4.3**	**3.8**	**5.4**	**5.4**
of which, garments	3.1	1.4	3.6	3.0
Housing	**4.5**	**5.7**	**5.9**	**6.3**
of which, rents	3.7	3.8	4.2	3.9
of which, house purchases	0.7	1.5	1.7	2.7
of which, electricity	24.6	33.9	37.1	30.1
of which, gas & other fuels	4.1	6.5	3.8	3.8
H/hold contents & services	**1.7**	**1.8**	**2.1**	**2.1**
Health	**4.1**	**4.2**	**4.0**	**4.2**
Transportation	**0.9**	**2.3**	**2.7**	**3.0**
of which, auto fuel	–1.7	2.8	1.9	3.4
Communication	**1.8**	**1.6**	**0.8**	**0.7**
Recreation	**1.4**	**1.8**	**3.2**	**2.0**
of which, holiday travel	1.1	2.0	3.0	1.6
Education	**5.4**	**5.4**	**5.4**	**5.4**
Financial & insurance services	**2.9**	**2.5**	**2.5**	**2.5**
CPI: All groups	***3.2***	***3.6***	***3.8***	***3.8***

Sources: ABS, Westpac Banking Corporation

Trimmed Mean to lower half of the RBA's target



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for a bit longer. However, it is worth noting that our estimate of the six month annualised pace of the TM is down to 2.4%yr by June 2026.

Electricity to boost November CPI

Westpac is estimating a 0.4% increase in the November monthly CPI which will hold the annual pace flat at 3.8%yr. The seasonally adjusted estimate is 0.5% in the month suggesting it is a stronger than usual estimate.

Boosting the November estimate is: a 16% surge in electricity (as the impact of the last round of rebates fades); a 3.2% jump in gas & other household fuels; and a 2.3% bump in auto fuel (based on reported pump prices). Partially offsetting these gains is a –2.6% decline in holiday travel & accommodation and a –2.9% drop in clothing & footwear.

Take care with the Monthly CPI

Many series in the monthly CPI only date back to early 2024 so seasonal adjustment is somewhat problematic. Some series did have a longer monthly history coming from the previously published monthly CPI indicator and it appears the ABS may have used some of this to seasonally adjust the data. However, we caution that some of the new data has a different history to the old data and as such, we expect it is going to take some time to understand the seasonal behaviour of the new data.

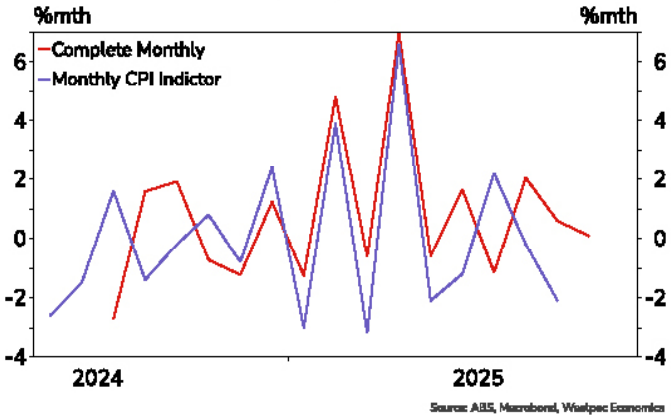
For example, for male garments there is some difference with the reported monthly change compared to the old CPI Indicator series but this appears to be only marginal. However, for women's, the difference can be significant with even a reversal of the sign of change in some recent months. And for some series with a short history and no monthly indicator data to compare to some of the adjustment appears to be a little arbitrary, as you can see in the chart right which compares the children's garments index in original and seasonally adjusted terms. The only adjustment made to the series was in June 2025 when a –3.2% change was adjusted to a flat print. Why? We are yet to uncover.

You can also see where the ABS has turned to smoothing processes to seasonally adjust short data series. In the chart over the seasonally adjusted series looks as if has been generated by applying a Henderson Trend to the original children's footwear series.

As such, we expect it is possible there will be significant adjustments made to the seasonally adjustment process as data is collected which could result in significant revisions to seasonally adjusted series including the Trimmed Mean and the Weighted Median.

Womens Garments Monthly

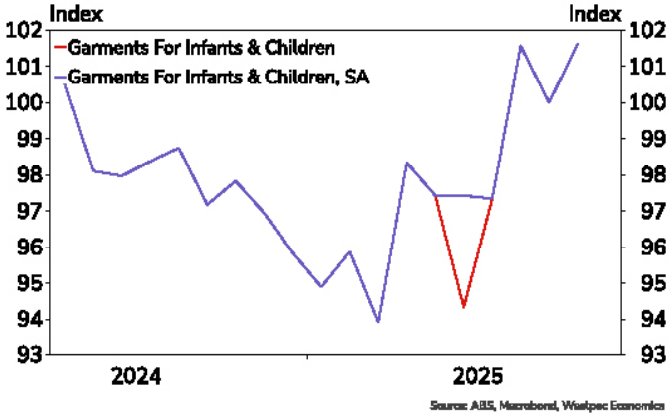
Monthly Indicator vs. Monthly Complete CPI



Source: ABS, Macrobond, Westpac Economics

Childrens Garments Monthly CPI

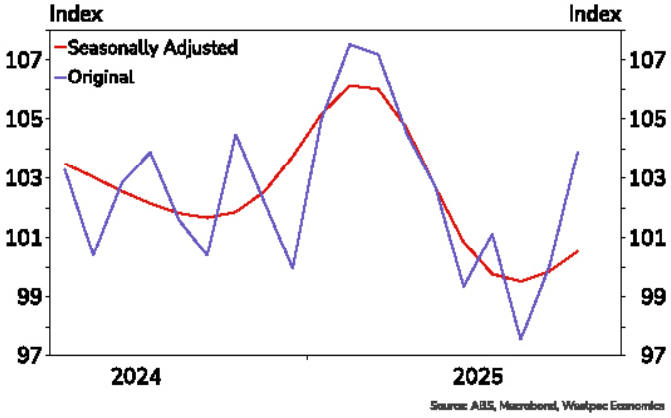
Original vs Seasonally Adjusted



Source: ABS, Macrobond, Westpac Economics

Monthly CPI Childrens Footwear

Original vs. Seasonally Adjusted



Source: ABS, Macrobond, Westpac Economics

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21 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Global equities were mixed, with solid earnings supporting US markets while ongoing concerns around the AI trade and elevated oil and borrowing costs weighed more heavily elsewhere.

The US Treasury yield curve flattened, with moves lower at the long end also observed across European bond markets.

The US dollar eased, with the AUD regaining its 70 handle and the sterling outperforming following a more resilient unemployment reading.

Oil prices fell on unconfirmed reports of renewed peace negotiations, before largely retracing the move after the reports were denied. Brent finished little changed overall, while WTI held onto more of its losses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7001	0.3%
AUD/JPY	110.81	0.1%
AUD/GBP	0.5233	-0.2%
AUD/NZD	1.2323	0.0%
AUD/EUR	0.6231	0.1%
AUD/CNH	4.6731	0.2%
AUD/SGD	0.8946	0.2%
AUD/HKD	5.4949	0.3%
AUD/CAD	0.9841	-0.1%
EUR/USD	1.1234	0.2%
USD/JPY	158.27	-0.1%
USD Index	101.72	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.64	0.01
90 day BBSY	4.84	0.02
180 day BBSY	5.22	0.03
1 year swap	4.88	-0.01
2 year swap	4.85	-0.02
3 year swap	4.85	-0.03
4 year swap	4.88	-0.03
5 year swap	4.91	-0.03
6 year swap	4.96	-0.04
7 year swap	5.02	-0.04
8 year swap	5.07	-0.04
9 year swap	5.11	-0.04
10 year swap	5.16	-0.04

Equities	Close	Change
S&P/ASX 200	8,817	-0.3%
S&P 500	7,711	0.3%
Japan Nikkei	64,075	-1.3%
Hang Seng	23,868	-1.3%
Euro Stoxx 50	6,122	-0.4%
UK FTSE100	10,733	-0.3%
VIX Index	17.5	-5.1%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.25	0.02
United States		
3-month T Bill	4.06	-0.03
2 year bond	4.78	0.01
10 year bond	5.11	-0.03
Other (10 year yields)		
Germany	3.40	-0.06
Japan	2.90	-0.01
UK	5.41	-0.02

Commodities	Current	Change
CRB Index	416.94	-0.4%
Gold	4120.28	-0.5%
Copper	14420	0.6%
Oil (WTI futures)	101.79	-1.8%
Coal (coking)	267.00	0.2%
Coal (thermal)	153.55	-1.6%
Iron Ore	91.40	-0.4%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.26	-0.02
3 yr bond	4.85	-0.01
3 mth bill rate	4.77	0.00
SPI 200	8,863	0.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were generally subdued on Tuesday. US equities bucked the broader sell-off, supported by solid earnings despite renewed concerns around the AI trade. Oil prices softened and long-dated Treasury yields edged lower following unconfirmed reports that Qatar and Pakistan had proposed a framework to revive negotiations, although the reports were later denied and much of the initial market reaction unwound.

- US equities proved resilient, with strong earnings and a modest decline in oil prices offsetting broader market weakness. The S&P 500 gained 0.3%, while the Dow Jones outperformed, rising 1.0%, and the NASDAQ was unchanged. Other regions fared less well, with the Euro Stoxx 50 down 0.4% and the FTSE 100 falling 0.3%.
- The previous day's tech-led rebound in the US failed to carry over to Asian markets, with the region experiencing a broad sell-off. Elevated oil prices and borrowing costs continued to weigh on sentiment, compounded by renewed AI concerns ahead of key earnings releases in the US. The KOSPI led declines, falling 3.7%, while the Nikkei 225 and Hang Seng both lost 1.3%. Locally, the ASX 200 followed the regional trend, declining 0.3% after paring deeper losses during afternoon trade.
- The US Treasury yield curve flattened, with the 2-year yield rising 1bp and the 10-year yield falling 3bps, with softer oil prices contributing to the move lower at the long end. Futures markets assign just a 17% probability to an October hike, while a December move remains fully priced, taking the implied year-end fed funds rate to 4.14%. Long-dated European bond yields also moved lower as oil prices eased, with the 10-year gilt yield down 2bps and the 10-year Bund yield falling 6bps.
- Australian government bond yields were little changed, with the 3-year yield rising 1bp and the 10-year yield gaining 2bps. Swap markets remain unconvinced of additional RBA tightening in 2026, with the probability of a November rate hike priced at around one in four, taking the implied year-end cash rate to 4.73%.
- The US dollar eased, with the DXY down 0.3%. The AUD regained its 70 handle against the greenback, rising 0.3% to 0.7001. Other major currencies also gained against the USD, with the yen up 0.1% and the euro rising 0.2%, while sterling outperformed, gaining 0.6% following a more resilient unemployment reading.
- Brent was little changed overall as steep earlier losses on unconfirmed reports of renewed peace negotiations were largely unwound later in the session. Brent ended 0.4% lower at US$109/bbl, while WTI maintained more of its earlier decline, falling 1.8% to US$102/bbl. The premium for prompt barrels continued to ease from recent highs, with Dated Brent trading at US$118/bbl. Gold declined 0.5%, while copper gained 0.6%, aluminium fell 0.5% and iron ore declined 0.4%.

Today's key data and events

Time	Event	Exp	Prev
17:00	GB CPI Sep	0.3%	0.5%
17:00	GB Public Sector Borrowing Sep	£24b	£18.3b

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US housing starts declined 5.2% in September after a downwardly revised 5.9% fall in August (prev -2.6%), returning near its 5-year low. **Building permits** edged 0.2% lower in September after a 2.1% loss in August. In the established home market, **pending home sales** dropped 7.3% in September to be 12.6% lower over the year. Serviceability and cost-of-living continue to weigh heavily on the housing market.

The **Euro Area ZEW survey of expectations** fell from 25.8 to 18.5 in October under the weight of high oil prices and increased uncertainty over the near-term economic outlook. Still, the current level is above the average of the past 5 years, and only modestly below the full history average of 21.4.

The **UK ILO unemployment rate** edged down from 4.9% to 4.7% in the 3 months to August as employment growth strengthened from 66k to 102k on a 3 month average basis.

Local Data

We published our **October Commodities Update**, covering recent market developments and forecasts across the broader commodities complex (see here).

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19 October 2026

SEPTEMBER CPI PREVIEW

Setting the pace for the run into year end

Key points

- September CPI to rise 0.62%mth with the annual pace lifting to 4.1%yr from 4.0%yr. The seasonally adjusted CPI lifts 0.5%mth, a step down from the 0.7% increase in August.
- September Trimmed Mean (TM) is set to lift 0.26%mth holding the annual pace steady at 3.6%yr.
- As we noted in our review of the August CPI, our September quarter CPI estimate is unchanged at 1.3%qtr while the TM remained 0.9%qtr.
- Auto fuel surged ahead of our expectations so along with signs of increase pass-through we lifted our December quarter CPI to 1.3%qtr/3.9%yr and the TM estimate to 0.9%qtr/3.5%yr.
- This is a 0.8ppt increase to the CPI estimate, and a 0.2ppt increase to the TM estimate, highlighting inflation momentum meaningfully above the RBA's current expectations.

CPI Breakdown: Q3 and monthly profile

	Q3	Jul-26	Aug-26	Sep-26
	Qtr fcs	Mth	Mth	Mth fcs
Item	% qtr	% mth	% mth	% mth
Food	**0.5**	**0.3**	**–0.1**	**–0.5**
of which, bread & cereals	0.3	–0.3	0.0	0.2
of which, meat & seafood	–0.2	0.2	–0.9	0.0
of which, dairy & related prod.	1.9	0.2	–0.1	0.1
of which, fruit & vegetables	–1.8	–0.8	–1.1	–3.7
of which, food products nec	–0.2	0.0	0.3	0.0
of which, non–alcohol bev.	0.9	0.0	0.3	–1.5
Alcohol & tobacco	**1.9**	**1.2**	**0.5**	**1.1**
of which, alcohol	1.4	1.2	0.5	–0.3
of which, tobacco	2.9	1.2	0.5	4.0
Clothing & footwear	**0.3**	**2.6**	**–0.9**	**–0.2**
of which, garments	–2.0	3.2	–1.9	–2.0
Housing	**1.4**	**0.4**	**0.2**	**0.6**
of which, rents	1.0	0.4	0.3	0.3
of which, house purchases	1.1	0.4	0.2	0.2
of which, electricity	–0.9	–1.6	0.0	0.0
of which, gas & other fuels	4.0	2.8	0.0	1.3
H/hold contents & services	**1.3**	**2.0**	**0.2**	**–0.2**
Health	**0.0**	**0.1**	**0.1**	**–0.1**
Transportation	**3.1**	**2.6**	**4.2**	**2.0**
of which, auto fuel	7.4	7.5	14.8	8.3
Communication	**1.2**	**1.8**	**–0.2**	**–0.1**
Recreation	**1.7**	**1.8**	**–1.0**	**2.1**
of which, holiday travel	1.6	1.8	–3.3	4.4
Education	**0.1**	**0.0**	**0.1**	**0.0**
Financial & insurance services	**0.9**	**0.2**	**0.2**	**0.4**
CPI: All groups	**1.3**	**1.0**	**0.4**	**0.6**
CPI: Trimmed mean	**0.9**	**0.5**	**0.2**	**0.3**

Sources: ABS, Westpac Banking Corporation

- However, these factors can shift quickly and we see downside risk to our 2027 inflation profile should energy prices ease faster than expected.

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Sep quarter unrevised but Dec upgraded significantly

Justin Smirk, Senior Economist
Neha Sharma, Economist

August inflation came in soft...

Inflation moderated in August following July's strong outcome. The CPI rose 0.4% in the month, in line with our expectation but slightly below market consensus of 0.5%, taking the annual rate to 4.0%. On a seasonally adjusted basis, the CPI increased 0.7%mth, underscoring the impact of seasonal discounting in August and the start of the financial year repricing in July.

More closely watched are the measures of underlying inflation including the Trimmed Mean (TM) and market services. The TM rose 0.2% in August, in line with our expectations but again softer than the market, leaving the annual pace unchanged at 3.6% for a third consecutive month. Meanwhile, market services excluding volatiles & holiday travel increased 0.2%mth/4.1%yr. Notable strength (three-month annualised, seasonally adjusted) was seen in sports participation (10.9%), clothing repair (7.0%), restaurant meals (6.8%) and other household services (5.2%). For full analysis of the August CPI, see "August CPI – Came in on our expectations".

The expenditure-weighted share of the CPI basket experiencing positive price shocks eased to 11% in August from 15% in July, while the share experiencing negative price shocks declined from 17% to just below 13%. The majority of the positive shocks were concentrated in consumer durables On a three-month moving average basis, the net momentum share (positive minus negative) rose to –4.5% from –7.7% in July and a trough of –15.8% in May, suggesting the disinflationary impulse may be nearing exhaustion.

... with September due for a moderate pick-up

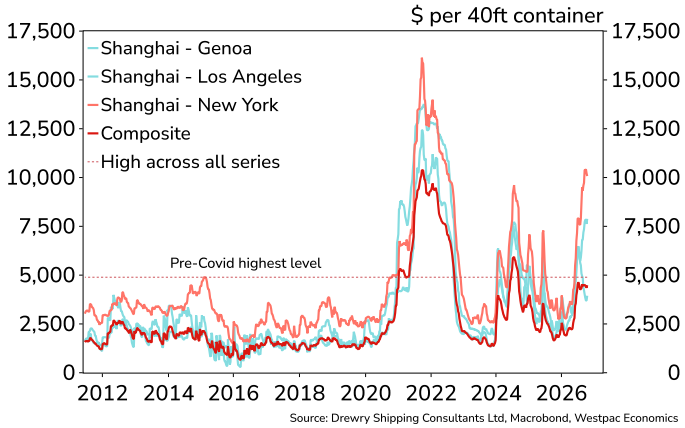
Looking ahead to September, early indicators painted a mixed picture. The NAB business survey showed retail price growth slowing to 0.9%qtr from 1.1%qtr in August, with labour cost growth easing to 1.7%qtr from 1.8%qtr, while purchase cost growth edged up to 2.4%qtr from 2.3%qtr. Nevertheless, all measures remain well above their long-run averages while the gap between purchase costs and final prices continues to widen, indicating businesses are facing margin compression (see here for further detail). Meanwhile, consumers' year-ahead inflation expectations held steady at 4.9% in September (easing slightly at 2dp) but surged to 5.3% in October likely reflecting higher fuel prices, with retail petrol and diesel averaging $2.20/l (+8.2%mth) and $2.68/l (+7.7%mth). We do believe the auto fuel prices are likely to see a near term peak in October. Meanwhile, global shipping costs have also surged recently amid renewed Middle East tensions.

Revision to the September quarter CPI estimate

	11-Sep-26		15-Oct-26	
Item	**% qtr**	**contrib**	**% qtr**	**contrib**
Food	**0.8**	**0.14**	**0.5**	**0.09**
of which, Fruit & vegetables	–0.7	–0.01	–1.8	–0.04
Alcohol & tobacco	**1.4**	**0.09**	**1.9**	**0.12**
of which, Tobacco	2.2	0.04	2.9	0.06
Clothing & footwear	**0.4**	**0.01**	**0.3**	**0.01**
Housing	**1.5**	**0.34**	**1.4**	**0.31**
of which, Rents	1.0	0.07	1.0	0.07
of which, House purchases	1.3	0.10	1.1	0.08
of which, Utilities	1.8	0.08	1.4	0.06
H/hold contents & services	**1.0**	**0.08**	**1.3**	**0.10**
Health	**–0.2**	**–0.01**	**0.0**	**0.00**
of which, Pharmaceuticals	–2.0	–0.02	–1.6	–0.01
Transportation	**2.6**	**0.30**	**3.1**	**0.35**
of which, Car prices	0.1	0.00	0.0	0.00
of which, Auto fuel	6.2	0.22	7.4	0.26
Communication	**1.3**	**0.03**	**1.2**	**0.03**
Recreation	**1.6**	**0.20**	**1.7**	**0.21**
of which, Audio visual & comp.	4.1	0.08	3.8	0.07
of which, Holiday travel	1.6	0.09	1.6	0.10
Education	**0.1**	**0.01**	**0.1**	**0.00**
Financial & insurance services	**0.8**	**0.04**	**0.9**	**0.05**
CPI: All groups	**1.25**	**–**	**1.29**	**–**
CPI: All groups % year	**3.9**	**–**	**3.9**	**–**
Trimmed Mean %qtr	**0.91**	**–**	**0.88**	**–**
Trimmed Mean %yr	**3.5**	**–**	**3.50**	**–**

Sources: ABS, Westpac Banking Corporation

Global container shipping costs



Source: Drewry Shipping Consultants Ltd, Macrobond, Westpac Economics

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The September CPI is expected to rise 0.6% (0.62% to 2dp) with the annual pace lifting to 4.1%yr. Our seasonally adjusted estimate increases 0.5% (0.48% to 2dp). For the monthly TM, we expect a 0.3% (0.26% to 2dp) lift, holding the annual pace steady at 3.6%. On a 3m/3m basis, the TM is tracking a 1.0% gain in September (noting that while this measure is conceptually different to the quarterly TM it still serves as a useful guide). For market services excluding volatiles & holiday travel we have pencilled in another 0.2% rise, slowing the annual pace slightly to 4.0% (a nine-month low).

The largest contributors are recreation & culture (+0.27ppt), driven wholly by holiday travel & accommodation. Transport (+0.23ppt) makes a solid contribution, with gains in fuel (+0.26ppt) partly offset by motor vehicles (–0.02ppt). Housing also contributes (+0.13ppt), with rents and new dwellings each adding 0.02ppt while property rates add 0.08ppt. The key detractors in the month are food & non-alcoholic beverages (–0.08ppt) and garments (–0.04ppt).

Key details for the month of September

Food & non-alcoholic beverages are expected to fall 0.5%mth, easing the annual pace to 2.8%yr. The weakness is concentrated in a 3.7%mth decline in fruit & vegetables, while non-alcoholic beverages are also expected to fall 1.5%mth. Meals out & takeaway is forecast to rise 0.1%mth, easing the annual rate to 3.9%.

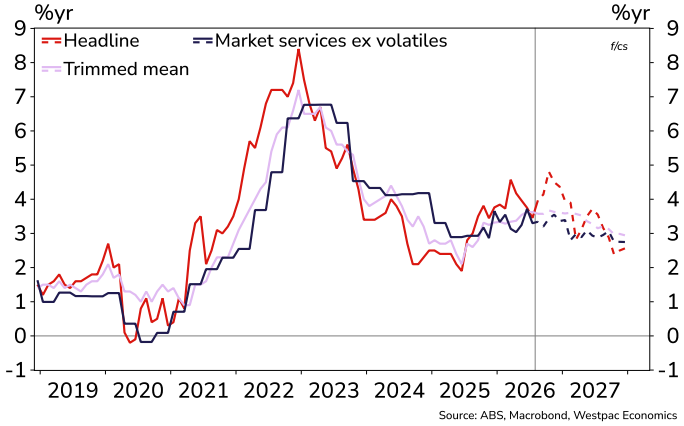
Housing is expected to rise 0.6% in September, slowing the annual pace to 5.5%yr. Component-wise:

- Rents are expected to rise 0.3%mth and 3.7%yr. CPI rent inflation is nearing its peak, consistent with the moderation in asking rent growth. We expect rent inflation to ease to 3.6%yr by end-2026 and 2.5%yr by end-2027.
- New dwelling prices, which capture only the building component of construction costs, are expected to rise 0.2%mth and 4.9%yr. Ongoing weakness in established housing markets would be increasing builders' difficulty in passing through higher costs to new builds. As a result, we expect new dwelling inflation to moderate to 4.5%yr by end-2026 and 2.1%yr by end-2027.

Transport inflation is expected to rise 2.0%mth in September, lifting the annual pace to 7.7%yr reflecting an 8.3%mth increase in fuel prices following higher oil prices through the month. Motor vehicle prices and spare parts are expected to fall 0.7%mth and 1.3%mth, respectively. In NSW, a one-year vehicle registration discount between $80-100 came into effect from 1 September, which is likely to weigh on the other services in respect of motor vehicles component.

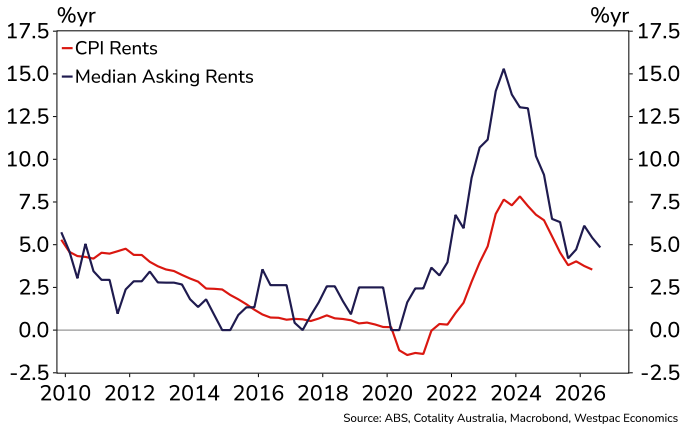
Recreation & culture is expected to rise 2.1%mth driven by a 4.4%mth increase in holiday travel, partly offset by a 0.4% decline in audio, visual & computing equipment & services and a 1.3% fall in sporting services.

Monthly inflation indicators



Source: ABS, Macrobond, Westpac Economics

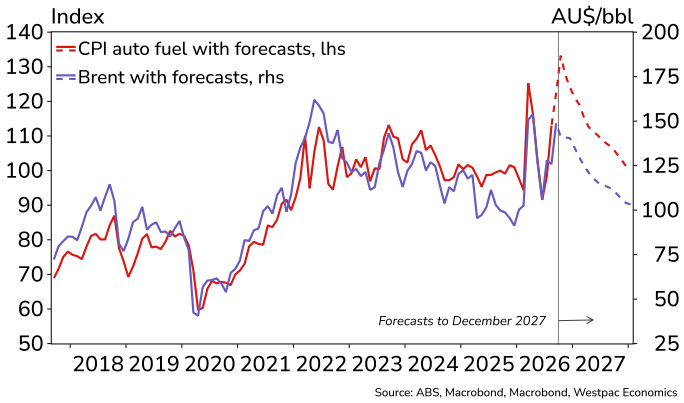
Asking rents vs CPI rents



Source: ABS, Cotality Australia, Macrobond, Westpac Economics

Australian fuels maintain a wide spread to crude

Average pump price for unleaded and diesel auto fuel



Source: ABS, Macrobond, Macrobond, Westpac Economics

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Risks to September baseline

We view the risks around the September CPI outcome as broadly balanced. Waning spending momentum outside of fuel may make it difficult for businesses to pass through higher costs in the near term. However, some of these pricing pressures may be deferred rather than forgone. The October ban on card surcharging may prompt a greater-than-usual degree of price resetting, allowing businesses to recover some of the margin pressures that have built up in recent months.

Risks to housing are mixed. Trade materials suppliers continued to announce above-average price increases through September (around 8%). While soft conditions in the established housing market may limit the extent to which these costs are passed through to new dwelling prices, they nevertheless present an upside risk to housing-related inflation, particularly maintenance & repair and insurance costs. Growth in advertised rents also continues to ease but these new leases take some time to flow through to average rents paid measured in the CPI.

A kick up in October ...

We have a solid preliminary estimate for the October CPI of 0.6%mth lifting the annual pace to 4.8%yr. It is true that the key driver is an 8.9% increase in auto fuel but we estimate the TM to lift 0.4%mth/3.7%yr highlighting broader inflationary pressures. We expect that the removal of credit charge surcharges and resulting increase in retail prices, at most, will contribute 0.1ppt but only just so see it as more of a rounding error. Nevertheless, these changes come at a time of a significant upstream price pressure, particularly for SMEs, so there is some risk of broader price adjustments. As such, we expect marginally larger than usual price adjustments in October particularly in hospitality and household services. Being the first month of the quarter the October lift sets a higher base for the quarterly average estimates resulting in an upgrade to our December quarter estimate.

We have included a table with a monthly profile for the CPI, seasonally adjusted CPI and the TM out to June 2027. At June 2027 we have an annual pace of 3.7%yr for the CPI and seasonally adjusted CPI and 3.3%yr for the TM. There is also a table breaking down the monthly components of the CPI through the December quarter.

... highlights stronger inflationary pressure ...

Our September quarter CPI estimate is unrevised at 1.3%qtr with the annual pace steady at 3.9%yr. At the margin there was a 0.04ppt increase due to a lift in auto fuel but this is 1.29%qtr at two decimal places so still rounds to 1.3%. The seasonally adjusted CPI gains 1.1% in the September quarter highlighting that part of the increase is due to usual seasonality. Our TM estimate for Q3 has a small downward revision of 0.03ppt to 0.88% at two decimal place so our published estimate is also unrevised at 0.9%qtr.

... resulting in an upward revision to Q4 2026

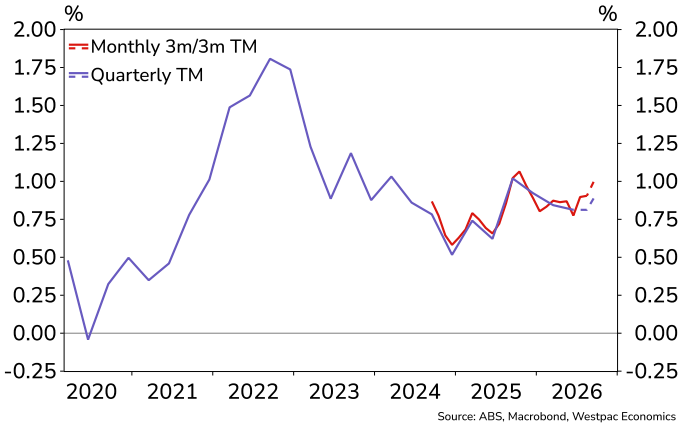
Westpac's December quarter CPI estimate has been boosted from a 0.5%qtr to 1.3%qtr. Driving most of this change from our previous estimate is the 15.3% increase in autofuel, it

Revision to the December quarter CPI estimate

	11-Sep-26		15-Oct-26	
Item	**% qtr**	**contrib**	**% qtr**	**contrib**
Food	**0.3**	**0.05**	**0.5**	**0.09**
of which, Fruit & vegetables	–0.5	–0.01	–0.8	–0.01
Alcohol & tobacco	**0.9**	**0.06**	**1.2**	**0.08**
of which, Tobacco	4.1	0.08	4.8	0.10
Clothing & footwear	**–1.5**	**–0.05**	**–0.9**	**–0.03**
Housing	**0.5**	**0.11**	**0.6**	**0.14**
of which, Rents	0.8	0.05	0.8	0.05
of which, House purchases	0.9	0.07	0.6	0.05
of which, Utilities	–0.4	–0.02	0.3	0.01
H/hold contents & services	**–0.1**	**–0.01**	**0.2**	**0.02**
Health	**–0.5**	**–0.03**	**–0.1**	**–0.01**
of which, Pharmaceuticals	–1.3	–0.01	–1.2	–0.01
Transportation	**0.5**	**0.06**	**4.7**	**0.56**
of which, Car prices	–0.8	–0.03	–0.7	–0.02
of which, Auto fuel	1.9	0.06	15.3	0.61
Communication	**–0.4**	**–0.01**	**0.3**	**0.01**
Recreation	**2.2**	**0.27**	**3.1**	**0.39**
of which, Audio visual & comp.	–0.4	–0.01	0.0	0.00
of which, Holiday travel	4.2	0.25	5.6	0.34
Education	**0.1**	**0.00**	**0.0**	**0.00**
Financial & insurance services	**0.5**	**0.03**	**0.9**	**0.05**
CPI: All groups %qtr	**0.5**	**–**	**1.3**	**–**
CPI: All groups %yr	**3.8**	**–**	**4.6**	**–**
CPI: Seasonall Adjusted %qtr	**0.6**	**–**	**1.4**	**–**
CPI: Seasonall Adjusted %yr	**3.7**	**–**	**4.6**	**–**
Trimmed Mean %qtr	**0.70**	**–**	**0.90**	**–**
Trimmed Mean %yr	**3.31**	**–**	**3.48**	**–**

Sources: ABS, Westpac Banking Corporation

Trimmed mean measures



Source: ABS, Macrobond, Westpac Economics

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was 1.9%, contributing 0.55ppt to the 0.8ppt increase in the quarterly estimate. Outside of a 0.09ppt contribution to the revision from holiday travel & accommodation (revised up from 4.2% to 5.6%) all else was via small contributions for a large number of expenditure categories. This is why there is a 0.2ppt increase in our September quarter TM estimate from 0.7%qtr to 0.9%qtr.

A disinflationary impulse kicks in for 2027

We now expect auto fuel prices to peak in October (240 cpl for petrol, 284 cpl for diesel) and then to trend lower through 2027 (184 cpl for petrol and 194 cpl for diesel by December 2027) leading to a 13.6% falling in auto fuel in the first half of 2027 subtracting 0.46ppt off the CPI over the same period of time. For a detailed description on how we constructed the auto fuels profile please see: "*Persistent energy pressures have further to run*"

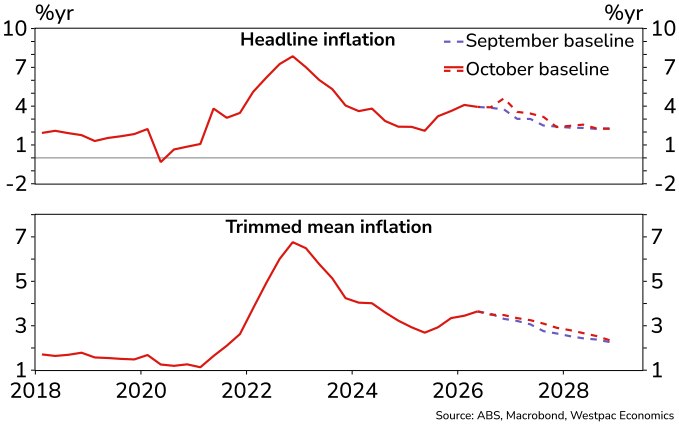
The first half of 2027 will also see an almost 5% decline in holiday travel & accommodation which will subtract a further 0.29ppt off the CPI. However, outside of that any broader moderation in inflation is expected to be more muted hence we have the TM printing 0.7%qtr for each quarter in 2027.

Critical to this moderation in core inflation is our expect step down in dwelling price inflation on the back of falling established home prices. From a 1.1%qtr increase in Q3 2026 we see dwelling price increasing by 0.7% in the Q4 2026, and then 0.6% in both Q1 and Q2 2027 before dropping to 0.5%qtr in Q3 and Q4 2027. This will see dwelling price inflation in the CPI drop from 5.4%yr at June 2026 to 3.0%yr by June 2027 then down to 2.2%yr by December 2027.

At least for the near term a key uncertainty remains the extent to which businesses are able to pass through ongoing labour and non-labour cost pressures and how this unwinds through 2027 as energy prices ease and the domestic economy slows under the weight of higher interest rates and falling established home prices. There is a risk that firms face greater resistance to price increases if discretionary household spending softens by more than expected. That said, these headwinds may be at least partially offset by the stronger starting point for household incomes, which has proven more resilient than previously anticipated, and by higher energy prices due to the ongoing conflict in the Middle East.

That said, there is also the risk that the disinflationary pulse by the second half of 2027 could be greater than what we anticipate. Another rate hike in November, along with a deeper than expected fall in established home prices, could be the proverbial "straw" resulting in a larger than expected fall in demand and thus a more significant moderation in price setting behaviour. It is also possible that our auto fuel prices fall by more than we anticipate. For while we have spot crude prices to fall to about pre-crisis levels by end 2027, a combination of a slow recovery in refining capacity, constrained return of physical supplies and higher shipping cost keep Australian fuel prices above their pre-conflict level. Should all these factors improve fast than we expect, and auto fuel prices return to pre-conflict level if not lower, then headline inflation could dip below 2%yr and the TM would be closer to 2.5%yr (the mid point if the RBA's inflation target), by end 2027.

Quarterly forecast revisions



Source: ABS, Macrobond, Westpac Economics

Quarterly forecast inflation profile

		Sep-26	Dec-26	Mar-27	Jun-27
CPI	Index	103.6	104.9	105.3	105.8
	(%qtr)	1.3	1.3	0.4	0.5
	(%yr)	3.9	4.6	3.6	3.4
Trimmed mean	(%qtr)	0.9	0.9	0.7	0.7
	(%yr)	3.5	3.5	3.3	3.3
	(6mth ann'd)	3.4	3.6	3.3	2.9

Source: ABS, Westpac Economics.

Monthly inflation profile

		Sep–26 (f)	Oct–26 (f)	Nov–26 (f)	Dec–26 (f)	Jan–27 (f)	Feb–27 (f)	Mar–27 (f)	Apr–27 (f)	May–27 (f)	Jun–27 (f)
CPI	Index	104.14	104.80	104.51	105.38	105.33	105.26	105.33	106.00	105.66	105.82
	(%mth)	0.62	0.6	–0.3	0.8	0.0	–0.1	0.1	0.6	–0.3	0.2
	(%yr)	4.1	4.8	4.5	4.4	3.9	3.9	2.8	3.1	3.5	3.7
Seasonally Adjusted	(%mth)	0.5	0.9	0.0	0.0	0.2	0.1	0.0	0.2	0.2	0.2
	(%yr)	4.2	4.9	4.6	4.4	4.0	3.9	2.8	3.1	3.5	3.7
Trimmed mean	(%mth)	0.26	0.4	0.2	0.2	0.3	0.2	0.2	0.3	0.2	0.2
	(%yr)	3.6	3.7	3.6	3.6	3.6	3.6	3.6	3.5	3.4	3.3
	(6mth ann'd)	4.0	4.2	3.8	3.7	3.3	3.3	3.2	2.8	2.9	2.9

Source: ABS, Westpac Economics.

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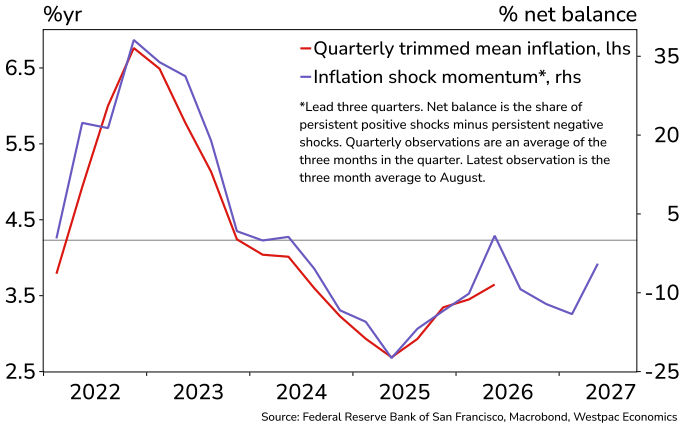
Breakdown Monthly CPI through Dec quarter

	Dec	Oct	Nov	Dec
	Qtr fcs	Mth fcs	Mth fcs	Mth fcs
Item	%qtr	%mth	%mth	%mth
Food	**0.5**	**0.3**	**–0.1**	**–0.5**
of which, bread & cereals	0.3	–0.3	0.0	0.2
of which, meat & seafood	–0.2	0.2	–0.9	0.0
of which, dairy prod.	1.9	0.2	–0.1	0.1
of which, fruit & vegetables	–1.8	–0.8	–1.1	–3.7
of which, food products	–0.2	0.0	0.3	0.0
of which, non–alcohol bev.	0.9	0.0	0.3	–1.5
Alcohol & tobacco	**1.9**	**1.2**	**0.5**	**1.1**
of which, alcohol	1.4	1.2	0.5	–0.3
of which, tobacco	2.9	1.2	0.5	4.0
Clothing & footwear	**0.3**	**2.6**	**–0.9**	**–0.2**
of which, garments	–2.0	3.2	–1.9	–2.0
Housing	**1.4**	**0.4**	**0.2**	**0.6**
of which, rents	1.0	0.4	0.3	0.3
of which, house purchases	1.1	0.4	0.2	0.2
of which, electricity	–0.9	–1.6	0.0	0.0
of which, gas & other fuels	4.0	2.8	0.0	1.3
H/hold contents & services	**1.3**	**2.0**	**0.2**	**–0.2**
Health	**0.0**	**0.1**	**0.1**	**–0.1**
Transportation	**3.1**	**2.6**	**4.2**	**2.0**
of which, auto fuel	7.4	7.5	14.8	8.3
Communication	**1.2**	**1.8**	**–0.2**	**–0.1**
Recreation	**1.7**	**1.8**	**–1.0**	**2.1**
of which, holiday travel	1.6	1.8	–3.3	4.4
Education	**0.1**	**0.0**	**0.1**	**0.0**
Financial & insurance	**0.9**	**0.2**	**0.2**	**0.4**
CPI: All groups	**1.3**	**0.6**	**–0.3**	**0.8**
CPI: Trimmed mean	**0.9**	**0.4**	**0.2**	**0.2**

Sources: ABS, Westpac Banking Corporation

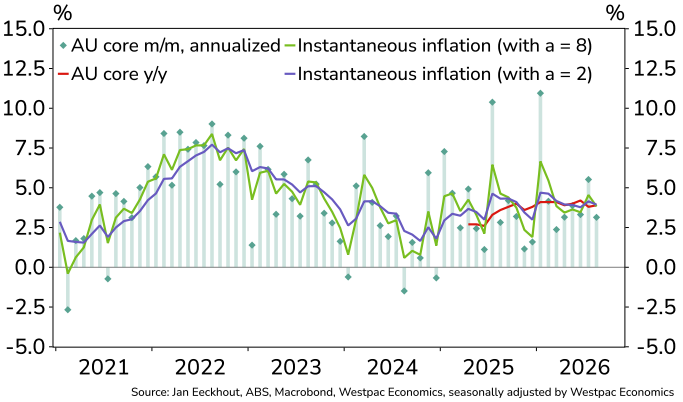
Inflation Shock Momentum



Source: Federal Reserve Bank of San Francisco, Macrobond, Westpac Economics

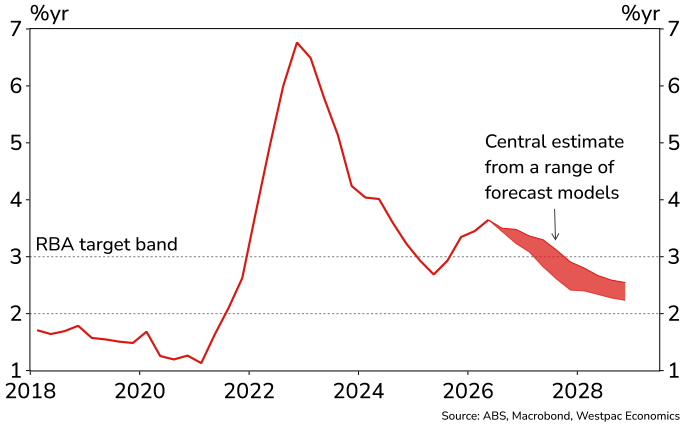
Conventional and instantaneous (s.a.)

Merged new CPI and old indicator



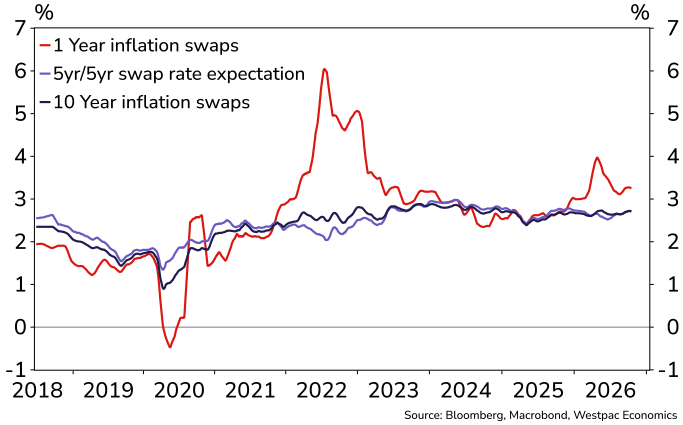
Source: Jan Eeckhout, ABS, Macrobond, Westpac Economics, seasonally adjusted by Westpac Economics

Trimmed mean inflation forecast profiles



Source: ABS, Macrobond, Westpac Economics

Inflation expectations



Source: Bloomberg, Macrobond, Westpac Economics

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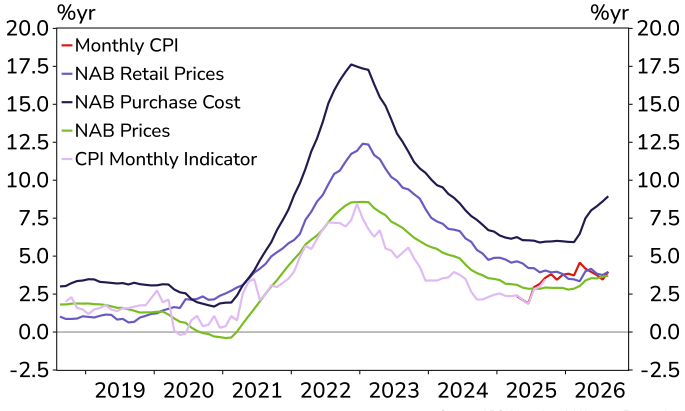
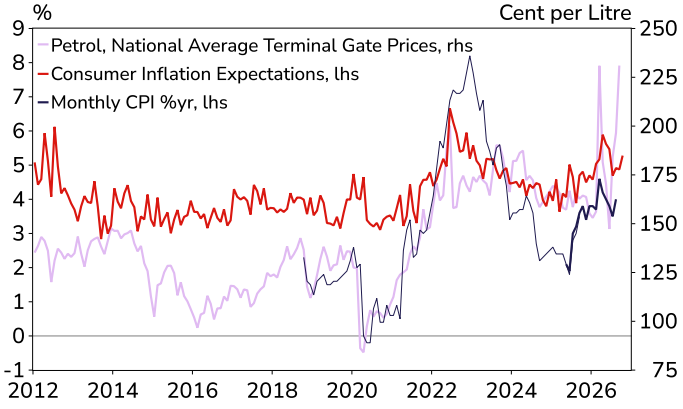
NAB Monthly Inflation Expectations



Source: ABS, Macrobond, Westpac Economics

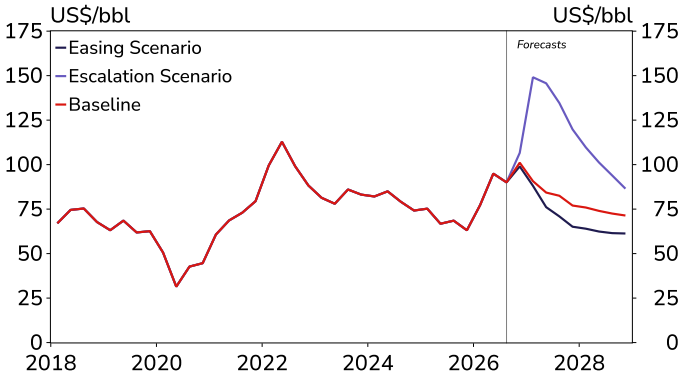
Consumer Inflation Expectations



Source: Melbourne Institute of Applied Economic & Social Research, AIP, ABS, Macrobond, Westpac Economics

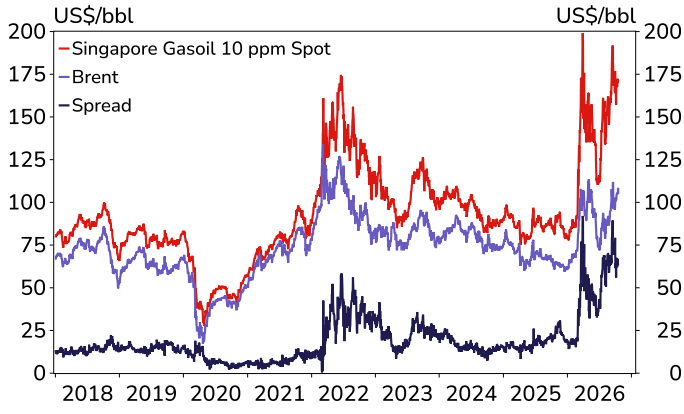
Oil Price Scenarios

Brent Crude Oil, Quarter-Average



Source: Bloomberg, Macrobond, Westpac Economics

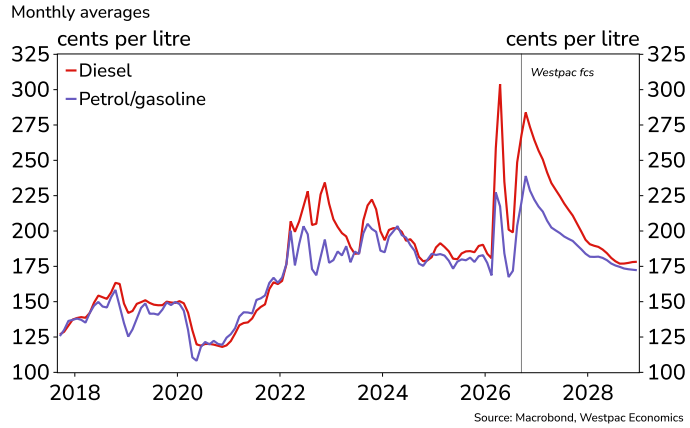
Singapore gasoil crack remains elevated



Source: Bloomberg, Macrobond, Westpac Economics

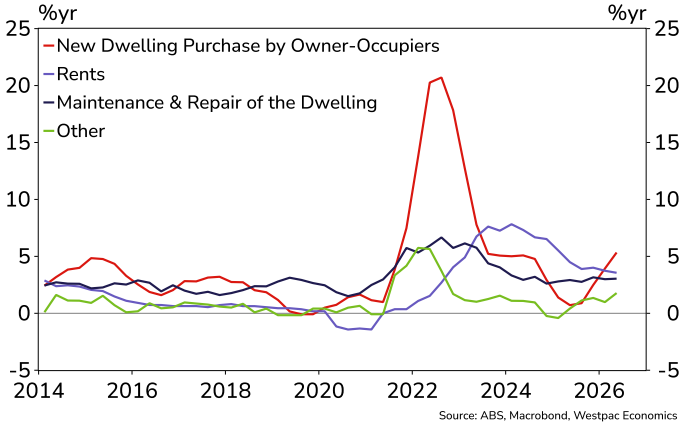
Australian pump prices for auto fuel

Monthly averages



Source: Macrobond, Westpac Economics

Housing-related Inflation



Source: ABS, Macrobond, Westpac Economics

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16 October 2026

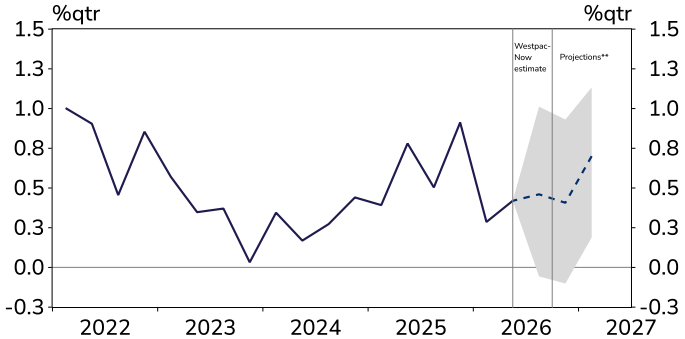
WESTPAC NOWCAST Q3 2026: SECOND ESTIMATE

Growth falters through the quarter

Key points

- The second estimate from Westpac-Now points to GDP growth of around +0.5%qtr in Q3 2026 and 2.1%yr. This is slightly lower than the first estimate of +0.6%qtr. This still represents a slight step up in growth from Q2 2026 but masks some loss of momentum over the course of the quarter.
- Our Monthly Activity Index deteriorated noticeably in August and September. Weakness has become increasingly broad-based, with labour and business condition indicators among the largest drags and relatively few areas providing a meaningful offset.
- The economy is coming under increasing pressure as the cumulative impact of higher interest rates combines with renewed disruptions in global energy markets and a deepening housing downturn. With another rate hike likely in November, these pressures are expected to build further heading into 2027.
- Overall, the economy is becoming increasingly reliant on the upswing in business investment to support growth. This narrow base of growth has left the balance of risks less favourable. Our central case remains one of slowing rather than stalling. Westpac-Now's current model dynamics point to growth moderating to around +0.4%qtr in Q4 2026. Our formal forecasts have growth slowing to a softer +0.2%qtr pace (see here).
- Our final Westpac-Now estimate for Q3 2026 will be published on 20 November.

GDP Growth*



Source: ABS, Macrobond, Westpac Economics
*Dotted line shows Westpac-Now central estimates. Quarter ahead (or Q3 2026) relies on the actual Westpac monthly activity index to September 2026.
**Beyond the quarter ahead, estimates rely on projections of the Westpac monthly activity index generated using internal model dynamics. Confidence intervals reflect empirical out of sample forecasting errors.

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Growth momentum on shaky ground

Neha Sharma
Economist

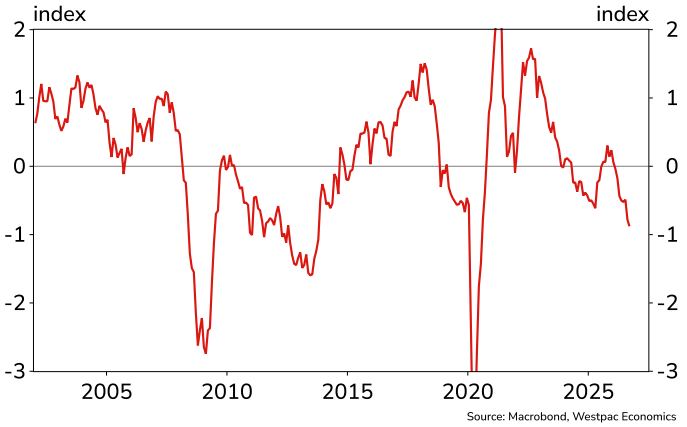
In November 2025, we introduced Westpac-Now (see here), a continuously-updated measure of current activity in the Australian economy. Westpac-Now draws on more than 60 high frequency economic and financial variables, using advanced statistical techniques to provide a timely pulse check on economic momentum. It is the first Australian model to incorporate internal banking data, enhancing its predictive power.

This note provides the second estimate of GDP growth for the September quarter 2026, using domestic and international data released up to and including the September Labour Force Survey (released 15 October 2026). Updates are published monthly (see Appendix A for the release schedule).

Westpac Monthly Activity Index: activity falters as headwinds mount

After showing tentative signs of improvement through the second half of 2025, the Westpac Monthly Activity Index has weakened markedly over 2026. The Index moved back into negative territory in February and has declined further since. While there were some signs of stabilisation around mid-year, this proved to be short lived with the Index falling to –0.88 in September, outside of the pandemic period, the weakest read since 2013.

Westpac Monthly Activity Index



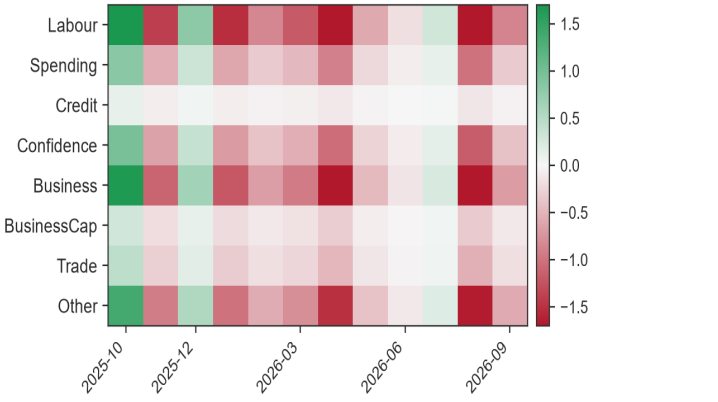
Source: Macrobond, Westpac Economics

The economy is coming under pressure from multiple fronts, with key headwinds coming from higher interest rates, renewed disruptions to global energy markets and a deepening in the housing downturn. Among households, spending held up surprisingly well through the first half of the year despite historically weak sentiment, but more recently spending outside of fuel has started to cool (see here). At the same time, the labour market has continued to soften, with unemployment reaching a cycle high of 4.7% (see here). Meanwhile, the business sector is also showing signs of softening, with sentiment deteriorating and conditions holding at weak levels (see here). Business credit growth remains a notable exception, although even here there are tentative signs of easing (see here).

This deterioration is particularly evident in our heatmap. Negative contributions have become both broader and more pronounced through 2026, with the weakness intensifying in August and September. Labour and business condition indicators are now the largest sources of weakness, while spending and confidence have also deteriorated materially. Credit and capacity utilisation indicators have been comparatively less negative, but there are currently few areas providing a meaningful offset to the broader softening.

Our indicator heatmap decomposes changes in the Monthly Activity Index into group-level contributions, allowing us to assess which components are driving movements in activity. For ease of interpretation, indicators are grouped into broad categories (see the Appendix for further details). For example, the labour market category includes both official ABS Labour Force Survey outcomes and timelier survey-based measures of labour demand and job advertisements.

The Common Activity Factor Heatmap by Groups



Westpac-Now: Resilient growth outlook slowing not stalling

Recall that Westpac-Now is a refined indicator that combines our Monthly Activity Index with advanced econometric techniques to estimate GDP growth. As previously noted, the fit is not expected to be exact. Measured GDP includes

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components that are not well captured by high-frequency activity indicators, such as imputed rents for owner-occupiers, housing-related ownership transfer costs, public and business inventories, and depreciation.

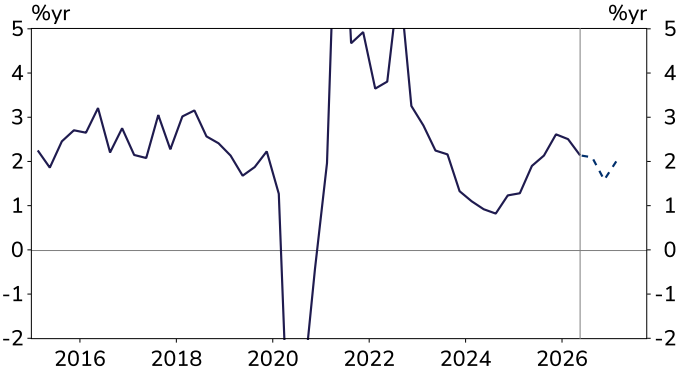
To bridge monthly and quarterly data, we use a MIDAS framework, allowing us to combine mixed-frequency inputs and incorporate partial information for the current quarter when producing GDP forecasts.

Based on current model estimates, Westpac-Now's second estimate for Q3 2026 points to GDP growth of 0.5%qtr (with a 70% confidence interval of –0.1%qtr to 1.0%qtr) and 2.1%yr, representing a slight downgrade from the first estimate of +0.6%qtr but still a step up from the 0.4%qtr (2.1%yr) outcome recorded in Q2 2026. While aggregate growth appears to have held up through Q3, the underlying picture became softer as the quarter progressed. At the second decimal place the estimate is 0.46%qtr, leaving it close to rounding down to 0.4%qtr.

With several headwinds now bearing on the economy simultaneously, there is a growing risk that the slowdown in activity becomes more pronounced than currently anticipated. At the same time, the strength of the business investment upswing provides an important counterweight that should help cushion the broader slowdown.

Looking ahead, model dynamics suggest growth will tick down to 0.4%qtr in Q4 2026 before picking up in Q1 2027. However, these projections remain much more tentative, given their reliance on projected inputs rather than realised data. In addition, heightened uncertainty, particularly around the renewed tensions in the Middle East conflict, means risks around these forward estimates are larger than usual.

Westpac-Now Estimates and Projections*



Source: ABS, Macrobond, Westpac Economics
*Dotted line show Westpac-Now central estimates. Quarter ahead (or Q3 2026) relies on actual Westpac-MAI to September 2026. Beyond the quarter ahead, estimates rely on projections of the Westpac-MAI generated using internal model dynamics.

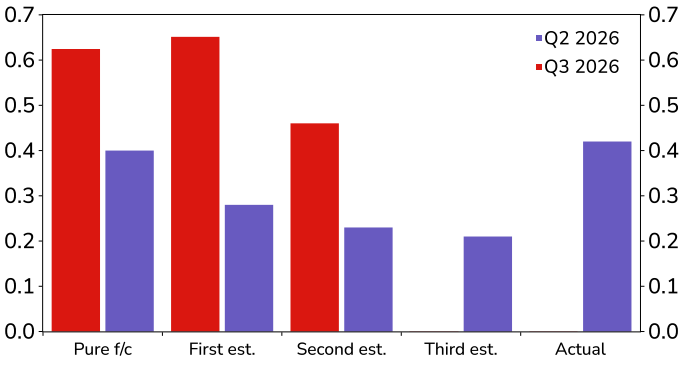
September Quarter data: a softer end to the quarter

Data released in the first month of the September quarter indicated that the economy has picked up momentum relative to the previous quarter, with our first nowcast estimating Q3 growth at 0.6%qtr, in line with the 0.6%qtr "pure forecast" based solely on data available up to June 2026.

However, the flow of data since then shows downside risks to growth have begun to materialise. Incorporating the August, followed by the September (to date), data both yielded nowcasts of 0.5%qtr (with a slight softening at the second decimal place). This contrasts with Q2 2026, when weakness emerged early in the quarter, in April, before subsequent data pointed to stabilisation.

Evolution of Westpac-Now

Within-quarter changes to Westpac-Now, quarterly % change



Source: ABS, Macrobond, Westpac Economics

Note that monthly activity estimates are more uncertain than normal when inflation is shifting. Faster price growth can cause nominal indicators, such as consumer spending, to rise more strongly even though 'real', inflation-adjusted spending may be softening (and vice versa). The inclusion of 'real' indicators, such as employment and banking transaction volumes, helps mitigate some – but not all – of this uncertainty.

Bottom line:

Westpac-Now points to GDP growth of around 0.5%qtr (2.1%yr) in Q3 2026, suggesting aggregate growth held up reasonably well through the quarter, although the flow of data points to softer momentum as the quarter progressed. The substantial upswing in business investment remains an important source of support, helping to offset mounting weakness elsewhere in the economy.

Looking ahead, the accumulation of headwinds is expected to see growth slow further towards year-end, with Westpac-Now currently pointing to growth of around 0.4%qtr in Q4 2026. Downside risks around the outlook have increased, but for now our central case remains one of slower growth rather than a material downturn.

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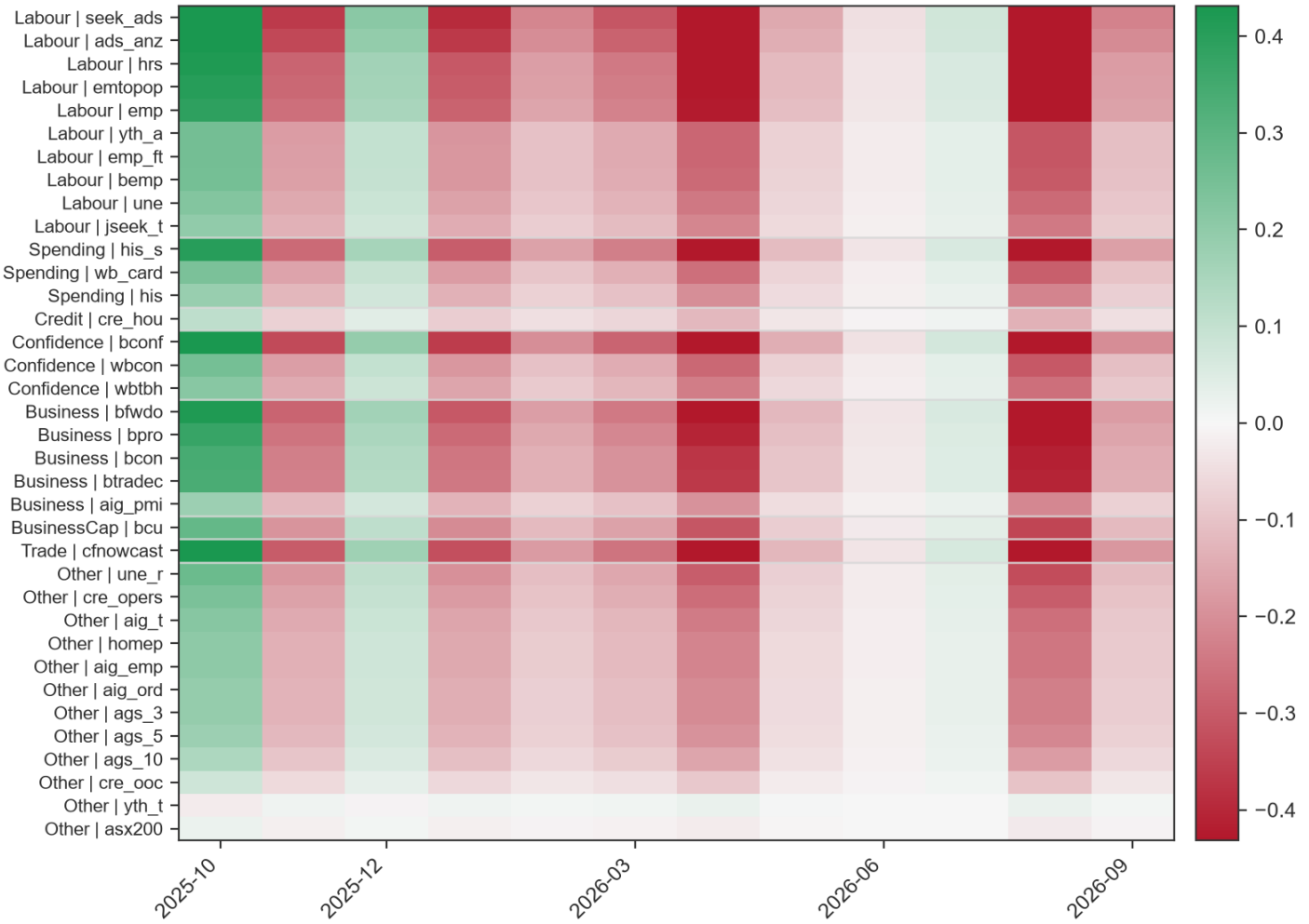
Appendix A: Westpac-Now Release Schedule (2026)

Going forward, Westpac Now will be published on the Friday following each ABS Labour Force Survey (LFS) release, at 11:30am AEDT/AEST (Canberra time). Each release incorporates the latest labour market data alongside other high frequency indicators and provides an updated nowcast for quarterly GDP growth. As the quarter progresses, each update should be interpreted as a progressively more complete estimate of that quarter's economic performance.

Release date (Friday)	LFS reference month	Quarter focus	Interpretation
20 November 2026	October 2026	Q3 2026 – final estimate	Near complete read on Q3 activity
18 December 2026	November 2026	Q4 2026 – first estimate	Initial assessment of Q4 momentum

Appendix B: The common activity factor heatmap by indicators



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21 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Global equities were mixed, with solid earnings supporting US markets while ongoing concerns around the AI trade and elevated oil and borrowing costs weighed more heavily elsewhere.

The US Treasury yield curve flattened, with moves lower at the long end also observed across European bond markets.

The US dollar eased, with the AUD regaining its 70 handle and the sterling outperforming following a more resilient unemployment reading.

Oil prices fell on unconfirmed reports of renewed peace negotiations, before largely retracing the move after the reports were denied. Brent finished little changed overall, while WTI held onto more of its losses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7001	0.3%
AUD/JPY	110.81	0.1%
AUD/GBP	0.5233	-0.2%
AUD/NZD	1.2323	0.0%
AUD/EUR	0.6231	0.1%
AUD/CNH	4.6731	0.2%
AUD/SGD	0.8946	0.2%
AUD/HKD	5.4949	0.3%
AUD/CAD	0.9841	-0.1%
EUR/USD	1.1234	0.2%
USD/JPY	158.27	-0.1%
USD Index	101.72	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.64	0.01
90 day BBSY	4.84	0.02
180 day BBSY	5.22	0.03
1 year swap	4.88	-0.01
2 year swap	4.85	-0.02
3 year swap	4.85	-0.03
4 year swap	4.88	-0.03
5 year swap	4.91	-0.03
6 year swap	4.96	-0.04
7 year swap	5.02	-0.04
8 year swap	5.07	-0.04
9 year swap	5.11	-0.04
10 year swap	5.16	-0.04

Equities	Close	Change
S&P/ASX 200	8,817	-0.3%
S&P 500	7,711	0.3%
Japan Nikkei	64,075	-1.3%
Hang Seng	23,868	-1.3%
Euro Stoxx 50	6,122	-0.4%
UK FTSE100	10,733	-0.3%
VIX Index	17.5	-5.1%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.25	0.02
United States		
3-month T Bill	4.06	-0.03
2 year bond	4.78	0.01
10 year bond	5.11	-0.03
Other (10 year yields)		
Germany	3.40	-0.06
Japan	2.90	-0.01
UK	5.41	-0.02

Commodities	Current	Change
CRB Index	416.94	-0.4%
Gold	4120.28	-0.5%
Copper	14420	0.6%
Oil (WTI futures)	101.79	-1.8%
Coal (coking)	267.00	0.2%
Coal (thermal)	153.55	-1.6%
Iron Ore	91.40	-0.4%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.26	-0.02
3 yr bond	4.85	-0.01
3 mth bill rate	4.77	0.00
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Today's key data and events

Time	Event	Exp	Prev
17:00	GB CPI Sep	0.3%	0.5%
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21 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Global equities were mixed, with solid earnings supporting US markets while ongoing concerns around the AI trade and elevated oil and borrowing costs weighed more heavily elsewhere.

The US Treasury yield curve flattened, with moves lower at the long end also observed across European bond markets.

The US dollar eased, with the AUD regaining its 70 handle and the sterling outperforming following a more resilient unemployment reading.

Oil prices fell on unconfirmed reports of renewed peace negotiations, before largely retracing the move after the reports were denied. Brent finished little changed overall, while WTI held onto more of its losses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7001	0.3%
AUD/JPY	110.81	0.1%
AUD/GBP	0.5233	-0.2%
AUD/NZD	1.2323	0.0%
AUD/EUR	0.6231	0.1%
AUD/CNH	4.6731	0.2%
AUD/SGD	0.8946	0.2%
AUD/HKD	5.4949	0.3%
AUD/CAD	0.9841	-0.1%
EUR/USD	1.1234	0.2%
USD/JPY	158.27	-0.1%
USD Index	101.72	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.64	0.01
90 day BBSY	4.84	0.02
180 day BBSY	5.22	0.03
1 year swap	4.88	-0.01
2 year swap	4.85	-0.02
3 year swap	4.85	-0.03
4 year swap	4.88	-0.03
5 year swap	4.91	-0.03
6 year swap	4.96	-0.04
7 year swap	5.02	-0.04
8 year swap	5.07	-0.04
9 year swap	5.11	-0.04
10 year swap	5.16	-0.04

Equities	Close	Change
S&P/ASX 200	8,817	-0.3%
S&P 500	7,711	0.3%
Japan Nikkei	64,075	-1.3%
Hang Seng	23,868	-1.3%
Euro Stoxx 50	6,122	-0.4%
UK FTSE100	10,733	-0.3%
VIX Index	17.5	-5.1%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.25	0.02
United States		
3-month T Bill	4.06	-0.03
2 year bond	4.78	0.01
10 year bond	5.11	-0.03
Other (10 year yields)		
Germany	3.40	-0.06
Japan	2.90	-0.01
UK	5.41	-0.02

Commodities	Current	Change
CRB Index	416.94	-0.4%
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Cliff Notes: searching for signal

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Sian Fenner, Ryan Wells & Illiana Jain

13:33 October 02 2026

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Key insights from the week that was.

In Australia, this week's main event was the RBA Monetary Policy Board's (MPB) decision to raise the cash rate by 25bps to 4.60%. This outcome was universally expected given Governor Bullock had already communicated that upside risks to inflation had materialised – the conditionality established by the MPB back in August for considering another rate hike.

Governor Bullock made explicit note of three upside risks. The Middle East conflict was emphasised as the risk that had "materialised", given the re-escalation and renewed surge in crude oil and refined product prices over recent months. The RBA's liaison warns this could lead to further pass-through of costs and more persistent inflation pressures. On top of this, domestic capacity pressures and the data centre/AI investment boom were also noted as upside risks that the MPB remain alert to.

In a video update mid-week, Chief Economist Luci Ellis explains why the bar for a follow-up rate hike in November is low. We now expect a 25bp increase in November, provided there is no sudden resolution of the Middle East conflict beforehand, or some other event that significantly lowers the outlook for energy-related costs.

Subsequently, the August CPI revealed that underlying (trimmed mean) inflation rose 0.2% (3.4%yr), which was slightly below the market's expectation but spot on Westpac's forecast. As usual, the monthly detail was mixed, but the key drivers of underlying inflation remain centred on housing-related components, particularly rents and new dwelling purchases. Headline inflation remained volatile, with the unwind of the fuel excise cut causing another spike in fuel prices. We have maintained our forecast for a 0.9% lift in trimmed mean inflation in Q3, and with upside risks building for Q4, a follow-up rate hike in November appears most likely.

Regarding the current growth pulse, household spending surprised with a flat reading in August. Services spend fell back following recent strength that was driven by major sporting events, but this was offset by an increase in goods spend, particularly in fuel and electric vehicles. Together with our latest card data for early September, the consumer spending pulse is shading a touch softer. However, another solid outcome for business investment could once again be on the cards for Q3. August's goods trade data showcased another significant spike in data centre-related equipment imports, up $4.3bn, similar in scale to Q1. While clearly import-driven, our modelling suggests that the local economic impact of such investment is likely to be around half of the total investment.

Before moving offshore, a final note on housing. Cotality's latest update revealed that dwelling prices fell another 1.1% nationally in September. While Sydney and Melbourne have led the correction to date, the fact that the other capitals are also reporting price declines clearly indicates that the correction is deepening and broadening, as higher interest rates collide with the tax policy changes announced in May's budget. Sentiment effects indeed remain at play, as evinced by the continued pull-back in investor credit growth. Westpac anticipates a peak-to-trough decline of around 7%, with tight on-market supply limiting the extent of the correction. For more, see our latest Housing Pulse.

Offshore, there was plenty of data to dissect.

In the US, inflation eased in August despite ongoing strength in household demand and higher energy prices. Headline PCE inflation rose 0.3%mth and 3.4%yr, while core PCE increased 0.2%mth and 3.0%yr. Encouragingly for the FOMC, the share of PCE components rising by more than 3% over the past year, a measure frequently cited by Fed Chairman Kevin Warsh, declined to 45% from 49%, suggesting some easing in broad-based inflation pressures. At the same time, household spending remained robust, increasing 0.9%mth, equivalent to around 0.6%mth in real terms. That said, personal income growth was soft, rising 0.2% in the month, signalling households opted to draw down savings.

The ISM manufacturing survey was stronger than the headline suggested. While the index edged down 0.1pt to 54.5, manufacturing has now expanded for nine consecutive months. There were some signs of capacity constraints emerging, with production softened in the month but backlogs up 4.6pts to 56.4, suggesting that firms struggled to keep pace with demand. New orders rose 1.6pts to 55.3, primarily due to domestic demand as new export orders eased, backlogs increased. Firms responded by lifting employment, 1.5pts to 52.7. Against this backdrop manufacturers saw a renewed acceleration in cost pressures, with the prices paid index jumping 6.8pts to 77.9. Firms cited higher steel and aluminium prices, elevated energy costs, rising freight charges and ongoing semiconductor shortages, with every major industry reporting higher input costs during the month.

The past week's data will have done nothing to bridge the clear divide across the FOMC, as evident in this week's busy Fedspeak. Some participants argued for further rate hikes, citing strong inflation, diminished supply capacity and policy that is not yet restrictive. Others counselled patience, pointing to progress on inflation and that September's hike buys time to assess upcoming data. The one thing both agree on is that inflation will be the primary determinant of the timing and extent of further rate hikes. Our view remains that one further hike is likely this cycle to bring policy closer to neutral.

In China, policymakers announced another round of targeted support measures aimed at stabilising growth and supporting the struggling property sector. The PBOC lowered rates on its Pledged Supplementary Lending facility by 25bps to 1.5% and expanded quotas for targeted lending programs. Authorities also introduced subsidies for eligible first-home buyers. The subsidy applies to homes with a floor area of 120m² or less and a value below CNY1.5mn, with support capped at 1ppt of mortgage costs, up to CNY10,000 and for a maximum term of five years. The measures complement reforms announced in August to improve developer financing conditions and support housing completion. However, weak credit demand and confidence remains a significant constraint, suggesting policy transmission is still limited.

The September PMI data pointed to a modest improvement in activity, although the details were less convincing. Manufacturing returned to expansionary territory, rising 0.9pts to 50.1, supported by stronger production and new orders. Much of the improvement, however, reflected a rebound in prices, with the raw materials price index rising 7.6pts and producer prices increasing 6.2pts. Labour market conditions remained weak, with the employment index falling a further 0.6pts and remaining below 50 for almost four years. Conditions in the non-manufacturing sector also improved, with the services PMI lifting from 49.0 to 50.2, driven largely by stronger construction activity. Input and output prices moved higher, selling prices returned back above 50, export orders improved to 48.5 and employment increased 0.5pts, although at 45.9 it remains firmly in contractionary territory. Overall, the surveys suggest activity is stabilising and policy support is gaining some traction, but weak labour demand, subdued credit growth and soft domestic demand indicate the recovery remains fragile.

In Japan, the September Tankan survey delivered another constructive signal on the economy and reinforced the case for further policy normalisation. Business conditions improved by 2pts for large manufacturers and 5pts more broadly, while profitability indicators strengthened and capital expenditure intentions remained elevated. Large manufacturers expect fixed investment to increase by 11.6% in FY2026, while large non-manufacturers expect investment growth of 11.2%, pointing to

continued confidence in the medium-term outlook.

Capacity indicators improved further across both manufacturing and non-manufacturing sectors, with measures of excess production capacity becoming less negative and indicating that demand remains sufficiently strong to keep pressure on existing capacity. Labour shortages also intensified, with employment conditions becoming more negative across most industries and firm sizes, pointing to a progressively tighter labour market. Inflation expectations remained anchored around 2%, providing further evidence that Japan is moving towards a more sustainable inflation environment. Overall, the survey was consistent with an economy operating close to capacity and supports the view that a December rate hike remains a realistic possibility.

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Australia's Trade in Goods Account, August

#trade #australia

By Ryan Wells
Economist, Westpac

13:19 October 01 2026

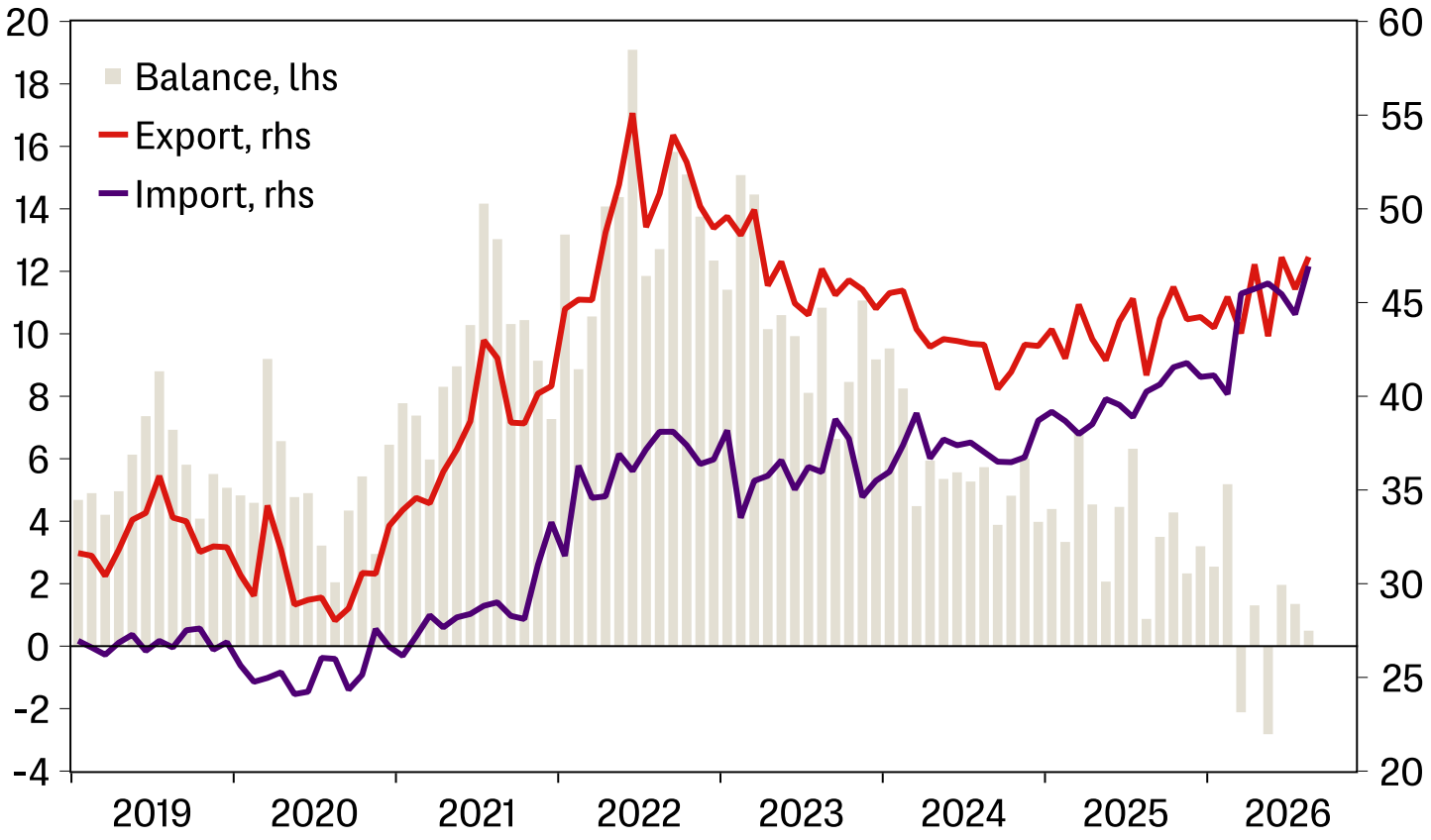
Share

Another surge in data centre-related equipment imports in August, alongside continued volatility in gold trade. Trade balance: $0.5bn surplus. Export values: 3.7%mth. Import values: 5.8%mth.

Australia's goods trade surplus narrowed to $0.5bn in August from $1.4bn in July (revised down from $1.9bn previously). This result was significantly lower than expected – the market consensus was for a broadly stable reading, while Westpac had a slight widening pencilled in. Over the past six months or so, the trade balance has been oscillating between small deficits and surpluses, largely coinciding with significant month-to-month volatility in the trade mix. The chief culprit behind this volatility has been trade in non-monetary gold, among other components.

Goods Trade Balance

Value, $bn

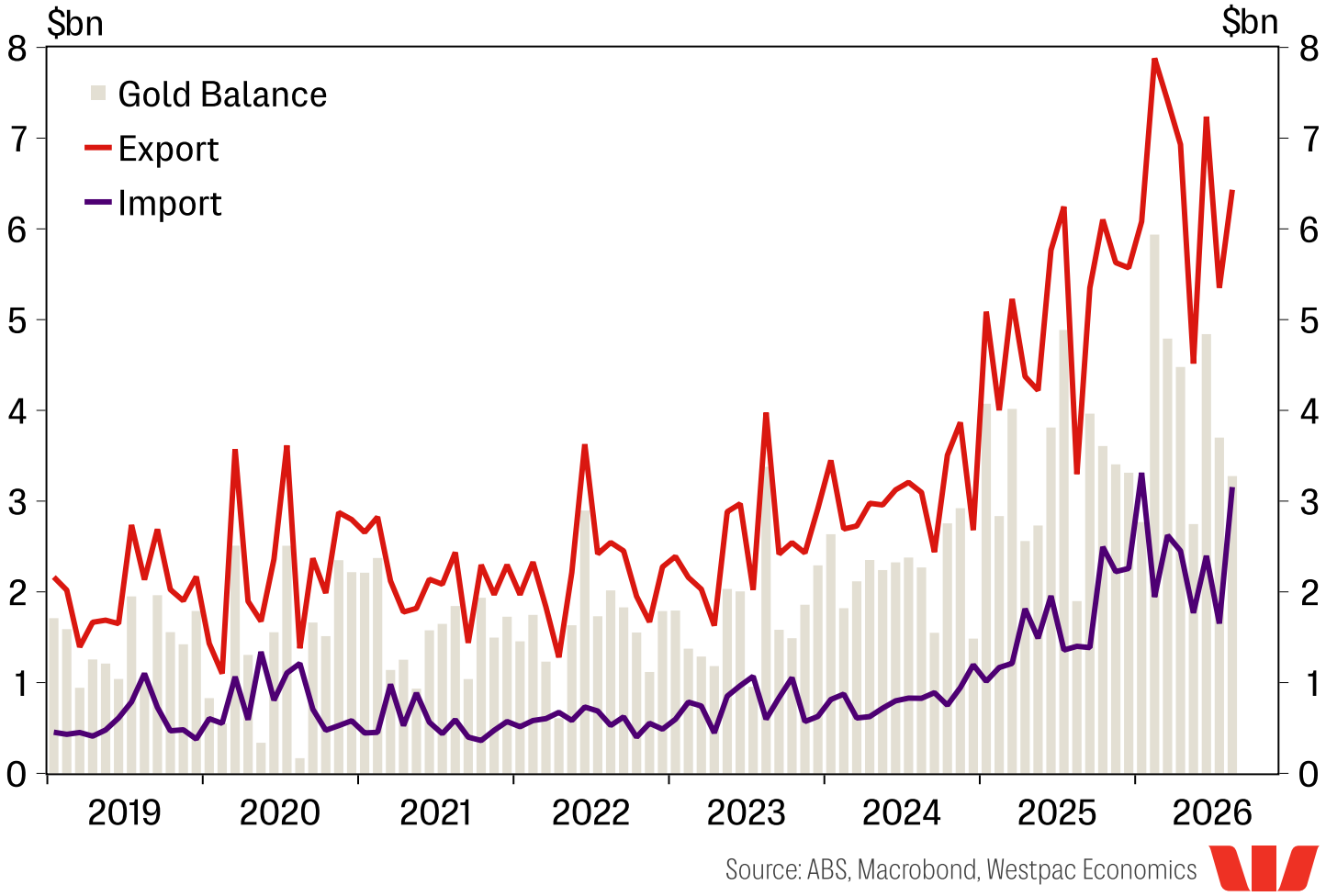


Source: ABS, Macrobond, Westpac Economics

Before discussing the detail, it is once again worth noting the results for gold up front. In August, non-monetary gold exports jumped 20%, while imports surged 91%. Excluding gold, the trade figures have been much more stable, closer to a deficit of $2-3bn per month over the past three months, down from larger deficits around the start of the year.

Export earnings rose 3.7% in August, bouncing back from a 3.6% decline in July. The trend for exports so far this year looks a bit more positive, but again, this is tricky to read given the volatility present in the data. Excluding gold, export earnings were up 1.6% in August. This was largely supported by a 4.7% lift in coal and a 2.8% increase in LNG, with further detail provided by the ABS suggests that an increase in both volumes and prices contributed. However, iron ore (–1.5%) and rural goods (–1.0%) weighed on earnings in the month.

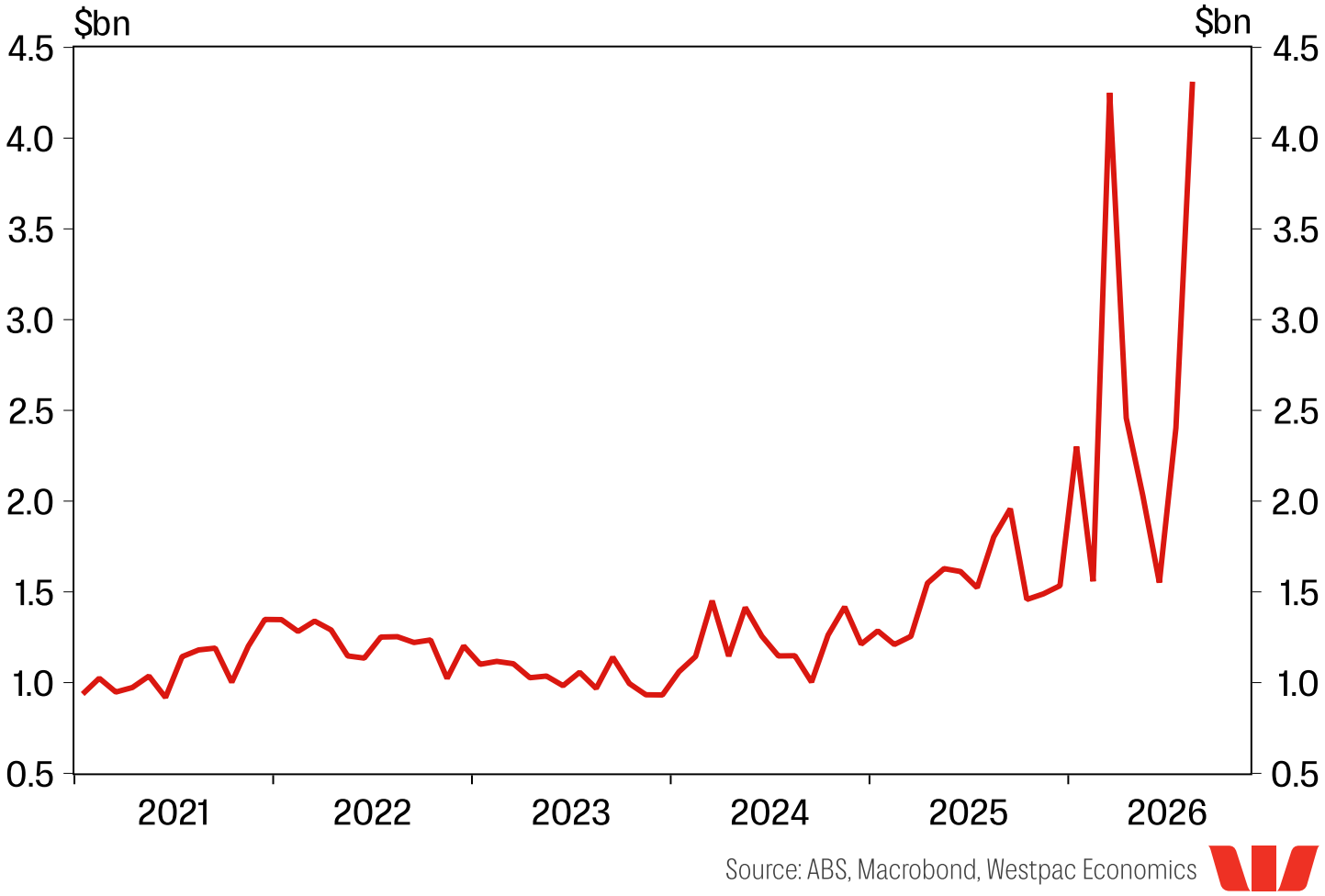
Gold Trade (Values)



The import bill meanwhile increase by 5.8% in August. Once again, a surge in automatic data processing (ADP) equipment imports – which capture the investment upswing related to data centres – were in the spotlight, surging 79% in the month up to $4.3bn. There were also an increase in other capital goods imports centred on telecommunications equipment (+12%) and civil aircraft (+30%) – large in their own right but dwarfed by the surge in ADP imports in the month.

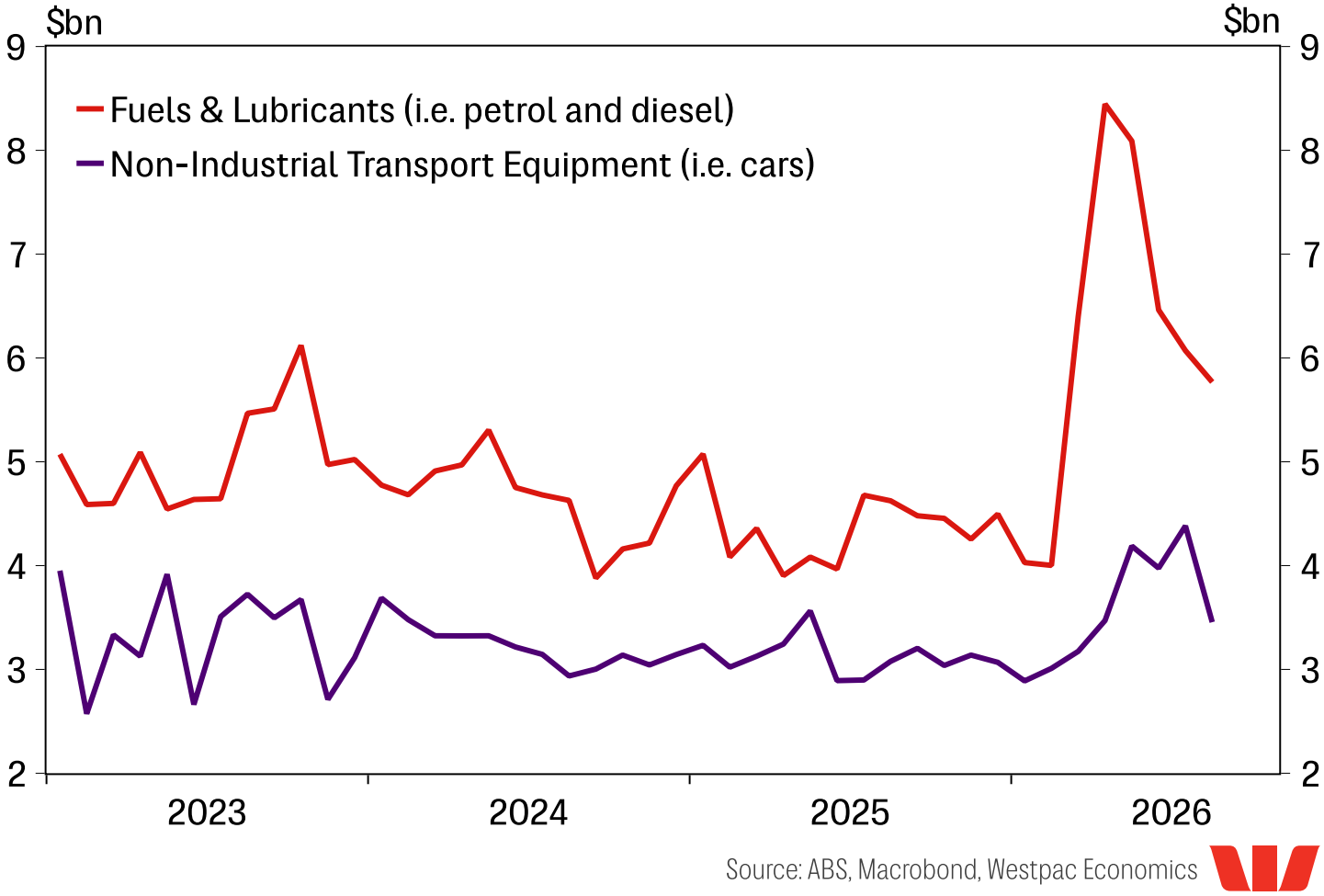
Our latest estimates have the total pipeline for data centres at around $175bn over the coming decade, with much of that being front-loaded. It is natural to expect month-to-month volatility in ADP equipment imports as these large and lumpy data centre projects are worked through, but it is worth highlighting that August's jump closely resembles the surge from March, when imports also surged to around $4.3bn. Given the scale of the increase in August, Q3 is shaping up to be another quarter where data centre investment will play a significant role in driving growth – while it is true that the data centre build-out is import-intensive, our modelling suggests that once spending enters Australia, the local economic impact is likely to be around half of the total investment.

ADP equipment imports



Elsewhere across the import basket, while gold imports also surged, it was effectively offset by a decline in consumer imports of non-industrial transport equipment (i.e. cars), down 21.2% in August following the surge from May to July. While still tentative at this stage, it suggests that the momentum in EV purchases, which played a significant role in the consumer spending story in Q2, may be starting to wane. Additionally, a further pull-back in fuel imports (–5.0%) in August has extended the downward trend in recent months, following the initial surge in oil prices in March and April after the war in the Middle East began. However, with the conflict re-escalating recently and margins on refined fuel products widening, we could see this trend reverse over the coming months.

Goods Imports – Cars & Fuel



Source: ABS, Macrobond, Westpac Economics

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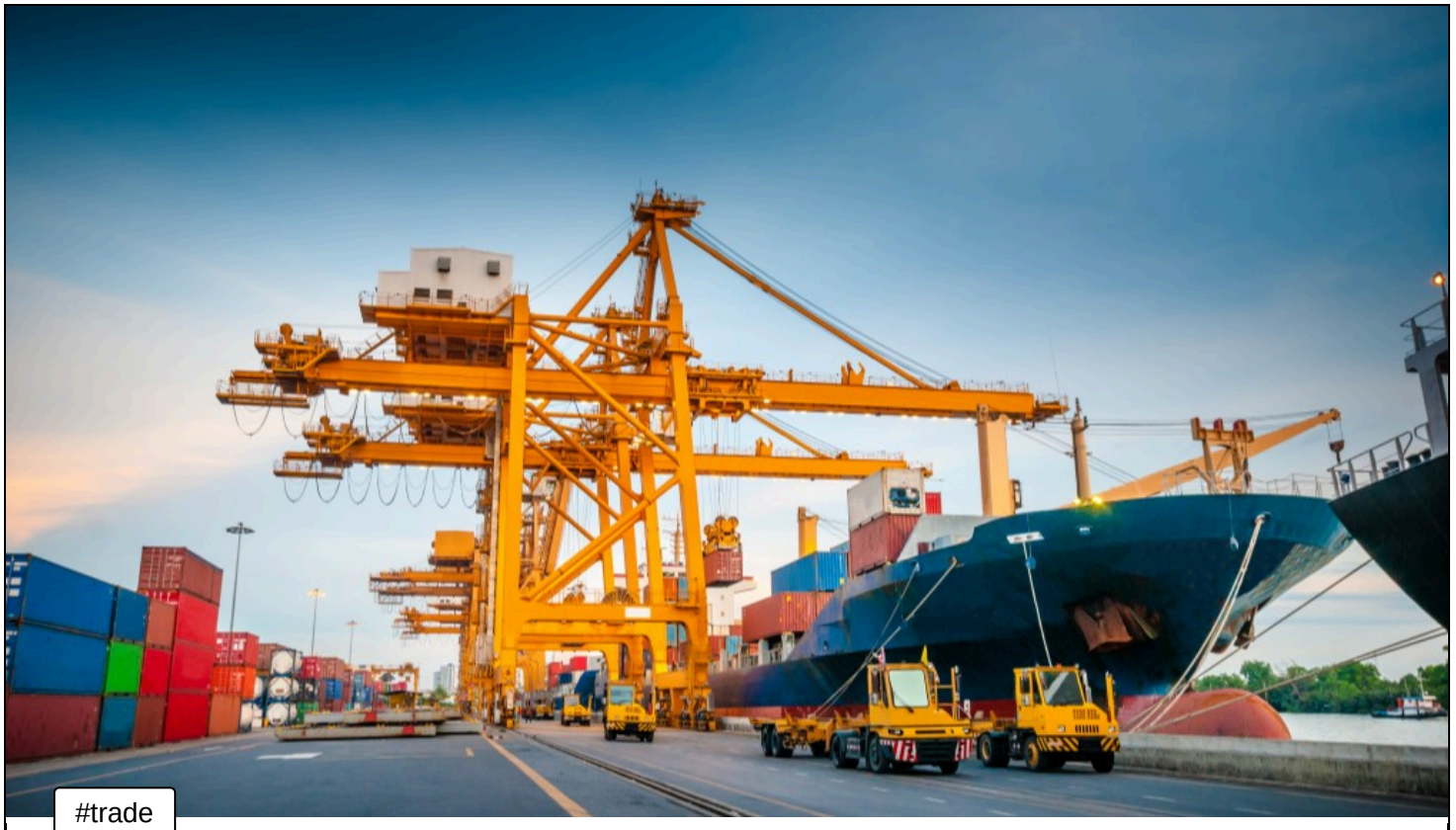

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21 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Global equities were mixed, with solid earnings supporting US markets while ongoing concerns around the AI trade and elevated oil and borrowing costs weighed more heavily elsewhere.

The US Treasury yield curve flattened, with moves lower at the long end also observed across European bond markets.

The US dollar eased, with the AUD regaining its 70 handle and the sterling outperforming following a more resilient unemployment reading.

Oil prices fell on unconfirmed reports of renewed peace negotiations, before largely retracing the move after the reports were denied. Brent finished little changed overall, while WTI held onto more of its losses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7001	0.3%
AUD/JPY	110.81	0.1%
AUD/GBP	0.5233	-0.2%
AUD/NZD	1.2323	0.0%
AUD/EUR	0.6231	0.1%
AUD/CNH	4.6731	0.2%
AUD/SGD	0.8946	0.2%
AUD/HKD	5.4949	0.3%
AUD/CAD	0.9841	-0.1%
EUR/USD	1.1234	0.2%
USD/JPY	158.27	-0.1%
USD Index	101.72	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.64	0.01
90 day BBSY	4.84	0.02
180 day BBSY	5.22	0.03
1 year swap	4.88	-0.01
2 year swap	4.85	-0.02
3 year swap	4.85	-0.03
4 year swap	4.88	-0.03
5 year swap	4.91	-0.03
6 year swap	4.96	-0.04
7 year swap	5.02	-0.04
8 year swap	5.07	-0.04
9 year swap	5.11	-0.04
10 year swap	5.16	-0.04

Equities	Close	Change
S&P/ASX 200	8,817	-0.3%
S&P 500	7,711	0.3%
Japan Nikkei	64,075	-1.3%
Hang Seng	23,868	-1.3%
Euro Stoxx 50	6,122	-0.4%
UK FTSE100	10,733	-0.3%
VIX Index	17.5	-5.1%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.25	0.02
United States		
3-month T Bill	4.06	-0.03
2 year bond	4.78	0.01
10 year bond	5.11	-0.03
Other (10 year yields)		
Germany	3.40	-0.06
Japan	2.90	-0.01
UK	5.41	-0.02

Commodities	Current	Change
CRB Index	416.94	-0.4%
Gold	4120.28	-0.5%
Copper	14420	0.6%
Oil (WTI futures)	101.79	-1.8%
Coal (coking)	267.00	0.2%
Coal (thermal)	153.55	-1.6%
Iron Ore	91.40	-0.4%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.26	-0.02
3 yr bond	4.85	-0.01
3 mth bill rate	4.77	0.00
SPI 200	8,863	0.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were generally subdued on Tuesday. US equities bucked the broader sell-off, supported by solid earnings despite renewed concerns around the AI trade. Oil prices softened and long-dated Treasury yields edged lower following unconfirmed reports that Qatar and Pakistan had proposed a framework to revive negotiations, although the reports were later denied and much of the initial market reaction unwound.

- US equities proved resilient, with strong earnings and a modest decline in oil prices offsetting broader market weakness. The S&P 500 gained 0.3%, while the Dow Jones outperformed, rising 1.0%, and the NASDAQ was unchanged. Other regions fared less well, with the Euro Stoxx 50 down 0.4% and the FTSE 100 falling 0.3%.
- The previous day's tech-led rebound in the US failed to carry over to Asian markets, with the region experiencing a broad sell-off. Elevated oil prices and borrowing costs continued to weigh on sentiment, compounded by renewed AI concerns ahead of key earnings releases in the US. The KOSPI led declines, falling 3.7%, while the Nikkei 225 and Hang Seng both lost 1.3%. Locally, the ASX 200 followed the regional trend, declining 0.3% after paring deeper losses during afternoon trade.
- The US Treasury yield curve flattened, with the 2-year yield rising 1bp and the 10-year yield falling 3bps, with softer oil prices contributing to the move lower at the long end. Futures markets assign just a 17% probability to an October hike, while a December move remains fully priced, taking the implied year-end fed funds rate to 4.14%. Long-dated European bond yields also moved lower as oil prices eased, with the 10-year gilt yield down 2bps and the 10-year Bund yield falling 6bps.
- Australian government bond yields were little changed, with the 3-year yield rising 1bp and the 10-year yield gaining 2bps. Swap markets remain unconvinced of additional RBA tightening in 2026, with the probability of a November rate hike priced at around one in four, taking the implied year-end cash rate to 4.73%.
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Today's key data and events

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21 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Global equities were mixed, with solid earnings supporting US markets while ongoing concerns around the AI trade and elevated oil and borrowing costs weighed more heavily elsewhere.

The US Treasury yield curve flattened, with moves lower at the long end also observed across European bond markets.

The US dollar eased, with the AUD regaining its 70 handle and the sterling outperforming following a more resilient unemployment reading.

Oil prices fell on unconfirmed reports of renewed peace negotiations, before largely retracing the move after the reports were denied. Brent finished little changed overall, while WTI held onto more of its losses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7001	0.3%
AUD/JPY	110.81	0.1%
AUD/GBP	0.5233	-0.2%
AUD/NZD	1.2323	0.0%
AUD/EUR	0.6231	0.1%
AUD/CNH	4.6731	0.2%
AUD/SGD	0.8946	0.2%
AUD/HKD	5.4949	0.3%
AUD/CAD	0.9841	-0.1%
EUR/USD	1.1234	0.2%
USD/JPY	158.27	-0.1%
USD Index	101.72	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.64	0.01
90 day BBSY	4.84	0.02
180 day BBSY	5.22	0.03
1 year swap	4.88	-0.01
2 year swap	4.85	-0.02
3 year swap	4.85	-0.03
4 year swap	4.88	-0.03
5 year swap	4.91	-0.03
6 year swap	4.96	-0.04
7 year swap	5.02	-0.04
8 year swap	5.07	-0.04
9 year swap	5.11	-0.04
10 year swap	5.16	-0.04

Equities	Close	Change
S&P/ASX 200	8,817	-0.3%
S&P 500	7,711	0.3%
Japan Nikkei	64,075	-1.3%
Hang Seng	23,868	-1.3%
Euro Stoxx 50	6,122	-0.4%
UK FTSE100	10,733	-0.3%
VIX Index	17.5	-5.1%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.25	0.02
United States		
3-month T Bill	4.06	-0.03
2 year bond	4.78	0.01
10 year bond	5.11	-0.03
Other (10 year yields)		
Germany	3.40	-0.06
Japan	2.90	-0.01
UK	5.41	-0.02

Commodities	Current	Change
CRB Index	416.94	-0.4%
Gold	4120.28	-0.5%
Copper	14420	0.6%
Oil (WTI futures)	101.79	-1.8%
Coal (coking)	267.00	0.2%
Coal (thermal)	153.55	-1.6%
Iron Ore	91.40	-0.4%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.26	-0.02
3 yr bond	4.85	-0.01
3 mth bill rate	4.77	0.00
SPI 200	8,863	0.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were generally subdued on Tuesday. US equities bucked the broader sell-off, supported by solid earnings despite renewed concerns around the AI trade. Oil prices softened and long-dated Treasury yields edged lower following unconfirmed reports that Qatar and Pakistan had proposed a framework to revive negotiations, although the reports were later denied and much of the initial market reaction unwound.

- US equities proved resilient, with strong earnings and a modest decline in oil prices offsetting broader market weakness. The S&P 500 gained 0.3%, while the Dow Jones outperformed, rising 1.0%, and the NASDAQ was unchanged. Other regions fared less well, with the Euro Stoxx 50 down 0.4% and the FTSE 100 falling 0.3%.
- The previous day's tech-led rebound in the US failed to carry over to Asian markets, with the region experiencing a broad sell-off. Elevated oil prices and borrowing costs continued to weigh on sentiment, compounded by renewed AI concerns ahead of key earnings releases in the US. The KOSPI led declines, falling 3.7%, while the Nikkei 225 and Hang Seng both lost 1.3%. Locally, the ASX 200 followed the regional trend, declining 0.3% after paring deeper losses during afternoon trade.
- The US Treasury yield curve flattened, with the 2-year yield rising 1bp and the 10-year yield falling 3bps, with softer oil prices contributing to the move lower at the long end. Futures markets assign just a 17% probability to an October hike, while a December move remains fully priced, taking the implied year-end fed funds rate to 4.14%. Long-dated European bond yields also moved lower as oil prices eased, with the 10-year gilt yield down 2bps and the 10-year Bund yield falling 6bps.
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Cliff Notes: getting the balance right

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Ryan Wells, Illiana Jain & Elliot Clarke

10:46 October 16 2026

Share

Key insights from the week that was.

Australia's key data release this week was the September Labour Force Survey. Employment surprised to the downside, -39.3k. However, a 0.2ppt decline in labour force participation from August's near-historic high largely offset. The unemployment rate therefore held at 4.7% after August was revised up.

Residual seasonality may be in the mix. Regardless, the take home point from the update is that the

labour market is continuing to ease as employment growth runs below working-age population growth. We expect the unemployment rate to grind higher into 2027 as tighter financial conditions and cost-of-living pressures restrict activity growth to a below-trend pace. Although, our forecast peak is near at 4.8%, due by Q2 2027.

This update on the labour market complicates the communication challenge for the RBA. The September minutes were firmly on the hawkish side, with the discussion focussing on materialising upside risks to inflation. But, with the unemployment rate now through the RBA's NAIRU assumption of 4.6%, Governor Bullock's "a little tight" descriptor for the labour market is becoming harder to defend. Still, with a clear focus on inflation risks – which also led us to revise up our near-term CPI forecasts in the October Market Outlook – we still expect a 25bp rate hike at the November meeting.

Over in the US, the headline CPI rose 0.6% as expected in September, taking the annual rate up to 3.7%yr. Energy prices were a key contributor (5.2%, 20.4%yr), while core inflation was a touch above consensus in the month at 0.3% (2.6%yr). Within the core components, core goods prices gained 0.3% after being broadly unchanged over the past 6 months (0.7%yr). Core services meanwhile rose 0.4% (3.1%yr) on a 0.4% increase in shelter (3.2%yr), a 0.6% gain for transport services and a 0.3% increase in medical care services (2.7%yr and 2.5%yr respectively). Further, the subsequent release of the PPI pointed to continued upstream price pressures, with the headline and core measures up 6.3%yr and 5.0%yr respectively. The latest Beige Book provided colour on these developments, firms across multiple districts citing tariffs, insurance and commodity prices as ongoing sources of cost pressure. Guiding on the risks, many respondents expect further price increases as contracts/hedges roll off.

Given their telegraphed concerns over inflation, there is enough signal in these reports to warrant a follow-up hike at the October FOMC meeting. Though it seems Committee members believe they are near the end of the tightening cycle and so have time on their side. This week, Daly and Bowman both showed patience in assessing the trend, with no clear bias towards an October or December decision. Williams stated he believes one more hike would prove sufficient in this cycle given known information. And Waller also showed confidence, highlighting that elevated long-term yields are doing some of the FOMC's work, restricting demand in interest rate sensitive sectors. We hold a similar view, anticipating that one more hike by year end and a little time will bring inflation near the 2.0%yr medium-term target. However, as discussed in this month's Market Outlook, capacity pressures are likely to see inflation consistently above target, rather than below, in coming years – particularly if, as we suspect, capacity in the housing sector remains tight. This will mean the FOMC have to remain modestly restrictive over the forecast horizon and will also bias up long-term yields.

In Asia, there was one release that stood out, China's trade account. At USD133.5bn, the September result was a whisker inside January 2025's record high of USD137.9bn. More impressively, throughout 2025 and 2026 year-to-date the surplus has now averaged USD100.9bn, almost 3 times the average of 2019, prior to the pandemic. The geographic breadth of export growth is as impressive as the headline annual gain of 36.3%yr, even more so given the ongoing strength in Chinese investment in neighbouring nations' production chains. In time, both trade and income receipts from offshore investment should buoy the renminbi, although for now continued outbound foreign investment should moderate the pace of gains against other nations in the region, and likely versus the US dollar.

Another key trend assessed in October's Market Outlook is the evolution of producer prices across Asia, and the likelihood of the disinflationary benefit the west has received in recent decades continuing. Historically, labour cost arbitrage was one of the key drivers of declining goods prices. While still possible, we expect the next phase of manufacturing development to instead be driven by capital, technology and energy. Many end users and the manufacturers undertaking production are also increasingly prioritising resilience, security and specialisation over cost minimisation. It is therefore more probably future supply-chain developments will help contain rising costs through productivity than drive sustained price declines for the goods bought by consumers and businesses.

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21 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Global equities were mixed, with solid earnings supporting US markets while ongoing concerns around the AI trade and elevated oil and borrowing costs weighed more heavily elsewhere.

The US Treasury yield curve flattened, with moves lower at the long end also observed across European bond markets.

The US dollar eased, with the AUD regaining its 70 handle and the sterling outperforming following a more resilient unemployment reading.

Oil prices fell on unconfirmed reports of renewed peace negotiations, before largely retracing the move after the reports were denied. Brent finished little changed overall, while WTI held onto more of its losses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7001	0.3%
AUD/JPY	110.81	0.1%
AUD/GBP	0.5233	-0.2%
AUD/NZD	1.2323	0.0%
AUD/EUR	0.6231	0.1%
AUD/CNH	4.6731	0.2%
AUD/SGD	0.8946	0.2%
AUD/HKD	5.4949	0.3%
AUD/CAD	0.9841	-0.1%
EUR/USD	1.1234	0.2%
USD/JPY	158.27	-0.1%
USD Index	101.72	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.64	0.01
90 day BBSY	4.84	0.02
180 day BBSY	5.22	0.03
1 year swap	4.88	-0.01
2 year swap	4.85	-0.02
3 year swap	4.85	-0.03
4 year swap	4.88	-0.03
5 year swap	4.91	-0.03
6 year swap	4.96	-0.04
7 year swap	5.02	-0.04
8 year swap	5.07	-0.04
9 year swap	5.11	-0.04
10 year swap	5.16	-0.04

Equities	Close	Change
S&P/ASX 200	8,817	-0.3%
S&P 500	7,711	0.3%
Japan Nikkei	64,075	-1.3%
Hang Seng	23,868	-1.3%
Euro Stoxx 50	6,122	-0.4%
UK FTSE100	10,733	-0.3%
VIX Index	17.5	-5.1%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.25	0.02
United States		
3-month T Bill	4.06	-0.03
2 year bond	4.78	0.01
10 year bond	5.11	-0.03
Other (10 year yields)		
Germany	3.40	-0.06
Japan	2.90	-0.01
UK	5.41	-0.02

Commodities	Current	Change
CRB Index	416.94	-0.4%
Gold	4120.28	-0.5%
Copper	14420	0.6%
Oil (WTI futures)	101.79	-1.8%
Coal (coking)	267.00	0.2%
Coal (thermal)	153.55	-1.6%
Iron Ore	91.40	-0.4%
ACCU	36.13	-4.3%

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10 yr bond	5.26	-0.02
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- The US dollar eased, with the DXY down 0.3%. The AUD regained its 70 handle against the greenback, rising 0.3% to 0.7001. Other major currencies also gained against the USD, with the yen up 0.1% and the euro rising 0.2%, while sterling outperformed, gaining 0.6% following a more resilient unemployment reading.
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Today's key data and events

Time	Event	Exp	Prev
17:00	GB CPI Sep	0.3%	0.5%
17:00	GB Public Sector Borrowing Sep	£24b	£18.3b

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International Data

US housing starts declined 5.2% in September after a downwardly revised 5.9% fall in August (prev -2.6%), returning near its 5-year low. **Building permits** edged 0.2% lower in September after a 2.1% loss in August. In the established home market, **pending home sales** dropped 7.3% in September to be 12.6% lower over the year. Serviceability and cost-of-living continue to weigh heavily on the housing market.

The **Euro Area ZEW survey of expectations** fell from 25.8 to 18.5 in October under the weight of high oil prices and increased uncertainty over the near-term economic outlook. Still, the current level is above the average of the past 5 years, and only modestly below the full history average of 21.4.

The **UK ILO unemployment rate** edged down from 4.9% to 4.7% in the 3 months to August as employment growth strengthened from 66k to 102k on a 3 month average basis.

Local Data

We published our **October Commodities Update**, covering recent market developments and forecasts across the broader commodities complex (see here).

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21 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Global equities were mixed, with solid earnings supporting US markets while ongoing concerns around the AI trade and elevated oil and borrowing costs weighed more heavily elsewhere.

The US Treasury yield curve flattened, with moves lower at the long end also observed across European bond markets.

The US dollar eased, with the AUD regaining its 70 handle and the sterling outperforming following a more resilient unemployment reading.

Oil prices fell on unconfirmed reports of renewed peace negotiations, before largely retracing the move after the reports were denied. Brent finished little changed overall, while WTI held onto more of its losses.

Data snapshot

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21 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Global equities were mixed, with solid earnings supporting US markets while ongoing concerns around the AI trade and elevated oil and borrowing costs weighed more heavily elsewhere.

The US Treasury yield curve flattened, with moves lower at the long end also observed across European bond markets.

The US dollar eased, with the AUD regaining its 70 handle and the sterling outperforming following a more resilient unemployment reading.

Oil prices fell on unconfirmed reports of renewed peace negotiations, before largely retracing the move after the reports were denied. Brent finished little changed overall, while WTI held onto more of its losses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7001	0.3%
AUD/JPY	110.81	0.1%
AUD/GBP	0.5233	-0.2%
AUD/NZD	1.2323	0.0%
AUD/EUR	0.6231	0.1%
AUD/CNH	4.6731	0.2%
AUD/SGD	0.8946	0.2%
AUD/HKD	5.4949	0.3%
AUD/CAD	0.9841	-0.1%
EUR/USD	1.1234	0.2%
USD/JPY	158.27	-0.1%
USD Index	101.72	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.64	0.01
90 day BBSY	4.84	0.02
180 day BBSY	5.22	0.03
1 year swap	4.88	-0.01
2 year swap	4.85	-0.02
3 year swap	4.85	-0.03
4 year swap	4.88	-0.03
5 year swap	4.91	-0.03
6 year swap	4.96	-0.04
7 year swap	5.02	-0.04
8 year swap	5.07	-0.04
9 year swap	5.11	-0.04
10 year swap	5.16	-0.04

Equities	Close	Change
S&P/ASX 200	8,817	-0.3%
S&P 500	7,711	0.3%
Japan Nikkei	64,075	-1.3%
Hang Seng	23,868	-1.3%
Euro Stoxx 50	6,122	-0.4%
UK FTSE100	10,733	-0.3%
VIX Index	17.5	-5.1%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.25	0.02
United States		
3-month T Bill	4.06	-0.03
2 year bond	4.78	0.01
10 year bond	5.11	-0.03
Other (10 year yields)		
Germany	3.40	-0.06
Japan	2.90	-0.01
UK	5.41	-0.02

Commodities	Current	Change
CRB Index	416.94	-0.4%
Gold	4120.28	-0.5%
Copper	14420	0.6%
Oil (WTI futures)	101.79	-1.8%
Coal (coking)	267.00	0.2%
Coal (thermal)	153.55	-1.6%
Iron Ore	91.40	-0.4%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.26	-0.02
3 yr bond	4.85	-0.01
3 mth bill rate	4.77	0.00
SPI 200	8,863	0.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were generally subdued on Tuesday. US equities bucked the broader sell-off, supported by solid earnings despite renewed concerns around the AI trade. Oil prices softened and long-dated Treasury yields edged lower following unconfirmed reports that Qatar and Pakistan had proposed a framework to revive negotiations, although the reports were later denied and much of the initial market reaction unwound.

- US equities proved resilient, with strong earnings and a modest decline in oil prices offsetting broader market weakness. The S&P 500 gained 0.3%, while the Dow Jones outperformed, rising 1.0%, and the NASDAQ was unchanged. Other regions fared less well, with the Euro Stoxx 50 down 0.4% and the FTSE 100 falling 0.3%.
- The previous day's tech-led rebound in the US failed to carry over to Asian markets, with the region experiencing a broad sell-off. Elevated oil prices and borrowing costs continued to weigh on sentiment, compounded by renewed AI concerns ahead of key earnings releases in the US. The KOSPI led declines, falling 3.7%, while the Nikkei 225 and Hang Seng both lost 1.3%. Locally, the ASX 200 followed the regional trend, declining 0.3% after paring deeper losses during afternoon trade.
- The US Treasury yield curve flattened, with the 2-year yield rising 1bp and the 10-year yield falling 3bps, with softer oil prices contributing to the move lower at the long end. Futures markets assign just a 17% probability to an October hike, while a December move remains fully priced, taking the implied year-end fed funds rate to 4.14%. Long-dated European bond yields also moved lower as oil prices eased, with the 10-year gilt yield down 2bps and the 10-year Bund yield falling 6bps.
- Australian government bond yields were little changed, with the 3-year yield rising 1bp and the 10-year yield gaining 2bps. Swap markets remain unconvinced of additional RBA tightening in 2026, with the probability of a November rate hike priced at around one in four, taking the implied year-end cash rate to 4.73%.
- The US dollar eased, with the DXY down 0.3%. The AUD regained its 70 handle against the greenback, rising 0.3% to 0.7001. Other major currencies also gained against the USD, with the yen up 0.1% and the euro rising 0.2%, while sterling outperformed, gaining 0.6% following a more resilient unemployment reading.
- Brent was little changed overall as steep earlier losses on unconfirmed reports of renewed peace negotiations were largely unwound later in the session. Brent ended 0.4% lower at US$109/bbl, while WTI maintained more of its earlier decline, falling 1.8% to US$102/bbl. The premium for prompt barrels continued to ease from recent highs, with Dated Brent trading at US$118/bbl. Gold declined 0.5%, while copper gained 0.6%, aluminium fell 0.5% and iron ore declined 0.4%.

Today's key data and events

Time	Event	Exp	Prev
17:00	GB CPI Sep	0.3%	0.5%
17:00	GB Public Sector Borrowing Sep	£24b	£18.3b

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21 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Global equities were mixed, with solid earnings supporting US markets while ongoing concerns around the AI trade and elevated oil and borrowing costs weighed more heavily elsewhere.

The US Treasury yield curve flattened, with moves lower at the long end also observed across European bond markets.

The US dollar eased, with the AUD regaining its 70 handle and the sterling outperforming following a more resilient unemployment reading.

Oil prices fell on unconfirmed reports of renewed peace negotiations, before largely retracing the move after the reports were denied. Brent finished little changed overall, while WTI held onto more of its losses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7001	0.3%
AUD/JPY	110.81	0.1%
AUD/GBP	0.5233	-0.2%
AUD/NZD	1.2323	0.0%
AUD/EUR	0.6231	0.1%
AUD/CNH	4.6731	0.2%
AUD/SGD	0.8946	0.2%
AUD/HKD	5.4949	0.3%
AUD/CAD	0.9841	-0.1%
EUR/USD	1.1234	0.2%
USD/JPY	158.27	-0.1%
USD Index	101.72	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.64	0.01
90 day BBSY	4.84	0.02
180 day BBSY	5.22	0.03
1 year swap	4.88	-0.01
2 year swap	4.85	-0.02
3 year swap	4.85	-0.03
4 year swap	4.88	-0.03
5 year swap	4.91	-0.03
6 year swap	4.96	-0.04
7 year swap	5.02	-0.04
8 year swap	5.07	-0.04
9 year swap	5.11	-0.04
10 year swap	5.16	-0.04

Equities	Close	Change
S&P/ASX 200	8,817	-0.3%
S&P 500	7,711	0.3%
Japan Nikkei	64,075	-1.3%
Hang Seng	23,868	-1.3%
Euro Stoxx 50	6,122	-0.4%
UK FTSE100	10,733	-0.3%
VIX Index	17.5	-5.1%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.25	0.02
United States		
3-month T Bill	4.06	-0.03
2 year bond	4.78	0.01
10 year bond	5.11	-0.03
Other (10 year yields)		
Germany	3.40	-0.06
Japan	2.90	-0.01
UK	5.41	-0.02

Commodities	Current	Change
CRB Index	416.94	-0.4%
Gold	4120.28	-0.5%
Copper	14420	0.6%
Oil (WTI futures)	101.79	-1.8%
Coal (coking)	267.00	0.2%
Coal (thermal)	153.55	-1.6%
Iron Ore	91.40	-0.4%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.26	-0.02
3 yr bond	4.85	-0.01
3 mth bill rate	4.77	0.00
SPI 200	8,863	0.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were generally subdued on Tuesday. US equities bucked the broader sell-off, supported by solid earnings despite renewed concerns around the AI trade. Oil prices softened and long-dated Treasury yields edged lower following unconfirmed reports that Qatar and Pakistan had proposed a framework to revive negotiations, although the reports were later denied and much of the initial market reaction unwound.

- US equities proved resilient, with strong earnings and a modest decline in oil prices offsetting broader market weakness. The S&P 500 gained 0.3%, while the Dow Jones outperformed, rising 1.0%, and the NASDAQ was unchanged. Other regions fared less well, with the Euro Stoxx 50 down 0.4% and the FTSE 100 falling 0.3%.
- The previous day's tech-led rebound in the US failed to carry over to Asian markets, with the region experiencing a broad sell-off. Elevated oil prices and borrowing costs continued to weigh on sentiment, compounded by renewed AI concerns ahead of key earnings releases in the US. The KOSPI led declines, falling 3.7%, while the Nikkei 225 and Hang Seng both lost 1.3%. Locally, the ASX 200 followed the regional trend, declining 0.3% after paring deeper losses during afternoon trade.
- The US Treasury yield curve flattened, with the 2-year yield rising 1bp and the 10-year yield falling 3bps, with softer oil prices contributing to the move lower at the long end. Futures markets assign just a 17% probability to an October hike, while a December move remains fully priced, taking the implied year-end fed funds rate to 4.14%. Long-dated European bond yields also moved lower as oil prices eased, with the 10-year gilt yield down 2bps and the 10-year Bund yield falling 6bps.
- Australian government bond yields were little changed, with the 3-year yield rising 1bp and the 10-year yield gaining 2bps. Swap markets remain unconvinced of additional RBA tightening in 2026, with the probability of a November rate hike priced at around one in four, taking the implied year-end cash rate to 4.73%.
- The US dollar eased, with the DXY down 0.3%. The AUD regained its 70 handle against the greenback, rising 0.3% to 0.7001. Other major currencies also gained against the USD, with the yen up 0.1% and the euro rising 0.2%, while sterling outperformed, gaining 0.6% following a more resilient unemployment reading.
- Brent was little changed overall as steep earlier losses on unconfirmed reports of renewed peace negotiations were largely unwound later in the session. Brent ended 0.4% lower at US$109/bbl, while WTI maintained more of its earlier decline, falling 1.8% to US$102/bbl. The premium for prompt barrels continued to ease from recent highs, with Dated Brent trading at US$118/bbl. Gold declined 0.5%, while copper gained 0.6%, aluminium fell 0.5% and iron ore declined 0.4%.

Today's key data and events

Time	Event	Exp	Prev
17:00	GB CPI Sep	0.3%	0.5%
17:00	GB Public Sector Borrowing Sep	£24b	£18.3b

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US housing starts declined 5.2% in September after a downwardly revised 5.9% fall in August (prev -2.6%), returning near its 5-year low. **Building permits** edged 0.2% lower in September after a 2.1% loss in August. In the established home market, **pending home sales** dropped 7.3% in September to be 12.6% lower over the year. Serviceability and cost-of-living continue to weigh heavily on the housing market.

The **Euro Area ZEW survey of expectations** fell from 25.8 to 18.5 in October under the weight of high oil prices and increased uncertainty over the near-term economic outlook. Still, the current level is above the average of the past 5 years, and only modestly below the full history average of 21.4.

The **UK ILO unemployment rate** edged down from 4.9% to 4.7% in the 3 months to August as employment growth strengthened from 66k to 102k on a 3 month average basis.

Local Data

We published our **October Commodities Update**, covering recent market developments and forecasts across the broader commodities complex (see here).

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Cliff Notes: mulling the minutes

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Sian Fenner, Ryan Wells & Illiana Jain

11:10 October 09 2026

Share

Key insights from the week that was.

The only data release of note in Australia this week was the October Westpac-MI Consumer Sentiment Survey, which reported a 4.7% drop in the headline index. At 80.4, sentiment has tumbled back to deeply pessimistic levels, similar to the post-pandemic cost-of-living shock when readings were among the weakest in the survey's more than fifty-year history. Indeed, inflation and interest rate pressures are once again clearly front of mind for consumers, with both the view on 'family finances vs a year ago'

and ‘family finance next 12 months’ falling 8.0% and 6.4% in the month, respectively. Moreover, the RBA’s September rate hike looks to have had a significant impact – sentiment tanked 20% between those surveyed before the RBA decision and those surveyed afterwards.

Views on the economic outlook were relatively more resilient, but they still weakened, with the one-year and five-year ahead sub-indexes falling 1.6% and 0.4% respectively. Consumers are becoming more ‘on edge’ about job security, albeit not outright alarmed. The unemployment rate remains relatively low versus history, although it has drifted up to a cycle high of 4.6% as labour supply continues to outstrip demand. We expect it to hold there in next week’s September Labour Force Survey – see our preview for more detail. All told, with higher interest rates, renewed inflation pressures and a softening jobs market all weighing at once, households are entering the final months of the year on the back foot.

Offshore, the focus was on US data.

Before turning to this week's releases, it is worth noting that September non-farm payrolls came in softer than expected across most metrics. Employment rose by only 29k (89k expected), and there were sizeable downward revisions to prior months, with a combined 60k removed from July and August payrolls, leaving gains of just 31k and 29k respectively. The details pointed to weaker hiring in leisure & hospitality and education & health services industries, although construction and manufacturing employment continued to benefit from ongoing data-centre-related investment. The unemployment rate edged up to 4.2%, with softer employment occurring alongside a rise in labour force participation to 61.8%. Meanwhile wage growth moderated to 0.1%mth (3.0%yr). Taken together, the report suggests labour demand is cooling, with the three-month average pace of job creation slowing to around 50k. However, softer payroll gains are not necessarily indicative of labour market deterioration. Lower immigration and ageing demographics have reduced the pace of employment growth needed to keep the unemployment rate stable. As such, the report is more consistent with a labour market that is gradually normalising than one entering a meaningful downturn.

The September FOMC minutes reinforced a distinctly hawkish message, with participants noting they had "not seen sufficient progress on lowering inflation in recent months" and expressing concern that inflation risks remained "skewed to the upside". Policymakers highlighted that both core services and core goods inflation remained elevated, with some attributing persistent goods price strength to the effects of the AI buildout despite the sector's traditional disinflationary role. There was also concern that, after more than five years of inflation above target, elevated inflation could begin to influence inflation expectations and wage- and price-setting behaviour. In contrast, labour market conditions were generally viewed as stable and "close to maximum employment". While a majority noted the labour market had strengthened somewhat recently, several participants highlighted unusually low dynamism, characterised by low hiring, low layoffs, a low job-finding rate and elevated long-term unemployment. Importantly, participants generally judged that aggregate wage growth was moderate and "consistent with inflation moving toward 2 percent", with several explicitly noting that "the labor market was not currently a source of inflationary pressures".

A key focus was the interaction between AI investment, productive capacity and inflation. While participants broadly expected AI-related investment to boost productivity growth and potential output over time, several warned that "the AI buildout could cause aggregate demand to outpace aggregate supply over the medium term, putting upward pressure on inflation". Consistent with this view, some participants had raised their estimate of the neutral policy rate and several judged the current policy stance to be "not restrictive or only mildly restrictive". Against this backdrop, all participants supported the September rate increase, and most assessed that another increase in the federal funds rate would likely be appropriate by year-end, although future decisions would remain data dependent.

The September ISM Services PMI released this week painted a similar picture of an economy that remains resilient but is gradually losing momentum. The headline index eased to 54.9 from 55.4 in August, with the decline driven by a sharp fall in business activity and a 9.4pt drop in new export orders, which slipped into contractionary territory for the first time in eight months. Labour market conditions improved modestly with the employment index moving to broadly neutral territory 50.1 after two months below 50, supported by elevated backlogs and still-solid demand. Respondent commentary illustrated the mixed nature of labour demand, with some firms reporting they were "filling positions vacated due to promotions or retirements", while others cited "restructuring due to efficiencies gained using AI tools". Cost pressures also remained elevated, with the prices paid index rising to 74.0, its highest level since July 2022 and around 18pts above its historical average, while fuel costs, tariffs and supply chain constraints remained the most frequently cited concerns. Overall, the report suggests services activity remains consistent with ongoing expansion, albeit at a slower pace, while labour demand and pricing pressures remain firm.

Overall, the data supports our view that the FOMC will move to a broadly neutral policy stance by the end of the year with one more rate hike, although the case for a back-to-back move in October has become less clear cut.

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21 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Global equities were mixed, with solid earnings supporting US markets while ongoing concerns around the AI trade and elevated oil and borrowing costs weighed more heavily elsewhere.

The US Treasury yield curve flattened, with moves lower at the long end also observed across European bond markets.

The US dollar eased, with the AUD regaining its 70 handle and the sterling outperforming following a more resilient unemployment reading.

Oil prices fell on unconfirmed reports of renewed peace negotiations, before largely retracing the move after the reports were denied. Brent finished little changed overall, while WTI held onto more of its losses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7001	0.3%
AUD/JPY	110.81	0.1%
AUD/GBP	0.5233	-0.2%
AUD/NZD	1.2323	0.0%
AUD/EUR	0.6231	0.1%
AUD/CNH	4.6731	0.2%
AUD/SGD	0.8946	0.2%
AUD/HKD	5.4949	0.3%
AUD/CAD	0.9841	-0.1%
EUR/USD	1.1234	0.2%
USD/JPY	158.27	-0.1%
USD Index	101.72	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.64	0.01
90 day BBSY	4.84	0.02
180 day BBSY	5.22	0.03
1 year swap	4.88	-0.01
2 year swap	4.85	-0.02
3 year swap	4.85	-0.03
4 year swap	4.88	-0.03
5 year swap	4.91	-0.03
6 year swap	4.96	-0.04
7 year swap	5.02	-0.04
8 year swap	5.07	-0.04
9 year swap	5.11	-0.04
10 year swap	5.16	-0.04

Equities	Close	Change
S&P/ASX 200	8,817	-0.3%
S&P 500	7,711	0.3%
Japan Nikkei	64,075	-1.3%
Hang Seng	23,868	-1.3%
Euro Stoxx 50	6,122	-0.4%
UK FTSE100	10,733	-0.3%
VIX Index	17.5	-5.1%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.25	0.02
United States		
3-month T Bill	4.06	-0.03
2 year bond	4.78	0.01
10 year bond	5.11	-0.03
Other (10 year yields)		
Germany	3.40	-0.06
Japan	2.90	-0.01
UK	5.41	-0.02

Commodities	Current	Change
CRB Index	416.94	-0.4%
Gold	4120.28	-0.5%
Copper	14420	0.6%
Oil (WTI futures)	101.79	-1.8%
Coal (coking)	267.00	0.2%
Coal (thermal)	153.55	-1.6%
Iron Ore	91.40	-0.4%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.26	-0.02
3 yr bond	4.85	-0.01
3 mth bill rate	4.77	0.00
SPI 200	8,863	0.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were generally subdued on Tuesday. US equities bucked the broader sell-off, supported by solid earnings despite renewed concerns around the AI trade. Oil prices softened and long-dated Treasury yields edged lower following unconfirmed reports that Qatar and Pakistan had proposed a framework to revive negotiations, although the reports were later denied and much of the initial market reaction unwound.

- US equities proved resilient, with strong earnings and a modest decline in oil prices offsetting broader market weakness. The S&P 500 gained 0.3%, while the Dow Jones outperformed, rising 1.0%, and the NASDAQ was unchanged. Other regions fared less well, with the Euro Stoxx 50 down 0.4% and the FTSE 100 falling 0.3%.
- The previous day's tech-led rebound in the US failed to carry over to Asian markets, with the region experiencing a broad sell-off. Elevated oil prices and borrowing costs continued to weigh on sentiment, compounded by renewed AI concerns ahead of key earnings releases in the US. The KOSPI led declines, falling 3.7%, while the Nikkei 225 and Hang Seng both lost 1.3%. Locally, the ASX 200 followed the regional trend, declining 0.3% after paring deeper losses during afternoon trade.
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21 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Global equities were mixed, with solid earnings supporting US markets while ongoing concerns around the AI trade and elevated oil and borrowing costs weighed more heavily elsewhere.

The US Treasury yield curve flattened, with moves lower at the long end also observed across European bond markets.

The US dollar eased, with the AUD regaining its 70 handle and the sterling outperforming following a more resilient unemployment reading.

Oil prices fell on unconfirmed reports of renewed peace negotiations, before largely retracing the move after the reports were denied. Brent finished little changed overall, while WTI held onto more of its losses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7001	0.3%
AUD/JPY	110.81	0.1%
AUD/GBP	0.5233	-0.2%
AUD/NZD	1.2323	0.0%
AUD/EUR	0.6231	0.1%
AUD/CNH	4.6731	0.2%
AUD/SGD	0.8946	0.2%
AUD/HKD	5.4949	0.3%
AUD/CAD	0.9841	-0.1%
EUR/USD	1.1234	0.2%
USD/JPY	158.27	-0.1%
USD Index	101.72	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.64	0.01
90 day BBSY	4.84	0.02
180 day BBSY	5.22	0.03
1 year swap	4.88	-0.01
2 year swap	4.85	-0.02
3 year swap	4.85	-0.03
4 year swap	4.88	-0.03
5 year swap	4.91	-0.03
6 year swap	4.96	-0.04
7 year swap	5.02	-0.04
8 year swap	5.07	-0.04
9 year swap	5.11	-0.04
10 year swap	5.16	-0.04

Equities	Close	Change
S&P/ASX 200	8,817	-0.3%
S&P 500	7,711	0.3%
Japan Nikkei	64,075	-1.3%
Hang Seng	23,868	-1.3%
Euro Stoxx 50	6,122	-0.4%
UK FTSE100	10,733	-0.3%
VIX Index	17.5	-5.1%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.25	0.02
United States		
3-month T Bill	4.06	-0.03
2 year bond	4.78	0.01
10 year bond	5.11	-0.03
Other (10 year yields)		
Germany	3.40	-0.06
Japan	2.90	-0.01
UK	5.41	-0.02

Commodities	Current	Change
CRB Index	416.94	-0.4%
Gold	4120.28	-0.5%
Copper	14420	0.6%
Oil (WTI futures)	101.79	-1.8%
Coal (coking)	267.00	0.2%
Coal (thermal)	153.55	-1.6%
Iron Ore	91.40	-0.4%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.26	-0.02
3 yr bond	4.85	-0.01
3 mth bill rate	4.77	0.00
SPI 200	8,863	0.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were generally subdued on Tuesday. US equities bucked the broader sell-off, supported by solid earnings despite renewed concerns around the AI trade. Oil prices softened and long-dated Treasury yields edged lower following unconfirmed reports that Qatar and Pakistan had proposed a framework to revive negotiations, although the reports were later denied and much of the initial market reaction unwound.

- US equities proved resilient, with strong earnings and a modest decline in oil prices offsetting broader market weakness. The S&P 500 gained 0.3%, while the Dow Jones outperformed, rising 1.0%, and the NASDAQ was unchanged. Other regions fared less well, with the Euro Stoxx 50 down 0.4% and the FTSE 100 falling 0.3%.
- The previous day's tech-led rebound in the US failed to carry over to Asian markets, with the region experiencing a broad sell-off. Elevated oil prices and borrowing costs continued to weigh on sentiment, compounded by renewed AI concerns ahead of key earnings releases in the US. The KOSPI led declines, falling 3.7%, while the Nikkei 225 and Hang Seng both lost 1.3%. Locally, the ASX 200 followed the regional trend, declining 0.3% after paring deeper losses during afternoon trade.
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ECONOMIC BULLETIN

CPI preview, September quarter 2026 – Thursday 22 October, 10:45am.

16 Oct 2026 | **Satish Ranchhod**, Senior Economist | +64 9 336 5668 | +64 21 710 852 | satish.ranchhod@westpac.co.nz

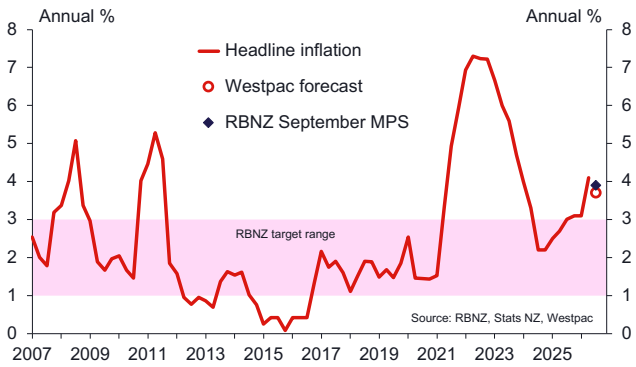
Stopping for gas

- We estimate that New Zealand consumer prices rose by 0.7% in the September quarter, with a moderation in fuel costs balanced against increases in council rates, building costs and food prices.
- The annual inflation rate is expected to drop back to 3.7% (down from 4.1% in the year to June).
- Measures of core inflation are expected to remain firm, with some closely watched measures expected to rise to the top of the RBNZ's target band.
- Our forecast is a little below the RBNZ's last published forecast for 3.9% annual inflation.

Consumer price inflation

	Jun-26 actual	Sep-26 forecast	
		Westpac	RBNZ (Sep MPS)
Headline inflation			
Quarterly	1.5%	0.7%	0.8%
Annual	4.1%	3.7%	3.9%
Non-tradables inflation			
Quarterly	0.6%	1.3%	1.3%
Annual	3.4%	3.6%	3.6%
Tradables inflation			
Quarterly	2.7%	-0.2%	0.2%
Annual	4.9%	3.9%	4.2%

Annual headline inflation



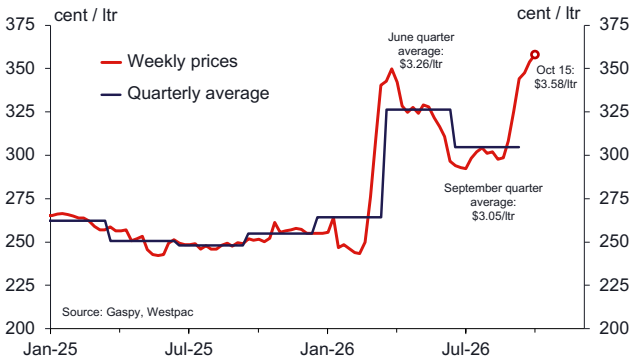
We expect the September quarter inflation report (out on 22 October) will show that New Zealand consumer prices rose 0.7% over the past three months. That would see the annual inflation rate slipping back to 3.7%, down from 4.1% in the year to June. However, as we discuss in our recent **forecast update**, that's likely to be just a temporary reprieve with the recent rise in oil prices set to push inflation up again over the coming months.

Key drivers of quarterly inflation.

Underpinning our forecast for 0.7% inflation in the September quarter are some big price movements in both directions.

The largest move in prices this quarter has actually been a sharp fall in fuel costs. Fuel prices aren't low by any stretch of the imagination. However, average prices for both petrol and diesel over the September quarter were lower than in the June quarter when prices rocketed higher in the wake of the Middle East conflict – see the chart below. In terms of specifics, the average price for 91 unleaded was around 6% lower in September than in the June quarter, while diesel prices were close to 16% lower. Fuel spending accounts for around 4% of the CPI, and these moves have taken 0.4ppts off inflation this quarter.

New Zealand petrol prices – 91 unleaded



While prices at the pump weren't as high as they were in the June quarter, fuel costs are still painfully high. And that's been bleeding through into higher prices for other goods and services. Of note, the September quarter saw large increases in passenger transport costs, with international airfares up 14% and domestic airfares up nearly 8%. Together those prices account for around 2% of the CPI.

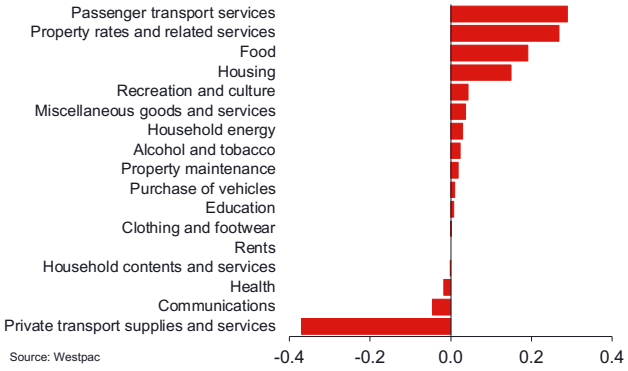
We also expect building costs (10% of the CPI) will rise by 1.6% this quarter following a similarly chunky rise in June. Again, much of that rise has been related to higher global oil prices which have been flowing through to higher operating and material costs. That's occurred at the same time as the amount of planned construction work has been rising.

The September quarter also sees the annual increases in local council rates and charges for services like water supply (around 4% of the CPI). We expect these costs will be up around 7.4% this year, continuing the run of large increases seen in previous years.

Lastly, the past few months saw a 1.0% rise in food prices (18% of the CPI), largely as a result of the seasonal rise in the price for fresh vegetables.

On the downside, we've seen continued softness in housing rents, which are the largest component of the CPI, accounting for 10% of the basket. With low population growth and ample supply, rents have effectively been flat since the start of this year. In annual terms, rental inflation is the lowest it's been in more than two decades, with regions like Wellington seeing outright falls.

Contributions to September quarter inflation forecast (percentage points)



Where could we be surprised?

There are some key areas where we see the risk of a downside surprise. The first is the price for communications equipment, like mobile phones. After a large rise in the June quarter, we could see a sizeable drop in prices this quarter.

There could also be softness in used car prices, especially with high fuel prices encouraging a shift away from combustion engine vehicles.

However, the risks aren't all to one side. Demand for more environmentally friendly new cars has picked up, and that could push up prices for those vehicles. In addition, we're watching to see if high fuel costs are spilling over into other prices as we're seeing in sectors like construction.

Core inflation around 3%, not easing.

With big swings in fuel costs and concerns that this is spilling over into a broader lift in inflation pressures, the RBNZ will be paying close attention to the various measures of core inflation (core inflation measures smooth through quarter-to-quarter swings in individual prices and instead track the underlying trend in inflation).

We expect that core inflation measures will point to continued firmness in underlying price pressures, with several closely watched measures likely to take a step higher this quarter. In terms of specifics, we expect:

- CPI ex-fuel inflation: +3.0% yr (vs +2.9% previously)
- CPI ex-fuel and food: +3.2% yr (vs +2.9% previously)
- CPI ex-fuel, food and household energy: +2.9% yr (vs +2.5% previously)

We'll also be watching the distribution of price changes to see if there's been a material increase in the number of prices that are increasing. That could be an early indication that businesses, even those with a limited exposure to fuel costs, are starting to factor in expectations of continued high inflation when setting prices.

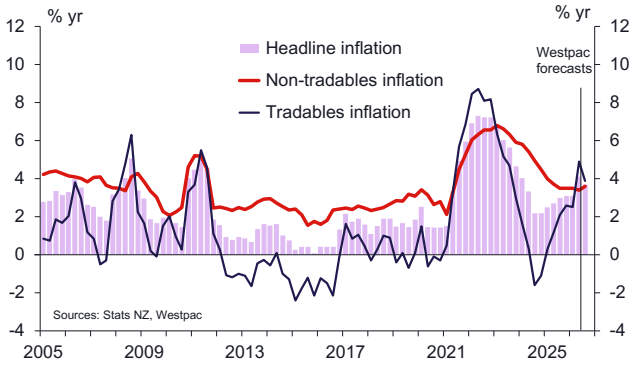
As we've noted before, the various measures of core inflation were not low even before the recent fuel shock. That means the RBNZ has limited headroom to absorb upside inflation surprises.

Much of that firmness in core inflation has been due to increases in domestically oriented non-tradables prices. We estimate these prices rose by 1.3% over the September quarter. That would see annual non-tradables inflation rising to 3.6%, up from 3.4% last quarter.

Non-tradables inflation is a key focus for the RBNZ and it's been running at these above-average levels for around a year now. That's despite the softness in economic growth and the labour market. In part, this firmness in domestic inflation is due to **continued large increases in administered prices**, like council rates.

On the imported front, lower fuel costs are expected to see tradables prices falling by 0.2% over the quarter. That would result in annual tradables inflation dropping back to 3.9% from 4.9% previously. Excluding food and fuel costs, we estimate that tradables prices were up 2.2% over the past year (vs 1.9% in the year to June). That would be the highest level in three years with the fall in the NZD boosting import costs.

Inflation components



How do our forecasts compare to the RBNZ's assumptions?

The RBNZ's last published forecast from their September policy statement assumed that consumer prices would rise by 0.8%qtr (3.9%yr). That's slightly higher than we're expecting. Most of the difference is because the RBNZ is expecting higher imported inflation.

A result in line with our forecast would give the RBNZ a little more breathing room ahead of their upcoming policy review on 28 October. We're expecting they will leave the OCR on hold at this meeting, while markets are pricing in a roughly 66% chance of a 25bp hike.

However, even if the overall inflation result is close to forecast, the underlying detail will be important. The RBNZ will be watching closely for signs that high fuel prices are spilling over into other prices, especially with global oil prices taking another step higher recently. With that in mind, the strength of the various core inflation measures will be a key focus for the RBNZ.

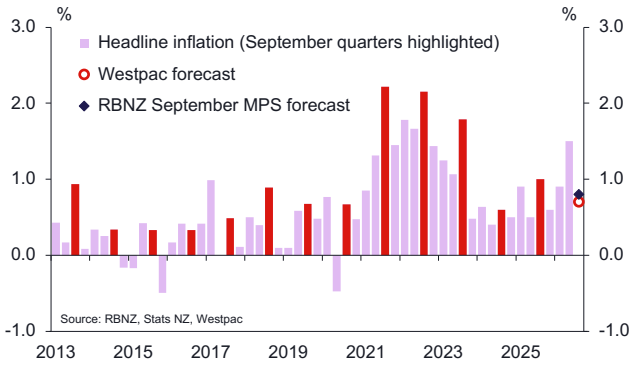
Furthermore, while annual inflation is expected to soften in the September quarter, this is likely to be just a temporary reprieve. With a sharp rise in fuel costs over the past few weeks, **inflation is set to reaccelerate** back over 4% before the end of this year, and it's set to remain above the RBNZ's forecast for most of next year.

September monthly prices.

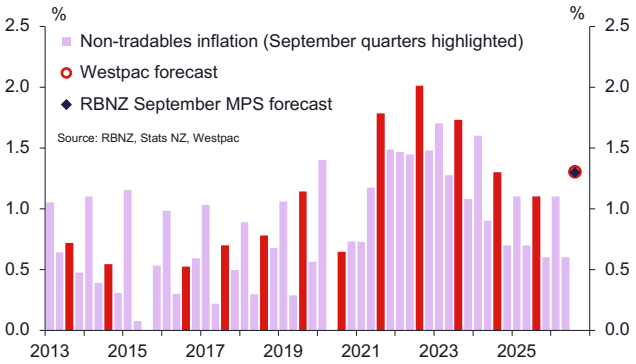
Our forecast for a 0.7% rise in consumer prices in the September quarter incorporates information from Stats NZ's latest monthly prices update. That update did reveal some softer than expected food price movements in September. However, that was balanced against larger than expected rises in airfares and holiday accommodation costs.

See next page for charts of quarterly forecasts.

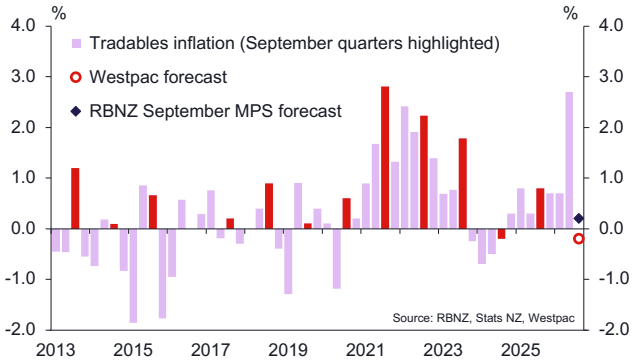
Quarterly CPI inflation



Quarterly non-tradables inflation



Quarterly tradables inflation



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Mapping out Asia ...

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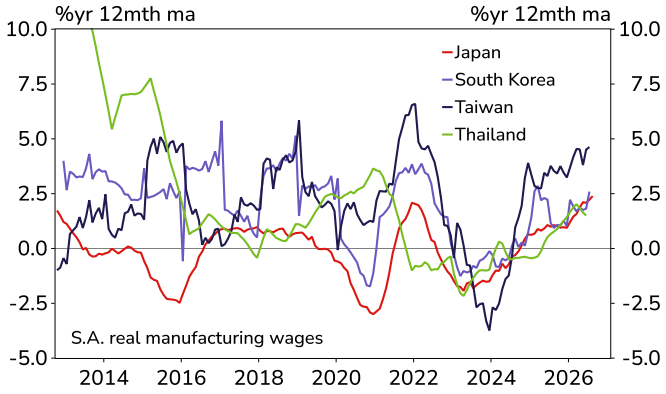
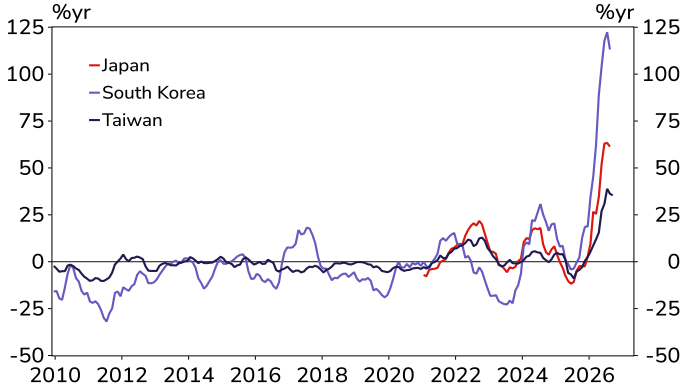
- For two decades, lower labour costs across Asia helped suppress global goods inflation.
- Much of that disinflationary pulse originated in North Asia, where production was increasingly offshored to lower-cost labour markets.
- Today, ageing populations and rising incomes are lifting labour costs across much of the region.
- While production continues to migrate towards South and Southeast Asia, the next phase of manufacturing is increasingly driven by capital, technology and power rather than low-cost labour.
- As a result, labour costs are unlikely to provide the same disinflationary impulse that supported goods prices over the previous decade.

Asia's labour-cost advantage is fading



Source: DGBAS, MOEL, MHLW, NSO, MODS, SBJ, BTEI, Macrobond, Westpac Economics

Electronics export prices skyrocket

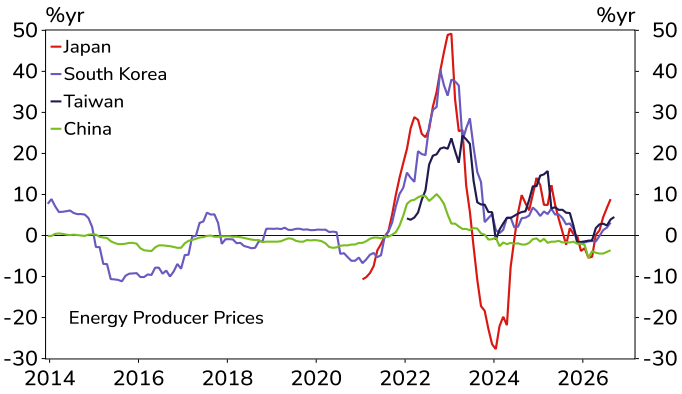


Source: DGBAS, BOK, BOJ, Macrobond, Westpac Economics

- Technology has historically provided a source of disinflation as production costs fell and competition intensified.
- Asia sits at the centre of the AI supply chain through firms such as TSMC, Samsung and SK Hynix, which produce critical semiconductors and memory chips used in AI infrastructure.
- Rising costs for electricity and critical minerals are increasing production costs across the sector.
- Strong demand has allowed firms to pass these costs on while maintaining healthy profitability. SK Hynix's net profit rose from ₩19.8tn to ₩42.9tn (+117%yr).
- Firms are also competing on performance and technological capability rather than price, allowing technology-related inflation to emerge for the first time in years.

- Many Asian economies remain reliant on imported energy, leaving producers exposed to higher oil and LNG costs.
- Semiconductor manufacturing and the broader AI infrastructure build-out are highly energy intensive. Expansions by TSMC, Samsung and SK Hynix are increasing electricity demand across North Asia while data-centre investment adds a further source of demand.
- As technology firms compete with traditional manufacturers for power, energy costs are becoming an increasingly important part of the production process.
- Rising production costs are therefore being driven by both higher energy prices and stronger underlying demand for electricity.

The AI boom is lifting energy demand



Source: BOJ, NBS, BOK, DGBAS, Macrobond, Westpac Economics

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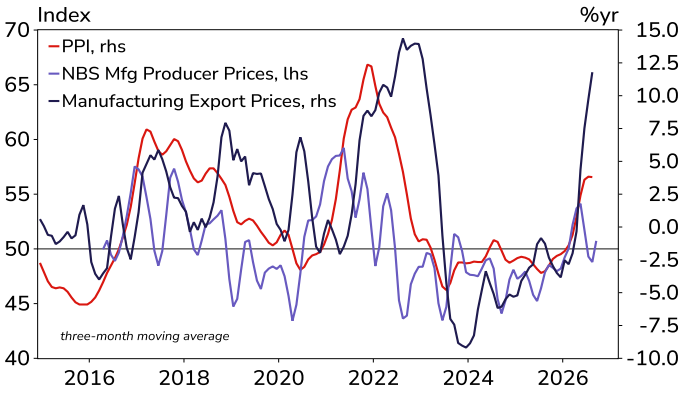
... in charts

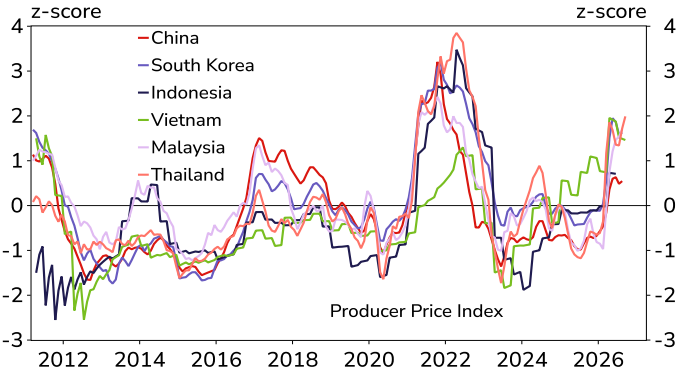
- Chinese producer-price deflation remains evident across parts of traditional manufacturing, particularly sectors facing persistent overcapacity such as automobiles
- Historically, Chinese producer prices acted as the pricing anchor for much of Asia's manufacturing sector.
- What has changed is that parts of the region are increasingly specialising in industries where China is not the dominant supplier.
- Strong demand for semiconductors, memory and AI-related goods is allowing firms in Taiwan and South Korea to set prices according to their own market conditions despite ongoing weakness in Chinese producer prices.
- China's deflationary pulse remains important, but it no longer guarantees lower prices across the rest of Asia.

China's deflation is losing influence



Source: NBS, CFLP, GAC, Macrobond, Westpac Economics

The cheapest supply chain no longer wins

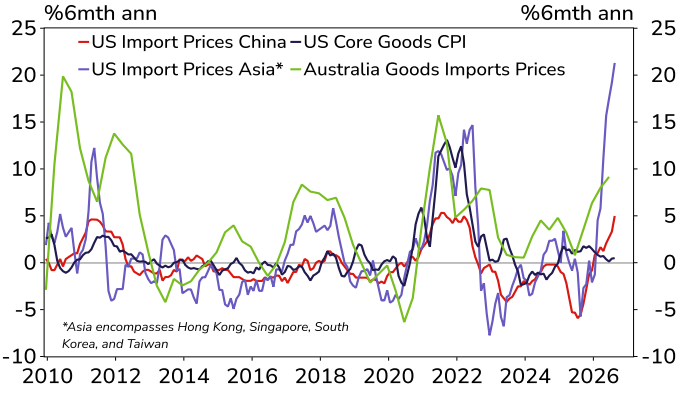


Source: BOJ, BOK, SingStat, HKC&SD, NBS, Philippine Statistics Authority, BPS, Vietnamese National Statistics Office, DOSM, BTEI, Indian Ministry of Commerce & Industry, Macrobond, Westpac Economics

- Rising costs were previously offset by production shifting to lower-cost economies elsewhere in Asia.
- Production continues to migrate towards Vietnam, India, Indonesia, Malaysia and Thailand, helping contain costs.
- However, these economies are unlikely to replicate the scale of China's integration into global manufacturing during the 2000s.
- High-value production remains concentrated in North Asia while firms increasingly value resilience, security and specialisation alongside cost minimisation.
- Future supply-chain shifts may therefore help limit cost pressures, but are unlikely to generate the same disinflationary pulse seen over the last two decades.

- For much of the past decade, falling goods prices helped offset elevated services inflation across developed markets. The forces that drove that disinflation are now becoming less powerful.
- While Chinese deflation and production relocation to lower-cost economies will continue to provide some support, they are unlikely to fully offset these pressures.
- As a result, imported goods may provide less assistance in bringing inflation back to target than they have in the past.
- This leaves central banks increasingly reliant on containing domestic inflation pressures, particularly in services.
- As a result, achieving inflation targets may require a longer period of restrictive monetary policy than has historically been the case.

Asian prices add risk to developed markets



Source: BLS, ABS, Macrobond, Westpac Economics

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First Impressions: NZ Consumers Price Index Q3 2026 and change of OCR call

#inflation #newzealand

By Satish Ranchhod
Senior Economist, Westpac NZ

09:19 October 22 2026

Share

Consumer prices rose 0.7% in the September quarter and 3.7% y/y. Core inflation pressures are elevated and market pricing is primed for a 25bp OCR hike next week, which we now expect.

Consumers Price Index, September quarter 2026 – key stats

Headline inflation

Quarterly change: +0.7% (prev: +1.5%)

Westpac forecast: +0.7%

RBNZ: +0.8%

Market median: +0.8%, range +0.5% to +1.2%

Annual change: +3.7% (prev: +4.1%)

Westpac forecast: +3.7%, RBNZ: +3.9%, Market: +3.8%

Non-tradables

Quarterly change: +1.0% (prev: +0.6%)

Westpac forecast: +1.3%

Annual change: +3.3% (prev: +3.4%)

Tradables

Quarterly change: +0.2% (prev: +2.7%)

Westpac forecast: -0.2%

Annual change: +4.3% (prev: +4.9%)

Consumer prices rose 0.7% in the September quarter. That saw the annual inflation rate easing to 3.7%, down from 4.1% in the year to June.

Today's result was in line with our forecast, but lower than the RBNZ's forecast for 3.9% annual inflation.

However, under the surface, the details were more concerning. Measure of core inflation have taken a step higher, with several closely watched measures now at or slightly above the top of the RBNZ's target band.

We suspect that today's result will leave the market continuing to price a strong chance of another OCR hike at next Wednesday's policy review. In that light, we think the RBNZ will regard this as the path of least resistance, and we now expect that they will deliver (previously we expected that they would pause and assess, before hiking at the December MPS).

What contributed to inflation in the September quarter?

Underpinning September's 0.7% rise in consumer prices were some big price movements in both directions.

The largest move in prices this quarter was actually a sharp fall in fuel costs. Fuel prices aren't low by any stretch of the imagination. However, average prices for both petrol and diesel over the September quarter were lower than in the June quarter when prices rocketed higher in the wake of the Middle East

conflict. In terms of specifics, the average price for 91 unleaded was 6.5% lower in September than in the June quarter, while diesel prices were close to 16% lower. Those moves took 0.4ppts off inflation this quarter.

While prices at the pump weren't as high as they were in the June quarter, fuel costs are still painfully high. And that's been bleeding through into higher prices for other goods and services. Of note, the September quarter saw large increases in passenger transport costs, with international airfares up 14% and domestic airfares up nearly 8%.

The September quarter also saw the annual increases in local council rates (up 6.2%) and charges for services like water supply (up 7.5%). That continues the run of large increases seen in recent years.

Lastly, the past few months saw a 1.0% rise in food prices, largely as a result of the seasonal rise in prices for fresh vegetables.

On the downside, we've seen continued softness in housing rents, which are the largest component of the CPI, accounting for 10% of the basket. With low population growth and ample supply, rents were flat in the September quarter and have effectively been flat since the start of this year. In annual terms, rental inflation is the lowest it's been in more than two decades, with regions like Wellington seeing outright falls.

Annual and core inflation

The annual inflation rate dropped back to 3.7% in the September quarter, down from 4.1% in the year to June and the highest level in two years.

Looking under the surface, prices in the domestically oriented non-tradables group rose 1.0% over the quarter, less than expected. That saw annual non-tradables inflation nudging down to 3.3% (from 3.4% in the year to June).

Non-tradables inflation has continued to run at above-average rates over the past year. That's despite the softness in economic growth and the labour market. In large part, that's due to the continued sizeable increases in administered prices, such as electricity charges which rose 11% over the past year.

However, prices in other areas have also been firm. Non-tradables excluding housing and utilities costs (which also omits local council rates) was 3.4% for the year. In seasonally adjusted terms, quarterly non-tradables inflation has been tracking around 0.8% for most of the past year. It was noted that in sectors like construction, higher materials costs are adding to prices. Feedback from business we've heard indicates that those higher materials costs are likely related to high oil prices.

On the imported front, lower fuel costs saw tradable prices rising by just 0.2% over the September quarter (though above our forecast for a small fall). That saw annual tradables inflation dropping back to 4.3%, down sharply from the 4.9% rise in the year to June.

While fuel costs have been a key driver for tradables inflation, under the surface, other imported inflation pressures are looking firm. Excluding food and fuel costs, tradables prices were up 2.7% over the past year. That's the highest level in three years.

With big swings in fuel costs, and concern that this is spilling over into operating costs more generally, a key focus for the RBNZ is what's been happening to measures of core inflation (which smooth through quarter-to-quarter swings in individual prices and instead track the underlying trend in

inflation).

On this front we did some see worrying signs. Several closely watched measures of core inflation have picked up, and now sit at the top of (or slightly above) the RBNZ target band. In terms of specifics, we saw:

- CPI ex-fuel inflation: +3.0% yr (vs +2.9% previously)
- CPI ex-fuel and food: 3.2% yr (vs +2.9% previously)
- CPI ex-fuel, food and household energy: +2.9% yr (vs +2.5% previously)
- 30% trimmed mean: +3.0% (vs +2.6% previously)
- Weighted median: +3.1% (vs +2.7% previously)

Reinforcing this picture of firm underlying inflation pressures, a growing number of goods have been increasing in price. That could be an early indication that businesses, even those with a limited exposure to fuel costs, are starting to factor in expectations of continued high inflation when setting prices.

Outlook

While today's result was lower than the RBNZ assumed in their September MPS projections, the firmness in core inflation will give the RBNZ pause for thought ahead of their policy review on 28 October. Furthermore, with a sharp rise in petrol prices in recent weeks, September's easing in annual inflation is likely to be just a temporary reprieve. We expect headline inflation to reaccelerate back over 4% before the end of this year, and it's set to remain above the RBNZ's current forecast for most of 2027.

Market pricing and views have coalesced around an October hike which we now suspect the MPC will see as the path of least resistance. Core inflation measures are now close to or above 3%, which will add fuel to arguments from the MPC hawks. We will have more detail in our MPR Preview later today, including on the implications for the shape of the tightening cycle moving forward.

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Q3 China GDP above expectations, but downside risks remain

#china #asia #aud

By Elliot Clarke
Head of International Economics, Westpac

16:03 October 19 2026

Share

Stimulus is required if success in 2026 is to be sustained through 2027 and 2028.

China GDP surprised to the upside in Q3 2026, quarterly growth accelerating from 0.9% in Q2 to 1.2% in Q3. Annual growth lifted from 4.3% to 4.5% as a result; though, on a year-to-date basis, growth edged down 0.1ppts to 4.6%. The Q3 result keeps authorities on track to achieve their 4.5-5.0%ytd ambition for 2026, and also provides a little more time to accelerate domestic demand into 2027.

Broad-based stimulus is required because net exports' contribution to growth will likely abate in coming quarters now that the trade surplus is back at record highs, and as many Chinese firms are increasingly splitting their focus between expanding domestic capacity and offshore production networks.

While annual retail sales growth accelerated from 0.4% to 1.1% in September, the Q3 year-to-date growth pulse of 1.1% is just a quarter of the gain reported a year ago. Automobiles, construction materials and jewellery have been particular heavy detractors over the past year, but most of the other sub-categories also lack momentum. As we detailed in our September Market Outlook, this is not because households are cash constrained, but rather as sentiment is extremely weak and the outlook for employment and wealth highly uncertain. Key for wealth is that house prices for new and established homes continue to decline month-on-month (respectively 0.1% and 0.3% in September) five years into the downturn. Property investment's ongoing decline (-20.6%ytd) suggests this persistent weakness in sales and prices is demand driven.

While total fixed asset investment has been an outright negative for annual GDP growth since April, a recovery is not beyond either the public or private sector's capacity. Rather, across the economy, entities are waiting for direction and incentive from the Central Government. This is likely to come by early-2027 to offset the loss of support from trade, and as downside risks to global growth become more apparent. Helpfully, industrial production continues to grow at a robust pace, 5.3%ytd, borrowing rates for businesses and households are low, and authorities are beginning to provide banks with additional lending capacity. For larger businesses, anecdotes suggest officials are also encouraging major institutional investors to increase their structural allocation to domestic equities, building lasting appetite for new equity issuance, which in turn will fund future waves of real economic capacity and income generation.

We remain comfortable with the view that Chinese GDP growth will hold at or slightly above 4.5% through 2026–2028. But, the longer the Central Government waits to trigger new real investment across both the private and public sectors, the higher the likelihood of poor sentiment becoming entrenched and downside risks crystallising. If authorities wait until after net exports' contribution has faded, even holding annual aggregate growth above 4.0% could become a significant challenge. For this reason, we expect material stimulus initiatives to be announced in the next 3 to 6 months to reset the property sector and turn the business investment trend.

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First Impressions: NZ household incomes, assets and savings update - June quarter 2026

#consumer #newzealand

By Satish Ranchhod
Senior Economist, Westpac NZ

10:24 October 08 2026

Share

New Zealand incomes and savings are rising, as is the value of households' financial assets. However, the value of housing assets remains flat.

Key takeouts from Stats NZ's latest update on household incomes, assets and savings (June quarter 2026)

- Overall household income levels are continuing to rise. Much of that is due to increases in entrepreneurial earnings (which is in part due to increased earnings in the agricultural sector). Wage and salary growth has been more limited but has picked up.
- Household savings levels have been rising for three years now, with another solid rise over the past three months.
- Overall household wealth levels have risen modestly. Although the value of households' financial assets is continuing to rise, housing assets have essentially shown no growth since late 2023.
- Household spending on interest costs rose just slightly in the June quarter. That's the first increase in two years. The easing in average borrowing costs seen over the past few years has come to a close with the RBNZ's hiking cycle now in train.

Household incomes

Disposable income levels in the economy grew by 5.2% in the year to June, down from 6.5% in the year to March

- Underpinning the rise in overall income levels have been continued increases in entrepreneurial earnings, which are up 12% over the past year. That will include stronger earnings in the agricultural sector, which has been boosted by the strength in commodity export prices. That lift in agricultural earnings has been reflected in stronger economic confidence and spending in many rural regions. We expect commodity export earnings will remain firm over the year ahead.
- In contrast, wage and salary earnings are up just 2.7% over the past year. That's up from 1.8% in the year to March, but it's a fairly muted rise, especially given the continued increases in the population and inflation of 4.1%.

Savings and wealth

Household savings have continued to rise, climbing by $2.5b over the past quarter.

- June's large increase in savings builds on the solid increases seen over the past three years.
- The savings rate in the June quarter was 3.7% of disposable incomes, down just slightly from last quarter.

Overall household wealth levels were up 1.9% over the past year. Under the surface, the make-up of household wealth continues to shift.

- The value of households' financial assets has continued to rise and is up 4.6% over the past year.
- However, the value of housing and land assets is down 0.9% over the past year, and it has remained essentially unchanged since late 2023. We expect housing market conditions will remain soft over the coming year, limiting increases in overall household wealth.

Interest costs

- Households' spending on interest costs rose just slightly in the June quarter, climbing by 0.3%.
- While that's a relatively small change, it is the first increase that we've seen in two years.

- Over the past few years, many borrowers saw their debt servicing costs fall as they rolled off earlier high mortgage rates and onto lower ones. That helped to support household spending.
- However, the easing in average borrowing cost has now ended. Recent months have seen mortgage rates pushing higher as the RBNZ has begun to hike the Official Cash Rate, with further hikes expected over the coming year.
- Looking ahead, we don't expect a significant increase in average household borrowing costs. However, we won't see the same support for spending that we did over the past few years.

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Week beginning 19 October 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: 'Cost-Plus' costs.

The Week That Was: Getting the balance right.

Focus on New Zealand: Downward revisions to 2027 outlook.

For the week ahead:

Australia: 2025-26 national accounts, RBA's Hauser and Kent speaking.

New Zealand: Q3 CPI, performance services index, trade balance.

China: Q3 GDP, retail sales, industrial production, fixed asset investment.

Japan: CPI, PMIs.

Euro Area: ZEW survey, consumer confidence, PMIs.

United Kingdom: CPI, unemployment rate, consumer sentiment, retail sales, PMIs.

United States: Housing market data, leading index, Kansas City Fed manufacturing, PMIs.

Information contained in this report current as at 16 October 2026.

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'Cost-Plus' costs

Luci Ellis
Chief Economist, Westpac Group

Forecast changes

- **A full update to our forecasts was published in our October Market Outlook on Thursday 15 October.**

- **The recent tendency of some firms to bundle into prices card-acceptance costs that had previously been surcharged – and then some, in some cases – demonstrates a 'cost-plus' approach to pricing. To the extent they can pass on these costs through to prices, it suggests that demand was strong enough to bear it. The RBA will take this as a signal that demand is still outstripping supply.**
- **This is mostly a story about non-labour costs. Base wages growth has been moderate for some years, though the above-average increase in award wages this year will add a little. Not all firms will seek to pass these cost increases on, but some will, including because they have limited scope to absorb the cost increase into margins.**
- **A cost-plus mentality has drawbacks, including that it limits the imagination away from finding alternative, efficiency-improving responses. It also accords with recent academic research suggesting that firms form expectations and set prices according to what is happening in their own industry and experience, while putting little weight on economy-wide inflation or central bank credibility. This is an unpleasant message for many consumers or anyone in an interest-sensitive sector when supply shocks abound.**

The recent banning of card surcharges has caused considerable upset this month, even though it is a reversion to historical and international practice. The card schemes used to impose "no-surcharge" rules, until the RBA banned these in 2003, and many other countries still have them. The turnaround represents the RBA throwing in the towel on its longstanding effort to use price incentives to get people to choose low-cost payment methods. Surcharges no longer made sense in a largely cashless economy. In any case, least-cost routing puts the power to choose lower-cost methods in the hands of the merchants who actually bear the cost.

In most cases, firms will simply roll the surcharge into the sticker price, leaving the total cost to the consumer unchanged, just more transparent. We also understand that some large retailers have absorbed the cost – if they were surcharging in the first place, which many did not. (The RBA estimated that around 16% of businesses imposed surcharges.) Inevitably, though, some firms have lifted their prices by more than any reasonable estimate of the merchant service fee that the surcharge was meant to cover. And because this is Australia, of course takeaway coffee has been the centre of consumer discontent.

Higher prices for one's caffeine fix was unlikely to be the main instigator of this month's slump in consumer sentiment. Petrol prices are typically more salient for cost-of-living concerns, and the before-and-after picture on the RBA announcement that week shows that higher interest rates also contributed to the decline.

In some senses, though, the post-surcharge prices and the RBA's decisions are linked: businesses passing on increased costs into their own prices – and expecting to be able to make that increase stick – is exactly the kind of inflationary environment the RBA is leaning against. Firms have been subjected to an array of non-labour cost escalations, from pandemic-era supply chain issues to electricity to fuel to water to building supplies. And IT equipment prices, which for decades were a reliable source of cost reductions, are nowadays flat to up. Passing these costs on, leaving margins intact, demonstrates that demand is not weak enough to prevent this, and signals that firms' inflationary expectations might be higher than the RBA desires. The RBA will take this as a sign that demand is still outstripping supply.

> **"Entrenched expectations that cost increases can and should be passed on are precisely what tight monetary policy is leaning against, but only indirectly."**

This is mostly a story about non-labour costs. While the Fair Work Commission did hand down an above-average increase in award wages this year and this was probably passed through to prices in hospitality and other labour-intensive sectors, base wages growth has been moderate for some years. Business surveys point to non-labour cost escalation being the real issue lately. This is why we were puzzled by the passage in the RBA minutes this week suggesting that cost pressures reported in business surveys might imply that the unemployment rate consistent with inflation at target (the NAIRU) has risen. It is a convenient belief, though, if unemployment is starting to overshoot your forecasts, as the latest labour market data have done compared with the RBA's August forecasts.

Not all firms can pass on cost increases. Most small firms do not have the market power, though coffee may be an exception because convenience induces a kind of local market power. And as noted above, large firms with everyday-low-price strategies will instead try to find savings elsewhere in the supply chain.

Still, some firms will seek to pass these cost increases on. Some observers might see this as corporate greed, but another way to frame this strategy is simply as a 'cost-plus' mentality.

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It turns out that cost-plus pricing is especially common in areas where regulators determine the price – water and other utilities being examples where costs and prices have escalated a lot in recent years.

There are limits to firms' ability to absorb costs, too. The failures of so many building firms a few years ago, squeezed between post-pandemic cost escalation, delivery delays and fixed-price contracts, were a case in point. Normally, there is a contractual response, and it need not end in insolvency. The episode does illustrate, however, that it is unrealistic to expect firms never to pass cost increases through to prices.

The cost-plus mentality does have its drawbacks. It limits the imagination away from finding responses that might save costs elsewhere to absorb the cost hike, and in so doing, boost efficiency. It was equally limiting in times of soft demand: in the years before the pandemic, many firms professed a belief that, because they couldn't get price increases to stick, they could not possibly accept cost increases, including in wages. Thus, Australia ended up with wages growth too low to be consistent with inflation at target, and the peculiar spectacle of a central bank governor complaining that wages growth was too low. And if labour remains cheap, why invest to economise on it and thereby boost productivity?

A cost-plus mentality also amplifies the pass-through of supply shocks. This is not quite the same thing as the 'inflation expectations' seen in standard economic models of inflation, but it is related. The stronger the tendency towards cost-plus pricing, the worse the inflation response to a supply shock. This is also true when inflation expectations are high, but the distinction matters. The recent academic literature includes some fascinating empirical evidence from New Zealand that suggests that beliefs about current and future overall inflation have little bearing on many firms' pricing decisions. As related work using French data shows, firms' pricing choices are shaped less by economy-wide inflation developments than by what is happening to their costs and in their industry.

That adds up to economy-wide behaviour that looks a lot like firms (in aggregate) setting prices according to expected inflation (in aggregate), but under the hood something quite different is going on. If firms' beliefs about future economy-wide inflation do not matter much in their pricing decisions, then neither does the credibility of a central bank's commitment to return inflation to target. The mechanism to get inflation down then must be simply to weaken demand enough to convince firms that cost-plus will not fly in the market. This is an unpleasant message for many consumers or anyone in an interest-sensitive sector when supply shocks abound. It does, however, imply that if supply shocks fade or even self-correct, so will high inflation. If and when that happens, tight monetary policy can be unwound.

The deeper question is whether cost-plus price dynamics can be reduced. That is more likely to be a question for regulators than for central banks.

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Cliff Notes: getting the balance right

Elliot Clarke, Head of International Economics
Ryan Wells, Economist
Illiana Jain, Economist

Australia's key data release this week was the September Labour Force Survey. Employment surprised to the downside, –39.3k. However, a 0.2ppt decline in labour force participation from August's near-historic high largely offset. The unemployment rate therefore held at 4.7% after August was revised up.

Residual seasonality may be in the mix. Regardless, the take home point from the update is that the labour market is continuing to ease as employment growth runs below working-age population growth. We expect the unemployment rate to grind higher into 2027 as tighter financial conditions and cost-of-living pressures restrict activity growth to a below-trend pace. Although, our forecast peak is near at 4.8%, due by Q2 2027.

This update on the labour market complicates the communication challenge for the RBA. The September minutes were firmly on the hawkish side, with the discussion focussing on materialising upside risks to inflation. But, with the unemployment rate now through the RBA's NAIRU assumption of 4.6%, Governor Bullock's "a little tight" descriptor for the labour market is becoming harder to defend. Still, with a clear focus on inflation risks – which also led us to revise up our near-term CPI forecasts in the October Market Outlook – we still expect a 25bp rate hike at the November meeting.

Over in the US, the headline CPI rose 0.6% as expected in September, taking the annual rate up to 3.7%yr. Energy prices were a key contributor (5.2%, 20.4%yr), while core inflation was a touch above consensus in the month at 0.3% (2.6%yr). Within the core components, core goods prices gained 0.3% after being broadly unchanged over the past 6 months (0.7%yr). Core services meanwhile rose 0.4% (3.1%yr) on a 0.4% increase in shelter (3.2%yr), a 0.6% gain for transport services and a 0.3% increase in medical care services (2.7%yr and 2.5%yr respectively). Further, the subsequent release of the PPI pointed to continued upstream price pressures, with the headline and core measures up 6.3%yr and 5.0%yr respectively. The latest Beige Book provided colour on these developments, firms across multiple districts citing tariffs, insurance and commodity prices as ongoing sources of cost pressure. Guiding on the risks, many respondents expect further price increases as contracts/hedges roll off.

Given their telegraphed concerns over inflation, there is enough signal in these reports to warrant a follow-up hike at the October FOMC meeting. Though it seems Committee members believe they are near the end of the tightening cycle and so have time on their side. This week, Daly and Bowman both showed patience in assessing the trend, with no clear bias towards an October or December decision. Williams stated he believes one more hike would prove sufficient in this cycle given known information. And Waller also showed confidence, highlighting that elevated long-term yields are doing some of the FOMC's work, restricting demand in interest rate sensitive sectors. We hold a similar view, anticipating that one more hike by year end and a little time will bring inflation near the 2.0%yr medium-term target. However, as discussed in this month's Market Outlook, capacity pressures are likely to see inflation consistently above target, rather than below, in coming years – particularly if, as we suspect, capacity in the housing sector remains tight. This will mean the FOMC have to remain modestly restrictive over the forecast horizon and will also bias up long-term yields.

In Asia, there was one release that stood out, China's trade account. At USD133.5bn, the September result was a whisker inside January 2025's record high of USD137.9bn. More impressively, throughout 2025 and 2026 year-to-date the surplus has now averaged USD100.9bn, almost 3 times the average of 2019, prior to the pandemic. The geographic breadth of export growth is as impressive as the headline annual gain of 36.3%yr, even more so given the ongoing strength in Chinese investment in neighbouring nations' production chains. In time, both trade and income receipts from offshore investment should buoy the renminbi, although for now continued outbound foreign investment should moderate the pace of gains against other nations in the region, and likely versus the US dollar.

Another key trend assessed in October's Market Outlook is the evolution of producer prices across Asia, and the likelihood of the disinflationary benefit the west has received in recent decades continuing. Historically, labour cost arbitrage was one of the key drivers of declining goods prices. While still possible, we expect the next phase of manufacturing development to instead be driven by capital, technology and energy. Many end users and the manufacturers undertaking production are also increasingly prioritising resilience, security and specialisation over cost minimisation. It is therefore more probably future supply-chain developments will help contain rising costs through productivity than drive sustained price declines for the goods bought by consumers and businesses.

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Downward revisions to 2027 outlook

Darren Gibbs
Senior Economist

This week we have updated our New Zealand economic outlook for the next year, in particular reflecting the latest developments in the energy market and key financial variables (long-term interest rates and the exchange rate).

After last week's marking down of our forecast for through-year GDP growth in 2026 to 2.5%yr, this week we have reduced our forecast of growth in 2027 by 0.3ppts to 2.7%yr. This downward revision reflects a less positive assessment of the outlooks for consumption and investment (including residential investment) considering the more elevated path assumed for energy prices and a higher near-term track for long-term interest rates (as discussed in our updated Market Outlook, published earlier this week).

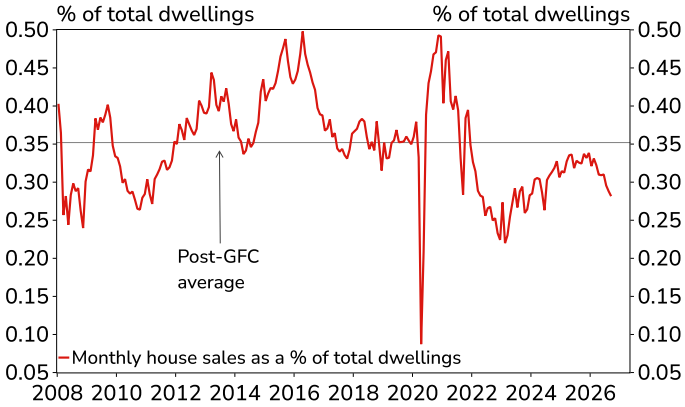
A partial offset to weaker growth in domestic demand is provided by a slightly more positive outlook for exports (particularly exports of manufactured goods and tourism inflows) because of a downward revision to our expectations for the NZ dollar. We now expect NZD/USD to end this year around current levels at 0.56 – 3c lower than expected previously – before appreciating to around 0.64 over the course of 2027 as interest rate differentials with the US gradually close and as the USD appreciates. We think that the low value of the NZ dollar – in trade-weighted terms now at a 17-year low – helps to explain the recent strong performance in the previously moribund manufacturing sector, as well as tourist inflows from key markets such as Australia.

Last week we raised our forecast for CPI inflation at year end to 4.3%yr, largely on account of recent developments in global energy prices (although the weak NZ dollar has compounded the effect). This week we have slightly revised up our forecast for inflation for the first half of 2027. But because energy prices are assumed to decline in 2027 from what is now a higher starting level, our 2027 year-end forecast for inflation has nudged down 0.1ppts to 1.6%yr. Needless to say, forecasts of headline inflation, in particular, are subject to significant revision given the uncertain outlook for the Middle East conflict and uncertainty about how that will be reflected in global energy prices.

Ahead of next week's very important Q3 CPI report – which could prove decisive – we have made no changes to our forecast for the RBNZ's policy settings. So, for now we continue to think that despite the higher near-term inflation outlook the RBNZ will stick with the strategy communicated in the September Monetary Policy Statement, i.e. that at the vv28 October meeting it will pause to assess the impact of this year's 50bps of policy tightening, before considering a further upward adjustment in December.

Turning to this week's data, the news from the housing market remained decidedly downbeat. House sales fell a further 4% in September – the seventh consecutive month of decline – to be 12% lower than a year earlier. With the stock of listings at an 11-year high, the median selling time remains elevated. And so unsurprisingly, house prices fell for a fourth consecutive month and are now down 1.6%yr. Prices remain especially soft in the North Island, with prices down more than 3%yr in Auckland and more than 4%yr in Wellington. Given upward pressures on mortgage rates, broader strength in the economy – including a stronger labour market – will likely be required to reverse this trend. On that score, MBIE's measure of online job advertisements was little changed in September, continuing the flat trend since the beginning of this year.

Monthly house sales



Source: REINZ, Stats NZ, Macrobond, Westpac Economics

In other news, retail spending, as measured by electronic card payments, decreased 0.4%m/m in September following an unrevised 0.9% decline in August. This was a weaker result than we had expected based on the recent sawtooth pattern and our own internal data. We should treat these data with some suspicion given that for quite a while now the Stats NZ series seems not to have reflected the spending seen through banks' own card spending networks, perhaps suggesting changes in the payments arena may be leaving the official sector data behind.

Even so, unsurprisingly, with petrol prices rebounding late in the month, spending on fuel increased 2.9%mth. However, core spending, which excludes spending on fuel and vehicles, fell 0.7%m/m. While spending on consumables (groceries) increased modestly in September, this was at the expense of spending on 'nice to haves'. Spending on hospitality suffered a

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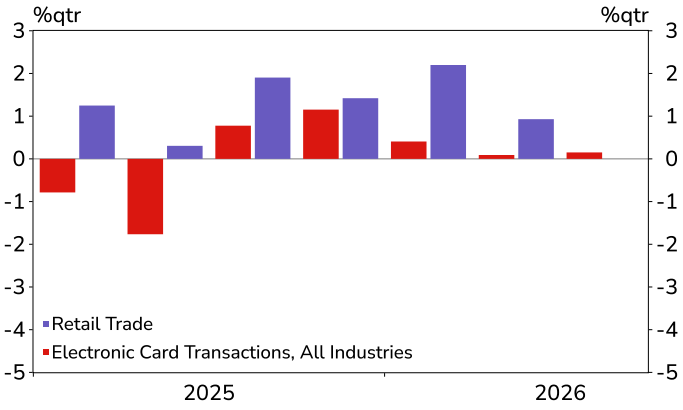
further 2.3%mth fall following a 1.9%mth decline in August, and spending on apparel replicated the 2.0%mth decline reported in August. Spending on durable goods also fell slightly in September (-0.4%mth).

Despite the weak outcome for the August and September months, retail spending over the September quarter still eked out a minor 0.1% gain, while core spending increased 0.4%. Given higher prices, at face value this points to a weak quarter for volumes (next week's CPI report will cast more light on pricing behaviour during the quarter). It is worth noting that total retail spending, as will be depicted in the official quarterly retail sales survey released next month, could point to somewhat stronger growth. Purchases of big-ticket items that often are bought on credit – such as cars, furniture and appliances – are underrepresented in the electronic card spending survey.

Electronic card transactions vs retail trade survey

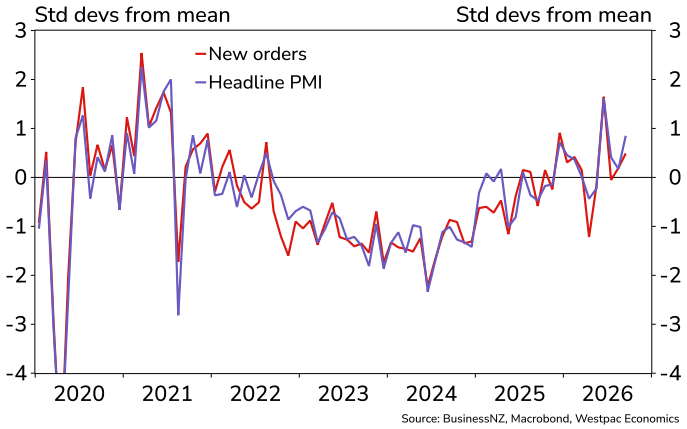


Source: Stats NZ, Macrobond, Westpac Economics

Given subdued domestic demand, local hospitality businesses have relied on foreign visitors to drive growth in spending. And the good news is that visitor arrivals increased to a new post-Covid high in August to be up 8%yr. Arrivals of Chinese citizens have grown by almost a third to sit near pre-Covid levels in recent months, while arrivals of US citizens grew 17%yr. However, the Middle East conflict has impacted long-haul arrivals from Europe (UK arrivals are down 8%yr). Meanwhile, inflows of migrants remain at modest levels, totalling around 20,000 in the year to August – about half what might be expected on average over the cycle.

News from the manufacturing sector remained positive in September, with the BusinessNZ Manufacturing PMI rising to a 3-month high of 56.5 in September. Improvement was seen across all subcomponents of the index, with the new orders index rising 1.8pts to 57.0. We think that the recovery in manufacturing this year owes much to the weakness of the NZ dollar – especially against the Australian dollar – and activity associated with a strong domestic primary sector and an emerging recovery in domestic residential construction activity.

BusinessNZ manufacturing index



Source: BusinessNZ, Macrobond, Westpac Economics

Last but certainly not least, ahead of next week's all-important Q3 CPI, the Selected Prices report for September was firmer than expected. That was mainly due to larger than expected increases in airfares and holiday accommodation costs, which offset softer than expected food prices.

Accounting for the September prices data, we've left our forecast for Q3 inflation at 0.7%. That would see the annual inflation rate dropping back to 3.7%, down from 4.1% in the year to June. Underlying that move has been a moderation in fuel prices after they rocketed higher in the wake of the Middle East war. That's balanced against increases in council rates, building costs and food prices.

Our forecast is lower than the RBNZ's September MPS forecast for a 0.8% rise (+3.9%yr). However, with some large swings in volatile items like fuel, the RBNZ will likely focus on measures of core inflation. Core inflation was already at firm levels in the June quarter, with key measures sitting in the upper part of the RBNZ's target band. We expect that they will take another step higher in September, to sit around 3%. Upside surprises in core inflation would be an important development for the RBNZ ahead of the October OCR review, as this could suggest that the lower NZD and higher oil prices are boosting underlying price pressures by more and sooner than they may have expected.

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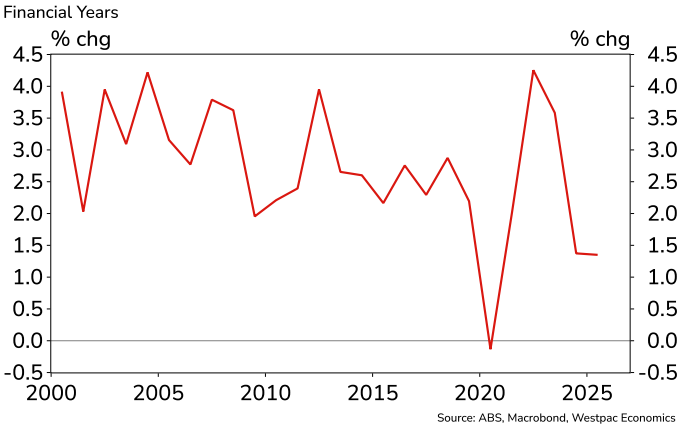
AUS: 2025-26 National Accounts

Oct 23, Current Estimate: 2.3%

The Q2 national accounts showed GDP growth slowing in the first half of 2026 but still coming in at a respectable 2.3%yr in annual average terms (i.e. year to June 2026 vs the year to June 2025), up from 1.4% in 2024-25.

The annual national accounts will provide new 'benchmark' estimates of income, expenditure, production and balance sheets and additional detail on sectors, industries, net additions to the capital stock and productivity growth. The incorporation of new information sources can also result in significant revisions to previously-published estimates with these changing flowing through to quarterly GDP estimates when the Q3 figures are released on Dec 2.

Gross Domestic Product



NZ: Q3 Consumer Prices Index (%)

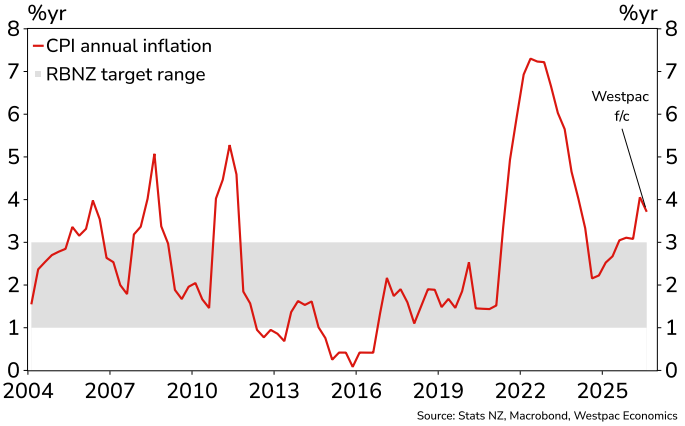
Oct 22, Quarterly, Last: 1.5, Westpac f/c: 0.7
Oct 22, Annual, Last: 4.1, Westpac f/c: 3.7, RBNZ f/c: 3.9

We estimate that New Zealand consumer prices rose by 0.7% in the September quarter, with a moderation in fuel costs balanced against increases in council rates, building costs and food prices.

The annual inflation rate is expected to drop back to 3.7% (down from 4.1% in the year to June). Measures of core inflation are expected to remain firm, with some closely watched measures expected to rise to the top of the RBNZ's target band.

Our forecast is a little below the RBNZ's last published forecast for 3.9% annual inflation. Read our full CPI preview.

NZ consumer prices



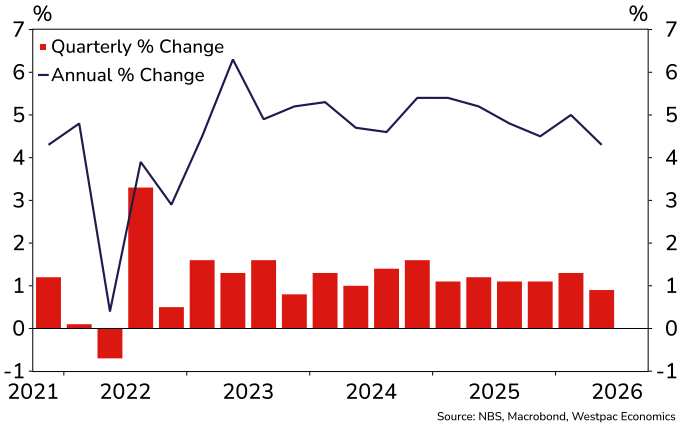
China Q3 GDP (%yr)

Oct 19, Last: 4.3, Westpac f/c: 4.3
Market f/c: 4.4, Range: 4.0 to 4.5

Q3 is likely to produce a very similar outcome to Q2, with quarterly growth of around 1.0% holding the annual rate at 4.3%yr. Year-to-date, growth will remain around 4.7%ytd thanks to the Q1 result.

The detail and partial data for September will again highlight the weak state of the consumer and domestic-oriented businesses, but also the incredible strength of exports. With the trade surplus back at record highs, there are limits to the contribution possible from net exports hence, necessitating a strengthening of domestic demand if aggregate growth is to continue at the rate authorities intend into 2027. Expect additional stimulus through the turn of the year.

Growth needs support



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What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Sun 18							
US		Fedspeak	–	–	–	–	Fed's External Communications Blackout
Aus		RBA Speak	–	–	–	–	Interview with RBA's Kent (pre–recorded), 11:00am AEDT.
Mon 19							
Aus		RBA Speak	–	–	–	–	Fireside chat with RBA's Kent, 10:05am AEDT.
NZ	Sep	Performance Services Index	index	51.2	–	–	Improving, but has underperformed the manufacturing sector.
	Sep	Trade Balance	$m	–1349	–	–1955	Off–season export lull; import volumes and prices rising.
Chn	Q3	GDP	%ann	4.3	4.4	4.3	Growth remains below authorities' ambitions ...
	Sep	Retail Sales	ytd %yr	1.1	–	–	... as household demand remains the missing ingredient ...
	Sep	Industrial Production	ytd %yr	5.3	–	–	... though export demand is supporting output ...
	Sep	Fixed Asset Investment	ytd %yr	–7.2	–7.3	–	... while confidence weighs on investment.
UK	Oct	Rightmove House Prices	%mth	0.7	–	–	Housing demand remains rate sensitive.
US	Oct	NAHB Housing Market	index	32.0	31.0	–	Builders remain cautious on affordability pressures.
Tue 20							
Eur	Oct	ZEW Survey Of Expectations	index	25.8	–	–	Confidence will test Europe's resilience narrative.
UK	Aug	ILO Unemployment Rate	%	4.9	5.0	–	Labour market conditions have eased gradually.
US	Sep	Housing Starts	%mth	–2.6	2.3	–	Housing affordability continues to constrain demand..
	Sep	Building Permits	%mth	–2.1	–1.7	–	... with new supply yet to keep pace...
	Sep	Pending Home Sales	%mth	0.3	0.0	–	... leaving turnover under pressure.
Wed 21							
Aus		RBA Speak	–	–	–	–	Appearance by RBA's Hauser, 9:30am AEDT.
UK	Sep	CPI	%ann	3.1	3.3	–	Inflation pressures are stoking expectations for a BoE hike.
	Sep	Public Sector Borrowing	£bn	18.3	–	–	Fiscal pressures remain in focus.
Thur 22							
NZ	Q3	CPI	%qtr	1.5	0.8	0.7	Fuel prices eased from earlier highs, dampening overall inflation.
	Q3	CPI	%ann	4.1	3.9	3.7	Headline inflation to ease in Q3, core measures firm around 3%.
Kor		Bank Of Korea Policy Decision	%	3.0	3.0	–	Tech is creating excess capacity in the economy.
Eur	Oct	Consumer Confidence	index	–16.5	–	–	Household demand has yet to show clear downside risks.
US		Initial Jobless Claims	000s	199	200	–	Labour market resilience remains a key support ...
	Sep	Leading Index	pts	–0.1	–0.2	–	... though growth momentum is moderating.
	Oct	Kansas City Fed Manufacturing	index	14	–	–	Manufacturing conditions remain uneven
Fri 23							
Aus	FY26	2025–26 National Accounts	%ann avg	1.4	–	–	Will provide new 'benchmark' estimates.
Jpn	Sep	CPI	%ann	1.9	2.1	–	Inflation has re–accelerated in recent months.
	Oct	S&P Global Manufacturing PMI	index	54.1	–	–	Factory activity continues to lack conviction ...
	Oct	S&P Global Services PMI	index	51.3	–	–	... while services provide the main support.
Eur	Oct	S&P Global Manufacturing PMI	index	52.9	–	–	Activity continues to show surprising resilience ...
	Oct	S&P Global Services PMI	index	53.0	–	–	... despite ongoing energy market uncertainty.
UK	Oct	GfK Consumer Sentiment	index	–13	–	–	Confidence has struggled to sustain improvement.
	Sep	Retail Sales	%mth	0.5	–	–	Spending has yet to materially weaken.
	Oct	S&P Global Manufacturing PMI	index	51.9	–	–	Activity remains constrained by higher energy costs ...
	Oct	S&P Global Services PMI	index	52.1	–	–	... though consumers have proven more resilient.
US	Oct	S&P Global Manufacturing PMI	index	55.9	55.5	–	Tech infrastructure investment continues to offset weakness.
	Oct	S&P Global Services PMI	index	58.8	57.9	–	Consumption growth is slowing into 2027
	Oct	Uni. Of Michigan Sentiment	index	46.3	46.3	–	Final estimate.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (16 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.60	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.76	4.95	4.95	4.80	4.55	4.30	4.10	3.95	3.95	3.95
3 Year Swap	4.86	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
3 Year Bond	4.85	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
10 Year Bond	5.23	5.20	5.15	5.10	5.05	5.05	5.00	5.00	5.00	5.00
10 Year Spread to US (bps)	14	15	15	15	15	10	0	–5	–10	–15
United States										
Fed Funds	3.875	4.125	4.125	4.125	4.125	4.125	3.875	3.625	3.625	3.625
US 10 Year Bond	5.09	5.05	5.00	4.95	4.90	4.95	5.00	5.05	5.10	5.15
New Zealand										
Cash	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	3.26	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	4.07	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.99	5.00	5.00	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	–9	–5	0	5	15	10	5	0	–5	–10

Exchange rate forecasts

	Latest (16 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
AUD/USD	0.6946	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5653	0.56	0.58	0.61	0.63	0.64	0.64	0.64	0.65	0.65
USD/JPY	157.83	156	154	153	152	151	150	149	148	146
EUR/USD	1.1230	1.14	1.16	1.18	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3303	1.34	1.35	1.36	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.6891	6.65	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2288	1.27	1.24	1.20	1.16	1.15	1.13	1.12	1.12	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.4	0.5	0.2	0.4	0.3	0.4	0.5	–	–	–	–
%yr end	2.5	2.1	2.2	1.5	1.6	1.5	1.4	1.6	2.6	1.5	1.6	2.4
Unemployment rate %	4.2	4.4	4.6	4.7	4.7	4.8	4.8	4.7	4.3	4.7	4.7	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.2	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.3	1.3	0.4	0.5	1.0	0.5	–	–	–	–
%yr end	4.1	3.9	3.9	4.6	3.6	3.4	3.2	2.4	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	0.8	0.8	0.9	0.9	0.7	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.6	3.5	3.5	3.3	3.3	3.1	2.9	3.3	3.5	2.9	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.9	0.2	0.6	0.7	0.9	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.9	1.7	2.1	2.4	2.4	2.5	2.6	2.6	0.3	2.4	2.6	3.0
Unemployment rate %	5.4	5.6	5.5	5.5	5.4	5.3	5.2	5.0	5.4	5.5	5.0	4.4
CPI %qtr	0.9	1.5	0.7	1.2	0.5	0.4	0.5	0.2	–	–	–	–
Annual change	3.1	4.1	3.7	4.3	3.9	2.7	2.6	1.6	3.1	4.3	1.6	1.9

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Week beginning 12 October 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: When reality gets revised.

The Week That Was: Mulling the minutes.

Focus on New Zealand: Fuel, housing and the bumpy road ahead.

For the week ahead:

Australia: RBA minutes, business survey, labour force survey, Westpac-MI Leading Index.

New Zealand: monthly price indices, house prices and sales, retail card spending, manufacturing PMI.

China: CPI, PPI, trade balance.

Euro Area: industrial production, trade balance.

United Kingdom: BoE Governor Bailey speaking, monthly GDP.

United States: Columbus Day, FOMC Chair Warsh speaking, Beige Book, CPI, PPI, retail sales, industrial production, import prices, home sales.

Information contained in this report current as at 9 October 2026.

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When reality gets revised

Luci Ellis
Chief Economist, Westpac Group

- **Recent revisions to US PCE inflation, UK productivity and Canadian population estimates are reminders that statistical measurement is imperfect. Revisions are both a fact of life and, when they improve measurement, desirable.**
- **Australian data will also be revised over time, though not necessarily in the same ways as these latest revisions abroad. The ABS tends to favour quality over speed, which reduces the need for early revisions as more data become available. But revisions can still matter. Population estimates implied in the initial releases of labour market and GDP data are especially likely to be revised in the near term.**
- **Estimates of current trends can change as future data are published. Shifting seasonal patterns are another source of revision, especially for monthly CPI components with short histories. Series that are derived from multiple other imperfectly measured series are more prone to revision than quantities that can be measured directly. All these considerations point to a need for humility when using recent data to make strong policy pronouncements.**

On September 30, the Fed's preferred measure of inflation, PCE, was revised down. New methods and data sources were applied to three components of services inflation (financial advice, software and legal services), large enough to result in downward revisions to the overall read on core PCE inflation. These changes had been pre-announced in June and were therefore not a surprise. The CPI measure of inflation was not affected, nor should the revisions materially change your view of US inflationary pressures.

Some revisions are more consequential for interpretation and policy. A couple of weeks before the US PCE revision, it was revealed that the UK Office for National Statistics was revising down its estimates of average hours worked per worker. The result was that measured productivity growth was nowhere near as weak as had been widely believed. As my friend and counterpart, TS Lombard's Chief Economist Freya Beamish commented on social media, "Oh well. Not like any major policy decisions were taken on the basis of those numbers." Quite.

Also in September, Statistics Canada revised up its estimates of Canada's population, taking the recent growth rates from outright contraction to still-slow growth a little below ½%yr. The number of temporary residents in Canada is still falling, but the revised data do a better job of tracking them, especially those seeking an extension on their permit. (An alert for customers who have seen the cross-country population graph I often use at client events: the Canadian line now looks different but still shows a sharp slowing.)

> **"Economic data are often revised. Sometimes the revisions change the story; sometimes they do not."**

There is no fault to be attributed here. Revisions to key statistics are a part of economic life. Sometimes the underlying data arrive with a lag, perhaps because of reporting deadlines. Sometimes the compiling agency improves its methods or gains access to a better data source. The US and UK examples above fall into this category. In the Canadian case, better data and a more accurate definition of scope were involved. All these revisions should be welcomed. They provide a more accurate picture of the underlying reality.

Australia, revised

Revisions are a fact of life for Australian statistics, too. I am still a little scarred by that unexpected –0.5%qtr GDP print when the September quarter 2016 data were first released on my first day as RBA Assistant Governor; the figure has since been revised to 0%qtr and was followed by a big bounce-back in the December quarter.

The recent revisions mentioned above are less likely to be replicated in Australia, though. Australia's CPI is designed such that the headline (not seasonally adjusted) measure is never revised. This is because it is used in many legal contracts. If an error is detected, the ABS makes the adjustment in subsequent months and quarters rather than revising the history. Our labour force survey has a much higher response rate than its UK equivalent – Australians are a compliant lot when the ABS comes knocking – and measures actual hours worked more reliably. And our population statistics already handle the array of temporary resident visas with the Bureau instead applying a standard 12-month-in-16-month residency test to count as a resident for the population statistics rather than using a visa-classification basis.

This last case illustrates Australia's broader tendency to favour quality over speed in official statistics. Our CPI and national accounts data tend to be published a bit later than peer countries' data for the same reference period, and our

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estimated resident population data is quite a bit lagged relative to Canada's (the 12-month-in-16 criteria taking over a year to confirm). The trade-off is that observers of the Australian economy must wait longer but can be less worried about "flash" and "advance" releases of data that can be quickly revised to tell a completely different story.

Revisions to data still can matter in Australia, and it helps to be aware of the specific cases where it might occur. For example, precisely because the population data are very lagged, the population estimates underlying the initial releases of the labour force survey and national accounts are based on preliminary data and get revised later as a matter of routine. This is why ratios such as the unemployment, employment-to-population and participation rates provide a better real-time gauge of labour market conditions than the monthly change in employment. Similarly, GDP per capita can be revised even when GDP is not. This type of revision is also a more likely source of short-term changes in measured hours worked in the Australian productivity data than the conceptual change that shifted the UK data.

The usual reporting lags – and occasional correction of reporting errors by the reporting entity – will always be a factor in Australia just as it is in other countries. The annual national accounts, due on 23 October, incorporate additional data, revise the quarterly estimates and provide first estimates of important quantities such as the capital stock. Just as importantly, though, the annual accounts reconcile the different ways of measuring GDP. In doing so, what we thought we knew about the recent history of output growth can change.

Every purchase is also a sale, so conceptually, you should get the same answer for final output regardless of whether you count how much is produced, how much people spent on it, or how much income people got for producing it. In practice, though, the "production", "expenditure" and "income" approaches do not always line up until the ABS goes through a more thorough reconciliation process in compiling the annual accounts.

When the future changes the past

Future data can also change our view of the past. Two good examples are trend estimation and seasonal adjustment. Future observations help reveal whether an apparent trend is stable. As a result, real-time trend estimates can differ considerably from those calculated with the benefit of later data.

Identifying stable seasonal patterns also requires a reasonable run of data. Future observations affect whether an earlier movement is judged to be normal seasonal variation. This problem is more pronounced for newer series, where there is not yet enough history to establish what "normal" looks like.

Consider, then, the monthly CPI. This relatively new measure has only a short run of data with many individual components having too little history to use standard seasonal adjustment methods. As Westpac's senior economist Justin Smirk has previously highlighted, some components such as footwear are being 'seasonally adjusted' by applying Henderson trends, similar to those used in the 'trend' measures of labour market and national accounts data. For some other components, including books, furniture, audio-visual and computing equipment and children's clothes, certain price falls – usually associated with sales periods – are just arbitrarily removed from the seasonally adjusted series. The index is held at its previous month's level but otherwise matches the non-seasonally adjusted series.

The seasonally adjusted measures of these CPI components will inevitably be revised over time, and thus so could the monthly trimmed mean estimates. This helps explain why the RBA has said it would, for now, focus on the quarterly trimmed mean based on the old seasonal factors. That measure will at least not be buffeted by shifting measurement of seasonality in a short history. If seasonal patterns are themselves also shifting, the current underlying trend might look a bit different in a few years, not just a smoother month-to-month profile.

The broader point here is to remember that economic statistics are a lens on reality. Sometimes the lens is smudged, sometimes the scope is off and sometimes what is being read as underlying trends is wrong. Measures constructed from several imperfect series – productivity from output and hours worked, or unit labour costs from productivity and labour costs, or savings rates derived from income and spending – are especially prone to revision compared with concepts that can be measured more directly, like a price. That is a strong argument for humility before making firm policy pronouncements based on simple data comparisons.

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Cliff Notes: mulling the minutes

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The only data release of note in Australia this week was the October Westpac-MI Consumer Sentiment Survey, which reported a 4.7% drop in the headline index. At 80.4, sentiment has tumbled back to deeply pessimistic levels, similar to the post-pandemic cost-of-living shock when readings were among the weakest in the survey's more than fifty-year history. Indeed, inflation and interest rate pressures are once again clearly front of mind for consumers, with both the view on 'family finances vs a year ago' and 'family finance next 12 months' falling 8.0% and 6.4% in the month, respectively. Moreover, the RBA's September rate hike looks to have had a significant impact – sentiment tanked 20% between those surveyed before the RBA decision and those surveyed afterwards.

Views on the economic outlook were relatively more resilient, but they still weakened, with the one-year and five-year ahead sub-indexes falling 1.6% and 0.4% respectively. Consumers are becoming more 'on edge' about job security, albeit not outright alarmed. The unemployment rate remains relatively low versus history, although it has drifted up to a cycle high of 4.6% as labour supply continues to outstrip demand. We expect it to hold there in next week's September Labour Force Survey – see our preview for more detail. All told, with higher interest rates, renewed inflation pressures and a softening jobs market all weighing at once, households are entering the final months of the year on the back foot.

Offshore, the focus was on US data.

Before turning to this week's releases, it is worth noting that September non-farm payrolls came in softer than expected across most metrics. Employment rose by only 29k (89k expected), and there were sizeable downward revisions to prior months, with a combined 60k removed from July and August payrolls, leaving gains of just 31k and 29k respectively. The details pointed to weaker hiring in leisure & hospitality and education & health services industries, although construction and manufacturing employment continued to benefit from ongoing data-centre-related investment. The unemployment rate edged up to 4.2%, with softer employment occurring alongside a rise in labour force participation to 61.8%. Meanwhile wage growth moderated to 0.1%mth (3.0%yr). Taken together, the report suggests labour demand is cooling, with the three-month average pace of job creation slowing to around 50k. However, softer payroll gains are not necessarily indicative of labour market deterioration. Lower immigration and ageing demographics have reduced the pace of employment growth needed to keep the unemployment rate stable. As such, the report is more consistent with a labour market that is gradually normalising than one entering a meaningful downturn.

The September FOMC minutes reinforced a distinctly hawkish message, with participants noting they had "not seen sufficient progress on lowering inflation in recent months" and expressing concern that inflation risks remained "skewed to the upside". Policymakers highlighted that both core services and core goods inflation remained elevated, with some attributing persistent goods price strength to the effects of the AI buildout despite the sector's traditional disinflationary role. There was also concern that, after more than five years of inflation above target, elevated inflation could begin to influence inflation expectations and wage- and price-setting behaviour. In contrast, labour market conditions were generally viewed as stable and "close to maximum employment". While a majority noted the labour market had strengthened somewhat recently, several participants highlighted unusually low dynamism, characterised by low hiring, low layoffs, a low job-finding rate and elevated long-term unemployment. Importantly, participants generally judged that aggregate wage growth was moderate and "consistent with inflation moving toward 2 percent", with several explicitly noting that "the labor market was not currently a source of inflationary pressures".

> **"A key focus was the interaction between AI investment, productive capacity and inflation."**

While participants broadly expected AI-related investment to boost productivity growth and potential output over time, several warned that "the AI buildout could cause aggregate demand to outpace aggregate supply over the medium term, putting upward pressure on inflation". Consistent with this view, some participants had raised their estimate of the neutral policy rate and several judged the current policy stance to be "not restrictive or only mildly restrictive". Against this backdrop, all participants supported the September rate increase, and most assessed that another increase in the federal funds rate would likely be appropriate by year-end, although future decisions would remain data dependent.

The September ISM Services PMI released this week painted a similar picture of an economy that remains resilient but is gradually losing momentum. The headline index eased to 54.9 from 55.4 in August, with the decline driven by a sharp fall in business activity and a 9.4pt drop in new export orders, which slipped into contractionary territory for the first time in eight

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months. Labour market conditions improved modestly with the employment index moving to broadly neutral territory 50.1 after two months below 50, supported by elevated backlogs and still-solid demand. Respondent commentary illustrated the mixed nature of labour demand, with some firms reporting they were "filling positions vacated due to promotions or retirements", while others cited "restructuring due to efficiencies gained using AI tools". Cost pressures also remained elevated, with the prices paid index rising to 74.0, its highest level since July 2022 and around 18pts above its historical average, while fuel costs, tariffs and supply chain constraints remained the most frequently cited concerns. Overall, the report suggests services activity remains consistent with ongoing expansion, albeit at a slower pace, while labour demand and pricing pressures remain firm.

Overall, the data supports our view that the FOMC will move to a broadly neutral policy stance by the end of the year with one more rate hike, although the case for a back-to-back move in October has become less clear cut.

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Fuel, housing and the bumpy road ahead

Kelly Eckhold
Chief Economist NZ

Higher fuel costs, a weaker exchange rate, and a softer housing market have prompted a refresh of our near-term forecasts. Inflation looks set to finish 2026 above 4%, while growth could lose a little momentum into year-end. Even so, we continue to expect the RBNZ to pause in October before lifting the OCR to 3% in December.

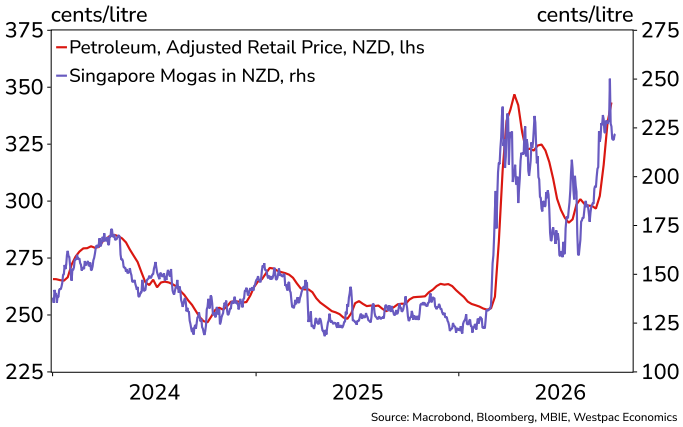
New Zealand's recovery is still moving forward, but the road has become rougher. Since our last forecast update in August, global oil and refined-fuel prices have climbed sharply, the New Zealand dollar has fallen, and longer-term interest rates have moved higher. At home, the housing market has remained weaker than we anticipated. None of those developments, on their own, are enough to derail the recovery. Together, however, they point to a tougher finish to 2026 for households and businesses. We have therefore revisited our near-term inflation, housing and growth forecasts. The broad story remains one of continued economic expansion and gradually improving labour demand, but with a more pronounced inflation spike and slightly less momentum in consumer spending. Our OCR call is unchanged: a pause at the October review, followed by a 25 basis point increase to 3% at the December Monetary Policy Statement.

A temporary inflation reprieve

We continue to think that consumer prices rose 0.7% in the September quarter. That would lower annual inflation from 4.1% in June to 3.7% in September, broadly consistent with the monthly price updates published so far. The final monthly release for the quarter is due on 16 October and will help firm up that estimate. But any easing in the annual rate is likely to prove short-lived. We now expect prices to rise 1.1% in the December quarter, lifting annual inflation to a three-year high of 4.2% by year-end. That is half a percentage point above our previous projection and above the RBNZ's September forecast of 3.9%.

The reason is easy to see at the petrol pump. Higher global fuel prices have been amplified by a more than 4% fall in the New Zealand dollar since the start of September. Local petrol prices have risen by around 50 cents a litre over the past month, with the nationwide average price of 91 unleaded reaching a record $3.55 a litre this week. RBNZ Governor Breman acknowledged a couple of weeks ago that higher oil prices have tilted the risks around the near-term inflation outlook to the upside. Importantly, however, the RBNZ remains focused on the medium-term inflation outlook rather than trying to offset every movement in volatile fuel prices.

Singapore 91 Mogas vs NZ 91 retail petrol price



Source: Macrobond, Bloomberg, MBIE, Westpac Economics

For now, we have left our quarterly inflation forecasts for 2027 unchanged. Even so, the higher starting point at the end of this year means annual inflation is likely to remain firm through much of 2027. Our updated profile has inflation at 3.7% in March 2027, 2.6% in June, 2.5% in September and 1.7% in December. That is broadly similar to the RBNZ's path through the first three quarters, although our forecast falls more quickly late in the year. We will take a fuller look at the 2027 inflation and growth outlook next week alongside the monthly Market Outlook.

Housing fails to find its feet

The housing market has also delivered a disappointment. We had expected prices to stabilise through the second half of 2026, but sales volumes have continued to weaken, and the median time required to sell a property has lengthened to 48 days. Average prices have kept edging lower, despite firmer conditions in parts of the South Island with greater exposure to the strong export economy. The latest indicators do not suggest that a decisive turn is close. We have therefore revised our forecast for national house price growth in 2026 from a 0.6% rise to a 1.4% decline. That incorporates quarterly falls of 0.5% in September and 0.8% in December.

The headwinds are familiar: the labour market remains soft, mortgage rates are higher and employment growth is still moderate. Those forces are likely to keep the market subdued for some time, with risks tilted towards another weak year in 2027. Changes to the taxation of capital gains on investor housing following the 2026 General Election may add another potential drag.

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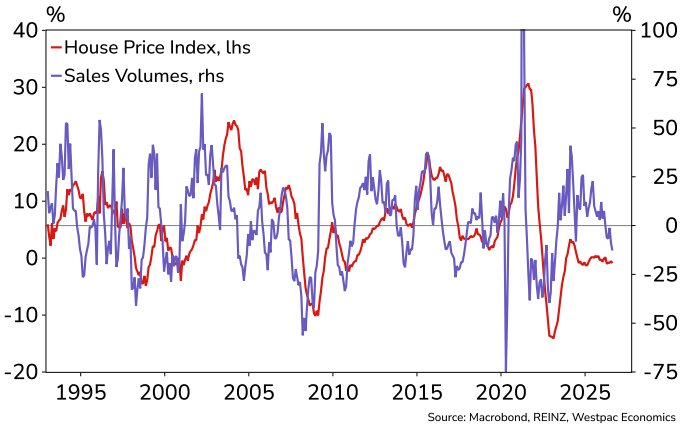
Annual % change in house prices vs sales



Source: Macrobond, REINZ, Westpac Economics

Regional outcomes will continue to differ. Tourism- and agriculture-focused areas should benefit from stronger income and employment growth, supported by robust commodity export prices. We have lifted our 2026/27 Fonterra Milk Price forecast to $9.75/kg and set an opening forecast of $9.50/kg for 2027/28. In contrast, homeowners in the major North Island cities may have to wait longer for the wealth boost that comes with rising property values. Data released this week shows that household wealth continues to be dragged down by declining housing values.

A little less momentum

The weaker housing backdrop matters for the wider economy. When petrol absorbs more of the household budget and home values are drifting lower, consumers tend to become more cautious. That combination is likely to crimp discretionary spending in the run-up to Christmas and could take some steam out of the construction recovery. That's even though our own card spending data for September showed resilience in consumer spending. Recent business and consumer confidence surveys have nevertheless remained resilient despite the rise in energy prices and long-term interest rates. Our short-term growth forecasts therefore remain broadly intact, but we have trimmed our December quarter consumer spending projection and now expect GDP growth of 2.5% over 2026. That is still a solid result, although the balance of risks has shifted to the downside.

There are several moving parts to watch. Sustained high fuel prices would squeeze household purchasing power more than we have allowed for. The sharp lift in long-term interest rates may also weigh on activity through 2027, even if shorter-term borrowing costs evolve as expected. The election result introduces two-sided risks that are difficult to quantify before the shape and timing of policy changes are known. Against that, strong agricultural incomes and signs of improving employment growth should provide a buffer. We have not changed our 2026 labour market forecasts. Hiring appears to be strengthening gradually, but it will take time before that improvement translates into a noticeable fall in the unemployment rate.

The RBNZ should still pause before Christmas

Despite the higher near-term inflation track, we are not changing our OCR forecast. Since the July Monetary Policy Review, our view has been that the RBNZ would slow the pace of increases as the OCR approached the Bank's estimate of a neutral 3%. The September meeting clearly signalled a pause in October and one further rise in December. We continue to regard that as the most likely path. The latest developments raise headline inflation but, so far, there is little evidence that inflation expectations are moving higher or that the fuel shock is generating broader, persistent price pressure. At the same time, growth risks warrant some caution.

A pause in October would give the Monetary Policy Committee time to assess the cumulative effect of the increases already delivered and to refine its strategy for 2027. Financial conditions have also tightened from an unexpected source: longer-term interest rates have risen markedly over the past six weeks. That increase has at least offset the easing impulse from the lower exchange rate, even though the weaker currency is adding to imported inflation in the near term. We still think the RBNZ is likely to have more work to do in 2027, but there is plenty of data to come before that judgement needs to be made.

For now, the best description of the outlook is resilient but less comfortable. Export incomes remain strong, activity is expanding and the labour market is beginning to improve. But households face an awkward combination of record petrol prices, soft home values and higher borrowing costs. That mix points to a bumpy end to the year: inflation will be hotter, spending growth a little cooler and the recovery more uneven across regions. The RBNZ can afford to wait in October, but if the economy develops broadly as we expect, a further hike to 3% in December will still be needed.

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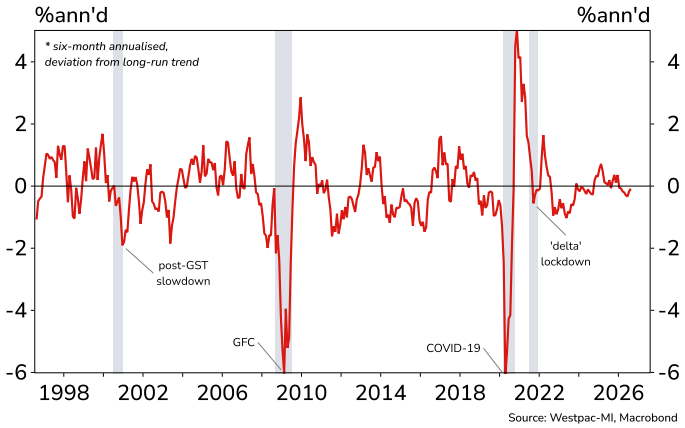
AUS: Sep Westpac MI Leading Index (%ann'd)

Oct 13, Last: –0.09

The Leading Index growth rate lifted to –0.09% in August from –0.17% in July. Momentum has improved to be just a touch below trend, consistent with soft rather than weak growth.

The September read looks likely to be another soft one. Component-wise, sentiment-based measures continued to deteriorate in response to higher fuel price another RBA rate hike while dwelling approvals also recorded a decline and both equity and labour markets softened further. Commodity prices ticked up and the yield spread also widened slightly as rising bond yields outpaced short term rates.

Westpac-MI Leading Index



Source: Westpac-MI, Macrobond

AUS: Sep Labour Force – Employment Change (000s)

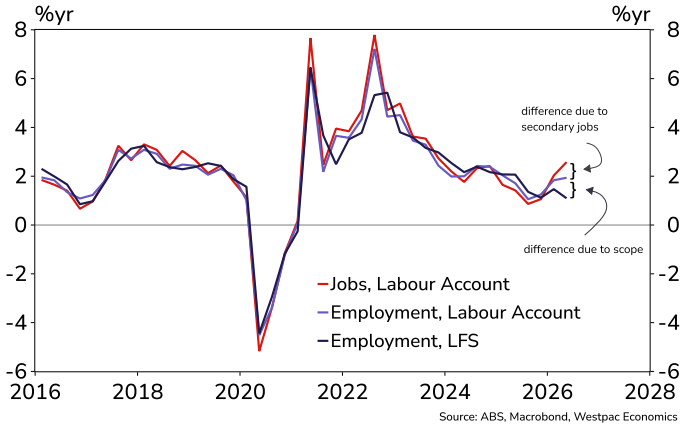
Oct 15, Last: 39.5, Westpac f/c: 20
Market f/c: 20, Range: flat to 35

Employment surprised to the upside in August with a 39k gain. Looking through the monthly swings, while momentum has improved over recent months, employment growth has largely continued to bump around below its historic average and the current pace of working age population growth.

Our preview provides a deeper look into the various gauges of labour demand – the LFS suggests employment growth is sluggish but broader measures in the Q2 Labour Account showed a stronger narrative. Meanwhile job ads and business surveys are also pulling in different directions.

For September, we have pencilled in a lift in employment of +20k, which would see annual growth hold in recent ranges.

Jobs vs. Employment Growth



Source: ABS, Macrobond, Westpac Economics

AUS: Sep Labour Force – Unemployment Rate (%)

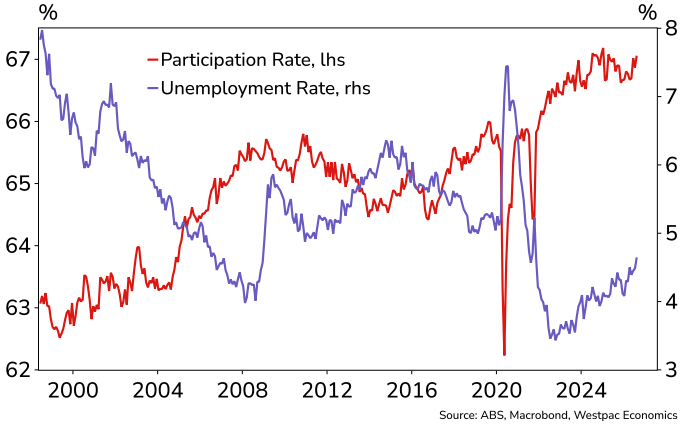
Oct 15, Last: 4.6, Westpac f/c: 4.6
Market f/c: 4.6, Range: 4.5 to 4.7

The participation rate jumped to 67.1% in August, just under the 115-year high recorded in January 2025. With labour supply once again outstripping demand, the unemployment rate rose from 4.5% to 4.6% – the highest since in late-2021, close to rounding up to 4.7% (4.646% at three decimal places).

A softer economy and sub-par employment growth typically discourages some people to search for work, but cost-of-living pressures and interest rate rises are more than outweighing this effect, encouraging more people into the labour market.

With the participation rate expected to pare back to 67.0%, we think the unemployment rate will hold steady at 4.6%. Please see our preview for more detail.

Participation and unemployment rates



Source: ABS, Macrobond, Westpac Economics

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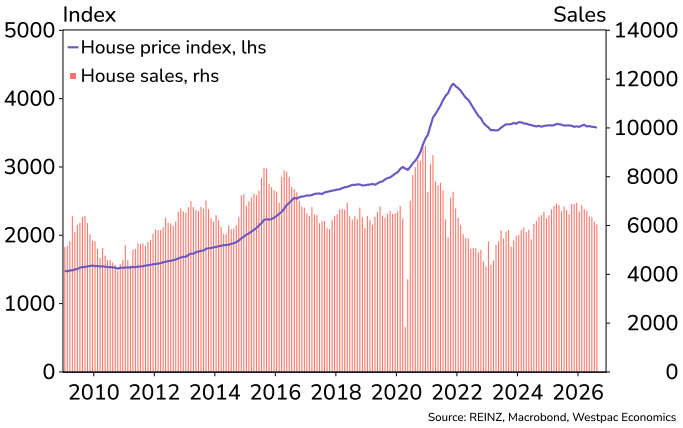
NZ: Sep REINZ House Sales and Prices (%ann)

Oct 14, Sales Last: –13.0, Prices Last: –0.9

The housing market has remained soft in recent months, with sales falling to a two-year low and prices edging lower. Mortgage rates have risen as the RBNZ has initiated a new tightening cycle, and a growing supply of unsold homes on the market means that buyers are under no pressure to bid prices higher. Conditions remain stronger in the south, with prices up on last year in Canterbury, Otago and Southland, while Auckland and Wellington are the weakest markets.

REINZ house sales and prices



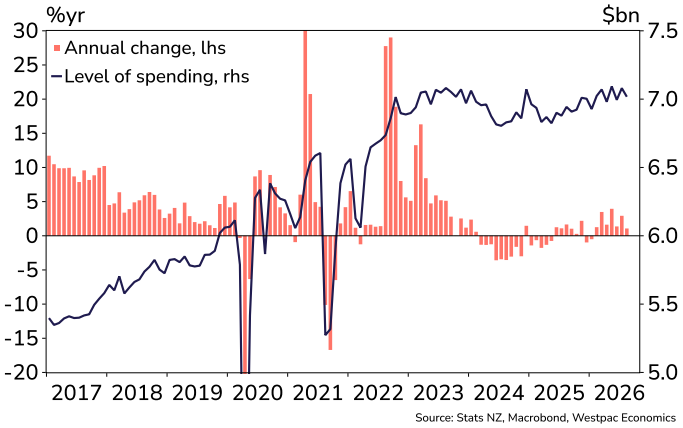
Source: REINZ, Macrobond, Westpac Economics

NZ: Sep Retail Card Spending (%mth)

Oct 16, Last: –0.9, Westpac f/c: 0.8

We're forecasting a 0.8% rise in retail spending in September, reversing the 0.9% fall seen in the previous month. In part, the forecast rise in spending is due to the sharp increases in petrol prices in recent weeks. Those higher fuel costs are weighing on spending in other categories like hospitality. Nevertheless, we still expect a 0.5% rise in core (ex-fuel) spending. Stats NZ's monthly retail spending figures have been very choppy for the past two years, and we're likely to see a bounce following last month's unexpected falls in categories like furnishings.

NZ retail card spending



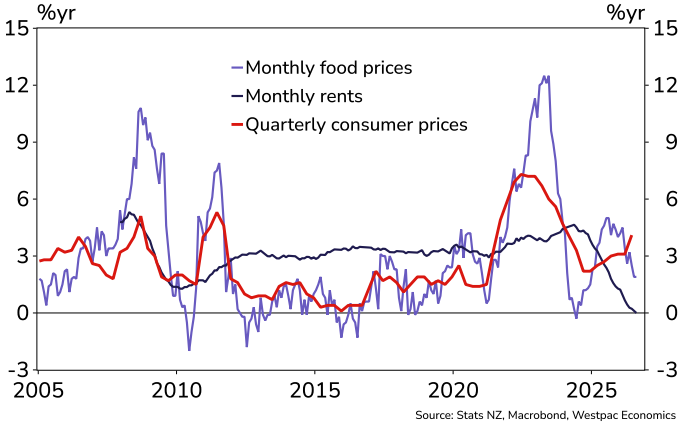
Source: Stats NZ, Macrobond, Westpac Economics

NZ: Sep Selected Consumer Prices (%mth)

Oct 16

This will be the last monthly update ahead of the full quarterly CPI release on 22 October. We're currently forecasting a 0.7% quarterly rise in the CPI (+3.7%yr) and will be watching the detail of the Selected Prices update to pin down that forecast. In terms of the big categories, we're forecasting a roughly 6% rise in petrol costs, along with a 0.7% rise in food prices. That's balanced against continued softness in housing rents (which are the single largest component of the CPI). The key sources of risk for our forecast are the volatile travel categories, most of which recorded sizeable drops last month that we expect to partially reverse in September.

NZ selected consumer prices



Source: Stats NZ, Macrobond, Westpac Economics

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What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 12							
US		Columbus Day	–	–	–	–	Stock markets open, bond markets closed.
		Fedspeak	–	–	–	–	Hammack.
Tue 13							
Aus	Sep	RBA Minutes	–	–	–	–	Markets will look for guidance on the policy outlook.
	Sep	NAB Business Conditions	index	–1	–	–	Conditions have eased to their weakest level since the pandemic.
US	Sep	NFIB Small Business Optimism	index	98.7	98.0	–	Confidence has recovered since onset of Middle East conflict.
	Sep	Existing Home Sales	%mth	–2.0	–0.8	–	Housing demand remains constrained by affordability.
		Fedspeak	–	–	–	–	Waller, Barkin, Collins.
Wed 14							
Aus	Sep	Westpac–MI Leading Index	%ann'd	–0.09	–	–	Consistent with soft, rather than weak growth.
NZ	Sep	REINZ House Prices	%yr	–0.9	–	–	Buyer enthusiasm dampened by rising mortgage rates...
	Sep	REINZ House Sales	%yr	–13.0	–	–	...and an ample supply of homes on the market.
	Aug	Net Migration	no.	3010	–	–	Balance has turned more positive as NZer departures slow.
Chn	Sep	PPI	%ann	3.8	4.4	–	China's inflation pick–up appears increasingly supply–led ...
	Sep	CPI	%ann	0.8	1.0	–	... while consumer inflation remains subdued.
	Sep	Trade Balance	US$bn	119.1	117.3	–	The AI boom continues to buoy Chinese exports.
US	Sep	CPI	%mth	0.4	0.6	–	Iran war, tariffs and data centre buildout are adding pressure.
	Oct	Federal Reserve's Beige Book	–	–	–	–	Update on economic conditions across the regions.
		Fedspeak	–	–	–	–	Bowman, Barkin.
Thu 15							
Aus	Sep	Employment Change	000s	39.5	20	20	Labour demand absorbing much of the additional supply ...
	Sep	Unemployment Rate	%	4.6	4.6	4.6	... but not enough to prevent unemployment from drifting up.
Jpn	Aug	Core Machinery Orders	%mth	–3.7	2.9	–	Business investment momentum remains uneven.
	Aug	Industrial Production	%mth	–1.7	–	–	Final estimate.
Eur	Aug	Industrial Production	%mth	–0.1	0.1	–	Manufacturing activity continues to struggle.
UK	Aug	Monthly GDP	%mth	0.4	–	–	July's rise showed surprising resilience.
US	Sep	Retail Sales	%mth	1.2	0.3	–	Focus is on the underlying health of the consumer.
	Oct	Phily Fed Manufacturing	index	37.8	26.4	–	Sentiment bounced notably; Phily leads the regions.
		Initial Jobless Claims	000s	197	–	–	Claims remain low and stable.
	Sep	PPI	%mth	0.4	0.5	–	Pipeline inflation pressures remain contained.
	Aug	Business Inventories	%mth	0.8	0.4	–	Inventory accumulation picked up in July.
		Fedspeak	–	–	–	–	Hammack.
Fri 16							
NZ	Sep	Manufacturing PMI	index	53.1	–	–	A relatively strong performing sector in recent months.
	Sep	Selected Price Indices – Food	%mth	0.3	–	0.7	Seasonal increases in meat and beverage prices.
	Sep	Selected Price Indices – Rents	%mth	0.0	–	0.0	Ample supply continuing to limit rental growth.
	Sep	Retail Card Spending	%mth	–0.9	–	0.8	Expected to bounce following last month's unexpected fall.
Eur	Aug	Trade Balance	€bn	5.0	–	–	Exporters continue to diversify beyond the US.
	Sep	CPI	%ann	3.8	3.8	–	Final estimate.
UK		BoE Governor Bailey	–	–	–	–	Fireside chat with Institute of International Finance.
US		FOMC Chair Warsh	–	–	–	–	Fireside chat at IMF Annual Meetings, 2:30pm AEST.
	Sep	Import Price Index	%mth	0.7	0.6	–	AI hardware and commodity price volatility are driving the rise.
	Sep	Industrial Production	%mth	0.0	0.4	–	Manufacturing output growth remains patchy.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (9 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.60	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.77	4.95	4.95	4.80	4.55	4.30	4.10	3.95	3.95	3.95
3 Year Swap	4.92	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
3 Year Bond	4.90	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
10 Year Bond	5.35	5.20	5.10	5.00	4.90	4.85	4.80	4.80	4.80	4.80
10 Year Spread to US (bps)	12	40	35	30	25	15	5	0	–5	–10
United States										
Fed Funds	3.875	4.125	4.125	4.125	4.125	4.125	3.875	3.625	3.625	3.625
US 10 Year Bond	5.23	4.80	4.75	4.70	4.65	4.70	4.75	4.80	4.85	4.90
New Zealand										
Cash	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	3.22	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	4.00	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	5.05	4.75	4.90	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	–18	–5	15	30	40	35	30	25	20	15

Exchange rate forecasts

	Latest (9 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
AUD/USD	0.6976	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5618	0.59	0.61	0.63	0.64	0.65	0.65	0.65	0.65	0.65
USD/JPY	158.07	155	154	153	152	151	150	149	148	146
EUR/USD	1.1226	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3239	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.6917	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2417	1.22	1.19	1.16	1.14	1.12	1.12	1.11	1.11	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.4	0.5	0.2	0.4	0.3	0.4	0.5	–	–	–	–
%yr end	2.5	2.1	2.1	1.4	1.5	1.4	1.4	1.6	2.6	1.4	1.6	2.5
Unemployment rate %	4.2	4.4	4.6	4.7	4.7	4.8	4.8	4.7	4.3	4.7	4.7	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.2	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.3	0.5	0.7	0.6	0.7	0.4	–	–	–	–
%yr end	4.1	3.9	3.9	3.7	3.0	3.0	2.5	2.4	3.6	3.7	2.4	2.3
Trimmed Mean CPI %qtr	0.8	0.8	0.9	0.7	0.8	0.7	0.6	0.6	–	–	–	–
%yr end	3.5	3.6	3.5	3.3	3.2	3.1	2.8	2.7	3.3	3.3	2.7	2.3

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.9	0.2	0.6	0.7	1.1	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.9	1.7	2.1	2.4	2.5	2.6	2.7	2.8	0.3	2.4	2.8	3.1
Unemployment rate %	5.4	5.6	5.5	5.4	5.3	5.2	5.1	4.9	5.4	5.4	4.9	4.4
CPI %qtr	0.9	1.5	0.7	1.1	0.4	0.4	0.6	0.3	–	–	–	–
Annual change	3.1	4.1	3.7	4.2	3.7	2.6	2.5	1.7	3.1	4.2	1.7	2.1

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AGRI BITES

Dairy prices mooving higher.

8 October 2026

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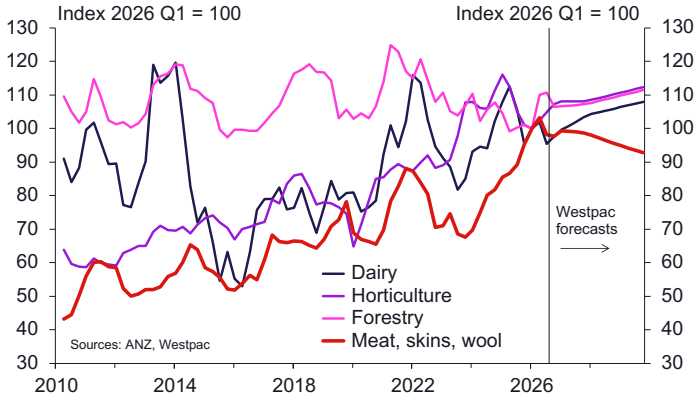
SUMMARY

Despite risk, agricultural export prices to remain elevated.

- Ongoing Middle East tensions are increasing volatility and raising energy, input and shipping costs, while broadly supporting prices for agricultural products. Impacts vary depending on idiosyncratic supply and demand conditions.
- Risks are exacerbated by the impact of a now confirmed super-sized El Niño, which could slice off up to 1ppt of New Zealand's GDP should on-farm production of both milk and meat contract significantly.
- We have revised up our farmgate milk price forecast for this season by 25c to $9.75/kg, with milk powder prices holding up better than we expected. El Niño presents a clear upside risk to this, as it does not appear to have been reflected in GDT auction prices to date.
- Meanwhile average New Zealand beef export prices should remain elevated over the coming year, as lean trimming prices reverse recent declines. Sheepmeat prices are set to ease on rising Australian supply, but remain at elevated levels.
- Kiwifruit and apple export prices are expected to remain elevated, supported by strong demand for premium varieties, although increasing supply is likely to keep prices largely flat rather than drive further gains.
- Export prices for New Zealand logs are set to remain broadly stable to slightly firmer, supported by lower log supply and balanced Chinese inventories.

Commodity prices – World and NZ dollar denominated

Commodity prices by category

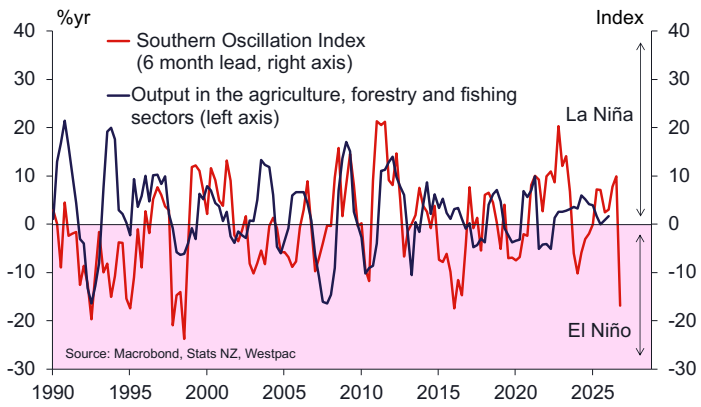


UPDATE ON EL NIÑO

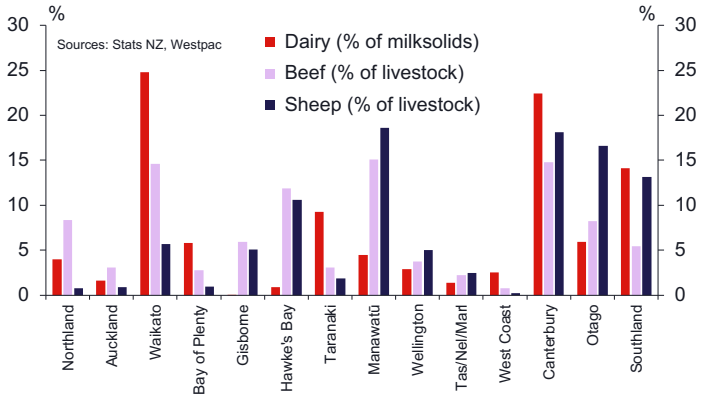
Farming is well placed to navigate impacts of a strong El Niño.

- Scientists have now confirmed that the current El Niño event will be the strongest on record. Temperatures in the Pacific Ocean are now 3.05C above the average, exceeding the record set in 2015.
- A supersized El Niño increases the probability of drier weather in eastern regions of New Zealand in coming months, with wetter conditions likelier in the west and southern areas of the country.
- The potential impact on GDP could be significant. Our previous research has shown a severe drought could slice off as much as 1ppt from economic growth.
- Much of that is will reflect lower agriculture production, particularly in dairy, sheep and beef farms. Increased on-farm costs and processing disruptions are also likely.
- A 1% loss in GDP is likely an upper end estimate of the El Niño impact. A key consideration is soil moisture levels are currently high, implying some resilience to future drier conditions.
- Farming practices have become more resilient to prolonged dry periods. Irrigation is more widely used than in past dry periods and snowmelt levels appear robust, which should be of particular benefit to Canterbury farms.

Southern Oscillation Index vs GDP: Agri, forestry, fishing



Agricultural activity by region

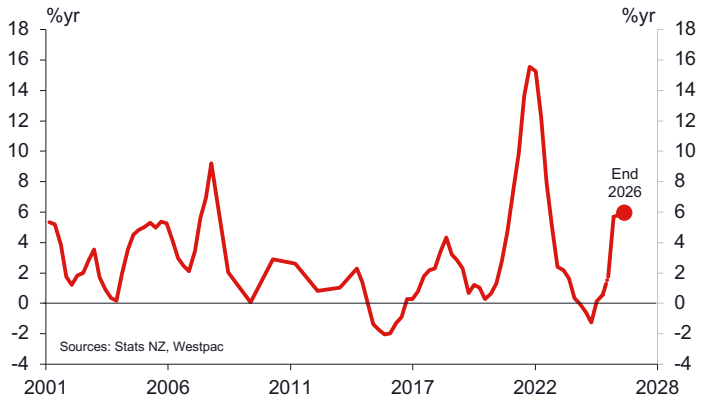


INPUT COSTS

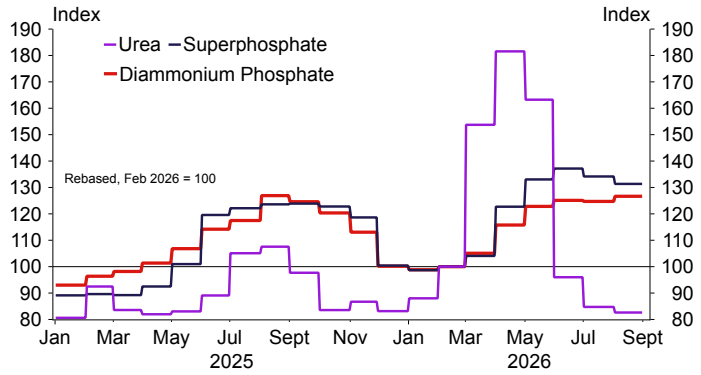
Conflict-related disruptions could push input costs higher than expected.

- Farm input costs are on the rise reflecting two key drivers: fuel and fertiliser costs.
- Diesel and petrol prices have increased by about 50% compared to the same period in 2025. While average prices fell in the September quarter, they closed the quarter at an elevated level as tensions between the US and Iran increased and broadened to encompass Saudi Arabia and the Yemeni Houthis.
- Fertiliser prices are also significantly higher. While the fertiliser market has stabilised after a period of extreme volatility earlier this year, prices remain highly sensitive to developments in the Middle East.
- Nitrogen (urea) prices have fallen substantially from a mid-year spike, with an pick up in Chinese exports now boosting supply. These prices though remain vulnerable to supply disruptions.
- By contrast, phosphate and other sulphur-based fertiliser prices are tracking higher and remain at elevated levels, as supply constraints, trade restrictions and disruptions to shipping offset the impact of softening demand in some regions of the world.

Farm input expenses



Crude and derivative product prices



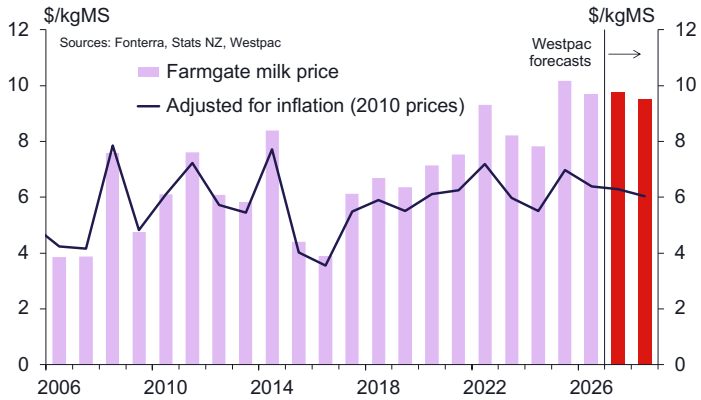
Sources: Macrobond, ICE, CME Group, SGX, World Bank, Westpac

DAIRY

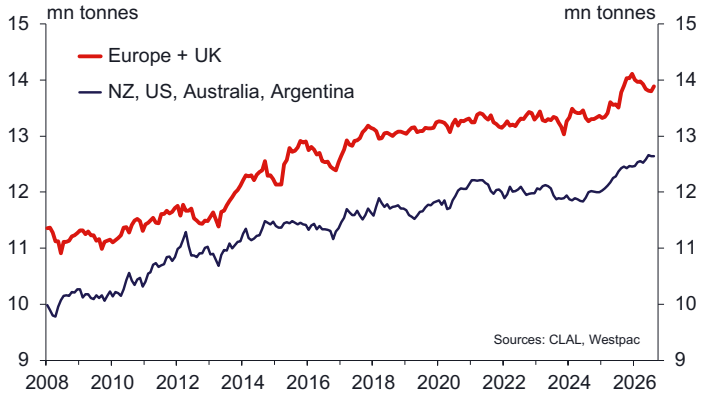
Farmgate milk price forecast revised up on strong protein demand.

- We have revised up our farmgate milk price forecast for this season by 25c to $9.75/kg. This is above Fonterra's forecast midpoint of $9.50/kg (range of $8.50-10.50), but lower than futures market pricing of just over $10/kg.
- We have also opened our forecast for the 2027/28 season at $9.50/kg. Note that there is a wide margin of uncertainty around the forecast at this stage, and we will review as the next season approaches.
- Dairy prices at auction have generally held up better than our expectations, although the performance has varied across products. Trends in global demand are shifting away from fats and towards proteins, which has boosted demand and prices for skim milk powder in particular.
- Our forecasts do not include an assumption about the impact of El Niño, which presents a clear upside risk to prices and a downside risk to volumes. While the futures market is pricing a strong lift in milk powder prices over the New Zealand summer, there has been no apparent urgency to buy at the GDT auction. Fonterra is forecasting a 2% lift in milk volumes over the rest of this season, on top of what was already a strong increase last season.
- Global milk production also remains ample, although it has slowed in Europe in recent months. El Niño is less likely to affect conditions among the major producers in the Northern Hemisphere.

Farmgate milk price



Milk production by top exporting regions

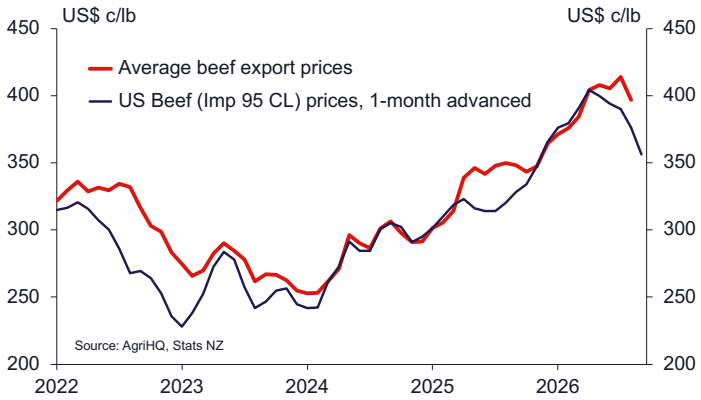


BEEF

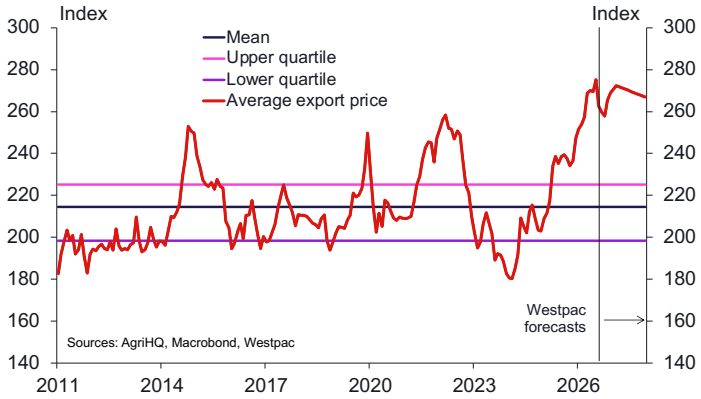
Export beef prices to remain elevated over the next year.

- Beef export prices remain well supported but have softened in recent months. The weakness has been concentrated in lean beef trimming prices, which have eased since April as high US prices attracted additional imports, particularly from South America, while tariff-free quotas temporarily boosted product availability.
- In contrast, premium beef prices have remained firm, supported by tight global supplies of high-quality beef, constrained US cattle numbers, and resilient demand in higher-end retail and foodservice channels.
- We expect that lean trimming prices will reverse recent declines in coming months as temporary increases in supply begin to fade and underlying shortages, including the historically small US beef herd, re-emerge.
- In 2027, lean trimming prices should remain elevated but broadly flat as strong US demand and a small US cattle herd are largely offset by rising global production. From 2028 onwards, expanding global beef production gradually eases market conditions, putting pressure on prices.
- Meanwhile, favourable supply/demand fundamentals to support premium beef prices in 2027, with expanding global production to weigh on prices from 2028.
- Overall, beef export prices are likely to remain high, although both nominal and real prices are expected to moderate over the medium term.

Average monthly beef export prices - nominal



Average monthly beef export prices - real

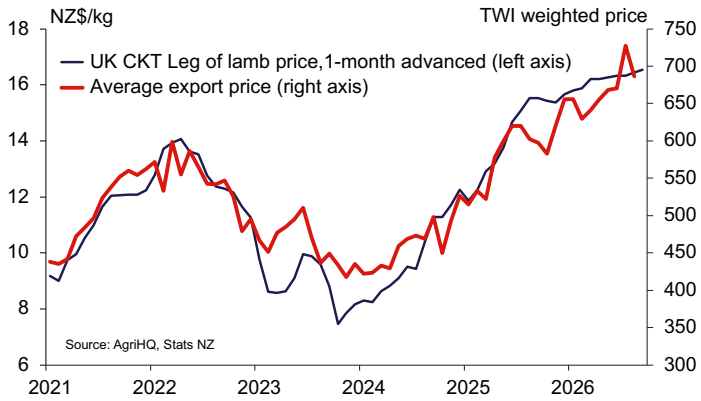


SHEEP MEAT

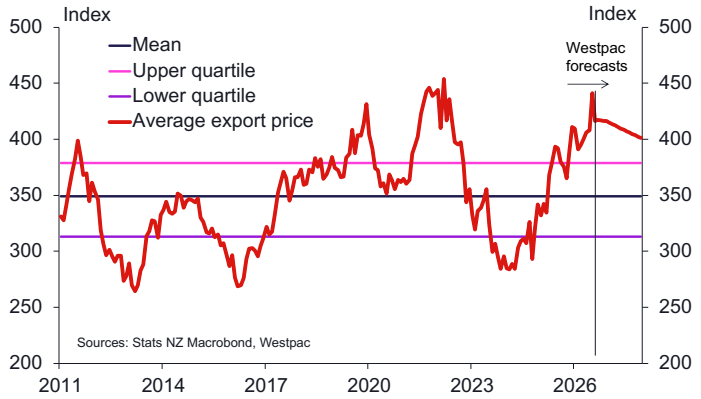
Lamb export prices to remain firm, but off recent highs.

- NZ sheepmeat export prices remain near record highs, supported by constrained global supply and resilient demand from premium markets in Europe, the UK and North America. Export values rose strongly through 2025/26 despite only modest growth in export volumes, highlighting the strength of underlying prices.
- Global supply remains tight due to declining sheep flocks and lower slaughter numbers in New Zealand, the UK and parts of Europe. However, rising Australian production and exports are expected to gradually lift global supply and increase competition in key export markets, limiting further price gains.
- Meanwhile, stronger demand from the UK, EU and North America has improved export returns and reduced New Zealand's reliance on China, where economic weakness has made consumers more price sensitive and encouraged a shift towards cheaper proteins and cuts.
- The outlook remains positive but more balanced. Tight supply should keep prices above historical averages over the coming year, although rising Australian exports, softer demand growth, affordability pressures, signs of buyer resistance and (eventually) a stronger NZ dollar could see prices ease modestly from current elevated levels into 2027.

Average monthly lamb export prices - nominal



Average monthly lamb export prices - real

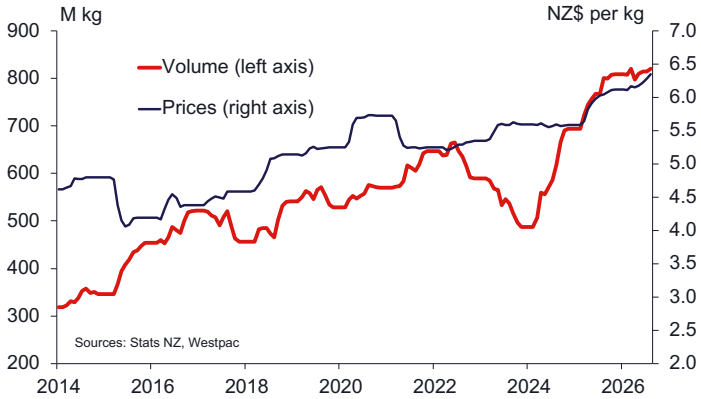


HORTICULTURE

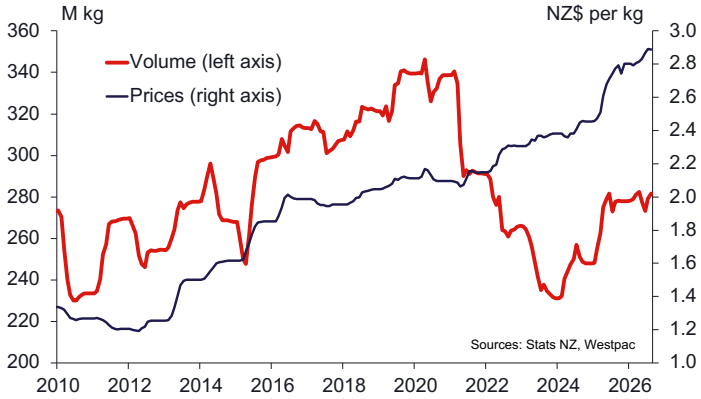
Capacity is catching up with demand, limiting further price gains.

- NZ kiwifruit export prices have pushed to record highs, supported by strong demand in North America, Europe, Japan and Korea, as well as continued consumer preference for premium varieties such as SunGold.
- Export prices continue to edge higher even as a record crop and larger fruit volumes are helping to reduce market tightness. Zespri notes increased competition from summer fruit, pricing pressure in parts of Asia and a larger-than-expected crop.
- Kiwifruit export prices are set to remain high but mostly flat over the next year, as strong demand for premium varieties such as SunGold and RubyRed is increasingly offset by rising production and price pressures in Asia.
- Apple export prices are also at record highs, supported by strong demand in Asia, North America and India, alongside a continued shift towards higher-value cultivars and premium varieties.
- These factors should keep export prices elevated over the next 12 months, supporting grower revenues and profitability.
- However, further gains could be limited. Rising New Zealand production, recovering supplies from key growing regions and larger global apple crops are expected to increase supply availability, reducing market tightness and keeping prices broadly stable.

Kiwifruit – average export prices and volumes



Apples – average export prices and volumes

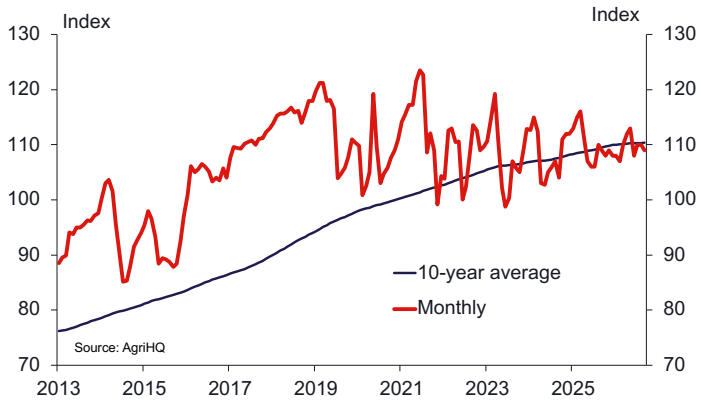


FORESTRY

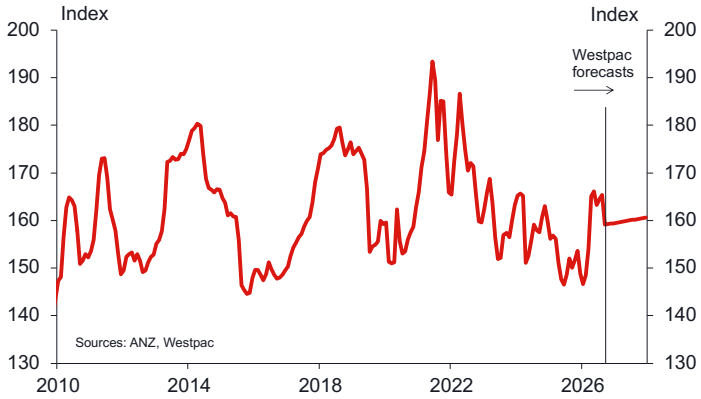
Log prices look moribund.

- China remains the dominant market for New Zealand logs, with prices highly sensitive to construction activity, sawmill demand and daily log offtake. In that regard, weak housing and furniture demand continue to weigh on prices.
- Chinese softwood log inventories are estimated at around 2.2 to 2.5m m³, equivalent to roughly 40 to 45 days of inventory cover at current offtake rates. This suggests inventory levels are broadly balanced and exerting little pressure on log prices.
- At the same time, reduced New Zealand log supply, including lower harvesting volumes and the wind-down of salvage logging, is providing some support to prices. Freight costs also remain an important driver of at-wharf-gate returns, with currently high shipping costs crimping returns to forest owners.
- NZ log export prices are expected to remain broadly stable to modestly firmer over the next 12 months, supported by lower domestic supply, balanced Chinese inventory levels and tentative signs of stabilisation in log demand.
- However, any recovery is likely to be gradual, with weakness in China's property sector, uncertainty around shipping costs and softer global growth continuing to constrain demand and cap upside potential.

Average log export prices



World forestry prices



FORECASTS

New Zealand commodity prices (end of period)

	Latest	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
NZ commodities index	**390**	**392**	**397**	**400**	**401**	**403**	**404**	**405**	**406**	**406**
Dairy price index	319	323	329	333	337	342	345	347	348	350
Whole milk powder USD/t	3,605	3,650	3,730	3,780	3,830	3,880	3,920	3,960	4,000	4,040
Skim milk powder USD/t	3,847	3,720	3,600	3,600	3,630	3,680	3,720	3,760	3,800	3,830
Lamb price index	686	681	678	674	670	666	660	652	644	636
Beef price index	397	402	416	417	417	417	415	413	410	408
Forestry price index	168	159	160	160	160	161	161	162	163	164

New Zealand commodity prices (annual averages)

	Levels				% change			
	2025	**2026f**	**2027f**	**2028f**	**2025**	**2026f**	**2027f**	**2028f**
NZ commodities index	**390**	**396**	**400**	**405**	**9.2**	**1.5**	**1.1**	**1.3**
Dairy price index	348	327	336	347	9.7	-6.3	2.7	3.6
Whole milk powder USD/t	3902	3623	3804	3982	13.5	-7.1	5.0	4.7
Skim milk powder USD/t	2702	3387	3627	3778	0.7	25.3	7.1	4.2
Lamb price index	587	671	672	648	27.0	14.4	0.1	-3.6
Beef price index	337	424	416	411	19.1	25.6	-1.7	-1.2
Forestry price index	152	160	160	162	-4.9	5.5	0.1	1.4

Forecasts as at 7 October 2026.

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Westpac Banking Corporation.

Week beginning 05 October 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: RBA hikes in September, November follow-up now expected.

The Week That Was: Searching for signal.

Focus on New Zealand: Resilient activity and simmering inflation.

For the week ahead:

Australia: Westpac-MI Consumer Sentiment, MI Inflation Gauge.

New Zealand: GlobalDairyTrade auction, NZIER Survey of Business Opinions, ANZ Commodity Prices.

Japan: Current account balance, household spending.

China: Foreign reserves, M2 money supply.

Euro Area: Sentix investor confidence, retail sales.

United States: FOMC Meeting Minutes, ISM Services PMI, University of Michigan Sentiment Index.

Global: S&P Global PMIs.

Information contained in this report current as at 05 October 2026.

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RBA hikes in September, November follow-up now expected

Luci Ellis
Chief Economist, Westpac Group

As was universally expected, the RBA Monetary Policy Board (MPB) lifted the cash rate by 25bps to 4.6% at its September 2026 meeting.

This is quite the turnaround from the 11 August meeting, where an extended period on hold looked to be the base case. At that time, the data had broken against the RBA's more hawkish view, and its published forecasts did not support further hikes. But the MPB can now point to the emergence of some of the upside risks to inflation it warned of in August.

The post-meeting statement was notable for its emphasis on the Middle East conflict, noting that "global energy prices are now much higher than had been assumed in the August forecasts" – "much higher" is stronger language than one normally sees in an RBA statement. The RBA's liaison indicates that firms are passing this on or planning to do so. The pass-through was characterised as partial, and additional to domestically driven inflation arising from capacity pressures. We read this as implying that the RBA is concerned about upside risks to underlying inflation in Q4 of this year, as well as Q3.

The RBA is also wary about pressure on both construction costs and retail prices of IT goods arising from the AI/data centre boom, although in the media conference, the Governor clarified that risks there were building rather than materialising. The broader background highlighted in the Governor's opening statement to the media conference, is of demand outstripping supply. The statement evidenced this by noting the stronger July CPI and June quarter GDP results than expected.

The accompanying statement was notable for the absence of language about the labour market being a little tight, despite this being the inter-meeting message from the Governor and other staff (see, for example, the Governor's opening statement on 18 September) and the language in the post-meeting media conference. Views clearly differ on this: we note that the Treasury forecasts underlying the May budget and the recent Intergenerational Review imply both more spare capacity in the labour market (a lower NAIRU) and faster growth in potential from wherever the starting point is (higher productivity growth and trend increase in participation). Instead, the post-meeting statement characterised the labour market as easing "broadly as expected", despite the unemployment rate already rising higher than the August SMP forecast of 4.5% for the December quarter.

The decision was unanimous, suggesting that any qualms external MPB members might have had about the RBA's downbeat view of supply capacity were overruled by resurgent oil prices and the stronger than forecast CPI and GDP data.

With upside risks being seen to have emerged, the post-meeting statement language included that the Board "will continue to do what it considers necessary to bring inflation sustainably back to target, including increasing the cash rate target further if needed", a small but meaningful change from the "if upside risks materialise" language from the previous meeting, and back to the tone of the language at the June meeting.

The bar for a follow-up hike in November is low. Indeed, judging by the post-meeting rhetoric, a November hike is now the base case, absent a lasting resolution of the Middle East conflict beforehand, or some other event that significantly lowers the outlook for energy-related costs in Australia. The bar for hikes beyond that is much higher, given the cumulative rise in interest rates, and noting that the labour market is easing and the housing market will likely weaken further.

The August inflation data released the day after the meeting was in line with our expectations. We therefore continue to expect Q3 trimmed mean inflation around 0.9%qtr, too high for the RBA's comfort, and upside risks for Q4. Likewise, there are no implications for our rates view from this week's inflation data.

Forecast changes

- We have updated our financial forecasts to reflect the change in our rate view.
- Our labour market forecasts are unchanged on the first decimal place, but there is some modest upside risk to our unemployment forecast.
- Our updated GDP profile can be found on page 9.

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Cliff Notes: searching for signal

Sian Fenner, Head of Business and Industry Economics
Ryan Wells, Economist
Illiana Jain, Economist

In Australia, this week's main event was the RBA Monetary Policy Board's (MPB) decision to raise the cash rate by 25bps to 4.60%. This outcome was universally expected given Governor Bullock had already communicated that upside risks to inflation had materialised – the conditionality established by the MPB back in August for considering another rate hike.

Governor Bullock made explicit note of three upside risks. The Middle East conflict was emphasised as the risk that had "materialised", given the re-escalation and renewed surge in crude oil and refined product prices over recent months. The RBA's liaison warns this could lead to further pass-through of costs and more persistent inflation pressures. On top of this, domestic capacity pressures and the data centre/AI investment boom were also noted as upside risks that the MPB remain alert to.

In a video update mid-week, Chief Economist Luci Ellis explains why the bar for a follow-up rate hike in November is low. We now expect a 25bp increase in November, provided there is no sudden resolution of the Middle East conflict beforehand, or some other event that significantly lowers the outlook for energy-related costs.

Subsequently, the August CPI revealed that underlying (trimmed mean) inflation rose 0.2% (3.4%yr), which was slightly below the market's expectation but spot on Westpac's forecast. As usual, the monthly detail was mixed, but the key drivers of underlying inflation remain centred on housing-related components, particularly rents and new dwelling purchases. Headline inflation remained volatile, with the unwind of the fuel excise cut causing another spike in fuel prices. We have maintained our forecast for a 0.9% lift in trimmed mean inflation in Q3, and with upside risks building for Q4, a follow-up rate hike in November appears most likely.

Regarding the current growth pulse, household spending surprised with a flat reading in August. Services spend fell back following recent strength that was driven by major sporting events, but this was offset by an increase in goods spend, particularly in fuel and electric vehicles. Together with our latest card data for early September, the consumer spending pulse is shading a touch softer. However, another solid outcome for business investment could once again be on the cards for Q3. August's goods trade data showcased another significant spike in data centre-related equipment imports, up $4.3bn, similar in scale to Q1. While clearly import-driven, our modelling suggests that the local economic impact of such investment is likely to be around half of the total investment.

Before moving offshore, a final note on housing. Cotality's latest update revealed that dwelling prices fell another 1.1% nationally in September. While Sydney and Melbourne have led the correction to date, the fact that the other capitals are also reporting price declines clearly indicates that the correction is deepening and broadening, as higher interest rates collide with the tax policy changes announced in May's budget. Sentiment effects indeed remain at play, as evinced by the continued pull-back in investor credit growth. Westpac anticipates a peak-to-trough decline of around 7%, with tight on-market supply limiting the extent of the correction. For more, see our latest Housing Pulse.

Offshore, there was plenty of data to dissect.

In the US, inflation eased in August despite ongoing strength in household demand and higher energy prices. Headline PCE inflation rose 0.3%mth and 3.4%yr, while core PCE increased 0.2%mth and 3.0%yr. Encouragingly for the FOMC, the share of PCE components rising by more than 3% over the past year, a measure frequently cited by Fed Chairman Kevin Warsh, declined to 45% from 49%, suggesting some easing in broad-based inflation pressures. At the same time, household spending remained robust, increasing 0.9%mth, equivalent to around 0.6%mth in real terms. That said, personal income growth was soft, rising 0.2% in the month, signalling households opted to draw down savings.

The ISM manufacturing survey was stronger than the headline suggested. While the index edged down 0.1pt to 54.5, manufacturing has now expanded for nine consecutive months. There were some signs of capacity constraints emerging, with production softened in the month but backlogs up 4.6pts to 56.4, suggesting that firms struggled to keep pace with demand. New orders rose 1.6pts to 55.3, primarily due to domestic demand as new export orders eased, backlogs increased. Firms responded by lifting employment, 1.5pts to 52.7. Against this backdrop manufacturers saw a renewed acceleration in cost pressures, with the prices paid index jumping 6.8pts to 77.9. Firms cited higher steel and aluminium prices, elevated energy costs, rising freight charges and ongoing semiconductor shortages, with every major industry reporting higher input costs during the month.

The past week's data will have done nothing to bridge the clear divide across the FOMC, as evident in this week's busy Fedspeak. Some participants argued for further rate hikes, citing strong inflation, diminished supply capacity and policy that is not yet restrictive. Others counselled patience, pointing to progress on inflation and that September's hike buys time to assess upcoming data. The one thing both agree on is that inflation will be the primary determinant of the timing and extent of further rate hikes. Our view remains that one further hike is likely this cycle to bring policy closer to neutral.

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In China, policymakers announced another round of targeted support measures aimed at stabilising growth and supporting the struggling property sector. The PBOC lowered rates on its Pledged Supplementary Lending facility by 25bps to 1.5% and expanded quotas for targeted lending programs. Authorities also introduced subsidies for eligible first-home buyers. The subsidy applies to homes with a floor area of 120m² or less and a value below CNY1.5mn, with support capped at 1ppt of mortgage costs, up to CNY10,000 and for a maximum term of five years. The measures complement reforms announced in August to improve developer financing conditions and support housing completion. However, weak credit demand and confidence remains a significant constraint, suggesting policy transmission is still limited.

The September PMI data pointed to a modest improvement in activity, although the details were less convincing. Manufacturing returned to expansionary territory, rising 0.9pts to 50.1, supported by stronger production and new orders. Much of the improvement, however, reflected a rebound in prices, with the raw materials price index rising 7.6pts and producer prices increasing 6.2pts. Labour market conditions remained weak, with the employment index falling a further 0.6pts and remaining below 50 for almost four years. Conditions in the non-manufacturing sector also improved, with the services PMI lifting from 49.0 to 50.2, driven largely by stronger construction activity. Input and output prices moved higher, selling prices returned back above 50, export orders improved to 48.5 and employment increased 0.5pts, although at 45.9 it remains firmly in contractionary territory. Overall, the surveys suggest activity is stabilising and policy support is gaining some traction, but weak labour demand, subdued credit growth and soft domestic demand indicate the recovery remains fragile.

In Japan, the September Tankan survey delivered another constructive signal on the economy and reinforced the case for further policy normalisation. Business conditions improved by 2pts for large manufacturers and 5pts more broadly, while profitability indicators strengthened and capital expenditure intentions remained elevated. Large manufacturers expect fixed investment to increase by 11.6% in FY2026, while large non-manufacturers expect investment growth of 11.2%, pointing to continued confidence in the medium-term outlook.

Capacity indicators improved further across both manufacturing and non-manufacturing sectors, with measures of excess production capacity becoming less negative and indicating that demand remains sufficiently strong to keep pressure on existing capacity. Labour shortages also intensified, with employment conditions becoming more negative across most industries and firm sizes, pointing to a progressively tighter labour market. Inflation expectations remained anchored around 2%, providing further evidence that Japan is moving towards a more sustainable inflation environment. Overall, the survey was consistent with an economy operating close to capacity and supports the view that a December rate hike remains a realistic possibility.

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Resilient activity and simmering inflation

Satish Ranchhod
Senior Economist

While bumpy and uneven, New Zealand's economic recovery has continued over the past few months, with activity showing resilience in the face of continued global headwinds. Under the surface, however, inflation pressures are bubbling away, with much of that pressure centred on parts of the economy that aren't sensitive to interest rates.

Economic activity getting back on firmer footing

Looking first at recent activity data, the economy has been finding its feet again after taking a knock in the wake of the Middle East war. That has been seen most clearly in the jobs market, with the number of filled jobs rising by 0.9% in the year to August. While not shooting the lights out, that is still a noticeable improvement from the early part of the year, when filled job numbers were falling.

Under the surface, it's still a very mixed picture. Agriculture remains the main engine of growth, with the strength in commodity export earnings helping to boost incomes, confidence and spending in regions with strong rural backbones. That's supported firm job growth in regions like Canterbury (where filled job numbers are up 1.9% over the past year), Otago (+1.5%) and Southland (+3.1%). In contrast, jobs growth remains much more moderate in Auckland (up 0.6%) and Wellington (up just 0.4%). That town-and-country split is likely to remain a feature of the economic landscape for some time yet.

Looking ahead, businesses expect trading conditions to remain resilient through the final months of the year. That was reflected in September's Business Outlook survey. While the survey's gauges of expected business activity and general business confidence eased over the past month, they remain at firm levels, consistent with continued moderate growth through the latter part of the year. That resilience has also been evident in the household sector, with consumer confidence largely steady through September.

The resilience in household and business sentiment is notable, as fuel prices have taken a big step higher over the past month. The average price of 91 unleaded has risen by around 49c/litre – albeit late in the month and likely not fully reflected in surveyed confidence – taking it back to the levels seen during the early stages of the Middle East conflict. Those higher fuel prices have taken a bite out of household disposable incomes, with spending on fuel up about 22% compared with this time last year, even though the volume of fuel sold is down around 11%.

But even with the lift in fuel prices, we haven't seen the same degree of pessimism as earlier in the year, when fuel prices first spiked. Notably, those higher fuel prices haven't spilled over into a broader lift in output price pressures either (at least at this stage). Inflation expectations were steady in September's household and business surveys. Similarly, the number of firms planning to raise prices fell back despite a lift in wage and cost expectations. However, while that stability in pricing gauges is welcome, measures of inflation pressure remain elevated.

Taken together, recent data reinforce indications that the economy is shaking off the impacts of the Iran war.

Persistent inflation drivers and the RBNZ

Turning to inflation, the spike in oil prices earlier this year saw annual inflation climb to 4.1% in the year to June. With local fuel costs rising again in recent weeks, we continue to expect inflation to remain above 3% until at least mid-2027.

However, even before the recent rise in fuel costs, inflation had been running hot for an extended period. Excluding the rise in food and fuel prices, inflation in the year to June was 2.9%, and it's been running close to or above 3% for five years now.

As we discuss in our recent report, much of the strength in inflation over the past year has been related to administered costs, such as local council rates, or to sectors that are less exposed to competitive pressures, such as electricity and insurance. Those increases have persisted for an extended period, and we expect further sizeable increases in many of these costs.

This ongoing firmness is a key reason why we expect domestic (non-tradables) inflation to be higher than the RBNZ expects over the longer term. It's also part of the reason why we expect the RBNZ will ultimately need to raise the OCR by more than it assumed in its September policy statement. We are forecasting a 25bp rate rise at the RBNZ's December meeting and expect the OCR to peak at 4% next year.

This is a tough environment for the RBNZ. With ongoing increases in administered prices boosting core inflation at a time when energy prices are driving headline inflation well above the target range, it's hard for the RBNZ to look through them. The RBNZ had little headroom to absorb upside inflation surprises, even before the recent spike in oil prices.

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But getting inflation back to target in the face of an oil price spike and high administered prices will not be easy and involves some tough trade-offs. Administered prices tend to be less responsive to changes in economic conditions. As a result, interest rate hikes are likely to have a bigger impact on parts of the economy that are not the main drivers of inflation. Tighter policy will also weigh on the labour market and near-term growth, while increasing households' debt-servicing costs.

This is an uncomfortable but necessary trade-off. Looking through, or not responding to, these sorts of large and persistent cost increases would still leave households facing significant increases in overall living costs. In the long run, it would be more damaging for households and the economy if generalised inflation were to become embedded in price setting behaviour.

The Kiwi has lost its wings

Adding to near-term inflation risks has been the drop in the NZ dollar. On a trade-weighted basis, the Kiwi has fallen around 4% since the start of September, and it's begun the December quarter around 4% below the level the RBNZ assumed in its September policy statement.

The slide in the Kiwi is mainly due to the strength of the US dollar, with NZD/USD down nearly 5% since the start of September to sit just below 0.56 at the time of writing. Moves against other currencies have been more modest. For example, NZD/AUD is down 2% over the same period.

Technically, NZD/USD seems oversold. In the short term, trends in the US dollar will dominate, including any response to the US labour market report due on Friday evening. Any turnaround in the USD would likely see NZD/USD trade back towards the top of the 0.5580–0.5680 range that is governing the pair for the time being.

NZD/AUD will continue to be driven by changing views on interest rate differentials between the RBNZ and RBA. This week, NZD/AUD corrected higher from around 0.8070 to as high as 0.8110 as RBA cash rate expectations were repriced following the RBA Board meeting and Australian CPI. In the short term, the bias for NZD/AUD could be lower, given our view that the RBNZ will pause at its late-October meeting and that the market is under-pricing the risk of an RBA rate hike in November.

Next week's QSBO, due on Tuesday, will be the key event risk, with the inflation and growth gauges closely watched for signs that might prompt the RBNZ to pause or hike. Markets had previously priced in a high chance of a hike at the RBNZ's October meeting, but in recent days appear to be reassessing that view. Pricing for a 25bp hike in New Zealand could be pared back towards a 50:50 call. The 0.8030–0.8150 range is likely to contain the pair in the immediate period ahead. Our medium-term view is for NZD/AUD to rise as the RBNZ increases the OCR to 4% by the second half of 2027. We'll update our views on the NZD and other currencies in our next *Market Outlook*, out Wednesday 14 October.

Fiscal update

The big uncertainty on the domestic horizon is, of course, November's general election, and at this stage the polling looks tight. Neither the established left nor right bloc has a clear majority.

Ahead of the election, the Treasury has released its Pre-election Economic and Fiscal Update (PREFU), updating the Budget 2026 (BEFU) fiscal forecasts to reflect the latest economic and fiscal information and a revised economic outlook. This allows the public to assess the state of the Government's finances. It also provides other parties with a baseline against which to calibrate their spending and taxation policies.

The PREFU revealed a stronger starting point for the Government's finances than had been expected in the Budget.

- A deficit of $8.6bn is estimated for 2025/26, down from the Budget estimate of $11.9bn.
- Similarly, the forecast deficit for 2026/27 has been revised down significantly to $6.8bn from $11.4bn.
- Thereafter, the OBEGALx deficit is expected to continue declining gradually, moving to a surplus of $4bn in 2028/29. This broadly follows the Budget profile, but is stronger across the forecast period.
- Net core Crown debt is forecast to peak at 43.9% of GDP in 2027/28, below the 46.1% peak forecast in the BEFU. It's then forecast to decline to 39.5% of GDP by the end of the forecast period in 2030/31, in line with the Government's goal of reducing debt below 40% of GDP over the medium term.

Given the improved outlook, NZDM announced a $4bn reduction in the 2026/27 bond programme to $30bn and a $15bn reduction in the forecast programme across the whole period through to 2029/30.

The medium-term forecasts in the PREFU should be treated with caution. The economic forecasts underpinning the PREFU were finalised on 21 August, when both oil prices and, especially, bond yields were materially lower than they are today. Had the forecasts been finalised more recently, the fiscal projections presented today would have been weaker, at least in the near term. Indeed, the Treasury is upfront in acknowledging that, while the risks are two-sided, the balance is skewed to the downside.

Aside from the obvious uncertainty surrounding the economic outlook because of unpredictable developments in the Middle East, the approaching General Election, and the possibility of a change in the composition of the Government, means the assumptions underpinning the PREFU forecasts could quickly become invalidated.

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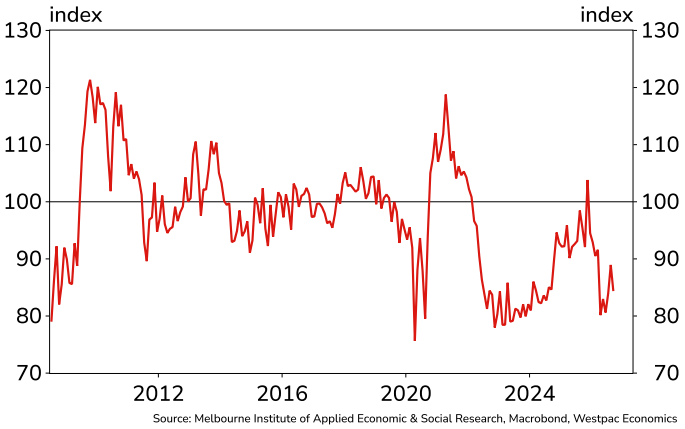
AUS: Oct Westpac-MI Consumer Sentiment (index)

Oct 6, Last: 84.4

Consumer sentiment declined 5.2% to 84.4 in September, taking the index back towards the deeply pessimistic levels seen earlier in the year. Rising fuel prices and fears of an imminent interest rate rise drove the move with a continued weakening in housing markets likely adding to unease in some quarters.

Developments over the last month would have added to these concerns with: the RBA raising the cash rate by 25bps to 4.6% during the survey week; average pump prices pushing above $2.36/litre nationally and no end in sight to global supply disruptions; and more weak updates on the housing market.

Consumer Sentiment Index



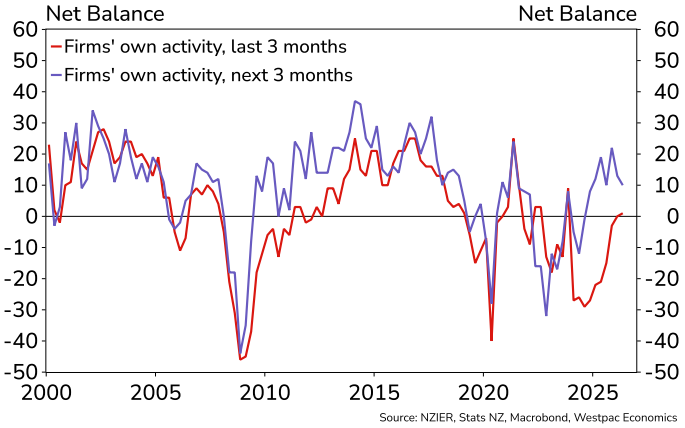
Source: Melbourne Institute of Applied Economic & Social Research, Macrobond, Westpac Economics

NZ: Q2 NZIER Survey of Business Opinion (index)

Oct 6, General business confidence last: 12.3

Business conditions picked up modestly in the June quarter as concerns about the war in the Middle East eased. However, cost and pricing gauges remained firm. The September quarter survey will be closely watched ahead of the RBNZ's 28 October meeting. Recent weeks have seen signs that activity is firming. However, fuel prices have also risen sharply, and we (along with the RBNZ) will be watching for signs of a broader lift in inflation pressures. The timing of survey responses within the sample period will also warrant scrutiny, given that oil prices rose late in the quarter.

QSBO past vs expected activity



Source: NZIER, Stats NZ, Macrobond, Westpac Economics

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What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 05							
Aus	Sep	MI Inflation Gauge	%ann	4.8	–	–	Lead indicator for CPI inflation shows price pressure rising.
		Labour Day Public Holiday	–	–	–	–	NSW, ACT, SA, Qld (King's Birthday). Markets open.
NZ	Sep	ANZ Commodity Prices	%mth	–0.4	–	–	Agriculture product prices at or near record levels
Eur	Oct	Sentix Investor Confidence	index	5.1	–	–	Sitting at the highest level since February 2022.
	Aug	PPI	%ann	5.8	–	–	Recent strength driven by energy inputs, ex-energy at 3.1%yr.
US	Sep	ISM Services	index	55.4	55.2	–	Regional surveys suggest a milder expansion than last month.
Wrld	Sep	S&P Global Services PMI	index	–	–	–	Final estimate for Japan, UK, Eurozone and the US.
Tue 06							
Aus	Oct	Westpac–MI Consumer Sentiment	index	84.4	–	–	Consumers react to rate rise and softer inflation print.
	Sep	ANZ–Indeed Job Ads	%mth	2.5	–	–	Has been trending higher since end-2025.
NZ	Q3	NZIER Survey of Business Opinion	index	12.3	–	–	Watching for resilience in activity, but upside risks for prices.
Eur	Aug	Retail Sales	%mth	–0.6	–	–	Consumers pulling away from non-food related spending.
US	Aug	Trade Balance	US$bn	–88.6	–89.8	–	Trade deficit widening amid surging AI-related imports.
Wed 07							
NZ	Sep	GlobalDairyTrade auction	%	–1.1	–	–	WMP and SMP prices up on previous GDT Pulse auction.
Chn	Sep	Foreign Reserves	US$bn	3438.33	–	–	Weaker dollar and growing trade surplus drives reserves up.
US		FOMC Meeting Minutes	–	–	–	–	Focus will be on assessments on the stance of policy.
	Aug	Consumer Credit	$bn	18.062	15.000	–	Some consumers may be leaning on credit to fund spending.
Thur 08							
Aus	Oct	MI Inflation Expectations	%ann	4.9	–	–	Higher fuel prices seeing near-term expectations lift.
Jpn	Aug	Current Account Balance	¥bn	2988.9	3194.6	–	Rise driven by higher inbound tourism and dividend inflows.
US		Initial Jobless Claims	000s	197	–	–	Has been easing in recent weeks.
	Aug	Wholesale Inventories	%mth	0.7	–	–	Final estimate.
		Fedspeak	–	–	–	–	Fed's Musalem speaks at Bloomberg event.
Fri 09							
Jpn	Aug	Household Spending	%ann	–3.6	–3.6	–	Discretionary spending falters in the face of higher prices.
Chn	Sep	M2 Money Supply	%ann	7.5	–	–	Credit demand slows as households and firms hold-off.
US	Oct	Uni. Of Michigan Sentiment	index	48.1	48.0	–	Consumers' outlook on the economy souring.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (2 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.60	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.76	4.95	4.95	4.80	4.55	4.30	4.10	3.95	3.95	3.95
3 Year Swap	4.92	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
3 Year Bond	4.89	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
10 Year Bond	5.34	5.20	5.10	5.00	4.90	4.85	4.80	4.80	4.80	4.80
10 Year Spread to US (bps)	10	40	35	30	25	15	5	0	-5	-10
United States										
Fed Funds	3.875	4.125	4.125	4.125	4.125	4.125	3.875	3.625	3.625	3.625
US 10 Year Bond	5.24	4.80	4.75	4.70	4.65	4.70	4.75	4.80	4.85	4.90
New Zealand										
Cash	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	3.22	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	4.04	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	5.07	4.75	4.90	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	–16	–5	15	30	40	35	30	25	20	15

Exchange rate forecasts

	Latest (2 Oct)	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.6941	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5607	0.59	0.61	0.63	0.64	0.65	0.65	0.65	0.65	0.65
USD/JPY	157.71	155	154	153	152	151	150	149	148	146
EUR/USD	1.1259	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3217	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.7060	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2357	1.22	1.19	1.16	1.14	1.12	1.12	1.11	1.11	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.4	0.5	0.2	0.4	0.3	0.4	0.5	–	–	–	–
%yr end	2.5	2.1	2.1	1.4	1.5	1.4	1.4	1.6	2.6	1.4	1.6	2.5
Unemployment rate %	4.2	4.4	4.6	4.7	4.7	4.8	4.8	4.7	4.3	4.7	4.7	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.2	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.3	0.5	0.7	0.6	0.7	0.4	–	–	–	–
%yr end	4.1	3.9	3.9	3.7	3.0	3.0	2.5	2.4	3.6	3.7	2.4	2.3
Trimmed Mean CPI %qtr	0.8	0.8	0.9	0.7	0.8	0.7	0.6	0.6	–	–	–	–
%yr end	3.5	3.6	3.5	3.3	3.2	3.1	2.8	2.7	3.3	3.3	2.7	2.3

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.9	0.2	0.6	0.8	1.1	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.9	1.7	2.1	2.4	2.5	2.7	2.8	2.9	0.3	2.4	2.9	3.1
Unemployment rate %	5.4	5.6	5.5	5.4	5.3	5.2	5.1	4.9	5.4	5.4	4.9	4.4
CPI %qtr	0.9	1.5	0.7	0.6	0.4	0.4	0.6	0.3	–	–	–	–
Annual change	3.1	4.1	3.7	3.7	3.2	2.1	2.0	1.7	3.1	3.7	1.7	2.1

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October 2026

WESTPAC MARKET OUTLOOK

Your monthly report on Australia and the global economy.

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October 2026

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Wearing thin

Markets have had little respite over the past month. Hopes of a lasting US–Iran agreement have faded and intermittent attacks on shipping have kept Brent oil prices in triple digits. Workarounds have allowed a meaningful share of crude to continue flowing but these arrangements are slower and costlier, while depleted inventories leave little room to absorb another shock and a range of disruptions to refining and shipping are also impacting downstream energy costs. Bond markets have been just as restless, with continued lifts in government bond yields across much of the globe and more sharply in the US.

Notably, oil is no longer doing the heavy lifting for yields. The rise has been concentrated in real yields, with the Fed's September hike – and its signal of more to come – acting as something of a trigger. In the US, fiscal concerns have been more of a sub-plot, though the Treasury's efforts to hold down long yields have arguably only drawn more attention to them.

In our view, markets are getting ahead of themselves on monetary policy offshore. We expect just one more hike from the Fed rather than the three the market currently has priced, with stretched housing affordability posing risks to both consumption and inflation. Central banks in Europe, the UK and Canada are also likely to bide their time after a final move. Europe is weathering the energy shock better than feared and has far more fiscal room to respond than the US – one reason we still see the US dollar trending lower over the next two years.

The RBA hiked again in September and looks set to follow up in November, taking the cash rate to a new cycle high. Some of the risks the Board flagged have crystallised, but the minutes also reveal a tendency to reach for the more hawkish read of the data, in addition to the familiar downbeat take on supply capacity. Our base case assumes no return to full-scale conflict, but with energy buffers depleted, bond markets less forgiving and the RBA already leaning hawkish, the margin for error – for markets and policymakers alike – is starting to 'wear thin'.

Australia: After a soft but better than expected first half, the Australian economy is facing into more challenges as another round of disruptions from global energy markets combine with further interest rate rises and a deepening housing downturn. The demand mix should see capacity pressures continue to ease but with significant risks on either side.

Middle East: Low inventories and higher shipping costs will keep oil and fuel prices elevated, with Brent futures forecast to average US$101/bbl in Q4 before easing to US$77/bbl by Q4 2027 as supply recovers. Risks are two-sided: escalation could push Brent towards US$150/bbl, while an early US-Iran agreement could see a faster normalisation in supply.

Commodities: Most commodities rose in September, with many of the themes that drove moves across August remaining in place. Japanese LNG and Brent oil recorded strong gains amid Middle East tensions. Copper and aluminium extended recent gains while iron ore was supported by higher freight and production costs. Gold fell after the Fed's September rate hike.

Global FX Markets: In late September and early-October the DXY index popped higher to near 103, a high back to early-2025. Underlying the move are expectations that inflation will prove persistent globally as well as a belief that the US' tech sector leaves it best positioned to weather the storm.

New Zealand: Higher fuel costs and a weaker exchange rate have lifted the short-term inflation outlook while the economy has continued to grow through the Iran war. Growth looks set to continue to be buoyed by strong commodity prices and a supportive exchange rate. However, downside risks are growing from higher energy costs and long-term interest rates.

United States: The US housing market remains under considerable pressure. Prices continue to edge up, supporting wealth. But up-and-coming main street consumers are struggling with affordability and availability, posing enduring risks for both consumption growth and inflation.

China: With each month that passes, the risk of disappointing authorities' 4.5-5.0% ambition grows. While the Government is right to take a targeted approach to support, it must quickly multiply its scale if downside risks are to be kept at bay.

Asia: For much of the past twenty years, Asia has been a source of disinflation for the world. But a combination of ageing populations, rising labour costs, increasing electricity demand and technology sector developments imply Asia may provide less support to global disinflation over the decade ahead.

Europe & UK: The euro has come under considerable pressure during the past month. That said, the European economy continues to tick along nicely while inflation risks remain manageable, allowing the ECB to be measured in their response.

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Many factors lifting global bond yields ...

Luci Ellis
Chief Economist, Westpac Group

The main development affecting global markets this month has been the sharp lift in selected bond yields, especially in the US and France. Since the previous *Market Outlook* was published, 10-year benchmarks have risen 27bps for US Treasuries, to be well above the 5% threshold, and 40bps for French bonds. The latter move contrasts with German bunds, which have seen little change in yields at that tenor over the month, though they are up more than 60bps year to date.

Several factors are behind the latest rise, with no single cause dominating. For some of these factors, the underlying conditions had been in evidence for some time, but recent events focused attention on them. The rise has been primarily a story of real yields: longer-run inflation expectations implied by both breakevens and swaps have not increased that much.

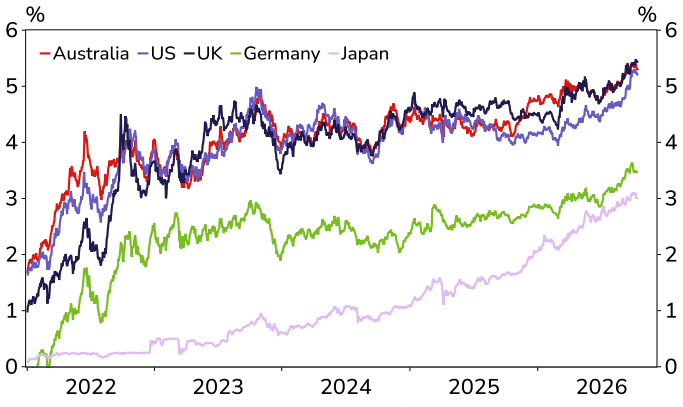
For much of the year, fluctuations in oil prices – and thus the near-term inflation outlook – fed into market views of central bank policy, and longer yields as well. More recently, though, this correlation has broken down. Shifts in expectations about central bank policy have remained important for bond pricing, as evident in the concentration of the increase in real yields.

The FOMC's decision to increase the Fed funds rate, and flag in the 'dot plots' that at least one more hike was likely, seems to have been something of a trigger event for repricing, not only for US yields. Also salient were the various actions taken by the US Treasury to suppress long yields and improve the US government's debt-servicing position. These efforts had little lasting effect and yields are now higher, and higher relative to peers, than before. But they may have served to draw attention to the growing issues around US fiscal sustainability. High supply of debt from hyperscaler firms to fund the AI / data centre boom has also likely pressured yields at the margin.

That said, fiscal concerns are unlikely to have been the main issue driving the lift in US yields. The slope of the US yield curve is noticeably flatter than at the beginning of the year; in other words, short yields have risen even more than the 10-year yield, signifying tighter expected monetary policy lifting yields across the curve. Another lens on this shift is that 2-year and other short-dated yields have increased more than estimates of risk-neutral rate, such as that from the NY Fed.

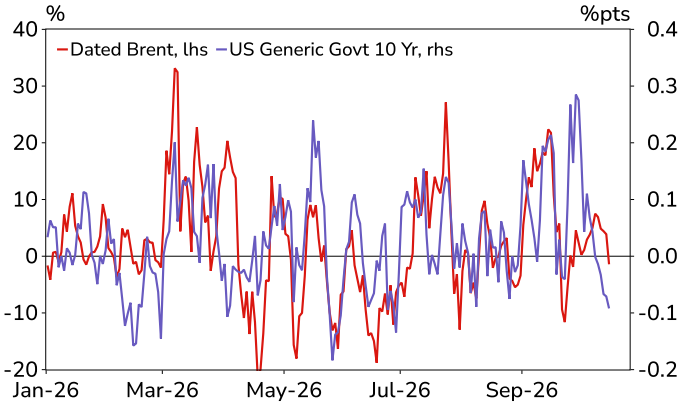
Fiscal concerns have been more salient in the case of France, where spreads to bunds have widened from around 70bps at the beginning of the year to nearly 140bps currently, wider than Greece or Italy, with about 40bps of the widening occurring in the past month. Contagion to other euro area sovereigns has been limited, with spreads widening around 22bps over the month for Greece, Italy and Belgium, and 13bps for Spain.

Global 10-Year Bond Yields



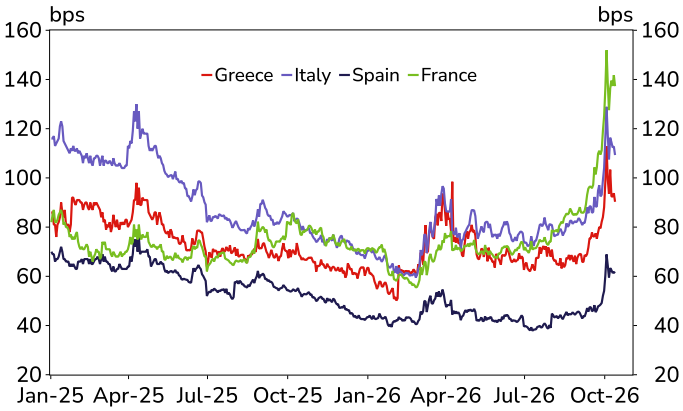
Source: Bloomberg, Macrobond, Westpac Economics

Dated Brent and US 10-year Yields: Weekly changes



Source: Bloomberg, Macrobond, Westpac Economics

Government Bond Yields 10 Year Spread to Bunds



Source: Macrobond, Macrobond, Westpac Economics

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... and RBA policy rates outlook

In Australia, the RBA hiked the cash rate again at its late September meeting, and a further hike at the November meeting looks likely. This would take the cash rate to 4.85%, a new cycle high.

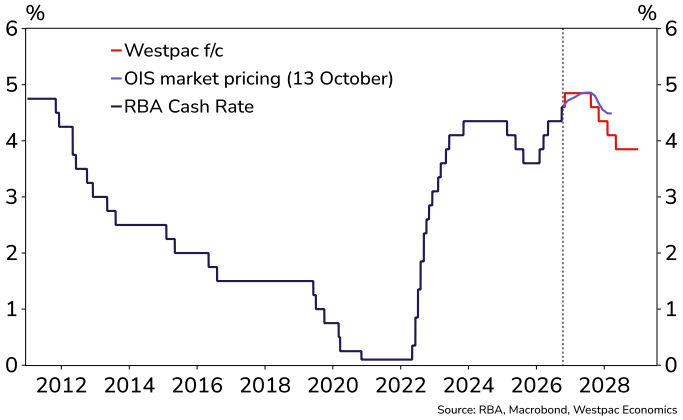
While the forecasts the RBA published in August did not support further rate hikes, in September these forecasts were characterised as resting on several things going right and certain risks not emerging. Some of these risks, including a re-escalation of the war in the Middle East and thus energy prices, have since crystallised. The post-meeting communication and minutes also pointed to the July CPI result being above expectations, as was June quarter GDP growth "at the margin".

The RBA is also wary about pressure on both construction costs and retail prices of IT goods arising from the AI/data centre boom. No weight is put on the possibility that this new investment and technology might add to productivity or the capital stock, and so supply capacity, even with a lag. Indeed, the post-meeting minutes highlighted the financial stability risks if valuations in this area should disappoint "even if the technology were ultimately successful", as if the latter was not yet clear. This language points to a generally downbeat view of Australian supply capacity that also emerges in its discussion of productivity trends. Although its position piece in the August 2025 *Statement on Monetary Policy* indicated that lower trend growth in productivity had no implications for inflation or monetary policy, more recent statements imply that it does.

More broadly, the minutes for the September meeting revealed a tendency to contemplate more hawkish interpretations of data and outcomes. For example, the minutes dismissed evidence of the labour market easing a bit more than was forecast by pointing to the changes to the survey arrangements. At the same time, the minutes contemplated that the rate of unemployment consistent with inflation being at target might have risen, even though wages growth has marginally undershot the RBA's forecasts and the cost pressures cited by its business liaison contacts are mostly non-labour costs. The minutes also included an extended discussion of the possibility that the global neutral interest rate might have increased recently. If true, this would imply that financial conditions were less restrictive. This conclusion would be hard to square with yield curves that have flattened since the beginning of the year and other central bank estimates of the term premium having increased, both of which suggest tighter financial conditions.

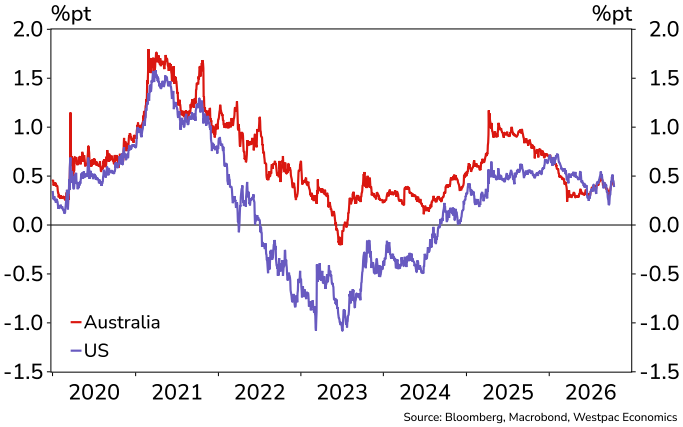
That said, the RBA will find it hard to look past inflation outcomes in the second half of year that is likely to remain sticky. We anticipate trimmed mean inflation to record quarterly outcomes of around 0.9%qtr in Q3 and Q4, remaining around the current 3½%yr pulse. The Monetary Policy Board will want to see clear evidence of inflation coming down before withdrawing policy restrictiveness, so we continue to pencil in August as the likely date for start of the rate-cutting phase.

RBA Cash Rate



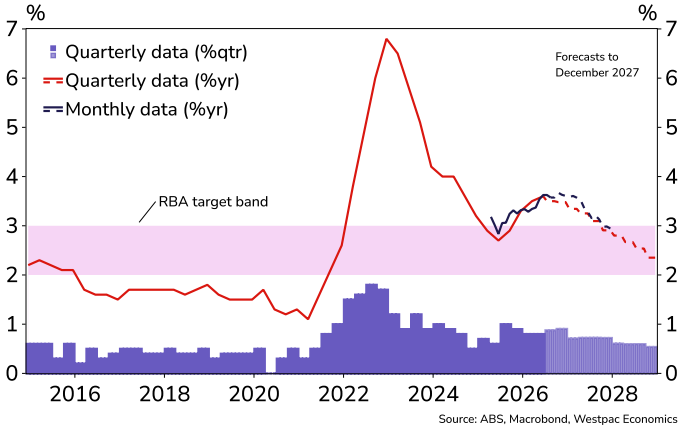
Source: RBA, Macrobond, Westpac Economics

Yield Curve Slope (10yr – 2yr)



Source: Bloomberg, Macrobond, Westpac Economics

Trimmed Mean Inflation



Source: ABS, Macrobond, Westpac Economics

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More challenges near term ...

Matthew Hassan, Head of Australian Macro-Forecasting

After posting a soft but better than expected first half, the Australian economy is facing into more challenges near term as another round of disruptions from global energy markets combine with a further rise in interest rates and a deepening housing downturn. Against this, business investment is in the midst of a sustained ramp-up led by a large and growing pipeline of data centre and energy investment projects. Elsewhere, public demand is growing at a slower pace and new dwelling investment is likely to moderate but both are expected to still see positive growth. Overall, the demand mix should see capacity pressures continue to ease but with significant risks on either side.

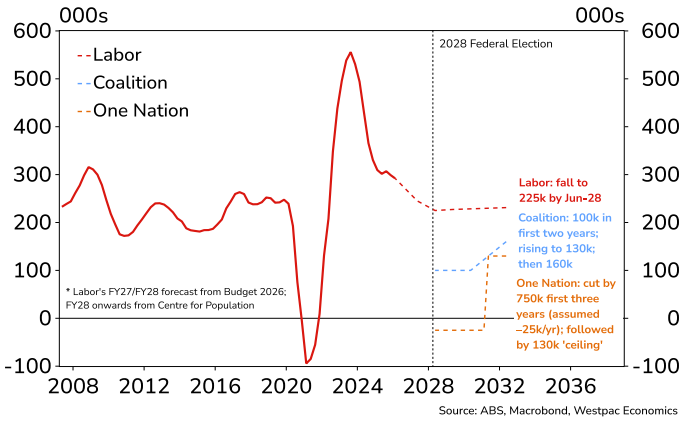
Shifting political winds

Some of these risks are now in the wider policy space. The political landscape has changed materially since the 2025 Federal Election with opinion polls showing a sustained swing against the Labor government and a marked rise in support for One Nation that raises the prospect of a three-horse race in the next election, the outcome of which could be very hard to predict (we may get a preview of this with next month's Victorian state election). While the next Federal election is still a long way off – not due until well into 2028 – the shift does appear to be having some bearing on policy. For example, the government's choice not to reinstate the temporary halving in fuel excise tax that was deployed when fuel prices first spiked back in March suggests it is less inclined towards providing broad based cost-of-living support that might make it harder to bring inflation back down.

Migration policy is shaping more clearly as a battleground. A suite of changes announced by the government in mid-September and which came into effect in October, are already expected to slow working holidaymaker and foreign student arrivals, moderating total net overseas migration from around 300k current to 225k by 2028, trimming population growth from around 1.4%yr to 1.2%yr. For its part, the main Liberal-National opposition party has proposed to reduce net migration to 100k in the first two years of government, before increasing to 130k and 160k in the two years following – which would likely see total population growth slow to around 0.7-0.8%yr initially. One Nation has proposed a period of 'net negative' migration, lowering net migration by 250k a year over the first three years of government before considering a 'ceiling' of 130k per year thereafter. This would see population growth slow to around 0.2-0.3%yr initially.

While none of these policies are on the table for this year or next, the direction of travel is clear with a risk that the current government moves further towards curbing migrant

Net overseas migration: policy proposals



Source: ABS, Macrobond, Westpac Economics

inflows. Slower population growth basically maps one-to-one to GDP growth although the specific flow-on impacts to areas like housing and labour markets are more complex and will depend on the population mix and how the demand and supply effects balance out. For the record, we have trimmed our own population growth forecasts in the 2028 out-year, from 1.4%yr to 1.2%yr with a related tweak to our GDP growth forecast for that year.

Consumer sentiment-spending gap

Near term challenges continue to centre on the consumer. Here, the latest updates show sentiment again plumbing historical lows but more mixed messages around spending which is still holding up better than might be expected based on a simple read on the consumer mood.

Certainly that mood remains deeply negative. The **Westpac–Melbourne Institute Consumer Sentiment Index** dropped 4.7% to 80.4 in October, putting the month amongst the forty worst reads since the began in the early 1970s, following two others reads in this group back in April and June and another eight recorded in 2022–23. Altogether this marks the worst period of recurring extremely weak sentiment since the disastrous recession in the early 1990s.

This has been difficult to square with the soft rather than outright weak picture on consumer spending through most of this year. Even when real spending was recording more material per capita declines back in 2023-24, these were somewhat milder than what might have been expected given the weakness in sentiment at the time.

We explored this more fully in our August Red Book. Some of the disconnect may be a by-product of high inflation which 'hits different' sentiment-wise. Cost of living pressures,

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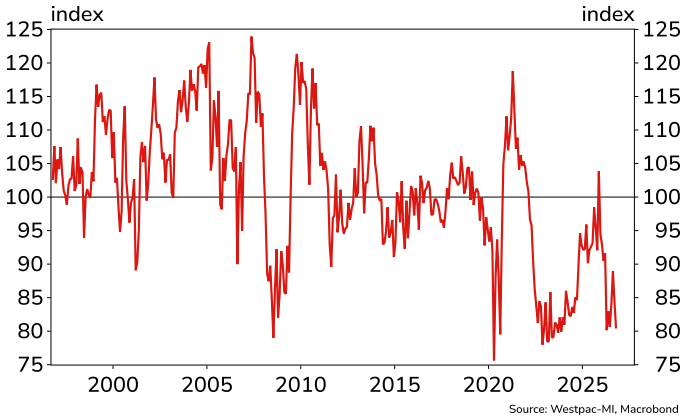
… centred on uneven consumer, housing downturn …

Consumer Sentiment Index



which are the central issue for consumers at the moment, represent a broad-based but shallower squeeze rather than the deeper shocks that typically come when big economic downturns hit. Labour markets appear to be an important point of distinction – despite the weakness in sentiment, consumers have been relatively unperturbed about the jobs outlook in recent years. Adding consumers' unemployment expectations to sentiment measures significantly improves its 'fit' as a predictor of per capita spending.

There other aspect that helps to reconcile the sentiment-spending gap is the detailed picture across segments. There may be one economy but there is not a single consumer. Instead both sentiment and spending outcomes reflect the average across a range of often quite varied conditions in different consumer segments.

This shows through in the dispersion of sentiment across sub-groups. The chart right shows the current distribution of index reads across the 100-odd sub-groups we regularly track with some selected groups called out. If the range seems wide its because it is – measures of spread over the last two years have been 50-60% wider than the average over the previous three decades. Exactly why is not completely clear but the observations point to a more fractured consumer with multiple fault lines – including across states, metro/regional areas, voter groups, labour force status, income levels and housing tenures.

Spending-wise, one of the clearest emerging fault lines is across age groups. Here, there look to be three main 'blocs' – 18-34 year olds (mainly millennials'); 35-54 year olds (mainly 'gen X'); and those aged over 55 (dominated by the 'baby boomers').

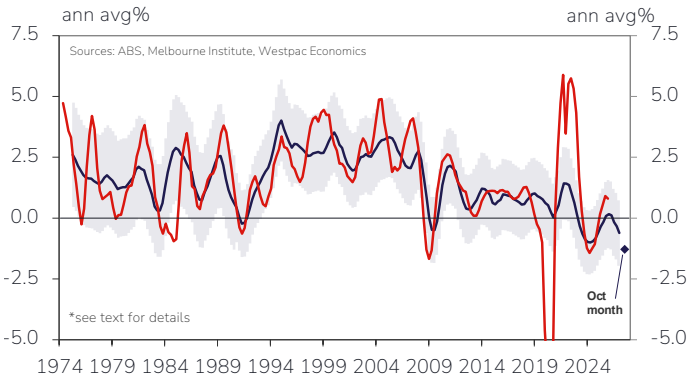
Demographically, the 55+ age group is both the largest and the fastest-growing – our estimates suggest it now makes up about 45% of all households, up 8.5pts compared to 2020. It is also seeing significant financial shifts with the cohort coming through carrying materially larger superannuation holdings (reflecting a variety of factors including a longer period of compulsory contributions that have earned compounding returns) and more housing wealth. Again, our rough estimates suggest average household wealth in this group is around $2.5m up over $800k since 2020 (reflecting both the aforementioned demographic shifts and valuation changes).

At the same time, the group has low debt levels – it is largely untouched by interest rate increases and probably benefits slightly insofar as this lifts interest income both directly and indirectly via super holdings.

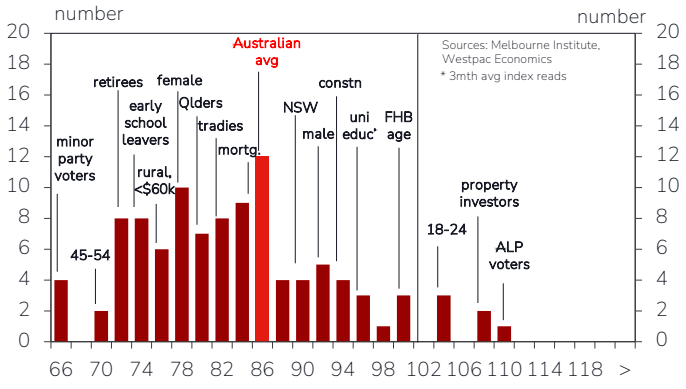
For 18-34 year olds, incomes are more important than balance sheets, meaning inflation poses more of a constraint. For 35-54 year olds, income is less of a constraint but high debt levels poses a big challenge as rate rises increase servicing costs.

All of which is to say that it should come as little surprise that spending by the 55+ age group has been running stronger than the other age groups. Breakdowns from our **Westpac Consumer Panel** show average non fuel spend has been rising at a 5% annual pace over the last six months amongst those

Modified consumer sentiment vs spending



Consumer sentiment: sub-groups



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... wealth effects an uncertain swing factor

aged 55+. That compares to a more sedate 2.7-2.9% pace across the other age groups, which given the current pace of inflation, implies small declines in real, inflation-adjusted terms.

These demographic contrasts also account for the observed strength in key bellwether spending categories like new vehicle purchases. The total number of new car purchases by consumers is up close to 4%yr, led by strong growth in EVs. Notably, industry figures suggest the purchase of used cars is down sharply, by close to 9%yr (used car sales are not well covered in the statistics and largely bypass official ABS measures because the are mainly transfers between households rather than a new addition).

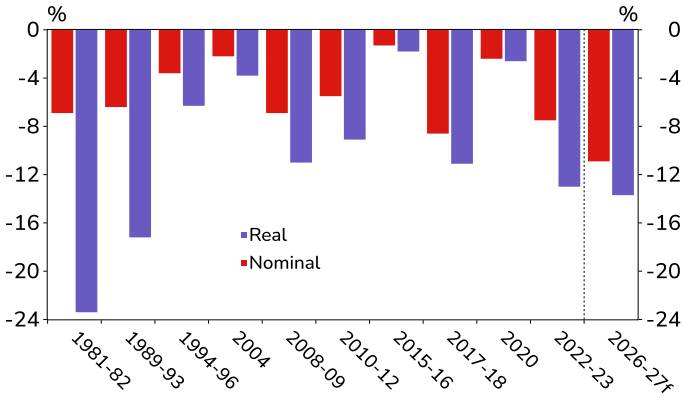
Pulling these clues together, at least some of the resilience in spending looks to be a form of 'wealth effect' where balance sheet considerations are more important than the real purchasing power of incomes. While the impact of employment, wages, inflation and interest rate changes will still likely be the dominant driver of shifts in spending growth, the nature of this wealth effect and how it evolves from here could be a key swing factor.

Housing downturn deepens

And where that swing factor may start to turn is in response to a deepening downturn in Australia's housing market. The combined impact of interest rate rises and major changes to housing-related tax policy announced in the Federal budget is continuing to weigh heavily. We have been flagging for some time that uncertainty could see a more significant 'air pocket' emerge with very thin trading conditions and a sharper move lower in prices. That risk is crystallising with turnover already down 20% and prices off 8%.

With the September interest rate rise and an expected hike in November still to come, more weakness is likely near term. We revised our house price forecasts lower with a decline of around 8% now expected for calendar 2026, with a peak-to-trough decline of just over 10%.

House price corrections



Source: Cotality, ABS, Macrobond, Westpac Economics

Dwelling price forecasts

	avg^	2023	2024	2025	2026f	2027f
Sydney	3.7	11.3	2.8	6.5	–12	1
Melbourne	2.4	4.2	–2.0	5.3	–8	4
Brisbane	7.7	13.5	11.4	14.9	–4	2
Perth	7.2	16.2	18.4	17.6	–2	3
Adelaide	7.6	8.8	13.6	8.6	–2	3
Australia	4.6	10.1	5.1	8.9	–8	2

^ avg last 10yrs

Source: Cotality, Westpac Economics

This constitutes a more material housing downturn. The peak to trough fall is set to be biggest since the beginning of the national price measures in 1980, although prices in real, inflation-adjusted terms recorded larger falls during the early-1990s and early-1980s recessions with capital city measures also suggesting there were larger real price falls during the recessions in the mid-1970s and early 1960s.

It also points to a bigger housing-related drag on growth. As discussed previously, the main channels are through new dwelling investment, turnover and wealth effects. New dwelling investment is still carrying solid momentum (the number of dwelling under construction up 10% over the year to June) but is expected to see a slightly more pronounced slowing. Turnover is also expected to be slightly weaker. However, it is the wealth effects from price declines that is the area to watch. Our rough estimates suggest this will account for most of the –0.8ppts on annual GDP growth over the year to June 2027. The emphasis here though is on 'rough'. Wealth effects have seeming disappeared for long periods and their precise timing is very unclear, e.g. how should the drag from the current downturn be viewed against what were presumably strong positives coming off the much larger preceding gains? Some of this could be due to 'assymmetric' behaviour, with effects playing out very differently when there wealth is rising or falling.

On balance, we expect the impact to see consumer spending 'muddle through' rather than fall back to the weaker growth seen during the more intense cost of living and interest rate shocks in 2023-24. This partly reflects the indirect support coming from growth more generally – the AI-related investment boom, which we have covered at length in previous reports, a key factor helping to hold GDP growth up around 1.5%yr and prevent a more material weakening in labour market conditions. For the consumer though this will continue to feel like a struggle with growth flat in per capita terms and a shakier picture around housing that will play out very differently for some segments.

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Oil and fuel prices push higher ...

Sian Fenner, Head of Business & Industry Economics
Justin Smirk, Senior Economist
Luka Belobajdic, Economist

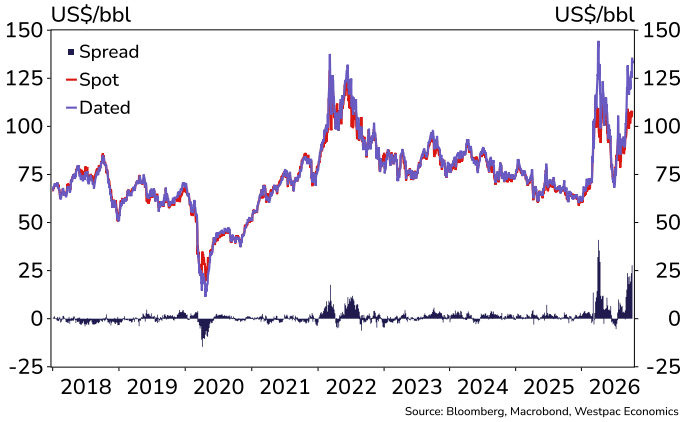
Low inventories and higher shipping costs will keep oil and fuel prices elevated, with Brent futures forecast to average US$101/bbl in Q4 before easing to US$77/bbl by Q4 2027 as supply recovers. Refined fuels and LNG prices should ease more slowly. Risks are two-sided: escalation could push Brent towards US$150/bbl, while an early US-Iran agreement could see a faster normalisation in supply with prices returning close to pre-conflict levels by end-2027.

Brent crude is back above US$100/bbl on fading confidence in a lasting US-Iran agreement and intermittent attacks on shipping. Buffers remain depleted, with the IEA estimating global observed inventories were 507mb lower at the end of August than at the start of the conflict.

This comes despite crude exports through the Strait of Hormuz recovering to around 70% to 90% of pre-conflict levels in late September. Saudi and UAE exports through the Yanbu and Fujairah pipelines continue, with the East-West pipeline back to normal after the early September attacks. Tanker crossings have risen, although transponders remain switched off, leaving visible transit at 1% to 4% of pre-conflict levels, while cargo transfers in the Gulf of Oman have increased.

However, these workarounds are slower and more costly. Ship-to-ship transfers can take 5 to 10 days, US escorts cause delays and some tankers are taking longer routes. Fewer ships are also available, with many redeployed to other markets. Higher insurance premiums are adding to costs, with Gulf-to-China tanker rates above US$0.9mn a day, around 15x higher than a year ago. With prompt barrels scarce, the gap between physical and futures prices widened again, with Dated Brent around US$136/bbl in early October against US$101/bbl for front-month futures.

Spot and Dated Brent



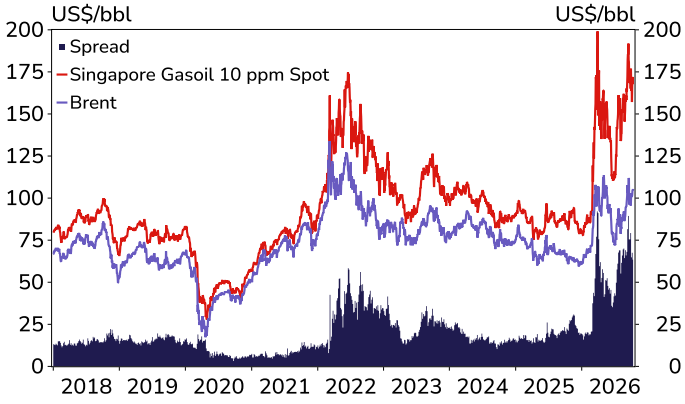
Source: Bloomberg, Macrobond, Westpac Economics

Refined prices have risen more than crude

Refined product markets were already tight going into the conflict. Reduced Gulf supply, exacerbated by Ukrainian strikes on Russian refineries, has added to that tightness. Together with higher shipping costs and rising Dated Brent prices, Singapore Gasoil 10ppm (diesel) has roughly doubled since the Strait closed, compared with around 40% for crude futures.

Consequently, Singapore gasoil crack spread widened to an average of around US$36.1/bbl in early October, from US$17.5/bbl across 2025. Alongside the government's excise tax cut returning to normal, this has lifted national diesel and petrol prices to around A$2.83/L and A$2.41/L.

Singapore gasoil crack remains elevated



Source: Bloomberg, Macrobond, Westpac Economics

Outlook

We do not see a lasting US-Iran agreement until at least mid-2027. In the meantime, we assume there will not be a return to full-scale military intervention. However, periodic Iranian attacks on ships and facilities are expected to continue, as will the US blockade of Iranian exports, keeping a supply risk premium in place. We look for Brent futures to average around US$101/bbl in Q4, then ease gradually as demand from refiners and governments to rebuild stocks partly offsets recovering supply. As the premium fades and the market moves into surplus in late 2027, we forecast Brent at around US$77/bbl in Q4 2027, easing towards US$70/bbl in 2028 as Middle East production fully recovers.

Oil balance to gradually improve over 2027

Global oil supply is expected to rise by 4.0mb/d (4.0%) to 103.7mb/d in 2027, following a 6.1% fall in 2026. Most of this reflects a gradual recovery in Gulf output, with Houthi attacks on Red Sea shipping keeping Saudi production below its

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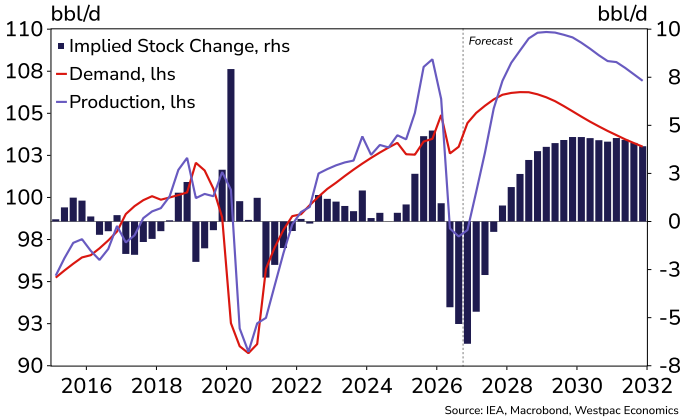
... as supply still tight ...

pre-conflict level until H2 2027. Meanwhile, we look for UAE production to continue to improve over 2027 and lift above pre-conflict levels from 2028, as it is no longer constrained by OPEC quotas. We do not expect a meaningful return of Iranian oil until an agreement is reached, and damage sustained during the conflict means production will take time to recover.

We expect global oil demand to be 103.7mb/d in 2026, 0.8mb/d (0.7%) higher than in 2025, and to rise a further 1.9mb/d (1.8%) to 105.6mb/d in 2027. Chinese crude imports will continue to recover over the coming months as refiners restock ahead of Lunar New Year, but we expect only a gradual return to pre-conflict levels, as the electrification of transport limits the recovery in Chinese demand. Globally, demand for diesel and jet fuel recovers as transport and aviation activity picks up, although some demand destruction and efficiency gains are expected to be permanent. The conflict has also highlighted strategic vulnerabilities, particularly across Asia, so we expect a push to rebuild reserves adding around 0.5% to demand over 2027.

Oil Production and Demand



Source: IEA, Macrobond, Westpac Economics

Fuel prices to ease more slowly than crude

Refined product supply is expected to recover more slowly than crude, with Gulf refinery runs not returning to pre-war levels until at least late 2027. Outside the Gulf, there has been some constructive news. The US has lifted sanctions on Russian diesel until April 2027, with Russia saying it will supply more than 4Mt over the coming months, while China has lifted its ban on refined product exports. However, we are cautious about how much this will add to the market in the short term. Much of the Russian supply is headed to the US and will depend on Russia's ability to restore refining and export capacity, while doubts remain over the Russia-Ukraine energy ceasefire announced by President Trump. China still manages exports through quotas, which are likely to increase only gradually as domestic stocks are rebuilt. Refinery runs should lift ahead of Lunar New Year, but any increase in exports will take time to reach regional markets.

With product supply recovering slowly and depleted inventories being rebuilt, Singapore gasoil crack is likely to stay above its long-run average even as Brent eases, narrowing from US$71/bbl in Q4 to US$27/bbl by Q4 2027. With Singapore Gas 10ppm prices, shipping and insurance costs to remain elevated and easing only gradually in 2027, we forecast Australian diesel to retail at an average of 274¢/L in Q4, easing to 200¢/L in Q4 2027, and petrol at 230¢/L and 187¢/L respectively.

LNG prices supported through 2027

Japanese LNG prices surged 15.2% in September, averaging US$25.4/mmbtu as supply disruptions in Qatar and the Strait of Hormuz tightened markets and intensified competition. Our Q4 forecast for Japanese LNG is now US$24.5/mmbtu and we expect the market to remain structurally tight, with supply recovery likely to be gradual and prices not returning to pre-conflict levels until 2028. Still, Australia's domestic gas market should remain insulated due to the current gas reservation arrangements.

Risks around our oil price outlook are two-sided

Talks are still ongoing in the background, with the US and Iran exchanging proposals to reopen the Strait, but the gap between them remains wide. The conflict has also expanded to the Red Sea and, with inventories sharply drawn down, there is a smaller buffer to absorb a further shock.

Using the Oxford Economics model, we assess an escalation scenario, where energy markets face a deeper and more persistent disruption as the conflict in the Middle East intensifies. In this case, Brent futures rise to around US$150/bbl in H1 2027, only dipping to below US$100/bbl in Q2 2028. We also consider an early resolution scenario, where shipping and Gulf supply normalise faster, returning Brent to near pre-conflict levels by end-2027.

Escalation scenario

In the escalation scenario we assume:

Talks stall and the conflict escalates: the gap between the US and Iran proves too wide and the US resumes strikes after the midterms. Iran responds with attacks on shipping and Gulf energy infrastructure, damaging export, storage and refining facilities. A lasting agreement is not reached until 2028.

Export routes are disrupted: more frequent attacks curtail dark crossings of the Strait and ship-to-ship transfers in the Gulf of Oman. Houthi attacks also cut off Saudi alternative routes, forcing Gulf producers to cut output and Middle East crude exports sharply lower. New routes and shipping arrangements eventually support a recovery in Gulf flows, but trade patterns take time to adjust.

Product supply fails to recover: The Russia–Ukraine energy ceasefire does not hold and strikes on Russian refineries

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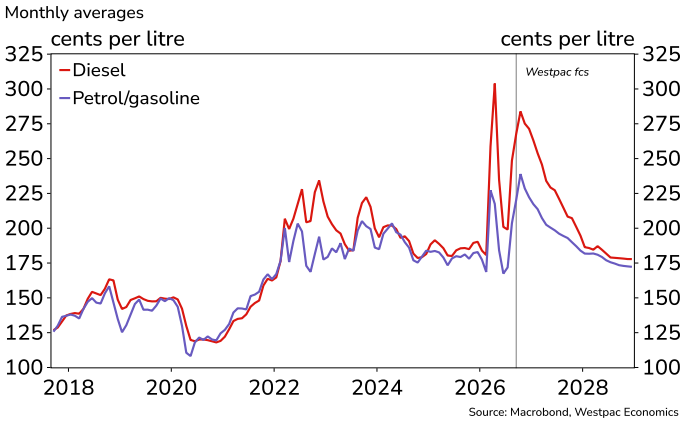
... and risks remain

continue, limiting how much diesel Russia can export, even with the US sanctions waiver extended. China also reintroduces its export ban to protect domestic supply.

Oil prices lift to around US$150/bbl in H1 2027: With little buffer to absorb the supply loss, competition for physical delivery intensifies, with physical prices well above futures as prompt barrels remain scarce. Higher prices support supply growth outside OPEC and drive demand destruction, alongside further emergency stock releases, but a deeper and more prolonged global deficit remains. Brent stays above US$100/bbl until mid-2028 as governments rebuild reserves.

The Singapore gasoil crack widens and, with freight and insurance costs also higher, Australian diesel and petrol prices average around 247 cpl and 231 cpl at end 2027. Japanese LNG also remains elevated around US$23.2/MMBtu in Q4 2027, $9.1 above our baseline.

Australian pump prices for auto fuel



Early resolution scenario

In the early resolution scenario we assume:

A durable agreement: The US and Iran agree terms to reopen the Strait by the end of year, and, unlike the June interim deal, the agreement holds, with progress towards a permanent settlement in early 2027. Attacks on shipping cease and the US blockade is lifted, allowing Iranian oil back into the market, initially from storage. Vessels are quickly repositioned to the Gulf, with freight and war-risk insurance easing from early 2027 rather than mid-year.

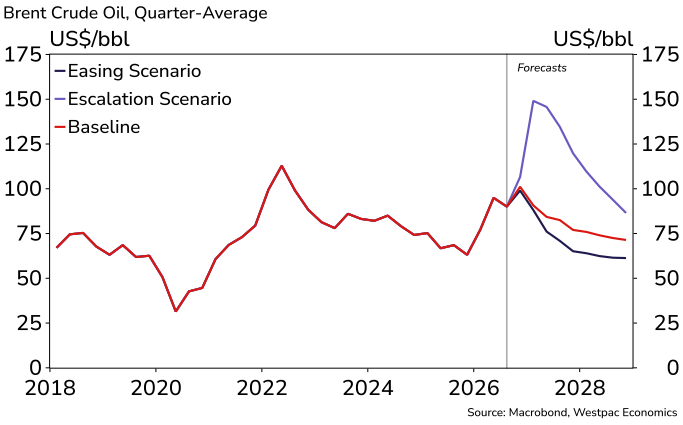
A faster recovery in supply: With export routes secure, Gulf production and damaged refinery and export capacity recover sooner than in the baseline. Outside the Gulf, the US extends its waiver on Russian diesel beyond April 2027 and China raises export quotas as domestic stocks are rebuilt.

Demand settles below pre-conflict trend: Some demand destruction and efficiency gains persist, particularly in China. With inventories rebuilding faster, government restocking is smaller and more gradual than in the baseline.

Prices fall quickly, but restocking provides a floor: Brent Brent futures ease to around US$88/bbl in Q1 2027 as the premium for prompt physical barrels unwinds. As the market moves into balance, Brent eases to around US$65/bbl by Q4 2027, close to pre-conflict levels.

Refined product prices ease faster on lower freight costs with the Singapore gasoil crack narrowing. Australian diesel and petrol prices fall to around 182 cpl and 170 cpl by Q4 2027. Gas markets also ease, although damage to Qatar's gas facility means export capacity recovers gradually. Japanese LNG falls to around US$11.9/MMBtu by end-2027, $2.1 below our baseline.

Oil Price Scenarios



Economic impact

In the escalation scenario, higher fuel costs flow through to transport, food and other energy-intensive goods such as plastics and fertilisers. Australian headline CPI remains above 4.5% for much of 2027, with underlying inflation remaining sticky at above 3% until late 2028. The RBA faces a difficult trade off between much higher inflation and a significant hit to activity, as households cut discretionary spending and businesses defer investment. Higher LNG export earnings provide only a moderate offset. In the early resolution scenario, headline inflation is around 0.1ppt below the baseline in 2027.

New Zealand is more exposed in both scenarios, with food and energy a larger share of its CPI and no offsetting energy exports. Headline inflation is around 1ppt higher in the escalation scenario in Q1 2027.

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Recent trends remain firmly in place ...

Justin Smirk, Senior Economist
Luka Belobrajdic, Economist

Most commodities rose in September, with many of the themes that drove moves across August remaining in place. Our broadest commodities index increased 5.6%mth, led by coking coal, which rose 22.3% on ongoing supply tightness following the Shanxi mine explosion. Japanese LNG (+15.2%mth) and Brent oil (+14.9%mth) also recorded strong gains amid persistent Middle East tensions, while thermal coal rose 11.7%mth. Copper (+1.3%mth) and aluminium (+1.0%mth) extended their recent gains, while iron ore managed a meagre advance (+0.7%mth), supported by higher freight and production costs. Gold fell 2.1%mth following the Fed's September rate hike, while lithium was the weakest performer, with spodumene prices down 4.8%mth amid renewed oversupply concerns.

India increasingly the swing factor for coal

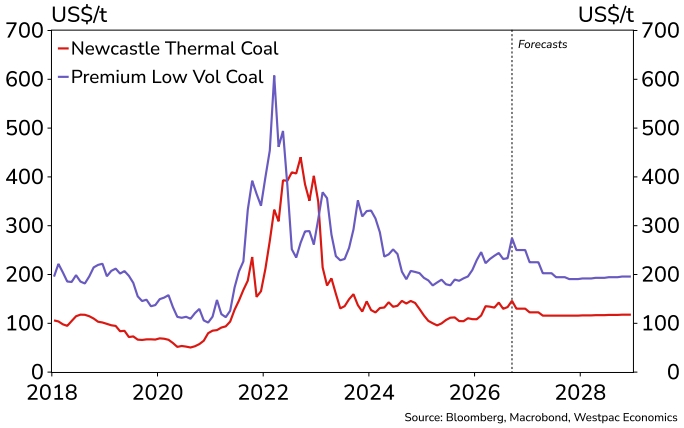
Newcastle thermal coal prices rose 11.7%mth in September, averaging US$146/t over the month. LNG markets continue to support the relative cost competitiveness of thermal coal, while China has also re-emerged as a stronger seaborne buyer, reflecting tighter domestic supply following the Shanxi mining disaster. El Niño has contributed to hotter conditions and a weaker monsoon season, boosting electricity demand while weighing heavily on hydro generation. Against this backdrop, we now expect Newcastle thermal coal to average US$130/t in the December quarter before easing towards US$116/t through 2027 as global energy prices recede.

Queensland premium low-vol coking coal prices led gains across the commodities complex in September, rising 22.3%mth to average US$275.8/t. The increase reflects strong Chinese demand, with buying accelerating ahead of the peak steelmaking season, compounded by domestic supply shortages following the Shanxi mining disaster. The resulting supply loss was initially expected to be offset by increased Mongolian imports. However, diesel shortages have constrained local coal production. Looking ahead, the normalisation of Mongolian exports and weaker Chinese steelmaker margins are expected to limit demand for seaborne cargoes, although India should provide some offset as the country emerges from its monsoon season and steel production lifts. As a result, we forecast premium low-vol coking coal prices to remain elevated in the December quarter, averaging US$250/t before moderating through 2027.

Cost pressures place a floor under iron ore prices

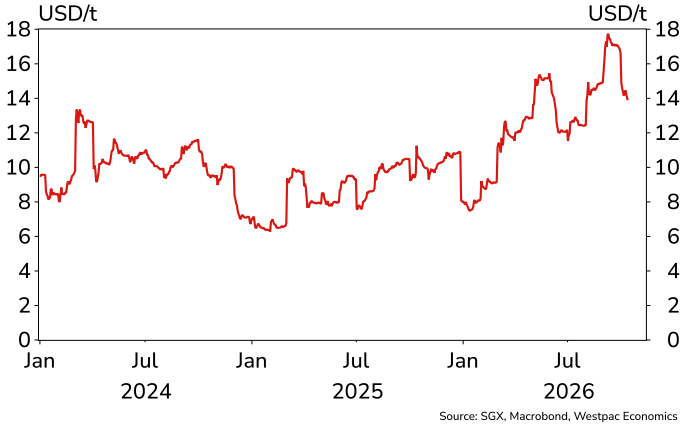
Iron ore prices (62% Fe index) rose 0.7%mth in September to average US$98.3/t, largely reflecting ongoing pressure from elevated freight and energy costs. Shipping futures from Western Australia to Qingdao continued to rise with the September average sitting 91% above the 2025 average.

Australian coal prices



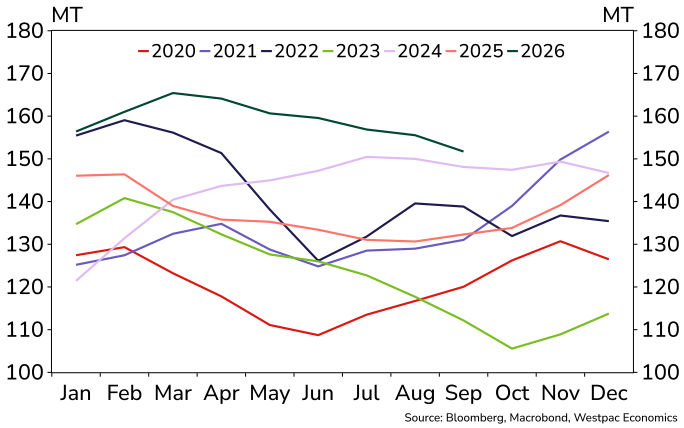
Source: Bloomberg, Macrobond, Westpac Economics

Shipping Futures, C5, West Australia - Qingdao



Source: SGX, Macrobond, Westpac Economics

China Iron Ore Total Ports Inventory



Source: Bloomberg, Macrobond, Westpac Economics

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... with energy markets leading the gains

Evidence of cost pressures is becoming increasingly apparent with Wood Mackenzie estimating the 90th percentile cost of production now sits at US$79.8/t -- 5.7% above 2025 levels. That said, major headwinds facing iron ore remain firmly in place. Seaborne supply continues to expand while at the same time, the Shanxi mining disaster has kept coking coal markets particularly tight, further compressing steelmaker margins. China's domestic economy also presents limited upside, with urban fixed asset investment down 7.2%ytd in August and iron ore inventories at Chinese ports remaining historically elevated. We expect the 62% Fe index to average US$95/t in the December quarter.

The medium-term outlook is becoming increasingly challenging. Supply-side pressures are building as new low-cost output from Simandou enters the market. Persistently high inventories in China and softer global steel demand, as major economies contend with elevated energy costs, are expected to place further downward pressure on prices. The ongoing structural decline in Chinese steel production is also eroding underlying demand. We therefore expect iron ore prices to soften further, averaging around US$83/t in the December quarter of 2027 as surplus conditions become more evident.

Gulf disruptions continue to support aluminium

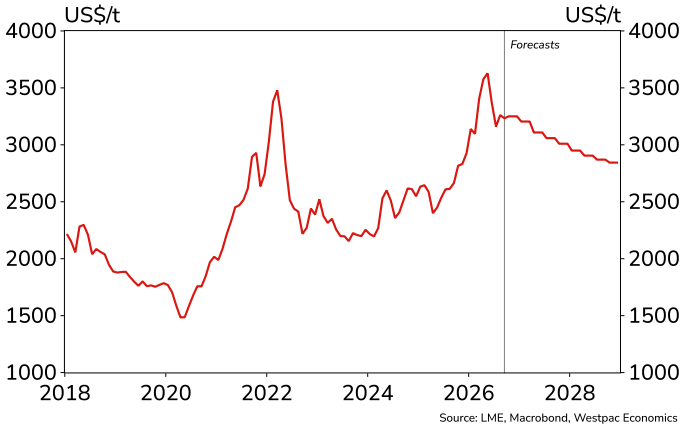
Aluminium prices rose 1.0%mth in September, averaging US$3,284.2/t. Continued disruption to Gulf smelting capacity has maintained upward pressure on the market, with the Gulf region accounting for around 9% of global smelting capacity and a larger share of global trade. While limited volumes of metal are beginning to emerge from the Middle East, difficulties securing sufficient alumina feedstock continue to constrain production. As a result, IAI statistics indicate GCC production in August remained 42.6%yr below August 2025 levels. Given the time- and capital-intensive nature of restarting Gulf smelting capacity, we expect market tightness to persist through the remainder of 2026. Additional near-term support is likely to come from China where aluminium output increased by just 3.1%yr in August, offsetting only around half of lost GCC production, with growth constrained by China's capacity replacement policy.

Against this backdrop, we expect aluminium prices to maintain strength across the remainder of the year. However, we do not anticipate a full return of the war premium, with higher prices incentivising capacity restarts across Western economies and South-East Asia, while Chinese demand remains subdued. As a result, we forecast prices to average US$3,250/t in the December quarter. Thereafter, prices are expected to ease as supply stabilises, Gulf producers restore production, and new Indonesian smelting capacity backed by Chinese investment comes online.

Chinese policy fuels lithium oversupply fears

Markets were spooked by renewed concerns around lithium oversupply in September after China froze approvals for

Aluminium will be supported in the near-term

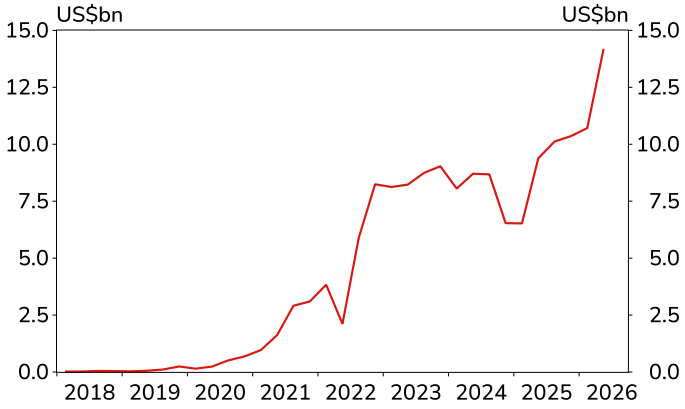


Source: LME, Macrobond, Westpac Economics

greenfield power and battery energy storage system factories that had yet to break ground. The move reflects growing concerns around excess capacity in the sector and forms part of Beijing's broader anti-involution agenda. Sentiment was further subdued by increased focus on the potential restart of the Jianxiawo mine, which accounts for around 3-4% of global lithium supply at full capacity and remains suspended pending environmental approvals. Subsequently, Spodumene (6% FOB Australia) prices fell 4.8%mth in September to average US$2,007/t.

Despite this, the near-term outlook remains constructive. Demand should remain supported by lean downstream inventories and continued investment in energy storage solutions following the recent energy shock. Additional growth is likely to come from accelerating EV adoption, with lower-cost Chinese EVs continuing to gain market share. Over the medium to longer term, additional supply, particularly from Australia, is expected to weigh on prices. Further, recent tax changes in China, which impose a consumption tax on lithium-ion batteries while exempting sodium-ion and solid-state batteries until end-2028, may encourage some substitution away from lithium at the margin. Nevertheless, lithium is expected to remain the dominant battery chemistry.

Chinese Electric Vehicle Exports



Source: NBS, GAC, Macrobond, Westpac Economics

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US dollar strength ...

Elliot Clarke
Head of International Economics

After struggling to break up through 100 over the past four months, in late September and early-October the DXY index popped higher to near 103, a high back to early-2025. Underlying the move are expectations that inflation will prove persistent globally, requiring an extended period of higher rates as well as a belief that the US tech sector leaves it best positioned to weather the storm.

It is important to note at the top that available data does not support a view that the US/Rest-of-World divide has grown. US GDP growth certainly remains above average and the Europe/UK below, but this has been the case throughout 2026.

Moreover, Europe and UK have shown greater-than-anticipated resilience of late, and growth in both jurisdictions is expected to strengthen as the US slows into 2027. Also relevant for DXY, Canada looks to be on a similar path to Europe, despite the ill effects of US trade policy.

Participants also expect a run of rate hikes in each jurisdiction through the remainder of 2026 and in 2027. We believe these expectations are unlikely to come to pass, though our cross-market view is proportion to the market's – i.e. we see each central bank biding their time after a final hike in coming months, allowing the currently restrictive stance of policy to take effect over time.

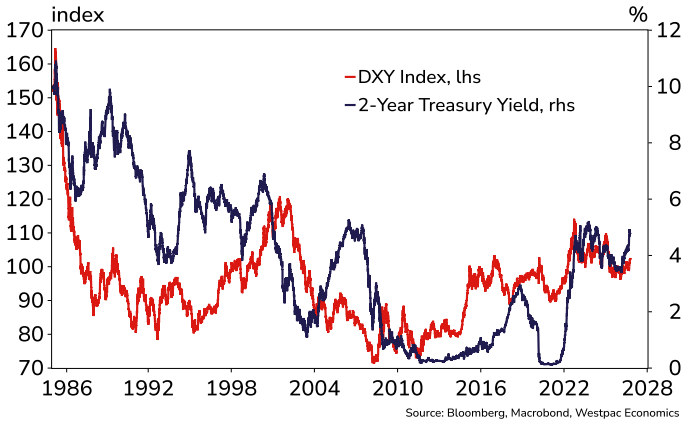
At the long end of the curve meanwhile, yields are certainly in the US dollar's favour. While this is in part due to the strong expectations for US growth, it also has to do with growing anxiety over the US' fiscal position, unpredictable policy and key global investors reconsidering the scale of their exposure to US government debt.

None of these latter factors are a positive for the US dollar today, and the risk is the US becomes more of an outlier on each front as greater co-ordination delivers a windfall for sentiment and growth across Europe and Canada.

As such, we continue to believe the US dollar will broadly move lower over the coming 24 months, though it could take until early-2027 for the turn to become definitively evident. From EUR/USD1.12 today, we forecast the euro to rise to USD1.14 at year end, then USD1.21 in December 2027 and USD1.22 in June 2028.

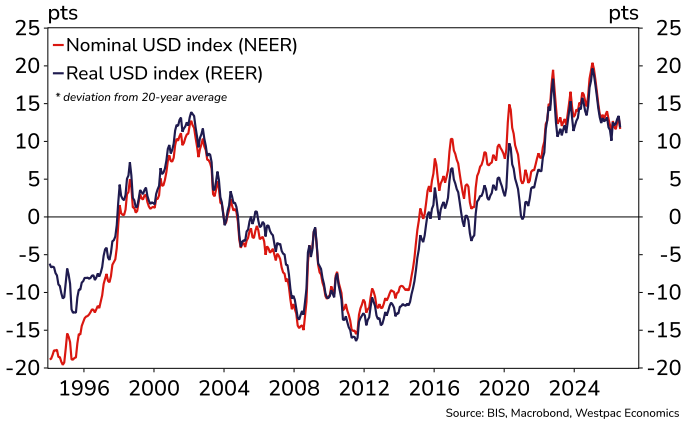
Sterling is expected to follow, from USD1.32 today to USD1.34 at end-2026, then USD1.39 by end-2027 and USD1.41 come June 2028.

USD demand to prove short lived



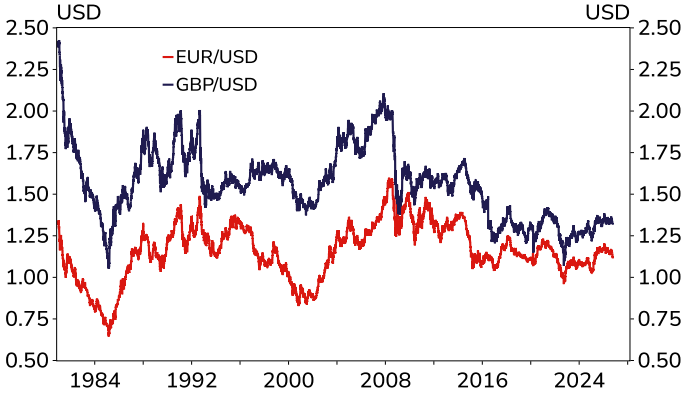
Source: Bloomberg, Macrobond, Westpac Economics

Valuation remains stretched



Source: BIS, Macrobond, Westpac Economics

Euro and UK risks to recede



Source: Bloomberg, Macrobond, Westpac Economics

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... likely to prove short lived

The Canadian dollar is also anticipated to appreciate over the forecast period, USD/CAD falling from CAD1.42 today to CAD1.34 by end-2027 and CAD1.32 mid-2028.

Along with sustained modest gains for yen (see below), this should see the DXY index at 95.1 by end-2027, then 94.5 around the middle of 2028.

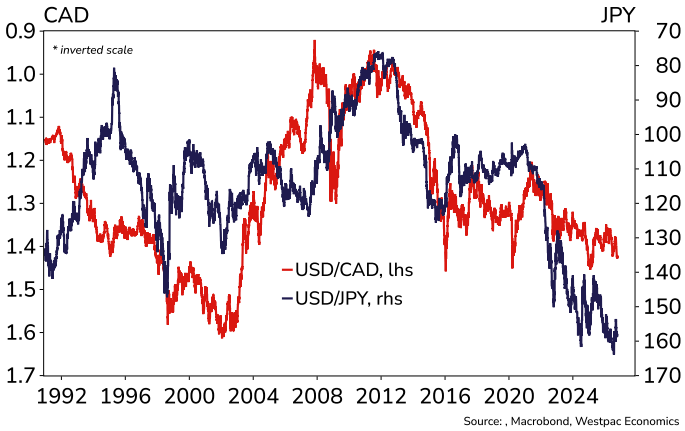
Turning to Asia, the yen remains in focus. Growth in Japan is solid and inflation around target, warranting a continued gradual normalisation of the policy rate. It is clear though that the Bank of Japan is not progressing at the pace market participants desire, and so pressure remains on the currency. As we have often highlighted, returns from trade and investment also continue to hold the yen back, despite improving profitability for Japanese listed companies and a broadly stable rate differential.

We expect these negative factors to abate and risks against yen to dissipate, but only slowly. Consequently, we only forecast USD/JPY to fall from JPY158 currently to around JPY146 come end-2028. Into the medium-term, we expect to see further gains, at some stage at a much more rapid pace. Note, our end-2028 forecast of JPY146 is 32% above the average of the decade prior to the pandemic, providing significant scope for rapid yen gains if sentiment improves.

On to China, where investors are increasingly anticipating additional stimulus and also recognising the global opportunity before Chinese industry. As detailed on page 18, recent efforts to support the economy have been highly targeted, though they point to a broader push by authorities coming in late-2026 and early next year. The current initiatives also give support to the idea that the Central Government intends to increasingly allow the private sector and effective state-linked entities to deploy capital and scale on their own terms, albeit still within the country's long-term master plan centred on technology and other high value-add industry.

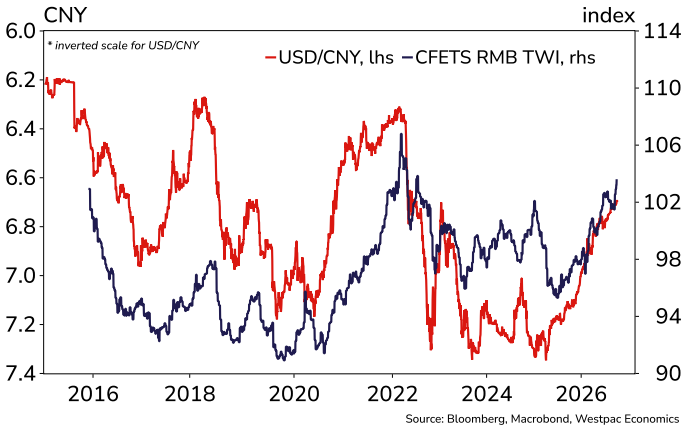
For China, the returns from trade have already been extensive, but there is scope for decades more to come. Still, the coming years are more likely to see development in sync with local neighbours such as Vietnam, Korea and Indonesia, mitigating large-scale bilateral appreciation within the region. Instead, it is currency trading against the US dollar that will highlight performance and expectations for the future. While we expect most of the region's currencies to appreciate materially against the US dollar through end-2028, the timing is likely to differ. Singapore's dollar has already run up, limiting further gains. China's renminbi is likely next in line to appreciate materially against the US dollar, followed by the won and Taiwan's dollar. India's rupee and Indonesia' rupiah are examples of currencies within the region likely to gain with a delay, particularly while energy prices remain elevated.

JPY may finally get a bid



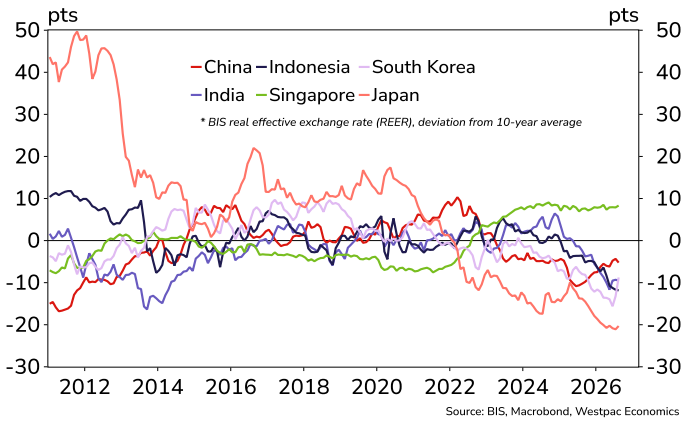
Source: , Macrobond, Westpac Economics

Renminbi next to break out



Source: Bloomberg, Macrobond, Westpac Economics

Asia's outlook promising



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Growth continued through the Middle East conflict ...

Kelly Eckhold
Chief Economist NZ

Since the September Market Outlook, we have seen significant increases in global energy prices, a further fall in the New Zealand dollar and increases in long term interest rates. These developments have prompted us revise our macroeconomic outlook for 2026 and 2027 which now incorporate a less favourable mix of higher inflation and weaker growth. We continue to expect the economy to grow above trend, although with higher-for-longer inflation that justifies higher policy rates from the RBNZ. The New Zealand dollar seems weak and downside risks are growing should the economy falter or if the USD continues to shift higher. The General Election is on 7 November, and polls suggest that this remains a tight race. Whichever bloc wins, we expect complex coalition negotiations that may take some time to resolve.

Data on economic activity confirmed that the economy continued to grow through the Iran-war-impacted June quarter, registering the expected 0.2% growth rate. This was a pleasing result considering our earlier concerns that the economy might have gone backwards as energy prices and economic uncertainty spiked. In addition, historical revisions to GDP showed stronger growth in the pre-war quarters so that annual growth was notably stronger than thought at 2.6%yr. This means that the NZ economy has been running ahead of its potential growth rate – estimated at around 1.6%yr by the RBNZ for the year to June 2026. Concerns of a widening output gap through 2026 appear to have been unfounded.

That is not to say that the economy is in rude health. The general perception of economic conditions by consumers and businesses is that times are tough. The dissonance between the data and the perception reflects the still narrow nature of drivers propelling the economy forward. Unusually, it is not the housing market and related sectors such as household consumption that is generating much of the growth. Rather, it is the agricultural sector, exporters and tourism that are experiencing strong conditions. This explains the wide dispersion of economic indicators around the economy as evidenced by much stronger conditions in the North vs the South Islands. We continue to see strong export prices and have revised up our forecast milk price for the 2026/27 season to $9.75/kg/ms and made an opening estimate of the 2027/28 milk price of $9.50/kg/ms. These are strong returns that will underpin demand and investment in the agricultural sector in the years ahead.

We are seeing signs that lower interest rates are supporting growth in interest sensitive sectors. For example, in the June quarter the construction sector delivered its strongest contribution to growth since 2023. We are also seeing signs of strengthening employment growth including in the North Island where urban areas predominate. However, the overall mix of growth remains relatively narrow which means many sectors – especially the services sector – are missing out on growth at this stage of the economic recovery.

The narrow nature of the recovery means that the economy remains vulnerable to shocks and setbacks. The last month or so has seen several negative shocks that are challenging the recovery. A couple seem especially relevant: renewed hostilities in the Middle East and a rise in petrol prices to new highs; and a rise in global long term interest rates that are adding to the tightening in financial conditions caused by the RBNZ's OCR increases since July 2026.

Thus far, businesses and households are showing much better resilience to higher energy costs than shown early in the conflict when petrol prices were close to current levels. We have seen some decline in business and consumer confidence, but the declines appear modest and remain consistent with ongoing economic growth in the second half of 2026. The question is how long that resilience will last?

We have reviewed our economic forecasts to account for changes seen since late August when we last reviewed our forecasts. The biggest changes concern the short-term inflation outlook where higher fuel prices should flow through to the CPI in the December quarter, adding more than 0.5% to our prior estimate of inflation for the 2026 calendar year. That means headline CPI inflation will end 2026 over 4% which is an uncomfortable – but unavoidable – prospect for the RBNZ. The weaker exchange rate will also add to inflation through mid-2027 with the TWI down 4-5% since late August.

A key question is what impact will stronger near-term price pressures have on the medium-term inflation outlook, which the RBNZ will be most focused on? Business and consumer surveys released in the last month showed no sign of rising inflation expectations or increased business pricing pressures. This suggests that most players in the economy see the energy shock as a short-term disruption that will not persistently lift inflation. At this juncture it certainly seems likely that headline inflation will remain either above or in the top part of the RBNZ's 1-3% target range through most of 2027. But we have little evidence to date that core inflation pressures will be similarly lifted. We will review the Q3 CPI data next week for signs of broader passthrough. In the June quarter we were pleasantly surprised that core inflation measures remained contained.

It may well be that the still significant level of excess capacity in the economy and the narrowness of growth can conspire to keep broader inflation pressures under control. We have trimmed our growth forecasts over the Q4 2026-Q2 2027

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… although downside risks are rising

period to reflect these economic headwinds. We continue to see solid growth that remains above the still poor potential growth rate of the economy. But it is certainly the case that absent other positive drivers, growth will be weaker than previously thought. This should help constrain inflation pressures all else equal.

Another area of the economy that has continued to surprise to the downside is the housing market which has not met even our modest expectations for a stabilisation in prices through the second half of 2026. Unusually, despite low interest rates house prices are if anything falling more quickly as the year goes on. House sales are weakening and the time to sell a house is lengthening. We have revised down our house price expectations for 2026 and 2027 to a fall of 1.4%yr in 2026 and a rise of just 1.75% in 2027. Weaker housing market conditions likely mean consumption and residential investment will be constrained leaving more of the burden for growth on the external sector.

All this leaves us wondering if the RBNZ has enough to go on to shift its strategy communicated in September. Given perceived downside risks to activity, despite the uncomfortable near-term inflation outlook, it indicated a preference to slow the pace of OCR increases by pausing at its October meeting before raising the OCR to 3% in December. Our sense is that the strategy will remain in place unless the CPI data next week shows signs of building core inflation pressures.

Markets have priced in a relatively high chance of hikes in both October and December (around 33bps of hikes across the two meetings). At times, pricing appears to have been highly correlated with similar shifts in foreign markets as global oil prices increased over September (although pricing has been relatively stable of late). There will no doubt be a vigorous debate within the MPC over how to balance the opposing risks to inflation and growth. We suspect they will hold the September course in the end.

The exchange rate has been particularly weak in the last six weeks. The US dollar has been stronger than expected and the repricing of global interest rates higher increasingly singles countries with relatively low interest rates, such as New Zealand. Should NZ growth falter to the extent that interest rate differentials can't narrow then the NZ dollar could easily weaken further as investors vote with their feet.

Another issue is the forthcoming 7 November election and the associated uncertainty given that polling is tight and policy divergences significant, especially between smaller parties who will need to be coaxed into a coalition with one of the larger parties. Fiscal risks already seem prominent in the fiscal plans of both the National and Labour party. Deals done to create a coalition likely increase those risks with the potential to undermine the NZ dollar further post-election. It certainly seems the case that markets have a strong focus on fiscal sustainability right now.

	2025			2026								
Monthly data	**Oct**	**Nov**	**Dec**	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**
REINZ house sales %mth	6.3	0.1	0.6	–5.1	4.0	–2.3	–1.0	–3.7	–0.4	–3.0	–1.7	–
Residential building consents %mth	–0.9	2.5	–4.3	2.5	2.2	–0.8	12.6	–5.1	–3.6	–4.5	5.6	–
Electronic card transactions %mth	0.2	1.3	–0.1	–1.1	1.4	0.7	–1.3	1.6	–1.4	1.2	–0.9	–
Private sector credit %yr	4.6	4.4	4.6	4.6	4.7	4.9	4.7	4.8	4.9	4.9	4.8	–
Commodity prices %mth	–0.3	–1.6	–2.2	2.0	4.2	4.2	–0.8	0.8	–1.1	–4.0	–0.4	0.6
Trade balance $mn	–271	–374	–210	–349	–923	–380	162	–1123	–767	–1331	–101	–

Quarterly data	**Q2:24**	**Q3:24**	**Q4:24**	**Q1:25**	**Q2:25**	**Q3:25**	**Q4:25**	**Q1:26**	**Q2:26**	**Q3:26**
Westpac McDermott Miller Consumer Confidence	82.2	90.8	97.5	89.2	91.2	90.9	96.5	94.7	80.4	89.5
Quarterly Survey of Business Opinion	–26	–29	–27	–22	–21	–15	–3	0	1	–1
Unemployment rate %	4.7	4.9	5.1	5.2	5.2	5.3	5.4	5.4	5.6	–
CPI %yr	3.3	2.2	2.2	2.5	2.7	3.0	3.1	3.1	4.1	–
Real GDP %yr	1.1	0.4	–0.3	–0.9	–1.1	–0.5	0.3	0.9	1.7	–
Current account balance % of GDP	–5.5	–5.3	–4.9	–4.4	–3.6	–3.1	–3.0	–3.0	–3.2	–

Sources: Government agencies, Bloomberg, Macrobond, Westpac Economics. Some data omitted from certain series due to Lunar New Year distortions. *4qma

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The timing of an upturn ...

Elliot Clarke
Head of International Economics

There has been little change in China's key narratives year-to-date. The trade surplus remains near record highs, buoyed by demand for green technology. Offsetting external strength, however, has been a moribund consumer, deteriorating business investment and continued month-on-month declines for housing activity.

With each month that passes, the risk of disappointing authorities' 4.5-5.0% ambition grows. In our view, while the Government is right to take a targeted approach to support for the economy, it must quickly multiply the scale and breadth of support if downside risks for 2027 and 2028 are to be kept at bay.

September's endeavour with housing is a case in point. Late in the month, authorities announced mortgage subsidies. Under the policy, first-home buyers are to receive an annualised 1 percentage point reduction in the loan principal for up to 5 years. However, the policy only applies to homes of up to 120 square metres with a maximum value of 1.5mn yuan.

Industry data from Proptech Innovations reported by Bloomberg suggest new home sales were up 15% from a year ago during October's National Day celebrations, but sales were still 9% below the same period in 2024.

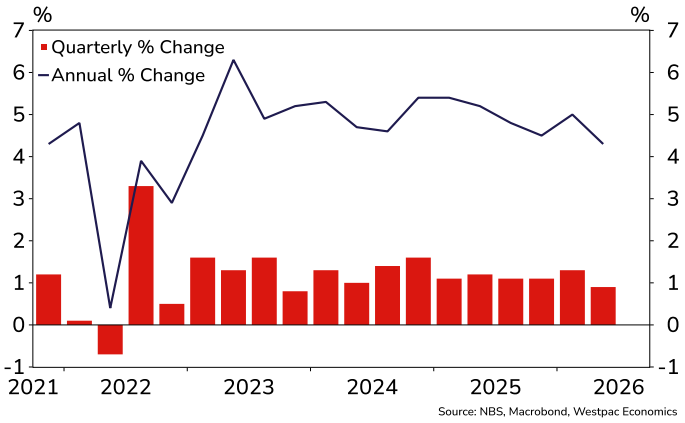
After more than 4 years of declining prices, sales and new construction, targeting this small sub-set of buyers is best interpreted as a first step towards broader support, allowing young buyers to get in ahead of the pack.

A similar scenario has been playing out in China's equity market, with several rounds of buying by state-linked institutional investors building a floor for Chinese shares this year while changes to these investors' long-term investment mandates lock in sustained buying over the years ahead. Hot IPOs have also been allowed to run, arguably in part to highlight the opportunity China's tech industry has before it to scale and, in time, deliver significant wealth gains.

Suggesting further support is coming, also included in the late-September stimulus initiative was support for targeted lending by the banks for technology innovation and equipment upgrades, along with infrastructure finance. While open to all businesses, these initiatives seek to protect supply for small companies to avoid past issues with credit rationing. Increasingly then, Chinese businesses of all sizes are positioned to take advantage of growth opportunities.

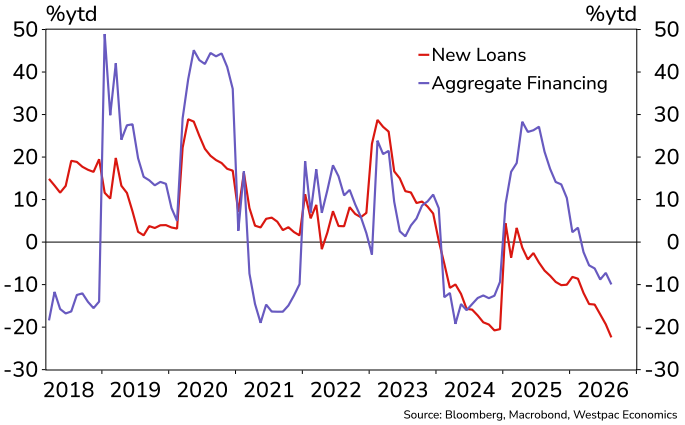
In the very near term, the scaling of these private enterprises is likely to prove a support for sentiment and market valuations more so than employment. To quickly boost household

Growth target at risk into year end



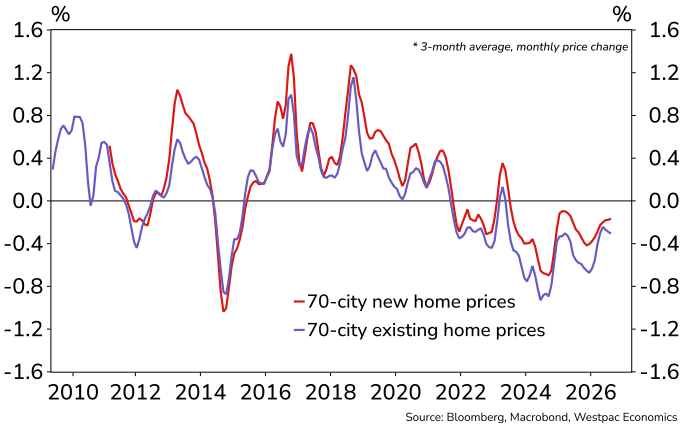
Source: NBS, Macrobond, Westpac Economics

Credit impulse negative



Source: Bloomberg, Macrobond, Westpac Economics

Wealth needs additional support



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... remains in authorities' hands

incomes, local government enterprises (who are major employers directly and indirectly) need to be incentivised to spend. The reason this is the case is that these entities are typically tasked with the lion share of infrastructure and non-residential construction in their jurisdictions. They also have strong ties to the residential construction sector, so an upturn in their spending benefits each regional economy broadly.

Central authorities have not been ignoring the need for support amongst local governments and related entities. But the support offered to date has focused on terming out existing debt and lowering the rates at which they borrow, principally through guarantees from higher levels of Government.

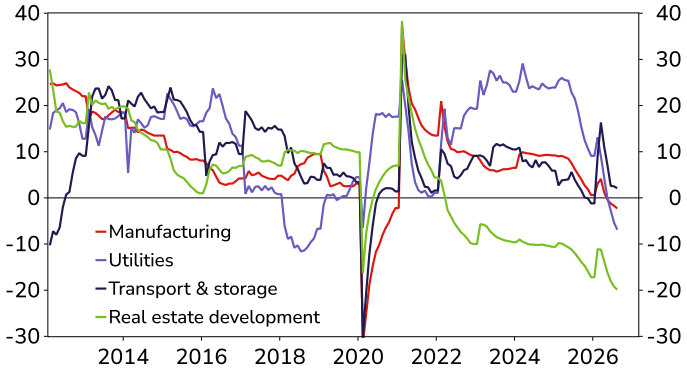
There are indications this first wave of support has been successful in materially improving regional government and related entities cash flow. Additional low-rate special purpose issuance, when it arrives, therefore has scope to offer significant support to investment across the nation. The pipeline of projects built up during 5 years of weak public investment means an uptick in capital expenditure should be productive for the national economy and secured by strong financial foundations.

The benefit of living through an entrenched period of disinflation is that the yield curve flattens at a low level. This development offers Chinese public and private issuers an opportunity to lock in long-term capital at highly attractive rates. At the current juncture, this is a significant advantage to the West who are facing heightened inflations risks and fiscal uncertainty. While many harbour concerns on the latter point for China too, the control Chinese authorities have over outbound foreign investment means a greater share of domestic capital is captive to local opportunities than is the case across open developed markets.

All told, the hold-up for a broadening of growth across China's economy is therefore confidence. When this occurs, however, is up to the Central Government.

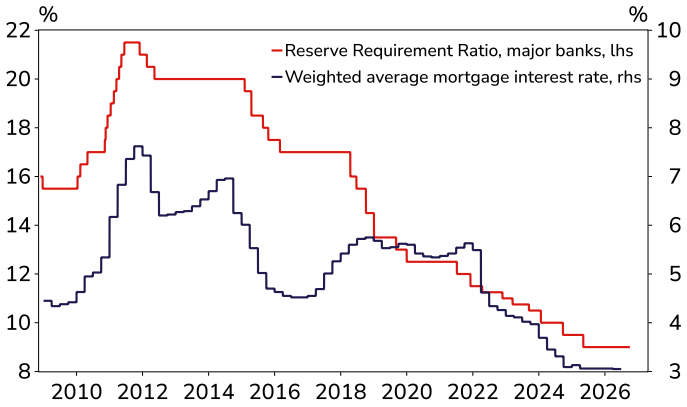
As does investment

Fixed Asset Investment by Industry (%ytd)



Source: NBS, Macrobond, Westpac Economics

Monetary policy already accommodative



Source: Bloomberg, Macrobond, Westpac Economics

	2025			2026								
Monthly data %yr	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep
Headline CPI %yr	0.2	0.7	0.8	0.2	1.3	1	1.2	1.2	1	0.5	0.8	0.9
M2 money supply %yr	8.2	8	8.5	9	9	8.5	8.6	8.6	8	7.7	7.5	7.2
Manufacturing PMI (official)	49.0	49.2	50.1	49.3	49.0	50.4	50.3	50.0	50.3	49.2	49.8	50.1
Fixed asset investment ytd %yr	–1.7	–2.6	–3.8	–3.8	1.8	1.7	–1.6	–4.1	–5.7	–6.7	–7.2	–
Industrial production %yr	4.9	4.8	5.2	5.2	6.3	5.7	4.1	4.5	5.3	4.5	5.2	–
Exports %yr	–1.3	5.8	6.4	10.0	39.6	2.5	14.0	19.2	26.9	23.9	25.0	36.3
Imports %yr	1.8	2.6	6.4	26.9	14.7	28.4	25.3	27.4	35.8	27.5	28.2	31.0
Trade balance USDbn	88.0	109.9	111.9	120.0	89.2	49.8	84.4	105.0	125.5	112.5	119.1	133.5

Quarterly data	Mar–25	Jun–25	Sep–25	Dec–25	Mar–26	Jun–26
Real GDP %yr	5.4	5.2	4.8	4.5	5.0	4.3
Nominal GDP %yr	4.6	3.9	3.7	3.9	4.9	5.9

Sources: Government agencies, Bloomberg, Macrobond, Westpac Economics. Some data omitted from certain series due to Lunar New Year distortions. *4qma

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US housing poses risks ...

Elliot Clarke
Head of International Economics

The US housing market remains under considerable pressure. Prices continue to edge up, supporting aggregate wealth. But up-and-coming main street consumers are struggling with affordability and availability, posing enduring risks for both consumption growth and inflation.

Traditionally, when considering the implications of housing for consumption, the focus in on aggregate wealth. In the US currently, despite record levels for long-term interest rates including the 30-year mortgage rate, house prices have continued to edge higher, the S&P Case-Shiller 20-city index up 2.5%yr as of July. Together with strong gains for equity markets, this puts asset rich US consumers in an extremely strong position to maintain discretionary consumption.

Real personal consumption growth has been choppy, however, ranging between -0.1% and 0.6% year-to-date, leaving annual growth near average levels at September – a poor result given wealth's uptrend. Clearly this is a consequence of developments in the Middle East and Russia which have pushed oil and diesel prices back near the top of the historic range. A more pressing and persistent risk to the US consumer story hence is the challenge the marginal home buyer faces.

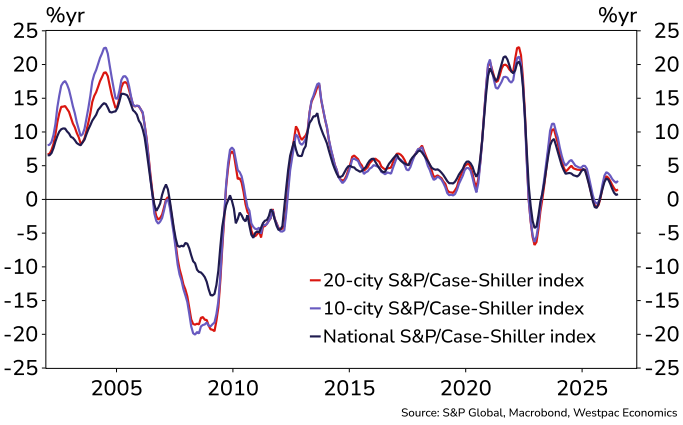
Since the beginning of 2022, the effective mortgage rate paid by all levered US households has risen from a low of around 3.3% to 4.3%. For the current marginal first-time buyer or upgrader, however, the current 30-year mortgage rate is almost twice as high at 7.50%. Housing affordability is therefore aggressively limiting both the number of buyers and the quantum of housing able to be purchased. Moreover, those who are successful purchasing face a highly-restrictive financial position for the coming 5-10 years, with interest expense making up the vast majority of initial mortgage payments toward a 30-year loan.

If, as has been the case over the past few years, nominal wage gains struggle to match inflation for essential household items, the discretionary consumption capacity of new entrants to the housing market and upgraders will remain limited.

The status quo and anticipated outlook for housing leads us to believe that consumption growth will slow into 2027 and remain below trend in 2028. Though continued gains for tech infrastructure are likely to offset, holding GDP growth around trend – supporting the labour market and consequently precluding a broadening of weakness in consumer spending.

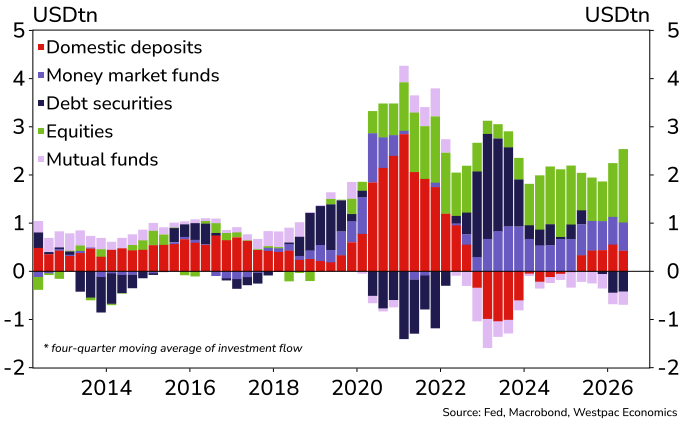
Also worthy of note are the implications for housing costs from the current trend in sales and construction. Through the first half of 2026, housing starts were at their lowest level

House prices still aiding wealth



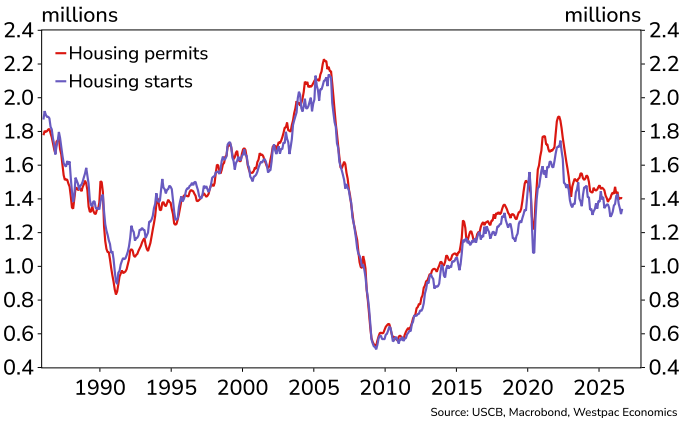
Source: S&P Global, Macrobond, Westpac Economics

Consumer financial assets also growing



Source: Fed, Macrobond, Westpac Economics

New supply insufficient for population



Source: USCB, Macrobond, Westpac Economics

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... to growth and inflation

in five years. Indeed, new supply over the period was broadly consistent with that achieved in the 1990's when the population was approximately 25% smaller than today. Building permit data also implies this imbalance is set to persist.

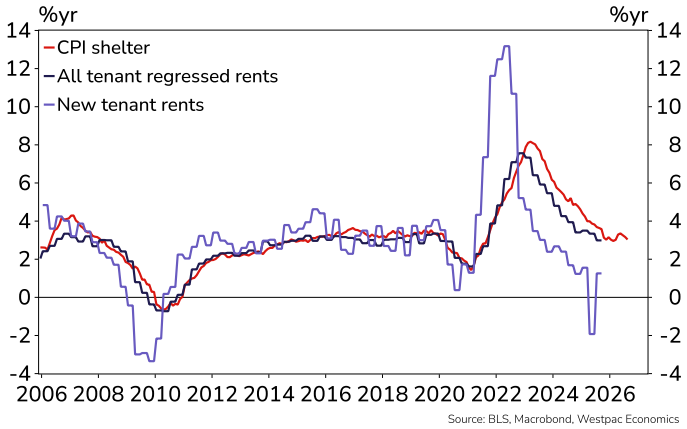
While rent inflation has slowed back towards average levels over the past two years, it is therefore unlikely to underperform hence. More probable is that, if the labour market remains in robust health, the shelter component will strengthen again. This is particularly likely in major cities where the demand and supply imbalance is most acute.

For the FOMC, this is a worrying predicament given shelter inflation makes up roughly 15%/35% of the PCE/CPI basket respectively. With the effect of tariffs and a likely modest decline in the US dollar to mitigate any disinflation from offshore, any strengthening in domestic US inflation will make sustainably achieving 2.0%yr inflation extremely challenging.

Hence, while we expect the FOMC will be able to reverse September's hike and the follow-up decision we forecast by end-2026 come early-2028, the Committee will then have to remain on hold at a modestly restrictive rate of 3.875%. This should limit US dollar depreciation over the forecast period, if downside risks for activity growth do not materialise; but it also means long-term yields are likely to remain elevated.

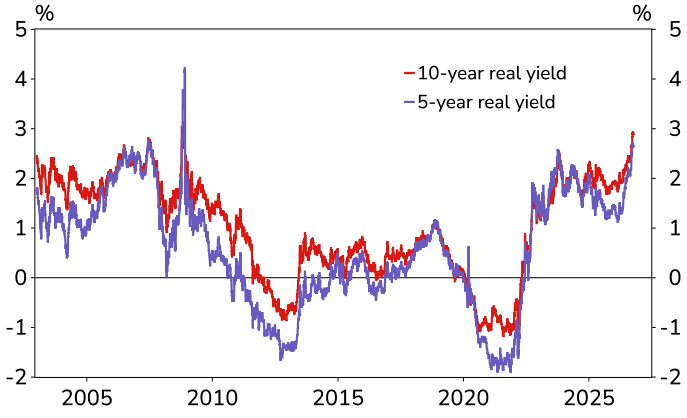
We see current market pricing for the FOMC as overextended, with three hikes priced by end-2027 compared to our forecast of a single additional move. If we are correct, the 10-year yield can retreat back below 5.00% for a time, though likely only marginally. Come 2028, a combination of persist upside inflation risks relative to target and mounting fiscal uncertainty heading into the 2028 US Presidential election is likely to see the 10-year consistently above the 5.00% level. Such an occurrence would limit new investment in real assets and further entrench domestic inflationary momentum.

Shelter inflation bottoming out



Source: BLS, Macrobond, Westpac Economics

Real yields up on growth and fiscal risk



Source: Bloomberg, Macrobond, Westpac Economics

	2025		2026									
Monthly data	**Nov**	**Dec**	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**
PCE deflator %yr	2.7	2.8	2.7	2.8	3.4	3.6	3.8	3.5	3.4	3.4	–	–
Unemployment rate %	4.5	4.4	4.3	4.4	4.3	4.3	4.3	4.2	4.1	4.1	4.2	–
Nonfarm payrolls chg '000	41	–17	160	–156	214	148	63	31	–10	133	29	–
House prices* %yr	1.5	1.5	1.3	1.0	1.0	1.2	1.7	2.1	2.5	–	–	–
Durables orders core 3mth %saar	9.8	8.9	5.5	8.5	22.0	20.6	22.2	12.4	18.1	16.5	–	–
ISM manufacturing composite	48.0	47.9	52.6	52.4	52.7	52.7	54.0	53.3	55.6	54.6	54.5	–
ISM non–manufacturing composite	52.4	53.8	53.8	56.1	54.0	53.6	54.5	54.0	54.1	55.4	54.9	–
Personal spending 3mth %saar	4.7	4.0	3.6	4.4	6.9	9.2	10.1	7.6	4.9	5.2	–	–
UoM Consumer Sentiment	51.0	52.9	56.4	56.6	53.3	49.8	44.8	49.5	55.2	51.7	48.1	46.3
Trade balance USDbn	–63.9	–76.1	–52.7	–52.5	–53.7	–52.9	–75.8	–71.2	–92.8	–105.6	–	–

Quarterly data	**Jun–25**	**Sep–25**	**Dec–25**	**Mar–26**	**Jun–26**	**Sep–26(f)**
Real GDP % saar	3.8	4.4	0.5	2.1	1.5	3.1
Current account USDbn	–254.9	–262.9	–221.1	–212.6	–246.0	–

Sources: Government agencies, Bloomberg, *S&P Case–Shiller 20–city measure.

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Is Asia's goods price disinflation ...

Illiana Jain
Economist

For much of the past twenty years, Asia has been a source of disinflation for the world. The integration of China into global manufacturing, the offshoring of production to other low-cost economies and relentless improvements in technology have all helped. As a result, periods of elevated domestic inflation were often offset by falling or flat imported goods prices, allowing central banks to tolerate stronger services inflation.

Today though, a combination of ageing populations, rising labour costs, increasing electricity demand and developments within the technology sector imply Asia may provide less support to global disinflation over the decade ahead.

Historically, labour cost arbitrage was one of the key drivers of lower goods prices. Production was repeatedly shifted towards lower-cost labour markets, with much of the world's manufacturing increasingly concentrated in North Asia. However, working-age populations in economies such as Japan, South Korea, Taiwan and China are now either stagnant or declining, and economic development has pushed labour costs higher. These trends are consistent with the broader argument advanced by Goodhart and Pradhan – that the enormous labour supply shock stemming from China, which helped suppress global inflation over recent decades, is fading.

The next phase of manufacturing development looks likely to instead be driven by capital, technology and energy rather than low-cost labour, and is likely to be more fragmented. Future supply-chain development is therefore more likely to help contain rising costs than drive sustained price declines for goods.

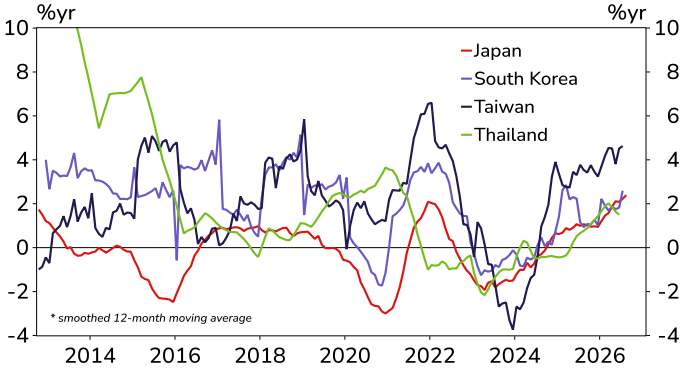
Digging deeper into these factors, technology is becoming a less reliable source of disinflation. Asia sits at the centre of the global AI supply chain through firms such as TSMC, Samsung and SK Hynix, which produce advanced semiconductors and memory chips critical to AI infrastructure. Unlike previous technology cycles, these firms are operating in an environment characterised by strong demand and limited supply, allowing greater discretion over pricing. SK Hynix's net profit, for example, increased from ₩19.8tn to ₩42.9tn, a rise of 117% year-on-year.

At the same time, increasing critical mineral and other input costs together with large investment requirements are lifting production costs and the required return on investment.

These factors increasingly look to be structural, with producers competing on performance and capability rather than price and growth in end demand extremely strong. This means technology may no longer be a source of disinflation/ deflation globally, but instead a contributor to end user inflation.

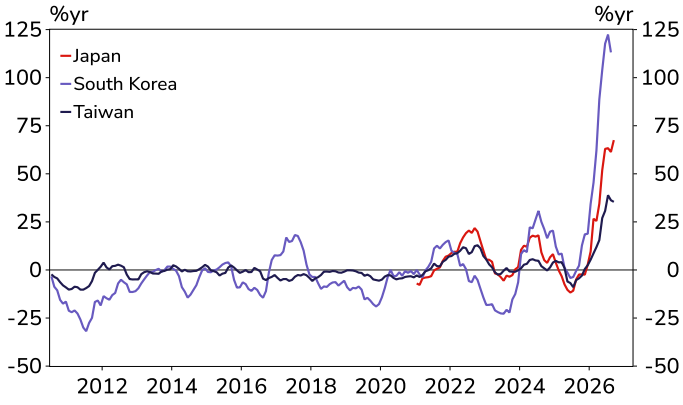
Asia's labour-cost advantage is fading

Real manufacturing wages, seasonally adjusted



Source: DGBAS, MOEL, MHLW, NSO, MODS, SBJ, BTEI, Macrobond, Westpac Economics

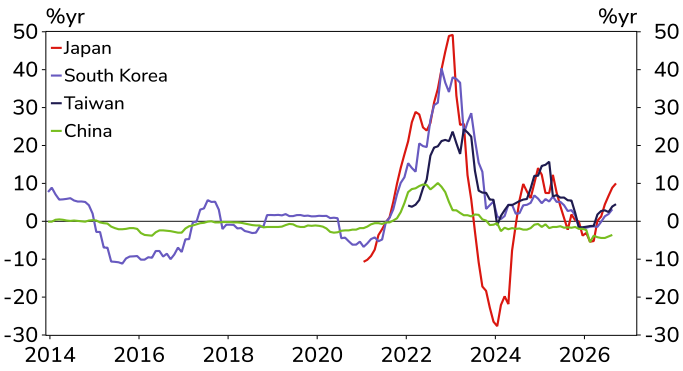
Electronics export prices skyrocket



Source: DGBAS, BOK, BOJ, Macrobond, Westpac Economics

The AI boom is lifting energy demand

PPI Energy



Source: BOJ, NBS, BOK, DGBAS, Macrobond, Westpac Economics

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... over?

The AI build-out is also fostering energy demand, adding to economy-wide inflationary pressures. Semiconductor fabrication plants, data centres and AI infrastructure are extremely electricity intensive. This is also the case for the large-scale data-centre investment evident across the Asian region and world.

Developments in China, however, highlight that disinflation remains a possibility for some manufactured goods. Simply, where capacity has been expanded ahead of demand, such as for automobiles, the trend for output prices is still flat to down. If capacity is expanded ahead of demand in more sub-sectors, world prices can grow more modestly, or potentially decline, depending on end user appetite and competition.

For aggregate global inflation though, we need to recognise the growing complexity and breadth of the global production chain and technology's use in everyday life.

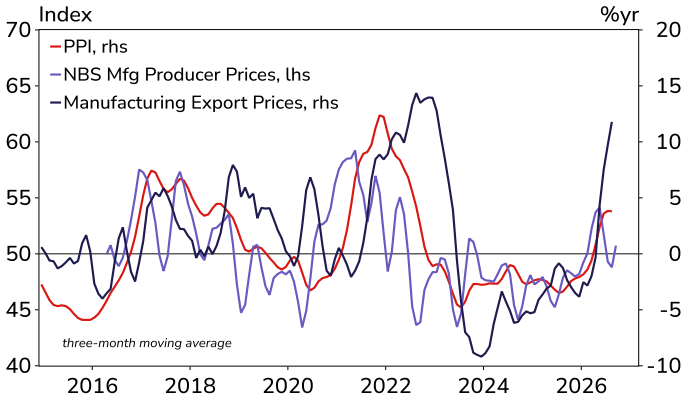
Today, China is not the dominant supplier across all of technology. South Korea's leadership in memory chips and Taiwan's dominance in advanced semiconductors are examples. The consequence for the developed world is that it is not just production costs in one location that matter, but rather across the full logistic chain.

It is also important to highlight that many end users and the manufacturers undertaking production are increasingly prioritising resilience, security and specialisation alongside cost minimisation. This limits their ability to move production in pursuit of lower wages and construction costs, reducing the potential for future disinflation/deflation, all else equal.

For developed-market central banks, the implications may prove significant. If Asia provides less support to global disinflation, imported goods will contribute less to returning inflation to target. Achieving inflation mandates in those circumstances will require tighter control of domestic inflationary pressures, particularly services.

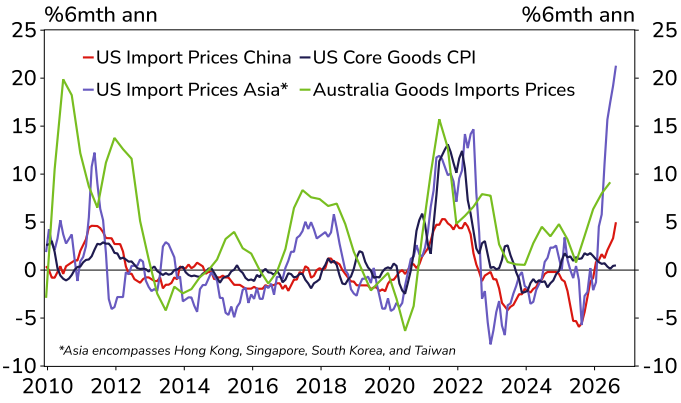
An interesting end note to ponder over the coming year(s) is the potential benefit of AI driven productivity. In time, this may help to not only foster disinflation across production, but also international logistics and local service sectors. Each nation is likely to experience a different outcome on this front, with early adopters best place to efficiently plan and implement adoption and receive a windfall.

China's deflation is losing influence



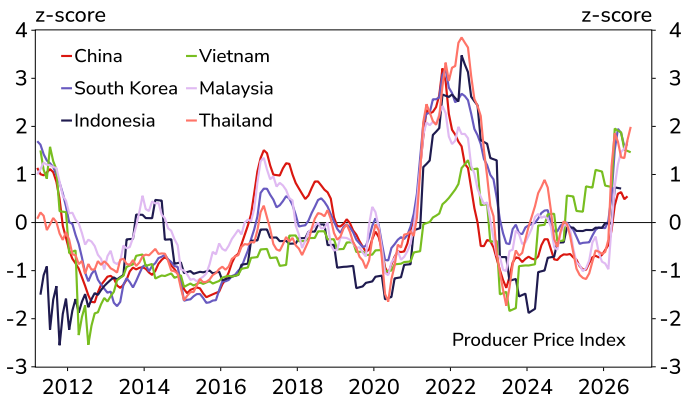
Source: NBS, CFLP, GAC, Macrobond, Westpac Economics

Asian prices add risk to developed markets



Source: BLS, ABS, Macrobond, Westpac Economics

The cheapest supply chain no longer wins



Source: BOK, NBS, BPS, Vietnamese National Statistics Office, DOSM, BTEI, Macrobond, Westpac Economics

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Concerns over Europe's outlook ...

Elliot Clarke
Head of International Economics

The euro has come under considerable pressure during the past month owing to fears over the potential implications of high prices and threats to global supply for oil, gas and diesel. That said, the European economy continues to tick along nicely while inflation risks remain manageable, allowing the ECB to be measured in their response.

At the time of September's meeting, the ECB staff projections pointed to a quick turn in growth, from 0.9% in 2026 back to 1.4% in 2027 and 1.5% in 2028 (both near-trend outcomes) as inflation returns to target. This was an upward revision compared to the forecasts presented 3 months earlier, built on greater-than-expected resilience in the economy despite mounting global energy risks.

Since the meeting, the data has broadly continued to point to underlying strength, with the unemployment rate stable near record lows, real incomes and sentiment holding up, and construction activity outperforming. Retail sales growth remains choppy and sub-par, but we are yet to see clear evidence of downside risks crystallising for household spending.

Against this sanguine baseline view, the ECB's revised alternative forecasts point to a large shock being necessary to jolt GDP growth materially lower in 2027. An oil price circa USD100 and gas price of EUR75 per MWh through Q4 2026 and a slow abating of risks through 2027 would still result in GDP growth of 1.1% in 2027 and then 1.4% in 2028 on the ECB's modelling.

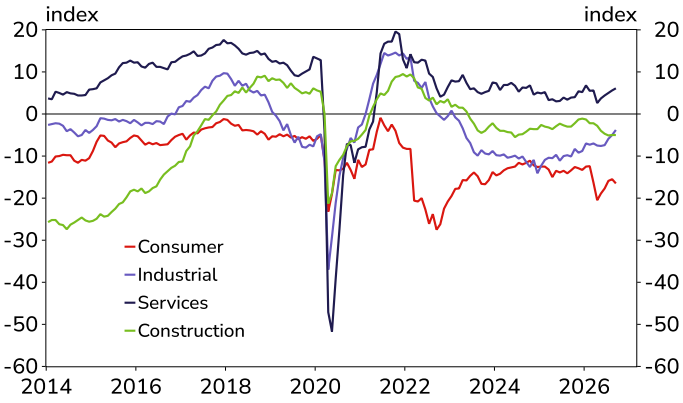
An oil price of USD130 and gas price of EUR130 per MWh in Q4 2026 with persistent strength through 2027 is instead necessary to see GDP growth slow from 0.8% in 2026 to 0.4% in 2027 before a recovery to 1.4% in 2028, as the energy shock recedes.

The point to take from these scenarios is that historic data and the relationships they represent suggest the Euro Area is likely to perform well through this period of heightened uncertainty.

Moreover, once risks recede, upside opportunities are probable, particularly if the trade relationship with Asia and the associated inflow of financial capital to the continent strengthens further.

An influx of investment into manufacturing by global players could also spark secondary waves of investment across manufacturing as well as related infrastructure and services provision. Come 2028 and beyond, upside risks related to the region's defence and resource independence should also present.

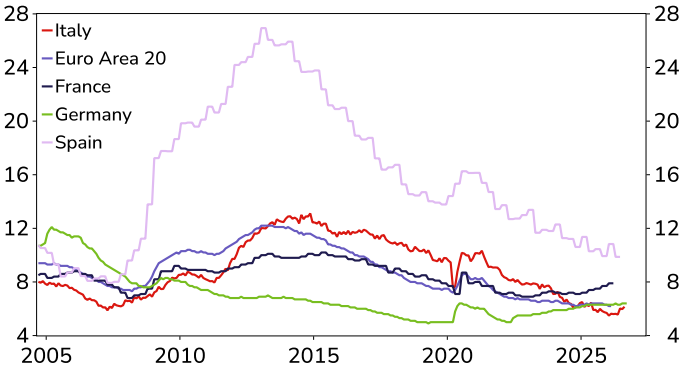
Confidence showing resilience



Source: DG ECFIN, Macrobond, Westpac Economics

Labour markets fully employed

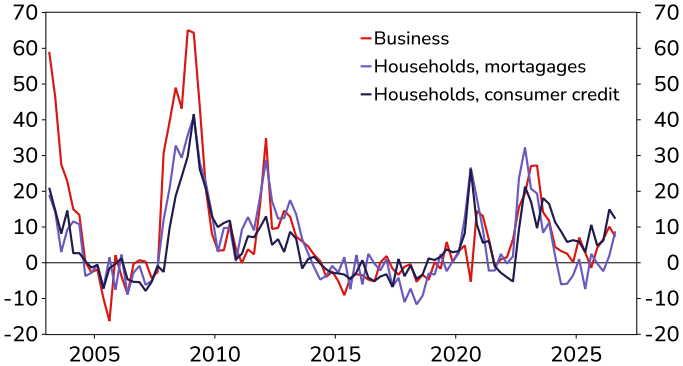
Unemployment rate (%)



Source: Istat, Eurostat, INSEE, German Federal Employment Agency (Bundesagentur fuer Arbeit), INE, Macrobond, Westpac

Credit standards have been tightened

Net % of banks reporting a tightening of credit standards



Source: ECB, Macrobond, Westpac Economics

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... are overdone

Thinking more broadly about the risks ahead, while the Euro Area may not have the upside potential of the US vis à vis data centre development for the training of models and pursuit of generative AI, their major corporations are ready and able to adopt US and/or Asian models to improve efficiency and speed up research and development.

For Europe, the opportunity set is arguably concentrated in pharmaceuticals, other medical goods and high-tech componentry related to telecommunications and transit – all sectors with strong growth opportunities.

To the downside, risks are focused on the functioning of the financial sector and the provision of credit. The latest release for the ECB's Bank Lending Survey is due late this month. But, as discussed in September's Market Outlook, the prior release from July points to a measured but sustained tightening of financial conditions over and above the impact of policy decisions.

For households in particular, Q2 saw a second consecutive quarter of credit standard tightening for mortgages across the Continent, principally due to heightened risk perceptions and reduced risk tolerance amongst the banks. Demand for mortgages unsurprisingly fell for a second quarter in a row, and respondents foresaw a further reduction in Q3. A more broad-based tightening of standards was meanwhile evident for consumer credit.

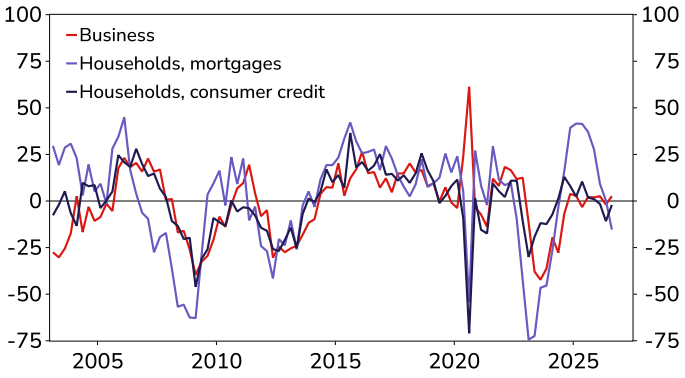
A moderate tightening of credit standards was also apparent for businesses. Though, new business investment grew through 2024–26 as credit standards were tightened quarter-on-quarter, suggesting the impact on business investment of current decision making will prove modest.

Importantly though, if this key downside risk (or others) manifest, the Euro Area public sector has capacity to react, far more so than US authorities. This is because Euro Area yields are materially lower than in the US, and their fiscal calculus is much more manageable.

Highlighting the scale of difference, the 10-year German yield is currently at 3.5% while the US 10-year trades near 5.2% – the German yield up around 30bps versus 80bps in the US. As of 2025, the Euro Area's general government fiscal balance was also a deficit of 3.0 per cent of GDP, less than half the US' 6.8 per cent of GDP deficit on the IMF's April Fiscal Monitor's figures. Into the long run, this difference will provide a meaningful boost to both growth across the continent and the euro's prospects.

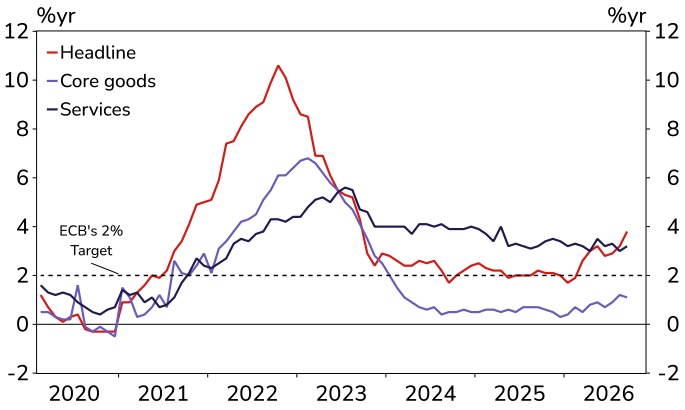
Loan demand mixed

Net % of banks reporting an increase in demand



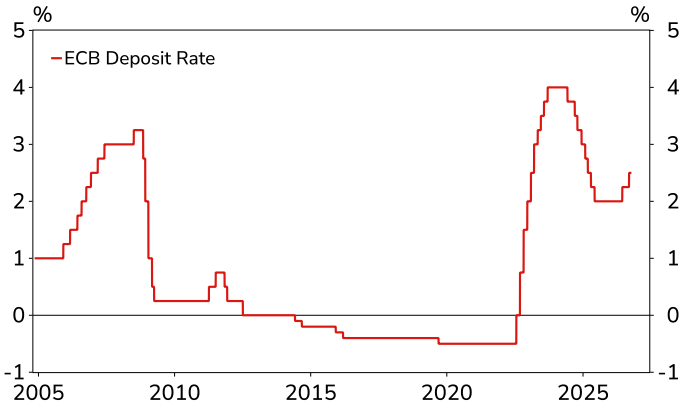
Source: ECB, Macrobond, Westpac Economics

Inflation to tend to target ...



Source: Eurostat, Macrobond, Westpac Economics

... with mildly restrictive policy



Source: ECB, Macrobond, Westpac Economics

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Australia

Interest rate forecasts

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.60	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.77	4.95	4.95	4.80	4.55	4.30	4.10	3.95	3.95	3.95
3 Year Swap	4.93	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
3 Year Bond	4.91	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
10 Year Bond	5.32	5.20	5.15	5.10	5.05	5.05	5.00	5.00	5.00	5.00
10 Year Spread to US (bps)	13	15	15	15	15	10	0	–5	–10	–15

Currency forecasts

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
AUD vs										
USD	0.6969	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
JPY	110.25	112	111	112	111	110	109	108	107	106
EUR	0.6248	0.63	0.62	0.62	0.61	0.60	0.60	0.59	0.60	0.60
NZD	1.2466	1.27	1.24	1.20	1.16	1.15	1.13	1.12	1.12	1.11
CAD	0.9926	0.99	0.99	0.99	0.99	0.98	0.97	0.96	0.96	0.96
GBP	0.5284	0.53	0.53	0.54	0.53	0.53	0.52	0.51	0.51	0.52
CHF	0.5815	0.58	0.57	0.56	0.55	0.55	0.54	0.54	0.54	0.54
DKK	4.6700	4.70	4.64	4.63	4.55	4.51	4.45	4.44	4.47	4.47
SEK	6.9901	7.10	7.08	7.12	7.06	7.03	6.96	6.95	7.03	7.03
NOK	6.6376	6.75	6.72	6.76	6.70	6.68	6.61	6.59	6.68	6.68
ZAR	11.57	11.7	11.8	11.8	11.8	11.8	11.9	11.9	11.9	11.9
SGD	0.8955	0.91	0.91	0.92	0.92	0.92	0.91	0.91	0.91	0.91
HKD	5.4699	5.61	5.63	5.70	5.69	5.69	5.65	5.63	5.62	5.61
PHP	44.07	44.4	44.3	44.5	44.2	43.8	43.2	42.7	42.4	42.4
THB	23.42	23.6	23.4	23.4	23.0	22.6	22.1	21.9	21.7	21.7
MYR	2.8618	2.90	2.88	2.88	2.85	2.81	2.80	2.75	2.75	2.75
CNY	4.6664	4.76	4.75	4.75	4.71	4.67	4.61	4.60	4.56	4.56
IDR	12476	12602	12528	12556	12410	12264	12052	11874	11729	11729
TWD	22.42	22.6	22.3	22.3	21.9	21.5	21.1	20.6	20.4	20.4
KRW	935	959	961	971	967	964	955	948	945	945
INR	66.71	68.0	67.7	67.9	67.2	66.4	65.3	64.4	63.7	63.0

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Australia

Activity forecasts

	2026				2027				Calendar years			
%qtr / %yr end	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
Household consumption	0.4	0.4	0.8	0.2	0.3	0.5	0.5	0.6	2.5	1.8	1.8	2.7
Dwelling investment	1.5	1.6	1.2	0.2	–0.1	0.5	0.6	0.7	5.2	4.5	1.8	5.1
Business investment *	6.2	–0.5	5.9	2.1	4.1	1.4	1.6	1.3	4.5	14.3	8.7	4.9
Private demand *	1.4	0.3	1.4	0.6	1.0	0.6	0.7	0.7	3.2	3.7	3.1	3.3
Public demand *	–0.5	0.2	0.7	0.7	0.6	0.6	0.6	0.6	2.4	1.1	2.5	2.6
Domestic demand	0.9	0.3	1.2	0.6	0.9	0.6	0.7	0.7	3.0	3.0	2.9	3.1
Stock contribution	–0.1	–0.1	–0.0	–0.1	0.0	0.0	–0.1	0.0	0.1	–0.2	–0.1	0.1
GNE	0.8	0.2	1.2	0.5	0.9	0.6	0.6	0.7	3.1	2.7	2.8	3.2
Exports	–1.1	0.8	0.5	0.8	0.4	0.7	0.7	0.6	5.2	1.1	2.4	2.4
Imports	2.0	0.5	3.2	2.0	2.5	1.8	1.3	1.5	6.8	7.8	7.3	5.5
Net exports contribution	–0.7	0.1	–0.7	–0.3	–0.5	–0.3	–0.2	–0.2	–0.3	–1.6	–1.2	–0.8
Real GDP %qtr / %yr avg	**0.3**	**0.4**	**0.5**	**0.2**	**0.4**	**0.3**	**0.4**	**0.5**	**2.0**	**2.1**	**1.5**	**2.1**
%yr end	**2.5**	**2.1**	**2.2**	**1.5**	**1.6**	**1.5**	**1.4**	**1.6**	**2.6**	**1.5**	**1.6**	**2.4**
Nominal GDP %qtr / %yr avg	0.6	0.8	2.1	1.0	0.4	0.6	0.8	0.8	4.8	5.2	3.5	4.1
%yr end	5.4	5.3	5.5	4.5	4.4	4.2	2.8	2.6	6.2	4.5	2.6	4.9
Real household disp. income	–0.3	0.6	1.5	–1.3	0.5	1.0	1.2	0.0	4.0	0.5	2.8	3.5

Other macroeconomic variables

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
Employment %qtr **	0.5	0.2	0.6	0.3	0.4	0.4	0.4	0.4	–	–	–	–
%yr end **	1.5	1.1	1.5	1.7	1.5	1.7	1.6	1.7	1.1	1.7	1.7	2.2
Unemployment rate % **	4.2	4.4	4.6	4.7	4.7	4.8	4.8	4.7	4.3	4.7	4.7	4.5
Wages (WPI) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.2	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.3	1.3	0.4	0.5	1.0	0.5	–	–	–	–
%yr end	4.1	3.9	3.9	4.6	3.6	3.4	3.2	2.4	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	0.8	0.8	0.9	0.9	0.7	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.6	3.5	3.5	3.3	3.3	3.1	2.9	3.3	3.5	2.9	2.4
Current account $bn, qtr	–25.4	–27.2	–29.1	–33.8	–39.5	–42.0	–43.6	–43.7	–	–	–	–
% of GDP	–3.5	–3.7	–3.8	–4.4	–5.1	–5.4	–5.6	–5.6	–3.1	–4.4	–5.6	–5.2
Terms of trade %yr avg	–1.2	–0.6	–0.4	–0.3	–1.4	–1.9	–3.1	–3.7	–2.5	–0.3	–3.7	–1.2
Population growth %yr end	1.4	1.4	1.4	1.4	1.4	1.3	1.3	1.3	1.5	1.4	1.3	1.2

Calendar year changes are annual through–the–year percentage changes unless otherwise specified.
* Business investment, private and public demand are adjusted to exclude the effect of private sector purchases of public sector assets. ** Quarter–averages.

Macroeconomic variables – recent history

	2025		2026									
Monthly data	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct
CPI %yr	3.4	3.8	3.8	3.7	4.6	4.2	4.0	3.8	3.5	4.0	–	–
Employment '000 chg	–41.3	57.8	34.1	21.6	20.9	–37.6	35.7	78.3	–15.9	39.5	–	–
Unemployment rate %	4.3	4.1	4.1	4.3	4.3	4.5	4.4	4.4	4.5	4.6	–	–
Westpac–MI Consumer Sentiment	103.8	94.5	92.9	90.5	91.6	80.2	83.0	80.6	83.9	89.0	84.4	80.4
Household spending %mth	1.0	–0.4	0.3	0.3	1.7	–1.0	1.2	0.9	1.1	0.0	–	–
Dwelling approvals %mth	15.4	–15.5	–13.5	44.3	–13.4	1.3	–1.4	6.9	–1.9	–6.1	–	–
Private sector credit %mth	0.7	0.8	0.5	0.7	0.7	0.7	0.8	0.8	0.6	0.6	–	–
Trade in goods balance AUDbn	2.3	3.2	2.5	5.2	–2.1	1.3	–2.8	2.0	1.4	0.5	–	–

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New Zealand

Interest rate forecasts

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	3.23	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	4.00	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.99	5.00	5.00	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US	–20	–5	0	5	15	10	5	0	–5	–10
10 Year Spread to Aust	–33	–20	–15	–10	0	0	5	5	5	5

Sources: Bloomberg, Westpac Economics.

Currency forecasts

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
NZD vs										
USD	0.5590	0.56	0.58	0.61	0.63	0.64	0.64	0.64	0.65	0.65
JPY	88.41	88	89	93	96	96	96	96	96	95
EUR	0.5012	0.49	0.50	0.52	0.53	0.53	0.52	0.53	0.53	0.54
AUD	0.8022	0.79	0.81	0.84	0.86	0.87	0.88	0.89	0.89	0.90
CAD	0.7961	0.78	0.79	0.83	0.85	0.85	0.85	0.85	0.85	0.86
GBP	0.4238	0.42	0.43	0.45	0.46	0.46	0.46	0.46	0.46	0.46
CNY	3.7444	3.75	3.83	3.97	4.06	4.07	4.06	4.09	4.08	4.10

Sources: Bloomberg, Westpac Economics.

Activity forecasts

	2026				2027				Calendar years			
% change	**Q1**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**2025**	**2026f**	**2027f**	**2028f**
Private consumption	0.6	0.0	0.5	0.6	0.7	0.9	1.0	1.0	1.0	1.3	2.9	3.9
Government consumption	0.9	–1.7	0.3	0.3	0.3	0.3	0.6	0.5	2.4	2.3	0.9	2.2
Residential investment	–1.6	4.4	3.0	3.5	3.5	2.5	2.0	1.8	–5.3	5.4	12.5	5.5
Business investment	4.2	0.3	0.8	1.5	1.6	1.4	1.1	0.9	0.5	4.6	5.1	4.1
Stocks (ppt contribution)	0.0	–0.4	0.3	0.0	0.2	0.0	0.1	–0.1	–0.1	0.4	0.3	–0.1
GNE	1.1	–0.4	0.9	0.9	1.1	0.9	1.0	0.9	0.7	2.8	3.6	3.6
Exports	2.2	3.3	–0.4	0.0	0.8	0.8	0.8	0.7	4.3	5.7	2.8	2.7
Imports	3.3	–0.8	0.3	0.5	1.3	2.3	2.1	1.4	3.7	5.3	4.3	4.8
GDP (production)	0.9	0.2	0.6	0.7	0.9	0.5	0.6	0.7	0.3	2.4	2.6	3.0
Employment annual %	0.5	1.2	1.7	1.8	2.2	2.3	2.4	2.5	0.2	1.8	2.5	2.4
Unemployment rate % s.a.	5.4	5.6	5.5	5.5	5.4	5.3	5.2	5.0	5.4	5.5	5.0	4.4
LCI, all sect incl o/t, ann %	2.0	2.0	2.2	2.3	2.4	2.3	2.3	2.3	2.0	2.3	2.3	2.4
CPI annual %	3.1	4.1	3.7	4.3	3.9	2.7	2.6	1.6	3.1	4.3	1.6	1.9
Current account % of GDP	–3.0	–3.2	–3.8	–4.3	–4.5	–4.7	–4.9	–4.6	–3.0	–4.3	–4.6	–4.1
Terms of trade annual %	1.9	–6.1	–5.9	–9.3	–4.5	1.5	2.8	8.1	3.3	–9.3	8.1	2.9

Sources: Statistics NZ, Westpac Economics.

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Commodity prices

Quarter average	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Australian commodities index#	423	423	403	373	359	350	346	345	345	345
Bulk commodities index#	**401**	**386**	**357**	**333**	**328**	**328**	**330**	**332**	**334**	**336**
iron ore finesTSI @ 62% US$/t	92	95	88	84	83	83	84	85	85	86
Premium low vol met coal (US$/t)	266	250	225	203	195	191	192	193	194	196
Newcastle spot thermal coal (US$/t)	150	130	122	116	116	116	116	117	117	118
crude oil (US$/bbl) Brent	103	101	91	84	83	77	76	74	73	71
LNG in Japan US$mmbtu	25.9	24.5	23.5	19.0	16.0	14.0	12.8	12.4	12.0	11.7
gold (US$/oz)	4,149	4,350	4,250	4,100	4,050	4,000	4,010	4,040	4,070	4,090
Base metals index#	**271**	**275**	**264**	**254**	**250**	**248**	**245**	**243**	**241**	**240**
copper (US$/t)	14,535	14,750	13,800	13,100	12,970	12,900	12,850	12,820	12,790	12,770
aluminium (US$/t)	3,090	3,250	3,200	3,110	3,060	3,010	2,950	2,910	2,870	2,840
nickel (US$/t)	15,494	16,250	16,590	16,860	16,980	17,060	17,150	17,230	17,320	17,410
zinc (US$/t)	3,813	3,910	3,830	3,640	3,450	3,320	3,190	3,110	3,050	3,010
lead (US$/t)	1,845	1,870	1,880	1,890	1,910	1,920	1,890	1,870	1,860	1,850
Rural commodities index#	**152**	**153**	**151**	**147**	**142**	**138**	**137**	**135**	**133**	**132**
NZ commodities index ##	**390**	**392**	**397**	**398**	**400**	**402**	**403**	**403**	**404**	**405**
dairy price index ##	319	324	329	331	334	339	342	344	345	347
whole milk powder USD/t	3,605	3,650	3,730	3,780	3,830	3,880	3,920	3,960	4,000	4,040
skim milk powder USD/t	3,847	3,770	3,640	3,540	3,530	3,580	3,620	3,660	3,690	3,730
lamb price index ##	686	681	678	674	670	666	660	652	644	636
beef price index ##	397	402	416	417	417	417	415	413	410	408
forestry price index ##	168	159	160	160	160	161	161	162	163	164

	levels				% change			
Annual averages	**2025**	**2026(f)**	**2027(f)**	**2028(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
Australian commodities index#	**324**	**411**	**372**	**345**	**4.1**	**27.0**	**–9.6**	**–7.1**
Bulk commodities index#	**378**	**396**	**337**	**333**	**–12.7**	**4.9**	**–15.1**	**–1.1**
iron ore finesTSI @ 62% US$/t	102	101	85	85	–6.8	–0.4	–16.6	0.3
Premium low vol met coal (US$/t)	189	241	203	194	–22.5	28.0	–15.8	–4.6
Newcastle spot thermal coal (US$/t)	106	131	117	117	–21.6	22.8	–10.0	–0.4
crude oil (US$/bbl) Brent	68	91	84	73	–14.6	32.8	–7.9	–12.2
LNG in Japan US$mmbtu	12.3	19.4	18.1	12.2	3.1	57.9	–6.5	–32.4
gold (US$/oz)	3,440	4,500	4,100	4,050	43.9	30.8	–8.9	–1.2
Base metals index#	**208**	**265**	**254**	**242**	**3.0**	**27.4**	**–4.2**	**–4.7**
copper (US$/t)	9,960	13,770	13,190	12,810	8.6	38.3	–4.2	–2.9
aluminium (US$/t)	2,630	3,310	3,100	2,890	8.2	25.9	–6.3	–6.8
nickel (US$/t)	15,200	17,100	16,870	17,280	–9.9	12.5	–1.3	2.4
zinc (US$/t)	2,860	3,610	3,560	3,090	2.5	26.2	–1.4	–13.2
lead (US$/t)	1,970	1,910	1,900	1,870	–5.3	–3.0	–0.5	–1.6
Rural commodities index#	**138**	**147**	**144**	**134**	**8.3**	**6.4**	**–1.9**	**–6.9**
NZ commodities index ##	**390**	**396**	**399**	**404**	**9.2**	**1.5**	**0.8**	**1.1**
dairy price index ##	348	327	333	344	9.7	–6.2	2.1	3.3
whole milk powder USD/t	3902	3623	3804	3982	13.5	–7.1	5.0	4.7
skim milk powder USD/t	2702	3399	3572	3676	0.7	25.8	5.1	2.9
lamb price index ##	587	671	672	648	27.0	14.4	0.1	–3.6
beef price index ##	337	424	416	411	19.1	25.6	–1.7	–1.2
forestry price index ##	152	160	160	162	–4.9	5.5	0.1	1.4

Chain weighted index: weights are Australian export shares. * Australian export prices fob – ABS 5432.0 Merchandise Trade Exports. ** WCFI – Westpac commodities futures index. *** Latest figures are weekly averages. ^ AWEX market prices. Sources for all tables: Westpac Economics, Bloomberg ##ANZ NZ commodity price index ^^ GlobalDairyTrade

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United States

Interest rate forecasts

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Fed Funds*	3.875	4.125	4.125	4.125	4.125	4.125	3.875	3.625	3.625	3.625
10 Year Bond	5.19	5.05	5.00	4.95	4.90	4.95	5.00	5.05	5.10	5.15

Sources: Bloomberg, Westpac Economics. * +12.5bps from the Fed Funds lower bound (overnight reverse repo rate).

Currency forecasts

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
USD vs										
DXY index	102.55	100.4	98.9	97.5	96.0	95.2	94.3	94.1	94.6	94.5
JPY	158.20	156	154	153	152	151	150	149	148	146
EUR	1.1155	1.14	1.16	1.18	1.20	1.21	1.22	1.22	1.21	1.21
AUD	0.6969	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD	0.5590	0.56	0.58	0.61	0.63	0.64	0.64	0.64	0.65	0.65
CAD	1.4245	1.38	1.37	1.36	1.35	1.34	1.33	1.32	1.32	1.32
GBP	1.3190	1.34	1.35	1.36	1.38	1.39	1.40	1.41	1.41	1.40
CHF	0.8344	0.81	0.79	0.77	0.76	0.75	0.75	0.75	0.75	0.75
ZAR	16.60	16.4	16.3	16.2	16.2	16.2	16.4	16.4	16.4	16.4
SGD	1.2850	1.27	1.27	1.26	1.26	1.25	1.25	1.25	1.25	1.25
HKD	7.8487	7.83	7.82	7.81	7.80	7.79	7.78	7.77	7.76	7.75
PHP	62.87	62.0	61.5	61.0	60.5	60.0	59.5	59.0	58.5	58.5
THB	33.61	33.0	32.5	32.0	31.5	31.0	30.5	30.2	30.0	30.0
MYR	4.0833	4.05	4.00	3.95	3.90	3.85	3.85	3.80	3.80	3.80
CNY	6.6961	6.65	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
IDR	17903	17600	17400	17200	17000	16800	16600	16400	16200	16200
TWD	32.17	31.5	31.0	30.5	30.0	29.5	29.0	28.5	28.2	28.2
KRW	1342	1340	1335	1330	1325	1320	1315	1310	1305	1305
INR	95.16	95.0	94.0	93.0	92.0	91.0	90.0	89.0	88.0	87.0

Activity forecasts

	2026				2027				Calendar years			
% annualised, s/adj	**Q1**	**Q2**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
Private consumption	0.7	3.8	2.1	1.6	1.7	1.7	2.1	2.1	2.6	2.2	1.9	2.0
Dwelling investment	–7.6	2.8	0.0	0.8	0.8	1.2	1.6	2.0	–2.2	–3.3	1.0	2.0
Business investment	9.9	9.0	7.0	6.5	5.0	4.6	4.7	4.7	5.4	6.8	5.6	4.7
Public demand	4.7	–0.1	0.4	0.4	0.4	0.4	0.4	0.4	1.6	0.5	0.4	0.4
Domestic final demand	2.4	3.9	2.5	2.1	2.0	2.0	2.2	2.2	2.7	2.4	2.2	2.2
Inventories contribution ppt	–0.8	–0.1	0.2	0.2	0.2	0.3	0.0	0.0	–0.2	0.2	0.0	0.1
Net exports contribution ppt	1.4	–0.2	–0.6	–0.6	–0.7	–0.5	–0.5	–0.5	0.3	–0.6	–0.5	–0.5
GDP	2.5	2.2	3.1	1.9	1.6	1.7	1.8	1.8	2.3	2.3	1.9	1.9
%yr annual chg	2.6	2.2	2.0	2.4	2.2	2.1	1.7	1.7	–	–	–	–

Other macroeconomic variables

Non–farm payrolls mth avg	43	97	43	90	80	90	100	105	26	68	94	115
Unemployment rate %	4.3	4.3	4.1	4.3	4.3	4.4	4.5	4.5	4.3	4.2	4.4	4.5
CPI headline %yr	2.7	3.9	3.5	3.2	2.9	2.3	2.3	2.2	2.7	3.4	2.4	2.2
PCE deflator, core %yr	3.1	3.3	3.1	3.0	2.7	2.4	2.3	2.2	2.8	3.1	2.4	2.2

Sources: Official agencies, Factset, Westpac Economics.

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Europe & the United Kingdom

Interest rate forecasts

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Euro Area										
ECB Deposit Rate	2.50	2.75	2.75	2.75	2.75	2.75	2.50	2.25	2.25	2.25
10 Year Bund	3.47	3.45	3.40	3.35	3.30	3.25	3.25	3.25	3.25	3.25
10 Year Spread to US	–172	–160	–160	–160	–160	–170	–175	–180	–185	–190
United Kingdom										
BoE Bank Rate	3.75	4.00	4.00	4.00	4.00	3.75	3.50	3.25	3.25	3.25
10 Year Gilt	5.42	5.35	5.25	5.15	5.05	5.00	5.00	5.00	5.00	5.00
10 Year Spread to US	24	30	25	20	15	5	0	–5	–10	–15

Sources: Bloomberg, Westpac Economics.

Currency forecasts

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
euro vs										
USD	1.1155	1.14	1.16	1.18	1.20	1.21	1.22	1.22	1.21	1.21
JPY	176.47	178	179	181	182	183	183	182	179	177
GBP	0.8457	0.85	0.86	0.87	0.87	0.87	0.87	0.87	0.86	0.86
CHF	0.9308	0.92	0.92	0.91	0.91	0.91	0.91	0.91	0.90	0.90
DKK	7.4753	7.48	7.48	7.48	7.48	7.48	7.48	7.48	7.48	7.48
SEK	11.19	11.3	11.4	11.5	11.6	11.7	11.7	11.7	11.8	11.8
NOK	10.62	10.7	10.8	10.9	11.0	11.1	11.1	11.1	11.2	11.2
sterling vs										
USD	1.3190	1.34	1.35	1.36	1.38	1.39	1.40	1.41	1.41	1.40
JPY	208.65	209	208	208	210	210	210	210	209	204
CHF	1.1006	1.09	1.07	1.05	1.05	1.04	1.04	1.05	1.05	1.05
AUD	0.5283	0.53	0.53	0.54	0.53	0.53	0.52	0.51	0.51	0.52

Sources: Bloomberg, Westpac Economics.

Activity forecasts

Annual average % chg	2022	2023	2024	2025	2026(f)	2027(f)	2028(f)
Euro area GDP	3.7	0.5	1.1	1.3	0.9	1.2	1.5
private consumption	5.3	0.7	1.5	1.4	1.0	1.1	1.4
fixed investment	2.4	2.8	–2.0	2.9	0.7	1.7	2.3
government consumption	1.2	1.2	2.7	1.5	2.0	2.0	2.0
net exports contribution ppt	–0.1	0.3	0.3	–0.6	0.1	0.1	–0.3
Germany GDP	2.0	–0.8	0.0	0.3	1.0	1.2	1.7
France GDP	2.8	1.8	1.4	0.9	0.4	0.8	1.2
Italy GDP	5.0	1.0	0.6	0.7	0.9	0.7	1.0
Spain GDP	6.4	2.5	3.5	2.8	2.5	2.0	2.1
Netherlands GDP	5.0	–0.6	1.1	1.6	1.3	1.2	1.6
United Kingdom GDP	5.1	0.3	1.0	1.4	1.2	1.0	1.5

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Asia

China activity forecasts

Calendar years	2021	2022	2023	2024	2025	2026(f)	2027(f)	2028(f)
Real GDP	8.6	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Consumer prices %yr	1.5	1.8	–0.3	0.1	0.1	1.2	1.3	1.4
Producer prices %yr	10.3	–0.7	–2.7	–2.3	–2.6	2.2	1.2	1.5
Industrial production (IVA)	9.6	3.6	4.6	5.8	5.9	5.3	5.0	4.8
Retail sales	12.5	–0.2	7.2	3.5	3.7	1.6	3.4	4.0
Money supply M2 %yr	9.0	11.8	9.7	7.3	8.0	7.8	7.6	7.4
Fixed asset investment	4.9	5.1	3.0	3.2	–1.4	–4.0	4.0	4.5
Exports %yr	20.9	–9.9	–2.3	10.7	5.4	17.0	7.0	5.0
Imports %yr	19.5	–7.5	0.2	0.9	0.3	21.0	6.0	4.0

Source: Macrobond, Bloomberg. Year–to–date growth unless otherwise noted.

Chinese interest rates & monetary policy

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Required reserve ratio %*	9.00	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50
Loan Prime Rate, 1–year	3.00	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80

* For major banks.

Japanese interest rates & monetary policy

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Policy Rate	1.25	1.50	1.50	1.50	1.50	1.50	1.50	1.50	1.50	1.50
10 Year Bond Yield	3.00	2.90	2.85	2.80	2.75	2.70	2.65	2.60	2.55	2.50

Currency forecasts

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
JPY	158.20	156	154	153	152	151	150	149	148	146
SGD	1.2850	1.27	1.27	1.26	1.26	1.25	1.25	1.25	1.25	1.25
HKD	7.8487	7.83	7.82	7.81	7.80	7.79	7.78	7.77	7.76	7.75
PHP	62.87	62.0	61.5	61.0	60.5	60.0	59.50	59.00	58.50	58.50
THB	33.61	33.0	32.5	32.0	31.5	31.0	30.5	30.2	30.0	30.0
MYR	4.0833	4.05	4.00	3.95	3.90	3.85	3.85	3.80	3.80	3.80
CNY	6.6961	6.65	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
IDR	17903	17600	17400	17200	17000	16800	16600	16400	16200	16200
TWD	32.17	31.5	31.0	30.5	30.0	29.5	29.0	28.5	28.2	28.2
KRW	1342	1340	1335	1330	1325	1320	1315	1310	1305	1305
INR	95.16	95.0	94.0	93.0	92.0	91.0	90.0	89.0	88.0	87.0

Source: Bloomberg, Westpac Economics.

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Worldwide

Economic growth forecasts (year average)

Real GDP %ann	2021	2022	2023	2024	2025	2026(f)	2027(f)	2028(f)
World	**6.7**	**3.8**	**3.3**	**3.4**	**3.4**	**3.4**	**3.3**	**3.3**
United States	6.2	2.5	2.9	2.8	2.1	2.3	1.9	1.9
Japan	3.6	1.3	0.7	–0.2	1.1	0.7	0.8	0.9
Euro zone	6.4	3.7	0.5	0.9	1.3	0.9	1.2	1.5
Group of 3	**5.9**	**2.8**	**1.8**	**1.7**	**1.7**	**1.6**	**1.5**	**1.6**
United Kingdom	8.5	5.1	0.3	1.0	1.3	1.2	1.0	1.5
Canada	6.0	4.7	2.0	2.0	1.9	0.9	1.6	1.8
Australia	5.4	4.2	2.1	1.0	2.0	2.1	1.5	2.1
New Zealand	5.5	2.6	2.2	–0.3	0.3	1.9	2.6	3.2
OECD total	**6.2**	**3.2**	**1.9**	**1.8**	**1.7**	**1.7**	**1.5**	**1.7**
China	8.4	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Korea	4.6	2.7	1.6	2.0	1.0	3.5	2.5	2.2
Taiwan	6.7	2.7	1.1	5.3	8.8	11.0	5.0	4.0
Hong Kong	6.5	–3.7	3.2	2.6	3.6	4.0	3.0	2.6
Singapore	10.1	4.0	1.5	5.3	5.0	5.0	3.0	2.5
Indonesia	3.7	5.3	5.0	5.0	5.1	5.2	5.2	5.2
Thailand	1.6	2.7	2.2	2.9	2.4	2.1	2.1	2.2
Malaysia	3.3	9.0	3.5	5.1	5.2	5.0	4.8	4.6
Philippines	5.7	7.6	5.5	5.7	4.4	3.1	4.5	5.0
Vietnam	2.6	8.5	5.1	7.0	8.0	8.1	7.8	7.5
East Asia	**7.1**	**3.6**	**4.7**	**4.8**	**4.9**	**4.9**	**4.5**	**4.4**
East Asia ex China	4.4	4.6	3.4	4.5	4.7	5.4	4.4	4.2
NIEs*	**6.1**	**2.3**	**1.6**	**3.4**	**4.1**	**6.1**	**3.4**	**2.9**
India	9.7	7.6	7.2	7.1	7.6	7.1	7.0	6.6
Russia	5.9	–1.4	4.1	4.9	1.0	0.6	0.9	1.1
Brazil	4.8	3.0	3.2	3.4	2.3	1.9	1.9	2.1
South Africa	4.9	2.1	0.8	0.5	1.1	1.0	1.3	1.5
Mexico	6.0	3.7	3.1	1.4	0.6	1.6	2.2	2.1
Argentina	10.4	6.0	–1.9	–1.3	4.4	3.5	4.0	3.8
Chile	11.3	2.2	0.5	2.6	2.3	2.4	2.6	2.3
Middle East	2.8	2.8	2.8	2.9	2.9	2.9	2.9	2.9
C & E Europe	9.1	4.3	3.0	3.2	3.0	3.1	3.5	3.7
Africa	3.9	4.4	3.8	4.2	4.5	4.3	4.4	4.5
Emerging ex–East Asia	**6.8**	3.7	**3.7**	**4.7**	**4.4**	**4.2**	**4.3**	**4.3**
Other countries	**6.7**	**5.2**	**4.9**	**2.0**	**2.3**	**2.8**	**3.0**	**3.1**
World	**6.7**	**3.8**	**3.3**	**3.4**	**3.4**	**3.4**	**3.3**	**3.3**

#Regional and global groupings are weighted using PPP exchange rates updated to reflect ICP 2011 benchmark revisions.* "NIEs" signifies "Newly Industrialised Economies" as defined by the IMF, viz; Republic of Korea, Hong Kong SAR, Taiwan Province of China, and Singapore.

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ECONOMIC BULLETIN

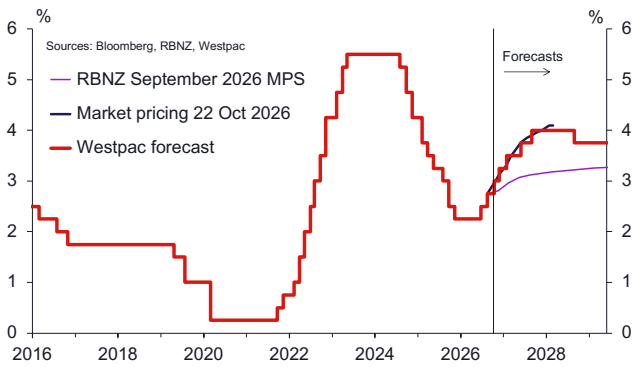
Preview of RBNZ October 2026 Monetary Policy Review (Wednesday 28 October, NZT 2pm).

22 Oct 2026 | **Kelly Eckhold**, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz

Following on?

- **We expect the RBNZ to raise the OCR by 25bps to 3% at the 28 October Review.**
- **A vote seems very possible as differences in view will likely remain among the MPC about how much the medium-term inflation outlook has really shifted in recent weeks.**
- **Data since September show a higher outlook for year-end inflation and a stronger GDP starting point, but increased risks to domestic consumption and residential investment. On balance, the medium-term inflation picture will probably be judged to have worsened slightly given recent movements in energy prices and the exchange rate.**
- **Forward guidance will likely leave open the option to raise the OCR further at the December Monetary Policy Statement without presenting it as a sure thing.**
- **Given the 'pause' signal in September, the press release will likely emphasise the more concerning short-term inflation picture driven by the lower exchange rate and higher energy prices. The tightening in financial conditions through higher short- and long-term interest rates, as well as lingering spare capacity, will be presented as offsets that means the MPC retains confidence that inflation will return towards 2% over time.**
- **We still think a more measured tightening approach is appropriate from here. Raising the OCR at every meeting until something 'breaks' could be a risky strategy if downside growth concerns crystalise.**
- **Nonetheless, the expected hike will bring the OCR to the top of the RBNZ's neutral range more quickly. We now think the OCR will hit 3.5% a meeting earlier in February. Thereafter we expect further 25bp hikes at the June and September 2027 meetings, lifting the OCR to a peak of 4%.**

Official Cash Rate forecasts



RBNZ decision and communication.

We expect the RBNZ to raise the OCR by 25bps to 3% at the 28 October Review. As there will likely be differences in perspective about recent developments in energy prices and the exchange rate, we think it is quite possible that the decision will be reached after a formal vote, rather than by consensus.

As the RBNZ will not be presenting new forecasts (aside perhaps from updated short-term CPI forecasts) we will not see an updated OCR forecast track. Rather we expect the RBNZ will aim to leave their options open at the next meeting in December. As in September, we expect the RBNZ to note that conditional on the central economic

outlook, the OCR may need to increase further (the September projection had portrayed an OCR eventually rising to 3.25%). The RBNZ will emphasise the future OCR path is not predetermined.

In September, the MPC agreed that further tightening in policy was likely required. The bulk of the MPC saw upside risks to the inflation outlook while two members (Conway and Hansen) thought the risks were balanced. Recent developments will likely not have made those seeing upside risks to inflation more comfortable, while the more dovish MPC members will likely still see the growth downside risks given continued softness in house prices and the mounting pressure on real incomes. Indeed, all MPC members saw some degree of downside risks to growth which likely remain relevant. All these messages should remain in the RBNZ's updated views.

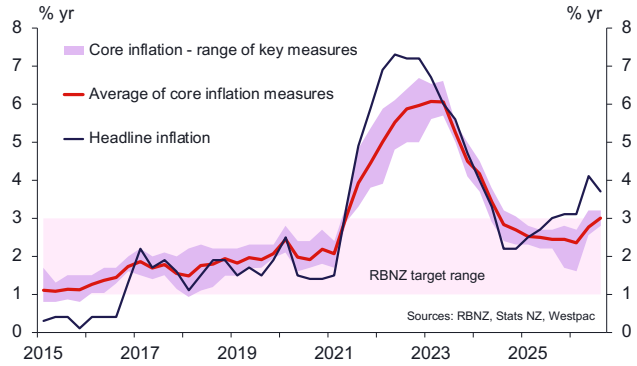
The MPC will likely continue to present their decision as a gradual evolution of the approach taken since July, where a higher OCR now is insurance against a much higher OCR later should upside medium-term inflation risks arise. We doubt the objective will be to push market interest rates materially higher.

The exchange rate will likely have greater prominence at this Review, as it did at the July meeting. The TWI is just over 3% lower than previously assumed which – if sustained – will add some inflation pressure over the next few quarters. We suspect this will not have shifted the RBNZ's medium term outlook for inflation. So, the discussion will seek to link the implications of the lower exchange rate for short term inflation projections with the risk this spills over into medium term inflation. We doubt the RBNZ will be trying to actively support the exchange rate in any meaningful way, and indeed the lower exchange rate may be presented as something supportive of the medium-term growth profile, reducing risks there.

Financial conditions more broadly are likely to receive some attention. While the exchange rate is lower than assumed, there have also been marked increases in wholesale long-term interest rates and (to a lesser extent) mortgage rates. The impact of higher interest rates on managing medium term inflation risks will likely be noted.

The RBNZ is likely to continue to emphasise that at this stage there is little evidence of second-round inflation impacts coming from the Iran war and the associated rise in energy prices. We note that most other central banks are drawing a similar judgement at this point. Today's CPI might be consistent with that judgement, although core inflation measures have increased and will likely be noted by the more hawkish members of the MPC. We expect the RBNZ to point to the risks that such persistent inflation pressures might emerge at some point. But that would depend on the duration of the oil price shock. We expect the RBNZ to continue to have the assumption that the shock dissipates and that energy prices and hence CPI inflation will be appreciably lower in the medium term.

Headline and core inflation



We expect the RBNZ to note the labour market remains cyclically weak and is not a significant driver of inflation. Still-weak employment growth compared to labour force growth, weak job vacancies growth and low levels of labour market turnover are in line with this view and could be emphasised.

Finally, the RBNZ is likely to acknowledge a still-solid global growth outlook but with significant downside risks looking forward given the Iran war and concerns around the sustainability of the AI investment cycle.

Implications for Westpac's forecast profile for the OCR.

The expected hike will bring the OCR to the top of the range of the RBNZ's neutral rate estimates more quickly. It seems likely that the OCR will hit 3.5% a meeting earlier now. Beyond the pause that we had previously expected at next week's meeting, we had expected the RBNZ would be looking to slow the pace of OCR increases once it had reached 3.5%. We retain the latter expectation, so this earlier hike also implies that the pause will come a little earlier, after two further 25bp hikes at the December 2026 and February 2027 reviews.

We continue to see further 25bp hikes at the June and September 2027 meetings – taking the OCR to a peak of 4.0% – as it's likely that more restrictive conditions will be required to push core inflation back sustainably to 2%. Needless to say, the path of the OCR in 2027 will depend on the evolution of numerous factors that remain very uncertain, not least being developments in the Middle East.

Arguments in favour of a hike.

- The ongoing conflict in the Middle East and related developments in global energy markets point to upside risk for headline inflation, at least in the near term. Westpac's forecasts for headline inflation are now at 2.5% or above for most of 2027 now. Upside risks to core inflation and inflation expectations also may emerge the longer the oil price remains above $90-100/bbl.

- The exchange rate is notably weaker in recent months as global interest rates have been rising, and the NZ OCR is low compared to Australian and US settings. Financial markets even envisage further interest rate increases in Europe given the high levels of inflation implied by their September adverse scenarios (3.2% 2027 HICP inflation vs 2.5% baseline). If the NZ OCR doesn't keep pace with global trends, then the risk is for more inflation generated by a lower NZD exchange rate.
- The 'real' OCR rate is relatively low – plausibly around -1 to -2 % based on headline inflation projections. Based on core CPI levels the real policy rate is likely negative. An OCR in the 3.25-3.5% range would deliver positive real rates based on core CPI forecasts.
- The economy has grown above trend in the last year reflecting strong export sector incomes and the lagged impact of past low OCR settings. The output gap is likely still negative but is closing. Relying on a prolonged negative output gap to bring core inflation pressures down could be risky.
- The areas of economic strength in the last year are not yet waning. Agriculture sector returns remain strong, while global growth forecasts are being revised up as the AI investment boom proceeds. The construction sector is picking up, as is the manufacturing sector. Tourism is strong, supported by an advantageous exchange rate.
- Market pricing leans strongly towards an OCR hike at this meeting. It may be less disruptive to go along with market pricing, especially given the RBNZ's forecasts imply two further OCR increases including one by year-end. Moving now versus six weeks later is of little consequence from a macro view. A smaller 'splash' at this meeting could be desirable given the proximity to the election.

Arguments in favour of no change.

- For all the upward pressure on short term inflation, there is little evidence that the medium-term inflation outlook has shifted much. Domestic inflation in the September quarter was 0.3ppts weaker than the RBNZ had expected, which should be a source of comfort. In addition, energy and exchange rate inflation impacts on inflation occur too early for the MPC to offset and will be what they will be. And measures of pricing behaviour and inflation expectations in recent consumer and business surveys seem benign given the scale of recent energy price increases.
- Firms report pressure on margins and an inability to set prices high enough to recoup cost increases. Profitability is struggling which clouds the outlook. Firms expect better times ahead – perhaps because they think energy prices will fall – but note tougher trading conditions now. Hiring still seems modest albeit positive. It does not appear that hiring is yet strong enough to reduce the high unemployment rate.
- Housing market trends look quite weak and seem set to constrain consumer spending and residential investment. Despite very low mortgage rates in the last year, house sales have declined and house prices are flat to falling. It seems unlikely we will see a change in these weak trends soon – especially if interest rates continue to rise. The result is we are not seeing a 'consumption rich' recovery and growth is relatively unbalanced. There could be additional risks to the sustainability of this recovery should external demand suddenly weaken for some reason.

How might the election play into the decision?

While next week's meeting is close to the General Election on 7 November, the decision taken by the MPC will not be politically motivated. However, the election outcome is close. And should it result in a Labour Party-led coalition, it seems likely the new government would adopt the Labour Party's promise to restore the RBNZ's dual mandate. That would require the MPC to weigh the degree of labour market slack more highly in its deliberations. As the degree of labour market slack currently seems high, a new mandate might justify the MPC taking more time to return inflation to the middle of the target range (**our earlier note** discusses this issue). This could figure into the deliberations of some MPC members if the decision between leaving the OCR unchanged and raising it now is viewed as finely balanced.

Scenarios.

Our core scenario, with perhaps around a 60% probability, is that the RBNZ increases the OCR by 25bp and signals the December meeting is live but without committing to a markedly tighter future stance than presented in September. Alternative scenarios include:

- A hawkish scenario (around a 20% probability) would see the OCR increase to 3% and have the RBNZ more strongly emphasise the upside risks to core and medium-term inflation, leading to the implication that an upward revision of the RBNZ's forward OCR profile is in the offing in December. The downside risks to the exchange rate could also be emphasised.
- A dovish scenario (around a 20% probability) is one where the RBNZ leaves the OCR unchanged and signals that the medium-term outlook for inflation has not yet changed meaningfully relative to that forecast in the September meeting, despite the higher near-term inflation outlook. This would cause the RBNZ to reiterate its previous forecast, i.e. one 25bp increase in December and one more hike in 2027 sometime.

Appendix: Key developments since the September Monetary Policy Statement.

Activity: The economy is coming from a stronger starting point than the RBNZ assumed in September. GDP rose by 0.2% in the June quarter, and along with revisions to earlier quarters, the annual growth rate lifted to 2.6% against the RBNZ's forecast of 2.1%. Against this, recent high-frequency data and the resurgence in fuel prices presents some downside risk to the RBNZ's growth forecasts for the second half of the year. The RBNZ's Nowcast estimates of growth have drifted lower in recent weeks, and while these are not the same as the RBNZ's official forecasts, they may be a useful guide as to the direction of change.

Sentiment-based activity indicators: The NZIER's Quarterly Survey of Business Opinion was mixed. Firms were more optimistic about the coming months, but recent performance has been more subdued and continues to fall short of expectations. Hiring and investment intentions picked up compared to last quarter, but more firms cited a lack of demand rather than capacity as their main constraint on growth. Meanwhile, the monthly PMI surveys have shown ongoing strength in manufacturing, with more modestly positive readings for service industries.

Housing market: Housing market conditions have remained soft. House sales have fallen a further 4% since July, the average time to sell remains elevated, and prices have continued to edge lower. The RBNZ had already assumed a modest decline in prices over 2026, and the recent performance has been broadly in line with their assumption.

Labour market: Filled jobs have picked up in the last two months, having been flat through the first half of this year. That's in line with the RBNZ's forecast of a rise in employment and a tick down in the unemployment rate to 5.5% in the September quarter. The QSBO showed some tightening in the availability of skilled workers and a lift in hiring intentions. Net migration has been in line with the RBNZ's assumptions.

Inflation: Annual inflation slowed to 3.7% in the September quarter, below the RBNZ's forecast of 3.9%. The downside surprise was on non-tradables inflation, while tradables inflation was in line with the RBNZ's forecast. Underlying inflation pressures remain elevated, with the various measures of core inflation close to or above the top of the RBNZ's 1-3% target range. Since the September MPS forecasts were finalised, oil prices have surged higher again, with petrol prices setting new record highs. The Dubai crude spot price is currently around $110/bbl, compared to the RBNZ's assumption of an average price of around $84/bbl for the December quarter.

Inflation expectations: The QSBO showed that firms' expectations of costs and prices remain elevated, but lower than they were in the June quarter. ANZ's monthly survey showed a small dip in inflation expectations among both businesses and consumers, although the survey period may have pre-dated the worst of the latest resurgence in fuel prices (the next updates will be released just after the OCR review).

Trade: The June quarter terms of trade were in line with the RBNZ's forecast. Prices for New Zealand's commodity exports have generally remained firm in recent months, with a pickup in dairy prices against some easing in beef and lamb prices.

Financial conditions: Domestic financial conditions have provided mixed signals since the September MPS. Long-term interest rates have risen sharply along with global markets, which the RBNZ may regard as an unwarranted tightening of financial conditions to the extent that it hasn't reflected domestic economic conditions. Most fixed-term mortgage rates have risen by 5-15 basis points since the September MPS, but rates for the popular two-year term have actually fallen a little as lenders have looked to compete in this space. Meanwhile, the New Zealand dollar has fallen sharply and the trade-weighted index is just over 3% below the RBNZ's assumed average for the December quarter. If sustained, this will add to imported inflation pressures over the year ahead.

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WESTPAC COMMODITY FORECASTS

This information is current as at 16 October 2026

Quarter average forecasts	Latest*	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
Iron ore finesTSI @ 62% US$/t	92	95	88	84	83	83	84	85
Iron ore fines contracts (Usc dltu)	142	150	140	130	130	130	130	130
Premium low vol met coal (US$/t)	266	250	225	203	195	191	192	193
Newcastle spot thermal coal (US$/t)	150	130	122	116	116	116	116	117
Crude oil (USD/bbl) WTI	89	98	88	82	80	75	74	72
Crude oil (USD/bbl) Brent	103	101	91	84	83	77	76	74
LNG in Japan US$mmbtu	25.9	24.5	23.5	19.0	16.0	14.0	12.8	12.4
Gold (USD/oz)	4,149	4,350	4,250	4,100	4,050	4,000	4,010	4,040
Aluminium (US$/t)	3,090	3,250	3,200	3,110	3,060	3,010	2,950	2,910
Copper (US$/t)	14,535	14,750	13,800	13,100	12,970	12,900	12,850	12,820
Nickel (US$/t)	15,494	16,250	16,590	16,860	16,980	17,060	17,150	17,230
Zinc (US$/t)	3,813	3,910	3,830	3,640	3,450	3,320	3,190	3,110
Lead (US$/t)	1,845	1,870	1,880	1,890	1,910	1,920	1,890	1,870
AUD/USD	0.70	0.72	0.72	0.73	0.73	0.73	0.73	0.72

Quarter average forecasts	Sep–28	Dec–28	Mar–29	Jun–29	Sep–29	Dec–29	Mar–30	Jun–30	Sep–30
Iron ore finesTSI @ 62% US$/t	85	86	86	87	87	88	89	89	90
Iron ore fines contracts (Usc dltu)	130	130	130	130	130	140	140	140	140
Premium low vol met coal (US$/t)	194	196	197	198	200	201	203	204	205
Newcastle spot thermal coal (US$/t)	117	118	118	119	119	120	120	121	121
Crude oil (USD/bbl) WTI	70	69	69	69	70	73	75	77	79
Crude oil (USD/bbl) Brent	73	71	71	71	72	75	78	80	81
LNG in Japan US$mmbtu	12.0	11.7	11.6	11.5	11.6	11.8	12.3	12.8	13.2
Gold (USD/oz)	4,070	4,090	4,120	4,150	4,180	4,210	4,230	4,260	4,290
Aluminium (US$/t)	2,870	2,840	2,830	2,850	2,910	3,070	3,210	3,340	3,430
Copper (US$/t)	12,790	12,770	12,760	12,870	13,170	13,930	14,630	15,250	15,690
Nickel (US$/t)	17,320	17,410	17,490	17,590	17,850	18,520	19,120	19,650	20,000
Zinc (US$/t)	3,050	3,010	2,980	2,990	3,020	3,100	3,170	3,230	3,270
Lead (US$/t)	1,860	1,850	1,840	1,840	1,850	1,860	1,870	1,880	1,890
AUD/USD	0.72	0.72	0.72	0.72	0.72	0.72	0.72	0.72	0.72

*Weekly averages. Sources for all tables: Westpac Economics, Bloomberg, Macrobond ABS.

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ECONOMIC BULLETIN

Forecast update, October 2026.

9 Oct 2026 | **Kelly Eckhold**, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz

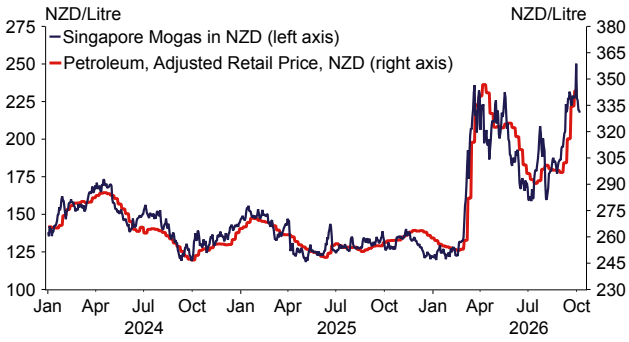
- **Higher oil and refined fuels prices, a lower exchange rate, higher long term interest rates and weak house price trends justify a review of our 2026 forecasts.**
- **We continue to see CPI inflation falling to 3.7% y/y in the September quarter, but now think inflation will rise to 4.2% in the December quarter. Higher global fuel prices and a weaker New Zealand dollar are driving these trends.**
- **Commodity export prices remain robust and are reflected in a rise in our forecast for the 2026/27 Fonterra Milk Price to $9.75/kg. Our opening bid for the Milk Price in 2027/28 is a solid $9.50/kg.**
- **House prices have not stabilised as expected in recent months. As a result, we have revised down our 2026 house price forecast from a small rise to a 1.4% decline.**
- **The combination of high fuel costs and a weak housing market will likely crimp consumer demand running into Christmas.**
- **We have modestly revised down our GDP forecasts for the December quarter, which reduces our 2026 growth forecast to a still solid 2.5%. Risks appear skewed to the downside given higher energy prices and long-term interest rates.**
- **We will look at our 2027 forecasts in the coming week.**
- **Our OCR forecasts remain unchanged. We see a pause at the October meeting and a hike to 3% at the release of the December *Monetary Policy Statement*.**

Inflation – All gas, no brakes.

We've updated our near-term inflation forecasts in response to recent global developments.

We continue to estimate that consumer prices rose by 0.7% in the September quarter, consistent with recent monthly prices updates from Stats NZ. That would see annual inflation ease to 3.7% in the year to September, down from 4.1% in the year to June. We'll confirm that figure next week, when the final monthly prices update for the September quarter is released on 16 October.

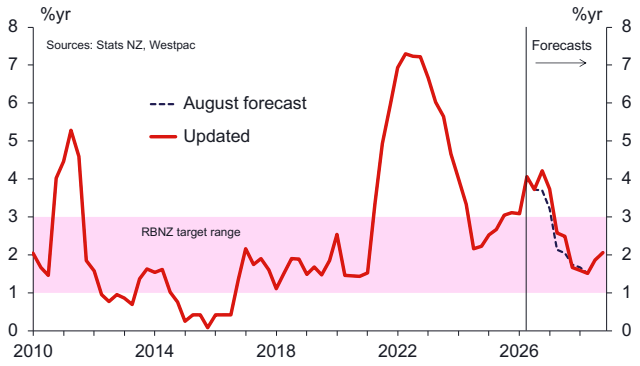
Drivers of NZ petrol prices



Sources: Macrobond, MBIE, RBNZ, Westpac

However, that easing in inflation appears set to be only a temporary reprieve. We now expect consumer prices to rise 1.1% in the December quarter. That would see annual inflation rising to a three-year high of 4.2% by the end of this year. The main driver of this revision are sharply higher global fuel prices, compounded by a more than 4% fall in the New Zealand dollar since the start of September. Together, those developments have already pushed local petrol prices up around 50 cents / litre over the past month, with the nationwide average price of 91 unleaded reaching a record $3.53 / litre earlier this week.

Consumer price inflation forecasts



Our updated year-end inflation forecast is above the RBNZ's September projection of 3.9%. In a recent presentation, **Governor Breman noted** that the rise in oil prices meant the risks to the RBNZ's near-term inflation forecast were to the upside. However, she also noted that the RBNZ's focus was on the medium-term outlook.

We haven't changed our quarterly inflation forecasts for 2027 at this stage. However, the upward revision to our forecast for the December quarter means annual inflation is set to remain firm through most of 2027, consistent with the RBNZ's forecasts. We will review our 2027 forecasts for inflation and growth more comprehensively next week when we will also review our financial forecasts with the release of the Westpac Market Outlook.

Inflation forecasts

		Westpac		RBNZ
		Previous	Updated	
2026	Mar (a)	3.1	3.1	3.1
	Jun (a)	4.1	4.1	4.1
	Sep	3.7	3.7	3.9
	Dec	3.7	4.2	3.9
2027	Mar	3.2	3.7	3.7
	Jun	2.1	2.6	2.6
	Sep	2.0	2.5	2.4
	Dec	1.7	1.7	2.1

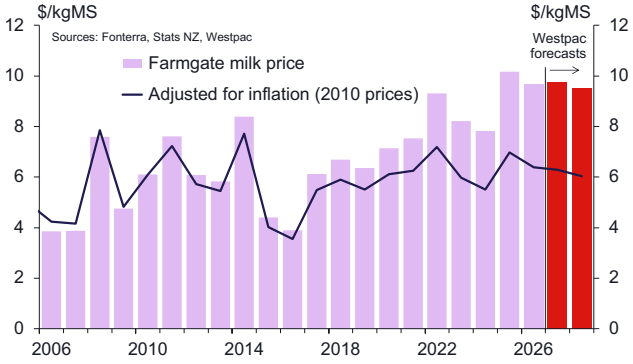
A more tepid housing market.

We had expected the housing market to stabilise through the second half of 2026. However, recent trends have disappointed. House sales volumes continue to weaken, and the median number of days required to sell a house has lengthened to 48 days. Not surprisingly, therefore, average house prices have continued to nudge lower despite more robust conditions in those areas – mostly in the South Island – that are most exposed to the well-performing export sector. The latest indicators suggest no imminent change in this trend.

Given these weak trends, our previous forecast for essentially flat house prices through the September and December quarters now looks too optimistic. We have revised down our house price forecast for the 2026 year from a rise of 0.6% y/y to a fall of 1.4% y/y on a national basis. This is consistent with quarterly falls in house prices of 0.5% and 0.8% q/q over the September and December quarters.

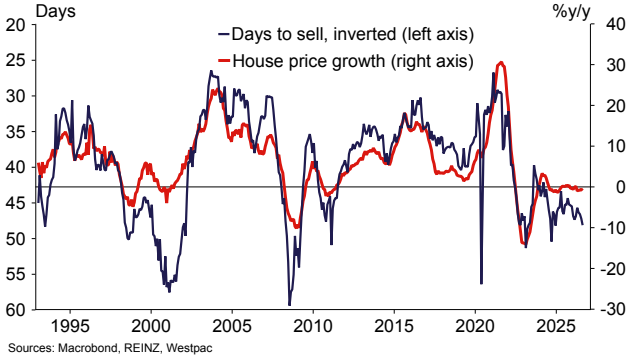
The still weak labour market, higher mortgage rates and still moderate employment growth all point to a weak housing market for the foreseeable future. Risks remain tilted towards another weak year in 2027. This would especially be the case if increased taxation of capital gains on investor housing were to occur as a result of the outcome of the 2026 General Election.

Farmgate milk price

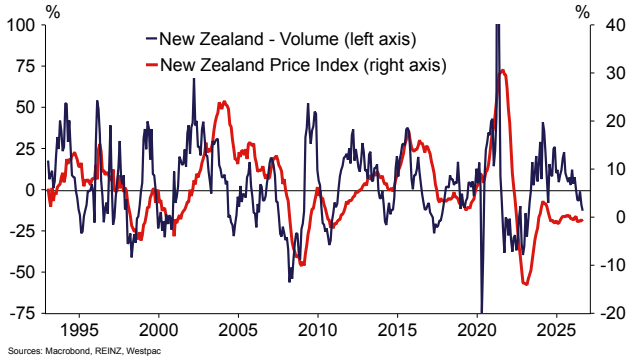


It's likely to be the case that there will be divergent trends in the housing market across the country. Income and employment trends in tourism and agriculture dominated regions are expected to remain robust. Our upgrade to the 2026/27 Milk Price released in our recent **Agri Bites report** emphasises this point. But it looks like it will be a while before investors and homeowners in the major metropolitan areas in the North Island will be feeling wealthier through a rising home value. On balance this is likely to crimp consumer spending attitudes through the end of 2026 and might moderate the recovery in the construction sector that is underway.

Annual house price growth and Median days to sell



Annual house price growth and house sales volumes



Sources: Macrobond, REINZ, Westpac

Growth forecasts moderated a touch.

Our short-term growth forecasts still appear to be in the ballpark of what seems likely given recent trends. Recent consumer and business confidence surveys have suggested resilience of the economy to recent rises in energy prices and long-term interest rates. However, it's likely the rise in energy prices in particular will eat into consumer spending appetites towards the end of 2026 should current levels of fuel prices be sustained.

We have knocked off a modest amount off our forecast for consumer spending in the December quarter to reflect these risks and will look more closely at the implications for 2027 growth in coming weeks. Certainly, the large rise in long term interest rates may be relevant for 2027 growth trends. The election outcome introduces two-sided risks to the 2027 growth outlook that are hard to quantify at this early stage. We currently expect 2.5% y/y growth for the 2026 year.

We don't see a need to change our labour market forecasts for 2026 at this point. Signs continue to accumulate suggesting strengthening employment growth – although it will be a while before a noticeable drop in the unemployment rate is evident.

Implications for the OCR.

We are leaving our forecasts of the OCR unchanged. Since the July 2026 Monetary Policy Review, we have anticipated the RBNZ will slow the pace of OCR increases now the 3% neutral level (in the RBNZ's view) is coming into view.

The RBNZ sent a clear signal that they expected to pause in October and raise the OCR just one more time in December. We still think this is the most likely scenario. The recent data has boosted the short-term inflation profile but at this stage there is little evidence of rising inflation expectations or more persistent inflationary pressures. There are some risks to the growth outlook – albeit two sided – to consider. Taking the time to assess the impact of the OCR rises to date and the strategy going forward makes sense to us. We don't see a shift in the MPC's strategy in October.

We continue to think it most likely that the RBNZ will have more work to do in 2027. However, there is a lot of water to go under the bridge before then. The OCR increases that have occurred to date, and the one further expected increase in December will position the MPC well to respond to conditions in 2027 as they unfold. The unexpected rise in long term interest rates that has occurred in the last 6 weeks or so has tightened monetary conditions and has at least offset the easing in conditions coming from the weaker exchange rate over the same period.

Economic and financial forecasts

Economic indicators	Quarterly % change				Annual % change			
	Jun-26	Sep-26	Dec-26	Mar-27	2025	2026	2027	2028
GDP	0.2	0.6	0.7	1.1	1.6	2.5	3.0	3.4
GDP (annual average)	-	-	-	-	0.3	2.4	2.8	3.1
Consumer price index	1.5	0.7	1.1	0.4	3.1	4.2	1.7	2.1
Employment change	0.5	0.6	0.6	0.6	0.2	1.9	2.5	2.3
Unemployment rate	5.6	5.5	5.4	5.3	5.4	5.4	4.9	4.4
Labour cost index (all sectors)	0.6	0.6	0.6	0.5	2.0	2.3	2.3	2.3
Current account balance (% of GDP)	-3.2	-3.9	-4.1	-4.1	-3.0	-4.1	-4.0	-4.0
Terms of trade	-4.5	-0.6	1.8	2.7	3.3	-4.6	5.7	1.5
House price index	-0.3	-0.5	-0.8	0.3	-0.1	-1.4	1.8	4.1

Financial forecasts	End of quarter				End of year			
	Jun-26	Sep-26	Dec-26	Mar-27	2025	2026	2027	2028
Official Cash Rate	2.25	2.75	3.00	3.50	2.25	3.00	4.00	3.75
90 day bank bill	2.63	2.99	3.40	3.75	2.52	3.40	4.20	3.95
2 year swap	3.47	3.72	3.95	4.10	2.71	3.95	4.20	4.10
5 year swap	3.88	4.07	4.20	4.30	3.27	4.20	4.40	4.35
10 year bond	4.61	4.75	4.75	4.90	4.27	4.75	5.05	5.05
TWI	66.5	66.1	65.7	67.4	66.4	65.7	71.1	70.5
NZD/USD	0.58	0.58	0.59	0.61	0.57	0.59	0.65	0.65
NZD/AUD	0.82	0.82	0.82	0.84	0.87	0.82	0.89	0.90
NZD/EUR	0.50	0.51	0.50	0.51	0.49	0.50	0.54	0.54
NZD/GBP	0.44	0.43	0.43	0.44	0.43	0.43	0.47	0.46

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